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BUSINESS ETHICS
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LESSON 23**OLIGOPOLISTIC COMPETITION****Oligopolistic Competition**

Oligopolies can set high prices through explicit agreements to restrain competition. The more highly concentrated the oligopoly, the easier it is to collude against the interests of society, economic freedom, and justice. The following list identifies practices that are clearly unethical:

1. **Price Fixing** - when companies agree to set prices artificially high.
2. **Manipulation of Supply** - when a company agrees to limit production.
3. **Exclusive Dealing Arrangements** - when a company sells to a retailer only on condition that the retailer will not purchase products from other companies and/or will not sell outside a certain geographical area.
4. **Tying Arrangements** - when a company sells a buyer certain goods only on condition that the buyer also purchases other goods from the firm.
5. **Retail Price Maintenance Agreements** - when a company sells to a retailer only on condition that they agree to charge the same set retail prices.
6. **Price Discrimination** - when a company charges different prices to different buyers for the same goods or services.

Several industrial and organizational factors lead companies to engage in these practices:

1. **Crowded and Mature Market** - When large numbers of new entrants or declining demand create overcapacity in a market, the resulting decline in revenues and profits creates pressures on middle-level managers. They may respond by allowing, encouraging, and even ordering their sales teams to engage in price fixing.
2. **Job-Order Nature of Business** - If orders are priced individually so that pricing decisions are made frequently and at low levels of the organization, collusion among low-level salespeople is more likely.
3. **Undifferentiated Products** - When the product offered by each company in an industry is so similar to those of other companies that they must compete on price alone by continually reducing prices, salespeople come to feel that the only way to keep prices from collapsing is by getting together and fixing prices.
4. **Culture of the Business** - When an organization's salespeople feel that price fixing is a common practice and is desired, condoned, accepted, rationalized, and even encouraged by the organization, price fixing is more likely.
5. **Personnel Practices** - When managers are evaluated and rewarded solely or primarily on the basis of profits and volume so that bonuses, commissions, advancement, and other rewards are dependent on these objectives, they will come to believe that the company wants them to achieve these objectives regardless of the means.
6. **Pricing Decisions** - When organizations are decentralized so that pricing decisions are pushed down into the hands of a lower part of the organization, price fixing is more likely to happen. Price decisions should be made at higher organizational levels.
7. **Trade Associations** - Allowing salespeople to meet with competitors in trade association meetings will encourage them to talk about pricing and to begin to engage in price-setting arrangements with their counterparts in competing firms.
8. **Corporate Legal Staff** - When legal departments fail to provide guidance to sales staff until after a problem has occurred, price-fixing problems are more likely.

It is difficult to legislate against many common oligopolistic price-setting practices, however, because they are accomplished by tacit agreement. Firms may, without ever discussing it explicitly, realize that competition is not in their collective best interests. Therefore, they may recognize one firm as the "price leader," raising their prices in reaction when the leader decides to do so. No matter how prices are set, however, clearly social utility declines when prices are artificially raised.

Firms also occasionally resort to bribery, which also results in a decline in market competition. Bribes serve as a barrier to others entering the market; the briber becomes, in effect, a monopoly seller. To determine whether a payment is ethical, there are three relevant points to consider:

LESSON 24**OLIGOPOLIES AND PUBLIC POLICY**

1. Is the offer of a payment initiated by the payer (the one who pays the money), or does the payee (the one who receives the money) demand the payment by threatening injury to the payer's interests? In the latter case, the payment is not a bribe but a form of extortion. If the threatened injury is large enough, the payer may not be morally responsible for his or her act, or the moral responsibility may at least be diminished.
2. Is the payment made to induce the payee to act in a manner that violates his or her official sworn duty to act in the best interests of the public? Or is the payment made to induce the payee to perform what is already his or her official duty? If the payee is being induced to violate his or her official duty, then the payer is cooperating in an immoral act because the payee has entered an agreement to fulfill these duties.
3. Are the nature and purpose of the payment considered ethically unobjectionable in the local culture? If a form of payment is a locally accepted public custom and there is a proportionately serious reason for making the payment, then it would appear to be ethically permissible on utilitarian grounds.

Oligopolies and Public Policy

What should society do in the face of the high degree of market concentration in oligopolistic industries? There are three main points of view:

First, the **Do-Nothing view** claims that the power of oligopolies is not as large as it appears. Though competition within industries has declined, they maintain that competition between industries with substitutable products has replaced it. In addition, there are "countervailing powers" of other large corporate groups, the government, and unions that keep corporations in check. Finally, they argue that bigger is better, especially in the current age of global competition. Economies of scale, produced by high concentration, actually lower prices for consumers.

Second, the **antitrust view** argues that prices and profits in highly concentrated industries are higher than they should be. By breaking up large corporations into smaller units, they claim, higher levels of competition will emerge in those industries. The result will be a decrease in collusion, greater innovation, and lower prices. Clearly, the antitrust view is based on a number of assumptions. J. Fred Weston has summarized the basic propositions on which this traditional view is based:

1. If an industry is not atomistic with many small competitors, there is likely to be administrative discretion over prices.
2. Concentration results in recognized interdependence among companies, with no price competition in concentrated industries.
3. Concentration is due mostly to mergers because the most efficient scale of operation is not more than 3 to 5 percent of the industry. A high degree of concentration is unnecessary.
4. There is a positive correlation between concentration and profitability that gives evidence of monopoly power in concentrated industries—the ability to elevate prices and the persistence of high profits. Entry does not take place to eliminate excessive profits.

5. Concentration is aggravated by product differentiation and advertising. Advertising is correlated with higher profits.
6. There is oligopolistic coordination by signaling through press releases or other means.

The third view is the **Regulation view**, which can be seen as a middle ground between the other two. Those who advocate regulation do not wish to lose the economies of scale offered by large corporations, but they also wish to ensure that large firms do not harm the consumers. Therefore, they suggest setting up regulatory agencies and legislation to control the activities of large corporations. Some even suggest that the government should take over the operation of firms where only public ownership can guarantee that they operate in the public interest.

Whichever view we take, clearly the social benefits of free markets cannot be guaranteed, and the markets themselves cannot be morally justified, unless firms remain competitive.

Ethic & Environment

This chapter on ethics and the environment begins with some rather sobering statistics from the World Watch Institute. This includes population growth, rising temperature, falling water tables, shrinking cropland per person, collapsing fisheries, shrinking forests, and the loss of plant and animal species. Our environment seems to be stressed nearly to the breaking point. The ethical and technological questions that this state of affairs raises are extremely important and complex.

First, there are still serious disagreements about the extent of the environmental damage that industrial technology has produced. Furthermore, there is no precise way of knowing just how much of a threat this environmental damage will have for our future welfare. And whatever the level of damage, we must surely sacrifice some values to halt or slow it.

To explore these issues, this chapter begins with an overview of the technical aspects of environmental resource use. Then it moves to a discussion of the ethical basis of environmental protection. It concludes with a consideration of our obligation to future generations and the prospects for continued economic expansion.

The Dimensions of Pollution and Resource Depletion

Environmental damage inevitably threatens the welfare of human beings as well as plants and animals. Threats to the environment come from two sources, pollution and resource depletion. **Pollution** refers to the undesirable and unintended contamination of the environment by the manufacture or use of commodities. **Resource depletion** refers to the consumption of finite or scarce resources. In a certain sense, pollution is really a type of resource depletion because contamination of air, water, or land diminishes their beneficial qualities.

Air pollution has been with modern society for nearly 200 years; its costs are increasing greatly. It negatively affects agricultural yields, human health, and global temperatures. The result is a large economic impact and a staggering effect on the quality of human life.

Global warming itself poses a difficult and frightening challenge. Global warming greenhouse gases such as: carbon dioxide, nitrous oxide, methane, and chlorofluorocarbons, are gases that absorb and hold heat from the sun, preventing it from escaping back into space, much like a greenhouse absorbs and holds the sun's heat. Most scenarios concerning the effects of global warming predict massive flooding, increase of disease, loss of plant and animal species, and

expansion of deserts at the expense of agricultural land. These effects will have high human and economic costs. However, to halt the increase of greenhouse gasses, we would have to reduce emissions by 60% to 70%, a level that would damage the economies of countries around the world. To halt global warming, experts say that we would need to change our lifestyles and values drastically.

Ozone depletion is also a serious concern. Caused by the release of CFCs into the atmosphere, ozone depletion may lead to several hundred thousand new cases of skin cancer each year and destroy many valuable food crops. Also, ocean plankton, on which the entire ocean's food chain depends, may be severely damaged. Even though CFC production has been nearly halted, we can expect the gasses already released to continue damaging the ozone for the next century.

Burning fossil fuels causes acid rain and global warming. Though not as devastating as global warming, it nevertheless is harming many fish populations and trees, corroding bridges and buildings, and contaminating drinking water. Airborne toxins and air quality in general are also serious concerns for human health.

Airborne Toxics are less catastrophic but highly worrisome air pollution threats; 2.4 billion pounds of airborne toxic substances released annually into the nation's atmosphere, including phosgene, a nerve gas used in warfare, and methyl isocyanate.

LESSON 25**WORLDWATCH FIGURES**

Environmental ethics is the discipline that studies the moral relationship of human beings to, and also the value and moral status of, the environment and its nonhuman contents. This entry covers: (1) the challenge of environmental ethics to the anthropocentrism (i.e., human-centeredness) embedded in traditional western ethical thinking; (2) the early development of the discipline in the 1960s and 1970s; (3) the connection of deep ecology, feminist environmental ethics, and social ecology to politics; (4) the attempt to apply traditional ethical theories, including consequentialism, deontology, and virtue ethics, to support contemporary environmental concerns; and (5) the focus of environmental literature on wilderness, and possible future developments of the discipline.

Population Year**World population reached**

- 1 billion in 1804
- 2 billion in 1927 (123 years later)
- 3 billion in 1960 (33 years later)
- 4 billion in 1974 (14 years later)
- 5 billion in 1987 (13 years later)
- 6 billion in 1999 (12 years later)

World population may reach

- 7 billion in 2012 (13 years later)
- 8 billion in 2026 (14 years later)
- 9 billion in 2043 (17 years later)

The importance of energy and raw materials derives from their dual role of providing the underpinnings for economic activity and human well-being, while acting as the driving force behind many environmental concerns, including climate change, acid rain and pollution. Because energy consumption is a function of economic growth and level of development, energy consumption is distributed unequally in the world. Although their share has been falling, developed market economies, constituting one fifth of the world's population, consume almost 60 per cent of the world's primary energy (figure IV). As a consequence of development and the rapid replacement of traditional energy sources by commercial (mainly fossil) sources, some developing countries have consumption patterns similar to those of developed market economies.

Nevertheless, per capita consumption in developing countries as a group remains far below that of developed market economies. The use of fossil fuels has led to substantial growth in global emissions of carbon dioxide (CO₂) and the build-up of greenhouse effects, contributing to global warming. Since 1751, over 265 billion tons of carbon have been released to the atmosphere, one half of these emissions having been produced since the mid-1970s (Marland and others, 1999).

Annual global emissions of CO₂ from the burning of fossil fuels have quadrupled since 1950 (figure V). The highest per capita CO₂ emissions are in North America, which is followed by Europe where such emissions are less than one half those of North America (ibid.). Continuation of these trends poses serious risks of global warming, inducing a possible rise in sea levels, flooding of low-lying coastal areas, spread of vectorborne diseases and reductions in agricultural yields. The magnitude of future carbon emissions depends on many factors, including global energy demand, the pace of economic development, the introduction of energy-saving technologies and the degree of shift away from fossil fuels. Models suggest that immediate stabilization of atmospheric CO₂ concentrations at present levels can be achieved only if emissions are immediately slashed by at least 50 per cent and further reduced thereafter (United Nations Environment Program, 1999). Because of the inertia of climate systems, even with stabilization of emissions, global warming and the rise of sea levels could continue for many years.

Agriculture, Food and Land Use

The persistence of under nutrition and food insecurity in some areas of the world, and the increasing scarcity and unsustainable utilization of agricultural and other environmental resources, have dominated the global assessment of food and agriculture prospects. World agricultural production has outpaced population growth, and the real price of food has declined. The green revolution that began in the 1960s enabled some developing countries to boost food production dramatically by introducing modern agricultural techniques. Over the period 1961-1998, world food for human consumption, per capita, increased by 24 per cent. A sufficient amount of food is being produced to nourish the world's population adequately (Food and Agriculture Organization of the United Nations, 2000a). Yet, recent estimates show that some 790 million persons were undernourished as of 1995-1997, owing to poverty, political instability, economic inefficiency and social inequity (Food and Agriculture Organization of the United Nations, 1999a). Although the number of undernourished people has decreased by 40 million since 1980, some countries are experiencing serious declines in food availability.

More recently, world agricultural growth has been slowing down. Many attribute this slowdown to the declining growth of population and reduced economic demand for food; others discern signs of production constraints which may ultimately threaten world food security (Food and Agriculture Organization of the United Nations, 2000a; World Resources Institute, 1996; World watch Institute, 2000). While world food production is projected to meet consumption demands for the next two decades, long-term forecasts indicate persistent and possibly worsening food insecurity in many countries, especially in sub-Saharan Africa (United Nations, 1997; Food and Agriculture Organization of the United Nations, 2000a). For most of history, food production has been increased mainly by expanding the area cultivated; but in the past few decades, rising crop yields have been the main factors and this trend is expected to continue.

Constraints on expanding cultivated land include the scarcity of WATER. An adequate and dependable supply of fresh water is essential for health, food production and socio-economic development. Though more than two thirds of the planet is covered with water, less than 0.01 per cent is readily accessible for direct human use (United Nations, 1997b). Moreover, no more of this renewable fresh water is available today than existed at the dawn of human civilization. As a result, the size of a country's population and the speed at which it grows help determine the onset and severity of water scarcity. Although recent declines in population growth have improved the outlook for future water availability, the problems associated with water scarcity will continue to mount as the size of the world's population increases.

Currently, humans are using about half the fresh water that is readily available. Fresh water is distributed unevenly over the globe, and already nearly half a billion people are affected by water stress or serious water scarcity, while many more are experiencing moderate stress. Given current trends, as much as two thirds of world population in 2025 may be subject to moderate-to-high water stress (United Nations, 1997b). Many countries facing water scarcity are low-income countries that have a rapidly growing population and are generally unable to make costly investments in water-saving technologies.

About 300 major river basins and many groundwater aquifers cross national boundaries (United Nations, 1997b). Therefore, the need for cooperative efforts will persist, particularly in areas facing water shortages, and wherever pollution is carried downstream across national boundaries. Estimates indicate that over 1 billion people lack access to safe drinking water and two and a half billion lack adequate sanitation, and these factors contribute to the deaths of more than 5 million people, of whom more than half are children (United Nations, 2000a).

Environmental damage inevitably threatens the welfare of human beings as well as plants and animals. Threats to the environment come from two sources, pollution and resource depletion. Pollution refers to the undesirable and unintended contamination of the environment by the manufacture or use of commodities. Resource depletion refers to the consumption of finite or scarce resources. In a certain sense, pollution is really a type of resource depletion because contamination of air, water, or land diminishes their beneficial qualities.

Air pollution has been with modern society for nearly 200 years; its costs are increasing greatly. It negatively affects agricultural yields, human health, and global temperatures. The result is a large economic impact and a staggering effect on the quality of human life.

Global warming itself poses a difficult and frightening challenge. Global warming greenhouse gases such as: carbon dioxide, nitrous oxide, methane, and chlorofluorocarbons, are gases that absorb and hold heat from the sun, preventing it from escaping back into space, much like a greenhouse absorbs and holds the sun's heat. Most scenarios concerning the effects of global warming predict massive flooding, increase of disease, loss of plant and animal species, and expansion of deserts at the expense of agricultural land. These effects will have high human and economic costs. However, to halt the increase of greenhouse gasses, we would have to reduce emissions by 60% to 70%, a level that would damage the economies of countries around the world. To halt global warming, experts say that we would need to change our lifestyles and values drastically.

LESSON 26**FORESTS AND BIODIVERSITY**

The number of plant and animal species inhabiting the planet is not accurately known. Nearly 2 million species have been identified, but estimates of the number yet to be described range from 10 million to 30 million (United Nations Environment Program, 1995). Ecosystems of all kinds are under pressure worldwide. Coastal and lowland areas, wetlands, native grasslands, and many types of forests and woodlands have been particularly affected or destroyed. While forests decreased by about 5 per cent between 1980 and 1995, the rate of deforestation has been declining slightly (Food and Agriculture Organization of the United Nations, 2000b). Additional threats confront fragile aquatic habitats, including coral reefs and freshwater habitats, which face an array of assaults from dams to land-based pollution to destructive fishing techniques.

Over the past 150 years, deforestation has contributed one third of the atmospheric build-up of CO₂, and it is a significant factor in the loss of species and critical ecosystem services (Intergovernmental Panel on Climate Change, 2000). Since the beginnings of agriculture 10,000 years ago, by some estimates, almost half of the earth's forests have been converted to farms, pastures and other uses, and only one fifth of original forest remains in large, relatively natural ecosystems. Forested areas, including forest plantations as well as natural forests, occupied about one fourth of the world's land area in 1995. Tropical rain forests are important for the quantity and diversity of life they support. They cover only 7 per cent of the earth's land area, but contain at least 50 per cent of terrestrial species (Food and Agriculture Organization of the United Nations, 1999b). The influences of forests and biodiversity are global, reaching far beyond national borders, in both space and time. Therefore, international cooperation is essential in order to integrate environmental issues better into global, regional and national decision-making processes.

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Air Pollution

Air pollution is not new—it has been with us since the industrial revolution introduced the world to the belching factory smokestack. However, the costs of air pollution increased exponentially as industrialization expanded. Today, air pollutants affect vegetation, decreasing agricultural yields and inflicting losses on the timber industry; they deteriorate exposed construction materials through corrosion, discoloration, and rot; they are hazardous to health and life, raising medical costs and lessening the enjoyment of living; and they threaten catastrophic global damage in the form of global warming and destruction of the stratospheric ozone layer.

Global warming

Greenhouse gases—carbon dioxide, nitrous oxide, methane, and chlorofluorocarbons—are gases that absorb and hold heat from the sun, preventing it from escaping back into space, much like a greenhouse absorbs and holds the sun's heat. Greenhouse gases occur naturally in the atmosphere where they have kept the earth's temperature about 33 °C warmer than it would otherwise be, enabling life as we know it to evolve and flourish. However, industrial, agricultural, and other human activities during the last 150 years have released substantially more greenhouse gases into the atmosphere, particularly by the burning of fossil fuels such as oil and coal.

Ozone Depletion

Of equally serious concern is the gradual break-down of ozone gas in the stratosphere above us caused by the release of chlorofluorocarbons (CFCs) into the air. A layer of ozone in the lower stratosphere screens all life on earth from harmful ultraviolet radiation. This ozone layer, however, is destroyed by CFC gases, which have been used in aerosol cans, refrigerators, air conditioners, industrial solvents, and industrial foam blowers. When released into the air, CFC gases rise; in 7 to 10 years, they reach the stratosphere, where they destroy ozone molecules and remain for 75 to 130 years, continuing all the while to break down additional ozone molecules. Even though CFC production has been nearly halted, we can expect the gases already released to continue damaging the ozone for the next century.

Acid Rain

It is a combination of water and air that is poisoned. Acid rain is a threat to the environment that, like global warming, is closely related to the combustion of fossil fuels (oil, coal, and natural gas), which are heavily used by utilities to produce electricity. Burning fossil fuels, particularly coal containing high levels of sulfur, releases large quantities of sulfur oxides and nitrogen oxides into the atmosphere.

Acid rain is an international problem. Acid rain that falls on one country often has its origins in sulfur and nitrogen oxides produced in another country and blown by prevailing winds. Much of Canada and the northeastern part of the United States, for example, are subject to acid rain whose origins lie in industrial areas around the Great Lakes, and the Netherlands have suffered from acid rain that has its origins in Germany.

LESSON 27**ETHICS AND THE ENVIRONMENT*****Airborne Toxic***

Airborne Toxics are less catastrophic but highly worrisome air pollution threats; 2.4 billion pounds of airborne toxic substances released annually into the nation's atmosphere, including phosgene, a nerve gas used in warfare, and methyl iso-cyanate.

Air Quality

The most prevalent forms of air pollution, however, are the gases and particulars spewed out by autos and industrial processes, which affect the quality of the air we breathe. More recent long-range studies have indicated that the deterioration of lung function in human beings caused by their chronic exposure to air pollutants, whether it be auto smog or industrial smokestack emissions, is long lasting and often irreversible.

Water Pollution

The contamination of water sources is an old problem—one that has been with us since civilization began using water to dispose of its wastes and sewage. Water pollutants today, however, are much more diverse, consisting not only of organic wastes but also dissolved salts, metals, radioactive materials, as well as suspended materials such as bacteria, viruses, and sediments. These can impair or destroy life, threaten human health, and foul the water.

About 40% of the world's surface water is too polluted to fish or swim in. Pollution comes from agriculture, mines, oil wells, human wastes, manufacturing, detergents, and the food industry, among other sources. Today, almost 1 billion people lack access to safe water and the world's per capita supplies of water are shrinking.

Heat is also a water pollutant. Water is used as a coolant in various industrial manufacturing processes and by the electrical power industry, a major heat polluter. Transferring heat into water raises the water's thermal energy to levels that decrease its ability to hold the dissolved oxygen that aquatic organisms require. In addition, the alternating rise and fall of temperatures prevents the water from being populated by fish because most water organisms are adapted only to stable water temperatures.

Oil spills are a form of water pollution whose occurrence became more frequent as our dependence on oil increased. Since 1973, the number of oil pollution incidents reported has remained fairly constant, although the volume of oil spilled has been highly variable. Oil spills result from offshore drilling, discharges of sludge from oil tankers, and oil tanker accidents.

Underground water supplies are also becoming more polluted. According to a recent government report, "incidents of ground-water contamination—by inorganic chemicals, inorganic chemicals, radionuclides [radioactive waste], or microorganisms—are being reported with increasing frequency and have now occurred...in every state in the nation.

Land Pollution

Toxic substances

Hazardous or toxic substances are those that can cause an increase in mortality rates or irreversible or incapacitating illness or those that have other seriously adverse health or environmental effects. Toxic substances released on land include acidic chemicals, inorganic metals, flammable solvents, pesticides, herbicides, phenols, explosives, and so on.

The pollution of the land by toxic substances also causes increased mortality and illness. Hazardous or toxic substances are those that can cause an increase in mortality rates or irreversible or incapacitating illness, or those that have other seriously adverse health or environmental effects. Over 58,000 different chemical compounds are currently being used in the U.S., and the number is increasing each year. How many of these chemicals affect humans, no one really knows.

Solid Wastes

Americans today produce more residential garbage than do the citizens of any other country in the world. The sheer volume of solid waste is staggering: each U.S. resident produces about seven pounds of garbage per day. Though this quantity is massive, it is not even close to the quantity of industrial waste.

Each year people living in America's cities produce more than 160 million tons of municipal solid waste—enough to fill a 145,000-mile-long convoy of 10-ton garbage trucks, more than half the distance to the moon, enough to fill the Astrodome in Houston more than twice daily for a year. Each person reading this book produces, on average, almost 4 pounds of garbage a day. Only about 10 percent of residential wastes are recovered through recycling—a disappointingly low proportion that is due to the lack of financial backing for recycling operations, the small size of markets for recycled products, and toxic chemicals present in recyclable garbage.

Nuclear Wastes

Light-water nuclear reactors contain radioactive materials, including known carcinogens such as strontium 90, cesium 137, barium 140, and iodine 131. Extremely high levels of radiation from these elements can kill a person; lower dosage can cause thyroid, lung, or bone cancer as well as genetic damage that will be transmitted to future generations.

Each nuclear reactor produces 265 pounds of plutonium waste a year, a substance so toxic that only twenty pounds would be sufficient to cause lung cancer in everyone on Earth. So far, no one really knows how to dispose of this and similar wastes safely and securely.

Depletion of Species and Habitats

It is well known that human beings have depleted dozens of plant and animal species to the point of extinction. Since 1600 A.D., at least 63 major identifiable species of mammals and 88 major identifiable species of birds are known to have become extinct. Several hundred more species, such as whales and salmon, today find themselves threatened by commercial predators.

The loss of forest habitats combined with the effects of pollution is thought to have led to the extinction of a phenomenal number of species. As recent comprehensive study of 18,000 species and subspecies around the world found that 11,046 of them were in danger of disappearing forever. It is estimated between half a million to two million species—15 to 20 percent of all species on earth—were rendered extinct by 2000.

Depletion of Fossil Fuels

Until the early 1980s, fossil fuels were being depleted at an exponentially rising rate. That is, the rate at which they were being used had doubled with the passage of a regular fixed time period. As many researchers argue, however, our consumption of fossil fuels could not continue rising at historical exponential rates.

Depletion of Minerals

The depletion of mineral reserves, like the depletion of fossil fuels, can also be calculated either on the basis of an exponential growth model or on the basis of a peaked growth model. If earlier exponentially rising rates of depletion continued, then aluminum would be scheduled for exhaustion in the year 2003, iron in 2025, manganese in 2018 molybdenum in 2006, nickel in 2025, tungsten in 2000, zinc in 1990, and copper and lead in 1993.

Toxic Chemicals in Teflon

New information is coming to light about the toxic effects of a chemical used in making non-stick coatings such as Teflon. The chemical goes by the name PFOA (short for perfluorooctanoic acid), or C8, and is also used in the manufacture of food wrap and water- and stain-resistant fabric coatings.

Studies presented at a March 2005 national toxicology meeting show that PFOA exposure during pregnancy causes miscarriage and low birth weight in mice; many of the exposed offspring went on to experience delayed puberty. The U.S. Environmental Protection Agency (EPA), which conducted these studies, is evaluating the possible human health risks of PFOA. Animal studies have shown that PFOA, in addition to harming development, is also linked to hypothyroidism and cancer.

Water pollution is likewise a serious problem. About 40% of the world's surface water is too polluted to fish or swim in. Pollution comes from agriculture, mines, oil wells, human wastes, manufacturing, detergents, and the food industry, among other sources. Today, almost 1 billion people lack access to safe water and the world's per capita supplies of water are shrinking.

The pollution of the land by toxic substances also causes increased mortality and illness. Hazardous or toxic substances are those that can cause an increase in mortality rates or irreversible or incapacitating illness, or those that have other seriously adverse health or environmental effects. Over 58,000 different chemical compounds are currently being used in the U.S., and the number is increasing each year. How many of these chemicals affect humans, no one really knows. The sheer volume of solid waste is staggering: each U.S. resident produces about seven pounds of garbage per day. Though this quantity is massive, it is not even close to the quantity of industrial waste. The EPA estimates that about 15 million tons of toxic waste is produced in the U.S. each year. This does not include nuclear wastes, which, because they are so concentrated and persistent, present special problems for storage and disposal. Each nuclear reactor produces 265 pounds of plutonium waste a year, a substance so toxic that only

twenty pounds would be sufficient to cause lung cancer in everyone on Earth. So far, no one really knows how to dispose of this and similar wastes safely and securely.

As if pollution was not serious enough, we also must consider the depletion of species, habitats, and natural resources. The world loses about 1% of its rain forests each year, and between 15% and 20% of species had become extinct by 2000. Our consumption of fossil fuels has recently been rising at exponential rates, but this cannot continue much longer because we are coming close to the depletion point of fossil fuels. Minerals are also being depleted, so we can expect them gradually to become more scarce and expensive. This scarcity will have a serious impact on the world economy.

Greenness

- Being Green' as a slogan:
- Areas of Concern:
 - Preservation of environment.
 - Avoidance of pollution.
 - Conservation of energy.
 - Depletion of raw material.
 - Animal welfare and species preservation.
 - Noise pollution.
 - Prohibition on smoking at work place.

Conceptualization of Greenness

Holism: a conception of nature wherein humans and nature together form a moral community. .i.e. to see the earth as a whole rather than to take decisions which only benefit on single part, such as one's personal profit at the expense of environmental damage, or human well being at the expense of animal and plant life.

Materialism: earth is good: it is worth preserving, and it is crucially important that it be preserved before irretrievable damage is done.

LESSON 28**ETHICS AND THE ENVIRONMENT****Ethics of Pollution Control**

Businesses have been ignoring their impact on the natural environment for centuries, largely because the economic costs and harmful effects of this impact have been unclear. Businesses have treated air and water as free goods that no one owns. Since the carrying capacity of both is so large, each individual firm sees its own contribution to pollution as negligible. Combined, however, the effects are enormous. The harm comes not only from the direct activity of businesses.

Of course, pollution problems are not rooted only in business activities. Pollution also results from the use that consumers make of products and human waste products. A primary source of air pollution, for example, is automobile use, and a primary source of water pollution is sewage. Every human being pollutes, pollution problems have increased as our population has multiplied. The world's population grew from 1 billion in 1850 to 2 billion in 1930 to 5.7 billion in 1995; it is projected to grow to between 10 and 12 billion by 2040. This population explosion has put severe strains on the air and water resources into which we dump our share of pollutants. Moreover, these strains have been aggravated by our tendency to concentrate our populations in urban centers. All over the world urban areas are growing rapidly, and the high population densities that urbanization has created multiply the pollution burdens placed on air and water resources.

The problems of pollution, then, have a variety of origins, and their treatment requires a similarly variegated set of solutions. Our focus in what follows, however, concentrates on a single range of problems: *the ethical issues raised by pollution from commercial and industrial enterprises.*

Ecological Ethics

The problem of pollution (and environmental issues in general) is seen by some researchers as a problem that can best be framed in terms of our duty to recognize and preserve the ecological systems within which we live. And ecological system is an interrelated and interdependent set of organisms and environments, such as a lake—in which the fish depend on small aquatic organisms, which in turn live off decaying plant and fish waste products. Because the various parts of an ecological system are interrelated, the activities of one of its parts will affect all other parts. Because the various parts are interdependent, the survival of each part depends on the survival of the other parts. Business firms are parts of a larger ecological system, “*spaceship earth.*”

Business firms depend on the natural environment for their energy, material resources, and waste disposal, and that environment in turn is affected by the commercial activities of business firms. For example, the activities of 18th-century European manufacturers of beaver hats led to the wholesale destruction of beavers in United States, which in turn led to the drying up of the innumerable swamp lands that had been created by beaver dams. Unless business recognize the interrelationships and interdependencies of the ecological systems within which they operate and unless they ensure that their activities will not seriously injure these systems, we cannot hope to deal with the problem of pollution.

Because our environment is so complex and its parts are so interwoven, many theorists believe that our duty to protect the environment extends beyond the welfare of humans to other nonhuman parts of the system. This idea, called ecological ethics or deep ecology, maintains that the environment deserves to be preserved for its own sake, regardless of whether or not this directly benefits humanity. Because the various parts of an ecological system are interrelated, the activities of one of its parts will affect all the other parts. Because the various parts are interdependent, the survival of each part depends on the survival of the other parts. Business firms (and all other social institutions) are parts of a larger ecological system, "spaceship earth."

Several supporters of this approach have formulated their views in a platform consisting of the following statements:

- i. The well-being and flourishing of human and nonhuman life on earth have value in themselves. These values are independent of the usefulness of the nonhuman world for human purposes.
- ii. Richness and diversity of life forms contribute to the realization of these values and are also values in themselves.
- iii. Humans have no right to reduce this richness and diversity except to satisfy vital needs.
- iv. The flourishing of human life and cultures is compatible with a substantial decrease of the human population. The flourishing of nonhuman life requires such a decrease.
- v. Present human interference with the nonhuman world is excessive, and the situation is rapidly worsening.
- vi. Policies must therefore be changed. The changes in policies affect basic economic, technological, and ideological structures. The resulting state of affairs will be deeply different from the present.
- vii. The ideological change is mainly that of appreciating life quality, rather than adhering to an increasingly higher standard of living.
- viii. Those who subscribe to the foregoing points have an obligation directly or indirectly to participate in the attempt to implement the necessary changes.

An ecological ethic, therefore, claims that the welfare of at least some nonhumans is intrinsically valuable and deserving of respect and protection. Utilitarian and rights arguments both support such a view. Under either system, for instance, it would be wrong to raise animals for food in painful conditions.

There are several varieties of ecological ethics, some more radical and far-reaching than others, perhaps the most popular version claims that, in addition to human beings, other animals have intrinsic value and are deserving of our respect and protection. Some utilitarian have claimed, for example, that pain is an evil where it is inflicted on human or on member of other animal species. The pain of an animal must be considered as equal to the comparable pain of a human, and it is a form of *specist* prejudice to think that thy duty to avoid inflicting pain on member of other species is not equal to our duty to avoid inflicting comparable pain on members of our own species.

Certain non-utilitarians have reached similar conclusions by a different route. They have claimed that the life of every animal "itself had value" apart from the interests of human beings. Because of the intrinsic value of its life, each animal has certain moral rights, in

particular the right to be treated with respect. Humans have a duty to respect this right, although in some cases a human's right might override an animal's right.

Both utilitarian and the rights arguments in support of humans' duties toward animals imply that it is wrong to raise animals for food in the crowded and painful circumstances in which agricultural business enterprises currently raise cows, pigs, and chickens. They also imply that it is wrong to use animals in painful rest procedures as they are currently used in some business (e.g., to test the toxicity of cosmetics).

Broader versions of ecological ethics would extend our duties beyond the animal world to include plants. Thus, some ethicists have claimed that it is arbitrary and hedonistic to confine our duties to creatures that can feel pain. Instead, they urge, we should acknowledge that all living things including plants have "an interest in remaining alive" and that consequently they deserve moral consideration for their own sakes.

Though some of the views of deep ecology are unusual and controversial, two traditional views of ethics can also help us to develop an environmental ethic: utilitarianism and concern for human rights.

Environmental Rights and Absolute Bans

William T. Blackstone has argued that the possession of a livable environment is not merely a desirable state of affairs, but something to which each human being has a right. That is, a livable environment is not merely something that we would all like to have: it is something that others have a duty to allow us to have. They have this duty, Blackstone argued, because we each have a right to a livable environment, and our right imposes on others the correlative duty not interfering in our exercise of that right. This is a right, moreover, that should be incorporated into our legal system.

Why do human beings have this right? According to Blackstone, a person has a moral right to a thing when possession of that thing is "essential in permitting him to live a human life" (i.e., in permitting him to fulfill his capacities as a rational and free being). At this time in our history, it has become clear that a livable environment is essential to the fulfillment of our human capacities. Consequently, human beings have a moral right to a decent environment, and it should become a legal right.

Moreover, Blackstone adds, this moral and legal right should override people's legal property rights. Our great and increasing ability to manipulate the environment has revealed that, unless we limit the legal freedom to engage in practices that destroy the environment, we shall lose the very possibility of human life and the possibility of exercising other rights, such as the right to liberty and equality.

To a larger extent, something like Blackstone's concept of *environmental rights* is recognized in federal law, section 101(b) of the National Environmental Policy Act of 1969.

The main difficulty with Blackstone's view, however, is that it fails to provide any nuanced guidance on several pressing environmental choices. This lack of nuance in the absolute rights approach is especially problematic when the costs of removing certain amounts of pollution are high in comparison to the benefits that will be attained.

Utilitarianism and Partial Controls

Utilitarianism can answer some of the difficulties with Blackstone's theory. Utilitarians see environmental problems as market defects, arguing that pollution should be avoided because it harms society's welfare. When markets do not take all costs into account, more of a commodity will be produced than society would demand if it could measure what it is actually paying for the commodity. In addition, producers ignore these costs and do not try to minimize them. Since goods are no longer efficiently distributed to consumers, pollution violates the utilitarian principles that underlie the market system.

Private Costs and Social Costs

Economists often distinguish between what it cost a private manufacturer to make a product and what the manufacture of that product costs society as a whole. Suppose, for example, that an electric firm consumes a certain amount of fuel, labor, and equipment to produce one kilowatt of electricity. The cost of these resources is its private cost: the price it must pay out of its own pocket to manufacture one kilowatt of electricity. However, producing the kilowatt of electricity may also involve other external costs for which the firm does not pay. When the firm burns fuel, for example, it may generate smoke and soot that settles on surrounding neighbors, who have to bear the costs of cleaning up the grime and paying for any medical problems the smoke creates. From the viewpoint of society as a whole, then, the costs of producing the kilowatt of electricity include not only the internal costs of clean-up and medical care that the neighbors' pay. This sum of costs (the private internal costs plus the neighbors' external costs) is the social costs of producing the kilowatt of electricity: the total price society must pay to manufacture one kilowatt of electricity. Of course, private costs and social costs do not always diverge as in this example: sometimes the two coincide. If a producer pays for all the costs involved in manufacturing a product, for example, or if manufacturing a product imposes no external costs, then the producer's costs and the total social costs are the same.

LESSON 29**THE ETHICS OF POLLUTION CONTROL****Remedies: The duties of the Firm**

The remedy for external costs, according to utilitarians, is to internalize them to ensure that the producer pays all of the real costs of production and uses these costs to determine the price of the commodity. To internalize the costs of pollution, a firm may be required to pay all those harmed by pollution. A problem with this way of internalizing the costs of pollution, however, is that when several polluters are involved, it is not always clear just who is being harmed and by whom.

A second remedy is for the polluter to stop pollution at its source by installing pollution-control devices. In this way, the external costs of polluting the environment are translated into the internal costs the firm pays to install pollution controls. Once the costs are internalized in this way, market mechanisms again provide cost cutting incentives and ensure that prices reflect the true costs of producing the commodity. In addition, the installation of pollution-control devices serves to eliminate the long-range and potentially disastrous worldwide effects of pollution.

Justice

This way of dealing with pollution (i.e., by internalizing costs) is consistent with the requirements of distributive justice. Since pollution's external costs are largely borne by the poor, pollution produces a net flow of benefits away from the poor and towards the rich. Internalizing these costs can reverse this flow. However, if a firm makes basic goods, such as food, then internalizing costs may place a heavier burden on poorer people.

Internalizing external costs is also consistent with retributive and compensatory justice, because those who are responsible for pollution bear the burden of rectifying it and compensating those who have been harmed. Taken together, these requirements imply that:

1. The costs of pollution control should be borne by those who cause pollution and who have benefited from pollution activities, whereas:
2. The benefits of pollution control should flow to those who have had to bear the external costs of pollution. Internalizing external costs seems to meet these two requirements:
 - a) The costs of pollution control are borne by stockholders and customers, both of whom benefit from the polluting activities of the firm; and
 - b) The benefits of pollution control flow to those neighbors who once had to put up with the firm's pollution.

LESSON 30**Costs and Benefits****Environmental Injustice**

If a firm pollutes, its stockholders benefit because their firm does not have to absorb the external costs of pollution; this leaves them with greater profits, and those customers who purchase the firm's product also benefit because the firm does not charge them for all the costs involved in making the product. Therefore, the beneficiaries of pollution tend to be those who can afford to buy a firm's stock and its products. However, the external costs of pollution are borne largely by the poor—a phenomenon some have termed *environmental injustice*.

Cost and Benefits

The problems involved in getting accurate measurements of the benefits and costs of pollution control are also illustrated by the difficulties businesses have encountered in trying to construct a **social audit** (a report of the social costs and social benefits of the firm's activities). This can be difficult, however. How do we measure the costs and benefits of pollution control when they involve damages to human life or health? Measurement itself is also difficult when the effects of pollution are uncertain and therefore hard to predict. In fact, getting accurate pollution measurements is sometimes nearly impossible, and the problem only is multiplied when there are a number of polluters in a single area. Measuring benefits is likewise difficult, which poses significant technical problems for utilitarian approaches to pollution.

Even where measurement is not a problem, another problem remains for the utilitarian approach. Is it morally permissible to impose costs on unwilling or unknowing citizens? Can some unilaterally impose costs on others without their consent? Even getting consent is tricky, because many pollution problems involve information and risks that are extremely technical and difficult to understand. It is perhaps impossible in principle to get informed consent from a segment of the public on some complicated issues.

Because of these problems, some contend that utilitarianism cannot lead our pollution control policy. Perhaps absolute bans on pollution are more adequate. Some writers even suggest that when risk cannot be reliably estimated, it is best to steer clear of such projects. Others maintain that we should identify those who will bear the risks and take steps to protect them.

It holds that until those patterns of hierarchy and domination are changed, we will be unable to deal with environmental crises. In a system of hierarchy, one group holds power over another and members of the superior group are able to dominate those of the inferior group and get them to serve their. Many thinkers have argued that the environmental crises we face are rooted in the social systems of hierarchy and domination that characterize our society. This view, now referred to as social ecology, ends.

Until these systems (such as racism, sexism, and social classes) are changed, we will be unable to deal adequately with the environment. Eco-feminists, a related group of thinkers, see the key form of hierarchy connected to the destruction of the environment as the domination of women by men. They believe that there are important connections between the domination of women and the domination of nature—patterns of thinking, which justify and perpetuate the subordination. This logic of domination sets up dualisms (artificial and natural, male and

female) where one of the pair is seen as stronger and more important. To solve our ecological problems, we must first change these destructive modes of thinking.

According to the ethics of caring, the destruction of nature that has accompanied male domination must be replaced with caring for and nurturing our relationships with nature and other living things. Nature must be seen as an "other" that must be cared for, not tamed or dominated. Thought-provoking as these approaches are, they are still too new and undeveloped to give us specific direction.

Thomas Klein's View

Thomas Klein summarized the procedure for cost-benefit analysis as follows:

1. Identify costs and benefits of the proposed program and the person or sectors incurring or receiving them. Trace transfers.
2. Evaluate the costs and benefits in terms of their value to beneficiaries and donors. The standard of measure is the value of each marginal unit to demanders and suppliers ideally captured in competitive prices. Useful refinements involve:
 - a) Incorporating time values through the use of discount rate.
 - b) Recognizing risk by factoring possible outcomes according to probabilities and, where dependent, probability trees.
3. Add up costs and benefits to determine the net social benefit of a project or program.

Social Audit

A social audit is a way of measuring, understanding, reporting and ultimately improving an organization's social and ethical performance. A social audit helps to narrow gaps between vision/goal and reality, between efficiency and effectiveness. It is a technique to understand, measure, verify, report on and to improve the social performance of the organization.

Social auditing creates an impact upon governance. It values the voice of stakeholders, including marginalized/poor groups whose voices are rarely heard. Social auditing is taken up for the purpose of enhancing local governance, particularly for strengthening accountability and transparency in local bodies. The key difference between development and social audit is that a social audit focuses on the neglected issue of social impacts, while a development audit has a broader focus including environment and economic issues, such as the efficiency of a project or program.

The problems involved in getting accurate measurements of the benefits of pollution control are also illustrated by the difficulties businesses have encountered in trying to construct a social audit (a report of the social costs and social benefits of the firm's activities). Those who advocate that a corporation should measure and report the social impacts of its activities have been forces to "recognize that the goal of measuring all impacts of all actions on all conditions and all publics, using standard techniques and units, considerably exceeds current capabilities and that compromises and modifications are inevitable. As a result of this inability to measure

benefits, so called *social audits* are usually nothing more than qualitative descriptions of what a firm is doing. Without definite quantitative measurement of the benefits deriving from its attempts to reduce pollution, a firm has no way of knowing whether its efforts are cost effective from a social point of view.

Measurement of Costs and Benefits

Measurement is also difficult when the effects of pollution are uncertain and, consequently, difficult to predict. In fact, perhaps the major problem involved in obtaining the measurements needed to apply cost-benefit analysis to pollution problems is the problem of estimating and evaluating risk.

Many new technologies carry with them unknown degrees of risk to present and future generations. The use of nuclear technology, for example, involves some probability of damages to health and loss of life for present and future generations. For example, we cannot use trial and error (a usual method for learning what the probabilities of an event are) to learn the risk of a nuclear accident.

These failures of measurement pose significant technical problems for utilitarian approaches to pollution. In addition, the use of utilitarian cost-benefit analysis sometimes based on assumptions those are inconsistent with people's moral rights. Advocates of utilitarian cost-benefit analysis sometimes assume that if the benefits of a certain technology or manufacturing process clearly outweigh its costs, then it is morally permissible to impose the process on unwilling citizens,

Conclusion

In view of all the problems raised by utilitarian approaches to pollution, it may be that alternative approaches are more adequate. In particular, it may be that the absolute bans on pollution that are still incorporated in many federal laws, and the rights theory on which those absolute band rest, are, for the present at least, a more adequate approach to pollution issues than utilitarianism.

Finally, others suggest that when risks cannot be measured, the only rational procedure is to first assume that the worst will happen and then choose the option that will leave us best off when the worst happens (this is the so-called *maximin rule* of probability theory). It is unclear which, if any, of these alternative approaches should be adopted when utilitarian cost-benefit analysis fails.

LESSON 31**ETHICS OF CARE****Social Ecology**

Many thinkers have argued that the environmental crises we face are rooted in the social systems of hierarchy and domination that characterize our society. This view, now referred to as *social ecology*, holds that, until those patterns of hierarchy and domination are changed, we will be unable to deal with environmental crises. In a system of hierarchy, one group holds power over another and members of the superior group are able to dominate those of the inferior group and get them to serve their ends. Example of such systems of hierarchy include social practices such as racism, sexism, and social classes, as well as social institutions such as property rights, capitalism, bureaucracies, and the mechanisms of government. Such systems of hierarchy and domination go hand in hand with the widespread environmental destruction taking place all around us and with economic ways of managing the environment.

What literally defines social ecology as "social" is its recognition of the often overlooked fact that nearly all our present ecological problems arise from deep-seated social problems. Conversely, present ecological problems cannot be clearly understood, much less resolved, without resolutely dealing with problems within society. To make this point more concrete: economic, ethnic, cultural, and gender conflicts, among many others, lie at the core of the most serious ecological dislocations we face today--apart, to be sure, from those that are produced by natural catastrophes.

If this approach seems a bit too "sociological" for those environmentalists who identify ecological problems with the preservation of wildlife, wilderness, or more broadly, with "Gaia" and planetary "Oneness," it might be sobering to consider certain recent facts. The massive oil spill by an Exxon tanker at Prince William Sound, the extensive deforestation of redwood trees by the Maxxam Corporation, and the proposed James Bay hydroelectric project that would flood vast areas of northern Quebec's forests, to cite only a few problems, should remind us that the real battleground on which the ecological future of the planet will be decided is clearly a social one.

Indeed, to separate ecological problems from social problems--or even to play down or give token recognition to this crucial relationship-- would be to grossly misconstrue the sources of the growing environmental crisis. The way human beings deal with each other as social beings is crucial to addressing the ecological crisis. Unless we clearly recognize this, we will surely fail to see that the hierarchical mentality and class relationships that so thoroughly permeate society give rise to the very idea of dominating the natural world.

Unless we realize that the present market society, structured around the brutally competitive imperative of "grow or die," is a thoroughly impersonal, self-operating mechanism, we will falsely tend to blame technology as such or population growth as such for environmental problems. We will ignore their root causes, such as trade for profit, industrial expansion, and the identification of "progress" with corporate self-interest. In short, we will tend to focus on the symptoms of a grim social pathology rather than on the pathology itself, and our efforts will be directed toward limited goals whose attainment is more cosmetic than curative.

While some have questioned whether social ecology has dealt adequately with issues of spirituality, it was, in fact, among the earliest of contemporary ecologies to call for a sweeping change in existing spiritual values. Such a change would mean a far-reaching transformation of our prevailing mentality of domination into one of complementarity, in which we would see our role in the natural world as creative, supportive, and deeply appreciative of the needs of nonhuman life. In social ecology, a truly natural spirituality centers on the ability of an awakened humanity to function as moral agents in diminishing needless suffering, engaging in ecological restoration, and fostering an aesthetic appreciation of natural evolution in all its fecundity and diversity.

Thus social ecology has never eschewed the need for a radically new spirituality or mentality in its call for a collective effort to change society. Indeed, as early as 1965, the first public statement to advance the ideas of social ecology concluded with the injunction: "The cast of mind that today organizes differences among human and other life-forms along hierarchical lines of 'supremacy' or 'inferiority' will give way to an outlook that deals with diversity in an ecological manner--that is, according to an ethics of complementarity."¹ In such an ethics, human beings would complement nonhuman beings with their own capacities to produce a richer, creative, and developmental whole-not as a "dominant" species but as a supportive one. Although this idea, expressed at times as an appeal for the "respiritization of the natural world," recurs throughout the literature of social ecology, it should not be mistaken for a theology that raises a deity above the natural world or that seeks to discover one within it. The spirituality advanced by social ecology is definitively naturalistic (as one would expect, given its relation to ecology itself, which stems from the biological sciences), rather than supernaturalistic or pantheistic.

To prioritize any form of spirituality over the social factors that actually erode all forms of spirituality, raises serious questions about one's ability to come to grips with reality. At a time when a blind social mechanism, the market, is turning soil into sand, covering fertile land with concrete, poisoning air and water, and producing sweeping climatic and atmospheric changes, we cannot ignore the impact that a hierarchical and class society has on the natural world. We must earnestly deal with the fact that economic growth, gender oppressions, and ethnic domination-not to speak of corporate, state, and bureaucratic interests-are much more capable of shaping the future of the natural world than are privatistic forms of spiritual self-regeneration. These forms of domination must be confronted by collective action and major social movements that challenge the social sources of the ecological crisis, not simply by personalistic forms of consumption and investment that often go under the rubric of "green capitalism." We live in a highly cooperative society that is only too eager to find new areas of commercial aggrandizement and to add ecological verbiage to its advertising and customer relations.

Until these systems (such as racism, sexism, and social classes) are changed, we will be unable to deal adequately with the environment. Eco-feminists, a related group of thinkers, sees the key form of hierarchy connected to the destruction of the environment as the domination of women by men. They believe that there are important connections between the domination of women and the domination of nature-patterns of thinking, which justify and perpetuate the subordination. This logic of domination sets up dualisms (artificial and natural, male and female) where one of the pair is seen as stronger and more important. To solve our ecological problems, we must first change these destructive modes of thinking.

According to the ethics of caring, the destruction of nature that has accompanied male domination must be replaced with caring for and nurturing our relationships with nature and other living things. Nature must be seen as an "other" that must be cared for, not tamed or dominated. Thought-provoking as these approaches are, they are still too new and undeveloped to give us specific direction.

The Ethics of Conserving Depletable Resources

Conservation refers to the saving or rationing of natural resources for later use. Conservation, therefore, looks primarily to the future: to the need to limit consumption now to have resources available for tomorrow.

In fact, even pollution control can be seen as a form of conservation, since pollution consumes air and water. However, there are basic differences between the problems of pollution and the problems of resource depletion that makes the term *conservation* more applicable to the latter problems than to the former. With some notable exception (such as nuclear wastes), most forms of pollution affect present generations, and their control will benefit present generations. The depletion of most scarce resources, however, lies far in the depletion of resources is primarily by posterity and not by present generations. Consequently, our concern over the depletion of resources is primarily a concern for future generations and for the benefits that will be available to them.

Rights of future Generations

It might appear that we have an obligation to conserve resources for future generations because they have an equal right to the limited resources of this planet. If future generations have an equal right to the world's resources, then by depleting these resources, we are taking what is actually theirs and violating their and violating their equal right to these resources.

Do you think that it is a mistake to think that future generations have rights?

If future generations did have rights, we might be led to the absurd conclusion that we must sacrifice our entire civilization?

Can we say that someone has a certain right only if we know that he or she has a certain interest which that right protects?

Generally, conservation refers to the saving of finite, depletable resources. The only source of such resources is what has been left over from previous generations.

As we deplete the world's resources, there is unavoidably a smaller amount of them left for future generations. If future generations have an equal right to the world's resources, then by depleting them we are stealing what is actually theirs.

A number of writers have claimed that it is a mistake to think that future generations have rights. They advance three main reasons to show this:

First, future generations cannot intelligently be said to have rights because they do not now exist and may never exist. I may be able to think about future people, but I cannot hit them, punish them, injure them, or treat them wrongly. Future people exist only in the imagination,

and imaginary entities cannot be acted on in any way whatsoever except in the imagination. Similarly, we cannot say that future people possess things now when they do not yet exist to possess or have them. Because there is a possibility that future generations may never exist, they cannot "possess" rights.

Second, if future generations did have rights, we might be led to the absurd conclusion that we must sacrifice our entire civilization for their sake. Suppose that each of the infinite number of future generations had an equal right to the world's supply of oil. Then we would have to divide the oil equally among them all, and our share would be a few quarts at the most. We would then be put in the absurd position of having to shut down our entire Western civilization so that each future person might be able to possess a few quarts of oil.

Third, we can say that someone has a certain right only if we know that he or she has a certain interest that that right protects. The purpose of a right, after all, is to protect the interests of the right holder, but we are virtually ignorant of what interests future generations will have. What wants will they have?

John Rawls, on the other hand, argues that though it is unjust to impose heavy burdens on present generations for the sake of the future, it is also unjust for present generations to leave nothing for the future. We should ask ourselves what we can reasonably expect they might want and, putting ourselves in their place, leave what we would like them to have left for us. Justice, in short, requires that we hand over to our children a world in no worse condition than the one we received ourselves.

LESSON 32**ETHICS OF CARE-UTILITY AND CONSERVATION****Justice to Future Generations**

John Rawls, on the other hand, argues that though it is unjust to impose heavy burdens on present generations for the sake of the future, it is also unjust for present generations to leave nothing for the future. We should ask ourselves what we can reasonably expect they might want and, putting ourselves in their place, leave what we would like them to have left for us. Justice, in short, requires that we hand over to our children a world in no worse condition than the one we received ourselves.

In general, Rawls claims that this method of ascertaining what earlier generations in justice owe to later generations will lead to the conclusion that what justice demands of us is merely that we hand to the next generation a situation no worse than we received from the generation before us. Justice, then, requires that we hand over to our immediate successors a world that is not in worse condition than the one we received from our ancestors.

Rawls' conclusion is also supported by some utilitarian reasoning. Robin Attfield, a utilitarian, for example, argued that utilitarianism favors what he called *Lockean principle* that "each should leave enough and as good for others." Attfield interpreted this to mean that each generation must leave for future generations a world whose output capacity is no less than that generation received from previous generations. That is, each generation must leave the world no less productive than it found. Attfield suggested that leaving the world with the same output capacity does not necessarily mean leaving the world with the same resources. Instead, maintaining the same level of output can be achieved either through conservation, recycling, or technological innovation.

Other utilitarians have reached slightly different but otherwise similar conclusions by relying on other basic utilitarian principles. Utilitarians have argued that each generation has a duty to maximize the future beneficial consequences of its actions and to minimize their future consequences should be "discounted" in proportion to their uncertainty and to their distance in the future. Together these utilitarian principles imply that we at least have an obligation to avoid those practices whose harmful consequences for the generation that immediately follows us are certain to outweigh the beneficial consequences our own generation derives from them. Our responsibility for more distant future see what effects our present actions will have on them because we do not know what needs or technology they will have.

We cannot rely on market mechanisms to ensure adequate conservation for future generations, however. The needs of future generations are so heavily discounted by markets that they hardly affect prices at all.

Six reasons conspire to bring this about:

1. **Multiple access** - If several separate extractors can use a resource, then the shared access will invariably lead the resource to be depleted too fast. As with several people with straws in one milkshake, each owner's private interest is in taking it out as fast as possible.

2. **Time preferences and myopia** - Firms often have short time horizons under the stress of commercial competition. This may under-represent the legitimate interests of future generations.
3. **Inadequate forecasting** - Present users may simply fail to foresee future developments. This may reflect a lack of sufficient research interest and ability to discern future changes.
4. **Special influences** - Specific taxes and other incentive devices may encourage overly rapid use of resources.
5. **External effects** - There are important externalities in the uses of many resources, so that private users ignore major degrees of pollution and other external costs.
6. **Distribution** - Finally, private market decisions are based on the existing pattern of distribution of wealth and income. As resource users vote with their dollars, market demand will more strongly reflect the interests and preferences of the wealthy.

Many observers believe that conservation measures are falling short of what is needed. Some even maintain that future generations will have a quality of life much lower than our own. Industrialized nations will need to convert from growth-oriented technologies to more labor-intensive ones. In fact, our entire economic system may have to abandon the goal of steadily increasing production: continual economic growth promises to degrade the quality of life for future generations. This is because demand for depletable resources will continue to rise until the resources simply run out. Then, living standards will decline sharply.

One group, the Club of Rome, predicted that a catastrophic collapse of goods and services will result at some point in the middle of this century; by 2100 the world's population may even drop below 1900 levels. More recently, the World Watch Institute has concluded that even if the Club of Rome's timetables were off, their conclusions were substantially correct.

As our supplies of energy diminish, other moral concerns are raised. Though the U.S. has only 6% of the world's population, we consume 25% of its energy; 50% of the people of the world get along with only 8%. Some seriously question whether high-consuming nations like ours can be justified in using for its own sake the nonrenewable resources of the world that others are too weak or frugal to use themselves.

In 1999, the price of petrol is the lowest it has been for over two decades, with large reserves of oil stored by governments and corporations. Many other commodity prices are also at very low levels. These present-day facts are all very different from the warnings issued in the early 1970s about a world-wide environment crisis and shortages of resources.

One of the best known warning voices was contained in the book "Limits to Growth", published in 1972. It sold twelve million copies in 37 languages. Whilst the book did not predict what precisely would happen, it stated that if the world's consumption patterns and population growth continued at the same high rates of the time, the earth would strike its limits within a century. The message was that this outcome was not inevitable. People could change their policies - and the sooner the better.

The book was very controversial. Its note of warning jarred with the sense of optimism that existed at that time. The 1950s and 1960s had been a period of immense economic growth in both the Western and Communist worlds, both of which had a very low rate of unemployment. There was a general belief in the Western world that another 1930s-type Depression could be avoided as a result of government intervention in the economy. Additionally, it was assumed that there was a standard (Western) formula for economic growth that could apply throughout

the Third World. All the West had to do was to win the Cold War and the future for the entire world was assured.

Very little attention had been paid to the environmental consequences of economic growth. Indeed, both capitalists and communists were convinced that there could not be much of an environmental crisis. For capitalists, the market would solve any environmental problem (for example, if resources were used too rapidly, then prices would go up and so usage would be forced down), and Marxist dogma assured Communists that technology could solve all problems.

Both political systems regarded criticism of their respective systems on environmental grounds as nonsense. Each said that "Limits to Growth" was alarmist and the book was branded as pessimistic and a threat to stable government. Although "Limits to Growth" sold well around the world, government policy-makers ignored much of the essence of the warning. It is true that the first ministries of the environment were established at this time and there were tougher environmental laws introduced. But both political systems remained committed to the overall idea that growth was good and that the environmental consequences could be solved by administrative, legal and technological measures.

The Club of Rome

"Limits to Growth" was commissioned by [The Club of Rome](#), a think-tank of scientists, economists, businesspeople, international civil servants, and politicians from the five continents. The Club began in an informal way at the behest of Aurelio Peccei, an Italian businessperson based in Rome. In 1965, Peccei gave a speech on the dramatic changes taking place in the world, especially relating to science and technology. The speech attracted considerable attention.

Alexander King, who had not previously known Peccei, received a copy of the speech. King was a British scientist, who had been a scientific adviser to the British Government, and who was then at the Paris-based Organization for Economic Co-operation and Development ([OECD](#)), the organization of rich Western countries. King had similar concerns to Peccei about the commonly-held veneration for growth that allowed little thought for any long-term consequences, and decided to meet Peccei to see how these ideas could be followed up.

Peccei and King were not confident that either the market or technology could function as a way of solving environmental problems. After calling together groups of economists and scientists to discuss problems facing the world, they asked a group of computer experts at MIT in the US to examine what would happen if people continued to consume such a high amount of resources. This study became the basis of the "Limits to Growth" book.

The study had some obvious limitations, most of which stemmed from the use of computer modeling. This was the first time that computer modeling had been used for such an ambitious exercise. The success of such modeling depends on both the quality of data and the capabilities of the computer. In 1970, methods of data collection were still rudimentary. Many countries, for example, did not know the true size of their populations. There have been many improvements in national data collection but, even today, we are still far from getting all the data we need to produce accurate models. For example, there is debate in many countries on how to work out the exact numbers of unemployed people, with official statistics usually being lower than those of non-governmental organizations that work with unemployed people.

In addition, the quality of the model used was limited by the available computer technology and could only use a low number of equations in its construction. Computer modeling has now become more sophisticated with the far greater computer power that is available meaning that models have become more complex. However, computer modeling still leaves a great deal to be desired, as is evident with the failure of government finance departments to predict the size of economic growth in the coming years.

Leaving aside the details of the projections, there is the question of the essence of the warning: is the earth approaching its "Limits to Growth"?

LESSON 33**THE ETHICS OF CONSUMER PRODUCTION AND MARKETING****Gas Explosions on a construction site**

Gas explosions are caused by an ignition source coming into contact with a gas leak. Construction workers must always remain alert to the presence of gas leaks. Gas can be a silent killer, filling an area with flammable toxins while going unnoticed by most people. When a flame or other source of ignition is introduced to a gaseous environment, the resulting gas explosion can be catastrophic.

In 1937, a natural gas leak was responsible for the New London School explosion in Texas. This disaster killed three hundred students and teachers. Similar explosions occur regularly throughout the world, although typically with a less dramatic loss of life.

Gas explosions are preventable throughout effective safety procedures and responsible leadership. If you are a victim of a gas explosion, you deserve justice and compensation for your suffering. Contact an attorney who will fight for what you are entitled to. Do not hesitate to move forward with your life and speak with a lawyer today.

Multi-Country Per Capita Fatality Data for 2003

Last updated on January 20, 2005 (re USA and Republic of Ireland) and on January 29 (Jamaica)

	OECD ^a Pos'n	<i>Per Capita</i> ^b Death Rate	Country	Number of Deaths 2003 ^c	Population (millions) ^d	Number of Deaths in 2004 ^m
1	----	3.29	Brunei	12 ^g	0.37	
2	----	4.00	Malta	16	0.4	
3	----	5.62	F Y R Macedonia	118	2.1	
4	1	5.81	United Kingdom	3,508 ^{ae}	60.3	3,221 ^{ae}
5	2	5.88	Sweden	529	9.0	
6	3	6.01	Norway	280	4.6	
7	4	6.31	Netherlands	1,028	16.3	
8	5	6.97	Japan	8,877 ^t	127.3	
9	6	7.02	Finland	379	5.2	370/377 ^{aa/ac}
10=	7=	7.33	Switzerland	546	7.45	
10=	7=	7.33	Iceland	22	0.3	
12		7.54	Albania	264	3.5	
13		7.77	Israel	482	6.2	
14		7.94	Serbia and Montenegro	858	10.8	
15	9	8.00	Denmark	432	5.4	

16	10	8.03	Germany	6,613	82.4	
17	11	8.21	Australia	1,634 ^v	19.9	
18	12	8.43	Ireland	337	4.0	
19		8.46	Ireland -- Republic of	336 ^k	3.97	
20	13	8.55	Canada	2,778 ^x	32.5	
21		9.09	Azerbaijan	718	7.9	
22	14	9.49	France	5,731	60.4	
23		9.66	Moldova	425	4.4	
24		9.98	Romania	2,235	22.4	
25		>10	Bahrain			
26	15	11.36	Austria	931	8.2	
27	16	11.48	New Zealand	459 ^y	4.0	435 ^y
28	17	11.52	Luxembourg	53	0.46	
29	18	11.7 ^s	Italy	^s	58.0	
30	19	12.09	Slovak Republic	653	5.4	
31	20	12.10	Slovenia	242	2.0	
32		12.17	Georgia	572	4.7	
33		12.62	Estonia	164	1.3	
34		12.80	Bulgaria	960	7.5	
35	21	12.91	Portugal	1,356	10.5	
36	22	-----	Turkey	3,966 ^f	68.9	
37	23	13.26	Hungary	1,326	10.0	
38	24	13.40	Spain	5,399	40.3	
39	25	14.19	Czech Republic	1,447	10.2	
40	26	14.5 ^r	Belgium	^r	10.3	
41	27	14.61	Poland	5,640	38.6	
42		14.7	Jamaica	399 ^l	2.71	
43	28	14.75 ^{ag}	U.S.A.	42,884 ^{ag}	290.8 ^j	42,636 ^{af}
44	29	14.9 ^u	Repub. of Korea	^u	48.6	
45	30	15.24	Greece	1,615	10.6	
46		15.58	Croatia	701	4.5	
47		16.67	Liechtenstein	5	0.03	
48		17.12	Belarus	1,763	10.3	
49		18.37	China	238,584 ^z	1298.8	
50		19.69	Lithuania	709	3.6	
51		21.43	Latvia	493	2.3	
52		24.77	Russian Federation	35,600	143.7	>34,000 ^q
53		25.3 ^{ab}	South Africa	12,353	44.3 ^{ab}	
54		26.75	Malaysia	6,286 ^h	23.5	6,223 ^p

			Cyprus		0.78	117 ⁿ
			Ghana		20.8	649 ^o

Multi-Country Data for 2004

[See a 15-year history of per capita death rates for the \(now\) 30 member countries of the OECD, including the USA.](#) We also have [a table showing the 2003 per capita data for all 50 American states, here](#)

DSA Comments

It must be remembered that there are three primary measures for comparing multi-national crash and fatality data: the deaths per 100,000 population or per capita rate, as shown here, deaths in relation to overall distance traveled (known in the USA as the VMT rate), and deaths in relation to the number of registered motor vehicles in the country. All three measures should be considered when comparing disparate countries but using just one of these methods is generally acceptable when comparing countries of similar status (e.g. "highly motorized countries" [HMCs], developed nations, third world countries, etc.).

As a result, some countries in the above table may appear to present bizarre results, either because -- like China, for example -- they have a very high death toll but it is offset by a huge population, or they simply have, say, a very low proportion of motor vehicles per head of population -- such as Brunei, that is currently at the head of the per capita table, or Ghana.

There is also the question of how, exactly, a traffic fatality is defined in any particular country. Some may only include deaths at the scene, whereas others will stipulate deaths within 24 hours, and some may allow a full week or even 30 days.

In some cases, therefore, the data for the number of deaths simply cannot be relied upon as being accurate. In Turkey, for example, the national press state that over 9,000 people are killed in road crashes each year, and yet each year data is published by that country giving a much lower body count. For that reason we have elected to position Turkey in the table to allow for an approximate per capita rate of 13.06 (based on the aforementioned 9,000 estimate) but have not shown the rate in the relevant column.

The Ethics of Consumer Production and Marketing

As the examples of Bridgestone/Firestone and Metabolife International clearly demonstrate, consumers are exposed daily to high levels of risk simply by using consumer products. The risk translates into injury, death, and astonishingly high costs as a result. As if product injuries were not enough, consumers must also bear the costs of deceptive sales practices, shoddy merchandise, and un-honored warranties. This chapter examines the ethical issues raised by product quality and advertising.

Markets and Consumer Protection

Consumer advocates point out that, in 1992 alone, there were more than 585,000 injuries required hospital treatment inflicted on youngsters and adults using toys, nursery equipment, and playground equipment; 2,055,000 people needed emergency treatment for injuries involving home furnishings; and 3,467,000 people required treatment for injuries involving home construction materials. Injuries from auto-related accidents in 1995 averaged 44,200 each week while deaths averaged 120 per day; financial losses were estimated at \$479 million per day.

Many people believe that consumers automatically will be protected from injury by the operations of free and competitive markets and that neither governments nor businesspeople have to take special steps to deal with these issues. As we have seen in earlier chapters (particularly in Chapter 4), free markets promote and allocation, use, and distribution of goods that are, in a certain sense, just, respectful of rights, and efficiently productive of maximum utility for those who participate in the market. Moreover, in such markets, the consumer is said to be “sovereign.” When consumers want and will willingly pay for something, sellers have an incentive to cater to their wishes. If sellers do not provide what consumers want, then sellers will suffer losses. However, when sellers provide what consumers want, they will profit. As the author of a leading textbook on economics wrote, “Consumers direct by their innate or learned tastes, as expressed in their dollar votes, the ultimate uses to which society’s resources are channeled.”

In the “market” approach to consumer protection, consumer safety is seen as a good that is most efficiently provided through the mechanism of the free market whereby sellers must respond to consumer demands. If consumers want products to be safer, they will indicate this preference in markets by willingly paying more for safer products and showing a preference for manufacturers of safe products while turning down the goods of manufacturers of unsafe products. Producers will have to respond to this demand by building more safety into their products or they risk losing customers to competitors who cater to the preferences of consumers. Thus, the market ensures that producers respond adequately to consumers’ desires for safety. However, if consumers do not place a high value on safety and demonstrate neither a willingness to pay more for safety nor a preference for safer products, then it is wrong to push increased levels of safety down their throats through government regulations that force producers to build more safety into their products than consumers demand. Such government interference, as we saw earlier, distorts markets, making them unjust, disrespectful of rights, and inefficient, it is just as wrong for businesspeople to decide on their own that consumers should have more protection than they are demanding, as to force on them costly safety devices that they would not buy on their own. Only consumers can say what value they place on safety, and they should be allowed to register their preferences through their free choices in markets and not be coerced by businesses or governments into paying for safety levels they may not want.

For example, an appliance selling for \$100 may indicate that it will overheat if it is used for more than an hour and a half, whereas one selling for \$400 may indicate that it can be run safely all day and night continuously. Some buyers will prefer the cheaper model, willingly trading the somewhat higher risk for the \$300 cut in price, whereas others will prefer the more expensive one. If government regulations forced all appliance makers to make only the safer model or if manufacturers voluntarily decided to make only the safer model, then consumers who do not feel that the increase in safety is worth \$300 extra to them will be out of luck. If they cannot do without the appliance, they will be forced to pay the extra \$300 even if they would have preferred spending it on something else that is more valuable to them. Thus, they

are unjustly forced to pay money for something they do not want, and their resources are inefficiently wasted on something that produces little utility for them.

Critics to the market approach respond that the benefits of free markets are obtained only when the markets have all of the seven defining characteristics: (a) There are numerous buyers and sellers, (b) everyone can freely enter and exit the market, (c) everyone has full and perfect information, (d) all goods in the market are exactly similar, (e) there are no external costs, (f) all buyers and sellers are rational utility maximizers, and (g) the market is unregulated. Critics of the market approach to consumer issues argue that these characteristics are absent in consumer markets.

Most importantly, markets are efficient only if participants have full and perfect information about the goods they are buying. This is obviously not always the case, however; some products are simply too complex for anyone but an expert to understand them. Gathering information is also time consuming and expensive, so many consumers may not have the resources to acquire the necessary information on their own.

In theory, of course, if consumers really wanted this information, then a market would be created for consumer information. It is difficult, however, for such organizations to cover their costs. Once costly information is released, it is easily leaked to others who do not pay. Because people know they can become free riders, the number of people who pay for the information is too small to cover the costs of gathering it. Second, consumers are unwilling to pay for information because they do not know what its value is until after they get it, and then they already have it and don't need to pay for it. When we buy information, we cannot know in advance what we are purchasing until we have it. Markets alone, then, cannot provide consumers with the information they need.

Another criticism of the free market approach to consumer issues refers to the sixth characteristic of perfectly competitive free markets that of the consumer is a "rational utility maximizer." The consumers defined by the theory think ahead, consider, and watch every penny they spend, knowing how their choices will affect their preferences. This does not really characterize consumer choice, however. Most consumer choices are based on probability estimates that we make concerning the chances that the products we buy will function as we expect. Research shows, unfortunately, that we become inept and irrational when we make such choices.

First, most of us are not good at estimating probabilities. We typically underestimate risks and overestimate the probabilities of unlikely but memorable things. Our probability judgments go astray for five reasons:

1. We ignore prior probabilities when we get new information, even if the new information is irrelevant.
2. We emphasize "causation," but underweight evidence that is relevant but not seen as "causal."
3. We generalize based on small sample findings.
4. We believe in the nonexistent "law of averages."
5. We believe that we control purely chance events.

LESSON 34

CONSUMER AND INFORMATION

Second, as a number of researchers have shown, people are irrational and inconsistent when weighing choices based on probability estimates of future costs and payoffs. Research shows that people inconsistently rank one payoff as being both better and worse than another. Finally, markets often fail to have numerous buyers and sellers. Since most consumer markets are monopolies or oligopolies, the sellers are able to extract abnormally high profits by ensuring that demand always exceeds supply.

As a whole, then, market forces by themselves are not able to deal with consumer concerns for safety, freedom from risk, and value. Instead, consumers must be protected by governmental action and the voluntary initiatives of businesses. Of course, part of the responsibility for consumer injuries does rest on consumers. People often use items that they have neither the skill nor experience to handle.

Injuries also occur because of flaws in design, materials, or manufacturing, however. In these cases, it is the manufacturer's duty to minimize injuries. Their expertise makes them most knowledgeable about the safest materials and methods of making their products.

Where does the consumer's duty end and the manufacturer's duty begin? Three different theories address this question: the contract, "due care," and the social costs views.

Who Should Pay? The Product Liability Debate

Every year, 34 million people are injured or killed as a result of product related accidents. Such injuries are the major cause of death for people between the ages of 1 and 36, outnumbering deaths from cancer or heart disease. The estimated cost of these injuries is \$12 billion annually. Tens of thousands of product injury lawsuits are filed each year. As the number of claims has risen, so too have the number of companies forced to file bankruptcy because of massive suits. Moreover, an increasing number of companies are claiming that they have pulled established products off the market and halted research on promising products for fear of liability.

Manufacturers claim that they are victims of a system gone haywire. According to strict liability laws, a manufacturer can be held liable for injuries even when he or she had no way of preventing those injuries. Holding manufacturers responsible for injuries caused by products known to be defective or potentially dangerous is one thing, but today manufacturers face lawsuits--often bordering on the outrageous--for injuries they could not have prevented.

Consumer activists, on the other hand, claim that the threat of product liability suits forces manufacturers to make product safety a priority and that those who suffer injuries caused by products should be compensated for their injuries by the manufacturers of those products.

Product injuries represent a major cost of introducing products into a society. Since virtually every new product carries some unknown risk, a possibility always exists that the product may cause injuries or imposes other costs on users. This raises an important moral question: How should these costs be distributed among the members of our society?

Should	Consumers	Bear	More	Responsibility?
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Manufacturers contend that consumers should bear more responsibility for product injuries because the costs of placing full liability onto companies far outweigh the benefits. Since the 1960s, there has been a steady increase of product liability cases. According to one study, 13,500 product liability suits were filed in federal court in 1986, compared to only 1,500 in 1974. Due to this barrage of litigation, the cost of doing business has risen dramatically. Insurance premiums have skyrocketed, where insurance is available at all. Manufacturers' legal costs have also soared: about 60% of the average corporation's litigation expenses today are product liability cases. The rising cost of product liability insurance and lawsuits has led, in turn, to great increases in consumer prices.

The economy also has suffered from the boom in product liability claims. When companies facing massive lawsuits have been forced to scale down their operations, the result is a loss of jobs. In a recent report by the Conference Board, 15% of corporations surveyed had laid off workers because of product liability costs, while 8% had been forced to close plants altogether. In addition, the threat of liability has affected American businesses' ability to compete internationally. In other countries, there are severe limits on what manufacturers can be held responsible for and there are fewer tendencies to sue. By not having to contend with a morass of lawsuits, these companies can offer cheaper products, and put American manufacturers at a competitive disadvantage.

It is also argued that the fear of being hit with a liability claim keeps many lifesaving drugs and devices off the market, and stifles creativity and innovation. Even the most rigorous conformity to safety regulations doesn't prevent liability. One report found that 39% of the companies surveyed delayed introducing new products or had discontinued products because of product liability suits. The pharmaceutical industry has been hit the hardest. Only one company in the U.S. now manufactures vaccines, a product often targeted in lawsuits. Vaccines for AIDS will certainly not reach the market without protection against lawsuits. Said one spokesperson from the drug industry, "Decisions [are] already being made on [AIDS] research priorities for liability reasons."

The costs to manufacturers and to society will only increase as technologies grow more complex and their applications more varied. Testing products for safety under every possible condition of use will not only impose great testing costs on manufacturers but will result in enormous delays in the introduction of new products that could benefit society.

Manufacturers also maintain that it is morally unjust to hold someone liable for injuries that he or she could not have prevented. Through extensive research and repeated testing, companies do all that they possibly can, to ensure product safety. And, to prevent harm, warnings and instructions are plastered over each piece of merchandise.

Finally, some manufacturers point out that in a free market system, businesses have the right to make and sell whatever products they choose and consumers have the right to choose what they buy. But rights carry with them responsibilities. When consumers choose to buy risky products rather than safe ones (both of which businesses may offer in a free market) or when they choose not to inform themselves about products, they must accept the consequences, including the responsibility for any injuries resulting from those choices.

Should Manufacturers Bear More Responsibility?

Those who hold that manufacturers should bear more of the responsibility for product injuries argue that the benefits of holding companies liable for these injuries outweigh the costs. In a recent year, more than 200,000 infants were hospitalized for injuries resulting from the use of toys, or nursery or recreational equipment. About 1,777,000 people required emergency treatment because of injuries involving home furnishings; more than 1,200 of these injuries were fatal. An additional 1,782,000 individuals required treatment for injuries involving home construction materials; 1,300 of them died from the injuries. Society has an obligation to minimize such tragedy and suffering. Without the threat of liability, manufacturers would have little incentive to ensure product safety, and the number of product-related injuries would escalate.

The costs of holding manufacturers responsible for product injuries are not as great as company representatives would have us believe. For example, the so-called "explosion" in product liability suits, "crippling American business," is a myth. A recent study by the RAND Corporation found that although the number of product liability lawsuits had increased nearly eight-fold during the last decade, more than half of these lawsuits involved only a handful of companies, reflecting mass litigation against a few asbestos and pharmaceutical companies. A report by the Government Accounting Office also concluded that, except for cases involving a few drug or asbestos companies, product liability suits "do not appear to have been rapidly accelerating or explosive." Furthermore, it cannot be claimed that product litigation makes domestic companies any less competitive internationally. Foreign companies that sell in the U.S. have to abide by the same product liability laws that American companies face. And when American companies compete abroad, they have the same advantages that foreign companies have.

Those who hold manufacturers liable for product-related injuries also claim that justice is on their side. Since the defective product that caused the injury was produced by the manufacturer, it is fair that the manufacturer bear the costs of that injury. Moreover, they argue, justice requires that the party that is most able to pay for an injury be the party that bears most of the financial burden. Manufacturers know in advance that there is always a risk of liability in introducing new products, and can therefore build the cost of potential lawsuits into the price of those products. Manufacturers also have the research expertise and laboratories, the engineering and technical knowledge, and the budgets to assess the risks of product use and to ensure that these products are safe. Consumers lack these. It is just to place greater burdens on those who are better able to bear these burdens.

Consumer activists also challenge the corporate claim that consumers "freely" choose to buy unsafe products. Consumers, they argue, are woefully uninformed about the products they buy because they don't have access to information about the products. Others lack a comprehensive understanding of the seriousness of the printed warning. Still others may be functionally illiterate or too young to make informed choices. It is manufacturers, not consumers, who make the "free" choices to compromise product safety and it is manufacturers who must therefore accept the consequences.

As long as products are produced, product injuries will occur. Who should bear the costs of those injuries? Our answer requires that we weigh the claims of consumers against those of

manufacturers--claims which appeal, in different ways, to our desire to minimize harm, our ideal of justice, and our commitment to taking responsibility for the choices we make.

LESSON 35

THE CONTRACT VIEW OF BUSINESS' DUTIES TO CONSUMERS

According to the contract view of the business firm's duties to its customers, the relationship between a business firm and its customers is essentially a contractual relationship, and the firm's moral duties to the customer are those created by this contractual relationship. When a consumer buys a product, this view holds, the consumer voluntarily enters into a "sales contract" with the business firm. The firm freely and knowingly agrees to give the consumer a product with certain characteristics, and the consumer in turn freely and knowingly agrees to pay a certain sum of money to the firm for the product. In virtue of having voluntarily entered this agreement, the firm then has a duty to provide a product with those characteristics, and the consumer has a correlative right to get a product with those characteristics.

The contract theory of the business firm's duties to its customers rests on the view that a contract is a free agreement that imposes on the parties the basic duty of complying with the terms of the agreement. We examined this view earlier (chapter 2) and noted the two justifications Kant provided for the view: A person has a duty to do what he or she contracts to do because failure to adhere to the terms of a contract is a practice that (a) cannot be universalized, and (b) treats the other person as a means and not as an end. Rawls' theory also provides a justification for the view, but one that is based on the idea that our freedom is expanded by the recognition of contractual rights and duties; an enforced system of social rules that requires people to do what they contract to do will provide them with the assurance that contracts will be kept. Only if they have such assurance will people feel able to trust each other's word and, on that basis, to secure the benefits of the institution of contracts.

We also noted in Chapter 2 that traditional moralists have argued that the act of entering into a contract is subject to several secondary moral constraints:

1. Both of the parties to the contract must have full knowledge of the nature of the agreement they are entering.
2. Neither party to a contract must intentionally misrepresent the facts of the contractual situation to the other party.
3. Neither party to a contract must be forced to enter the contract under duress or undue influence.

These secondary constraints can be justified by the same sorts of arguments that Kant and Rawls use to justify the basic duty to perform one's contracts. Kant, for example, easily shows that misrepresentation in the making of a contract cannot be universalized, and Rawls argues that if misrepresentation were not prohibited, fear of deception would make members of a society feel less free to enter contracts. However, these secondary constraints can also be justified on the grounds that a contract cannot exist unless these constraints are fulfilled. A contract is essentially a free agreement struck between two parties. Because an agreement cannot exist unless both parties know what they are agreeing to, contracts required full knowledge and the absence of misrepresentation. Because freedom implies the absence of coercion, contracts must be made without duress or undue influence.

Hence, the contractual theory of business' duties to consumers claims that a business has four main moral duties: the basic duty of (a) complying with the terms of the sales contract, and the secondary duties of (b) disclosing the nature of the product, (c) avoiding misrepresentation, and (d) avoiding the use of duress and undue influence. By acting in accordance with these duties, a business respects the right of consumers to be treated as free and equal persons – that is, in accordance with their right to be treated only as they have freely consented to be treated.

The duty to comply:

The most basic moral duty that a business firm owes its customers, according to the contract view, is the duty to provide consumers with a product that lives up to those claims that the firm expressly made about the product, which led the customer to enter the contract freely and which formed the customer's understanding concerning what he or she was agreeing to buy. In the early 1970s, for example, Winthrop Laboratories marketed a painkiller that the firm advertised as nonaddictive. Subsequently, a patient using the painkiller became addicted to it and shortly died from an overdose. A court found Winthrop Laboratories liable for the patient's death because, although it had expressly stated that the drug was nonaddictive, Winthrop Laboratories had failed to live up to its duty to comply with this express contractual claim.

In addition to the duties that result from the express claim a seller makes about the product, the contract view also holds that the seller has a duty to carry through on any implied claims he or she knowingly makes about the product. For example, the seller has the moral duty to provide a product that can be used safely for the ordinary and special purposes for which the customer, relying on the seller's judgment, has been led to believe it can be used. The seller is morally bound to do whatever he or she knows the buyer understood the seller was promising because at the point of sale sellers should have corrected any misunderstandings of which they were aware.

The duty not to misrepresent:

Misrepresentation, even more than the failure to disclose information, renders freedom of choice impossible. That is, misrepresentation is coercive: the person who is intentionally misled acts as the deceiver wants the person to act and not as the person would freely have chosen to act if he or she had known the truth. Because free choice is an essential ingredient of a binding contract, intentionally misrepresenting the nature of a commodity is wrong.

A seller misrepresents a commodity when he or she represents it in a way deliberately intended to deceive the buyer into thinking something about the product that the seller knows is false. The deception may be created by a verbal lie, as when a used model is described as new, or it may be created by a gesture, as when an unmarked used model is displayed together with several new models. That is, the deliberate intent to misrepresent by false implication is as wrong as the explicit lie.

The duty not to coerce:

People often act irrationally when under the influence of fear or emotional stress. When a seller takes advantage of a buyer's fear of emotional stress to extract consent to an agreement that the buyer would not make if the buyer were thinking rationally, the seller is using duress or undue influence to coerce. An unscrupulous funeral director, for example, may skillfully induce guilt-ridden and grief stricken survivors to invest in funeral services they cannot afford. Because entry into a contract requires freely given consent, the seller has a duty to refrain from

exploiting emotional states that may induce the buyer to act irrationally against his or her own best interests. For similar reasons, the seller also has the duty not to take advantage of gullibility, immaturity, ignorance, or any other factors that reduce or eliminate the buyer's ability to make free rational choices.

Problems with the Contractual Theory

The main objectives to the contract theory focus on the unreality of the assumption on which the theory is based.

First, critics argue, the theory unrealistically assumes that manufacturers make direct agreements with consumers. Nothing could be further from the truth. Normally, a series of wholesalers and retailers stand between the manufacturer and the ultimate consumer. The manufacturer sells the product to the wholesaler, who sells it to the retailer, who finally sells it to the consumer. The manufacturer never enters into any direct contract with the consumer. How then can one say that manufacturers have contractual duties to the consumer?

Second objection to the contract theory focuses on the fact that a contract is two-edged sword. If a consumer can freely agree to buy a product with certain qualities, the consumer can also freely agree to buy a product without those qualities. That is, freedom of contract allows a manufacturer to be released from his or her contractual obligations by explicitly disclaiming that the product is reliable, serviceable, safe, and so.

The third objection to the contract theory criticizes the assumption that buyer and seller meet each other as equals in the sale agreement. The contractual theory assumes that buyers and sellers are equally skilled at evaluating the quality of a product and that buyers are able to adequately protect their interests against the seller. This is the assumption built into the requirement that contracts must be freely and knowingly entered into: Both parties must know what they are doing and neither must be coerced into doing it. This equality between buyer and seller that the contractual theory assumes derives from the laissez-faire ideology that accompanied the historical development of contract theory.

Finally, critics of this theory point out that the assumption that buyer and seller meet on equal ground is false. Buyers and sellers are not equally skilled; the seller is in a much stronger position than the buyer. Sellers only have to know their own products, while buyers need to know about every seller's products for every commodity they purchase.

LESSON 36

The Due Care Theory

The “due care” theory of the manufacturer’s duties to consumers is based on the idea that consumers and sellers do not meet as equals and that the consumer’s interests are particularly vulnerable to being harmed by the manufacturer who has a knowledge and an expertise that the consumer lacks. Because manufacturers are in a more advantaged position, they have a duty to take special care to ensure that consumers’ interests are not harmed by the products that they offer them. The doctrine of caveat emptor is here replaced with a weak version of the doctrine of caveat vendor: let the seller take care.

The “due care” view holds then that, because consumers must depend on the greater expertise of the manufacturer, the manufacturer not only has a duty to deliver a product that lives up to the express and implied claims about it, but also has a duty to exercise due care to prevent others from being injured by the product even if the manufacturer violates this duty and is negligent when there is a failure to exercise the care that a reasonable person could have foreseen would be necessary to prevent others from being harmed by use of the product. Due care must enter into the design of the product, the choice of reliable materials for constructing the product, the manufacturing processes involved in putting the product together, the quality control used to test and monitor production, and the warnings, labels, and instructions attached to the product. In each of these areas, according to the due care view, the manufacturer, in virtue of a greater expertise and knowledge, has a positive duty to take whatever as possible, and the customers has a right to such assurance. Failure to take such steps is a breach of the moral duty to exercise due care and a violation of the injured person’s right to expect such care – a right that rests on the consumer’s need to rely on the manufacturer’s expertise.

The Duty to Exercise Due Care

According to the due care theory, manufacturers exercise sufficient care only when they take adequate steps to prevent whatever injurious effects they can foresee that the use to their product may have on consumers after having attempted to anticipate any possible misuses of the product. A manufacturer then is not morally negligent when others are harmed by a product and the harm was not one that the manufacturer could have possibly foreseen or prevented. Nor is a manufacturer morally negligent after having taken all reasonable steps to protect the consumer and ensure that the consumer is informed of any irremovable risks that might still attend the use of the product. For example, a car manufacturer, cannot be said to be negligent from a moral point of view when people carelessly misuse the cars the manufacturer produces. A car manufacturer would be morally negligent only if it had allowed unreasonable dangers to remain in the design of the car that consumers cannot be expected to know about or cannot guard against by taking their own precautionary measures.

Manufacturers' responsibilities to exercise due care extends to the following three areas:

1. **Design** - A product's design should not conceal any dangers, should incorporate all feasible safety devices, and use adequate materials. The design should additionally be well tested to ensure that consumers will use the product properly.
2. **Production** - The manufacturing process must be controlled to eliminate any defective items, identify weaknesses, and ensure that unsafe economizing measures are not taken.
3. **Information** - The firm should fix labels, notices, and instructions on the product warning of all potential dangers involved in using or misusing the item.

Manufacturers must also take into consideration the capacities of the persons who they expect will use the product. If the possible harmful effects of using a product are serious or if they cannot be adequately understood without expert opinion, then sale of the product should be carefully controlled.

Problems with “Due Care”

The basic difficulty raised by the “due care” theory is that there is no clear method for determining when one has exercised enough “due care”. That is, there is no hard and fast rule for determining how far a firm must go to ensure the safety of its product.

A **second** difficulty raised by the “due care” theory is that it assumes that the manufacturer can discover the risks that attend the use of a product before the consumer buys and uses it.

Third, the due care view appears to some to be paternalistic: it assumes that the manufacturer should be the one who makes the important decisions for the consumer, at least with respect to the levels of risks that are proper for consumers to bear. One may wonder whether such decisions should not be left up to the free choice of consumers who can decide for themselves whether they want to pay for additional risk reduction.

LESSON 37**THE SOCIAL COSTS VIEW OF THE MANUFACTURER'S DUTIES**

A third theory on the duties of the manufacturer would extend the manufacturer's duties beyond those imposed by contractual relationships and beyond those imposed by the duty to exercise due care in preventing injury or harm. This third theory holds that a manufacturer should pay the costs of any injuries sustained through any defects in the product, even when the manufacturer exercised all due care in the design and manufacture of the product and has taken all reasonable precautions to warn users of every foreseen danger. According to this third theory a manufacturer has a duty to assume the risks of even those injuries that arise out of defects in the product that no one could reasonably have foreseen or eliminated. The theory is a strong version of the doctrine of caveat vendor: let the seller take care.

This third theory, which has formed the basis of the legal doctrine of strict liability, is founded on utilitarian arguments. The utilitarian arguments for this third theory hold that the "external" costs of injuries resulting from unavoidable defects in the design of an artifact constitute part of the cost society must pay for producing and using an artifact. By having the manufacturer bear the external cost that result from these injuries as well as the ordinary internal cost that result from these injuries as well as the ordinary internal costs of design and manufacture, all costs are internalized and added on as part of the price of the product. Internalizing all costs in this way, according to proponents of this theory will lead to a more efficient use of society's resources.

First, because the price will reflect all the costs of producing and using the artifact, market forces will ensure that the product is not overproduced and resources are not wasted on it. (Whereas if some costs were not included in the price, then manufacturers would tend to produce more than is needed.)

Second, because manufacturers have to pay the costs of injuries, they will be motivated to exercise greater care and thereby reduce the number of accidents. Therefore, manufacturers will strive to cut down the social costs of injuries, and this means a more efficient care for our human resources. To produce the maximum benefits possible from our limited resources, therefore, the social costs of injuries from defective products should be internalized by passing them on to the manufacturer even when the manufacturer has done all that could be done to eliminate such defects.

Third, internalizing the costs of injury in this way enables the manufacturer to distribute losses among all the users of a product instead of allowing losses to fall on individuals who may not be able to sustain the loss by themselves.

Underlying this third theory on the duties of the manufacturer are the standard utilitarian assumptions about the values of efficiency. The theory assumes that an efficient use of resources is so important for society that social costs should be allocated in whatever way will lead to a more efficient use and care of our resources. On this basis, the theory argues that a manufacturer should bear the social costs for injuries caused by defects in a product even when no negligence was involved and no contractual relationship existed between the manufacturer and user.

Problems with the Social Costs View

The major criticism of the social costs view of the manufacturer's duties is that it is unfair. It is unfair, the critics charge, because it violates the basic cannons of compensatory justice. Compensatory justice implies that a person should be forced to compensate

Social cost theorists counter by pointing out that, in reality, the costs of consumer liability suits are not large. Less than 1% of product-related injuries result in suits, and successful suits average only a few thousand dollars in any case. Moreover, the insurance industry has remained quite profitable, despite the warnings of the critics.

A third argument against the social costs theory focuses on the financial burdens the theory imposes on manufacturers and insurance carriers. Critics claim that a growing number of consumers successfully sue manufacturers for compensation any injuries sustained while using a product even when the manufacturer took all due care to ensure that the product was safe. Not only have the number of "strict liability" suits increased, critics claim, but the amount awarded to injured consumers have also escalated.

Advertising Ethics

Advertising is a huge industry, which imposes great expense on manufacturers and service providers. Commercial advertising is sometimes defined as a form of "information" and an advertiser as "one who gives information." The implication is that the defining function of advertising is to provide information to consumers. In the end, consumers must cover the costs of advertising, but what do they get for this extra expenditure? Most consumers say that they get very little. So is advertising a waste, or a benefit? Does it help or harm consumers

LESSON 38**ADVERTISING ETHICS**

Commercial advertising is sometimes defined as a form of “information” and an advertiser as “one who gives information.” The implication is that the definition of advertising is to provide information to consumers. This definition of advertising, however, fails to distinguish advertisements from, say, articles in publications like *Consumer Reports*, which compare, test, and objectively evaluate the durability, safety, defects, and usefulness of various products. One study found that more than half of all television ads contained no consumer information whatsoever about the advertised product, and they only half of all magazine ads contained more than one information cue. Consider how much information is conveyed by the following advertisements:

“*Got Milk*” (America’s dairy farmers and milk processors)

“*Be late*” (Neiman Marcus watches)

“*Embrace you demons*” (Cinnamon Flavored Altoids)

“*For the way it’s made*” (KitchenAid home appliances)

“*Connect with style*” (Nokia cell phone)

“*Inside every woman is a glow just waiting to come out*” (Dove soap)

“*It is, in the end, the simple idea that one plus one can, and must, equal more than two*” (Chrysler cars)

Advertisements often do not include much objective information for the simple reason that their primary function is not that of providing unbiased information. The primary function of commercial advertisements, rather, is to sell a product to prospective buyers, and whatever information they happen to carry is subsidiary to this basic function and usually determined by it.

Advertising's critics point out that it has several harmful effects on society. First, its psychological effects are damaging in that it debases the tastes of consumers by inculcating materialistic values about how to achieve happiness. Whether or not advertising has such effects is still uncertain. Indeed, the success of advertising may depend on consumers already having the values that the advertisements focus upon.

Another major criticism of advertising is that it is wasteful. Those who make this type of objection point to the distinction between production costs and selling costs. **Production costs** are the costs of the resources consumed in producing a product. **Selling costs** are the additional costs of resources that do not go into the product itself, but rather are incurred as a result of persuading consumers to purchase it. The resources consumed by advertising, according to this theory, add nothing to the utility of the product.

Advertisers counter that advertisements do add information to the product, but of course, the information could be supplied more directly and inexpensively. They also say, however, that advertising creates desire and thus is responsible for a gradually expanding economy.

There is considerable controversy over whether advertising is responsible for the growing economy, however. Advertising appears to be most successful at shifting consumption from one producer to another, not at expanding consumption generally. Even if it could expand consumption, theorists do not agree that this would be good: increased consumption leads,

among other things, to increased pollution and depletion of resources. Though some critics have also blamed advertising for monopolies, there is no conclusive evidence that advertising and monopolistic markets are connected.

John Kenneth Galbraith and other critics have long argued that advertising merely manipulates consumers, creating desires solely to absorb industrial output. Physical desires, such as the desire for food and shelter, are perfectly normal. But the psychological desires that are inspired by advertising are not under the consumer's control in the same way that physical desires are, which puts the firm (instead of the individual) in control. If Galbraith's view is correct, then advertising violates the individual's right to choose freely for him or herself. It is not clear, however, that this view is correct, and theorists such as F. A. von Hayek have pointed out that psychic wants have been around longer than advertising in any case.

The most common criticism of advertising concerns its effect on the consumer's beliefs. Because advertising is a form of communication, it can be as truthful or deceptive as any other form of communication. Most criticisms of advertising focus on the deceptive aspects of modern advertising. Nevertheless, even if advertising as a whole is not manipulative, there are clearly some advertisements that are intended to manipulate. Such advertisements do clearly violate the consumer's right to be treated as a free and equal rational being.

Deceptive advertising takes many forms: the "bait and switch," untrue paid testimonials, or simulating brand names are all forms of deception. There is no controversy over whether or not deceptive advertising is immoral: it clearly is. The problem is to understand how advertising becomes deceptive.

All communication involves three things: the author or originator of the message, the medium that carries the message, and the audience who receives it. Deception involves three necessary conditions in the author:

1. The author must intend to have the audience believe something false.
2. The author must know it to be false.
3. The author must knowingly do something to bring about this false belief.

Thus, an advertiser cannot be held responsible for an audience having misinterpreted a message when the misinterpretation is unintended, unforeseen, or the result of carelessness on the part of the audience.

The media carrying the message also has a responsibility to ensure the truth of what it carries to the audience. Both the author and the media must take into account the interpretive skills of the audience as well. To determine the ethical nature of an advertisement, the following points are relevant: the intended and actual social effects of the advertisement; the informing or persuasive character of the advertisement, and whether it creates irrational or injurious desires; and the whether the advertisement's content is truthful or tends to mislead.

The Benefits of Advertising

Enormous human and material resources are devoted to advertising. Advertising is everywhere in today's world, so that, as Pope Paul VI remarked, "No one now can escape the influence of advertising."⁶ Even people who are not themselves exposed to particular forms of advertising confront a society, a culture — other people — affected for good or ill by advertising messages and techniques of every sort.

Some critics view this state of affairs in un-relievedly negative terms. They condemn advertising as a waste of time, talent and money — an essentially parasitic activity. In this view, not only does advertising have no value of its own, but its influence is entirely harmful and corrupting for individuals and society.

We do not agree. There is truth to the criticisms, and we shall make criticisms of our own. But advertising also has significant potential for good, and sometimes it is realized. Here are some of the ways that happens.

A) Economic Benefits of Advertising

5. Advertising can play an important role in the process by which an economic system guided by moral norms and responsive to the common good contributes to human development. It is a necessary part of the functioning of modern market economies, which today either exist or are emerging in many parts of the world and which — provided they conform to moral standards based upon integral human development and the common good — currently seem to be "the most efficient instrument for utilizing resources and effectively responding to needs" of a socio-economic kind.⁷

In such a system, advertising can be a useful tool for sustaining honest and ethically responsible competition that contributes to economic growth in the service of authentic human development. "The Church looks with favor on the growth of man's productive capacity, and also on the ever widening network of relationships and exchanges between persons and social groups....[F]rom this point of view she encourages advertising, which can become a wholesome and efficacious instrument for reciprocal help among men."⁸

Advertising does this, among other ways, by informing people about the availability of rationally desirable new products and services and improvements in existing ones, helping them to make informed, prudent consumer decisions, contributing to efficiency and the lowering of prices, and stimulating economic progress through the expansion of business and trade. All of this can contribute to the creation of new jobs, higher incomes and a more decent and humane way of life for all. It also helps pay for publications, programming and productions — including those of the Church — that bring information, entertainment and inspiration to people around the world.

B) Benefits of Political Advertising

"The Church values the democratic system inasmuch as it ensures the participation of citizens in making political choices, guarantees to the governed the possibility both of electing and holding accountable those who govern them, and of replacing them through peaceful means when appropriate."

Political advertising can make a contribution to democracy analogous to its contribution to economic well being in a market system guided by moral norms. As free and responsible media in a democratic system help to counteract tendencies toward the monopolization of power on the part of oligarchies and special interests, so political advertising can make its contribution by informing people about the ideas and policy proposals of parties and candidates, including new candidates not previously known to the public.

C) Cultural Benefits of Advertising

Because of the impact advertising has on media that depend on it for revenue; advertisers have an opportunity to exert a positive influence on decisions about media content. This they do by supporting material of excellent intellectual, aesthetic and moral quality presented with the public interest in view, and particularly by encouraging and making possible media presentations which are oriented to minorities whose needs might otherwise go un-served.

Moreover, advertising can itself contribute to the betterment of society by uplifting and inspiring people and motivating them to act in ways that benefit themselves and others. Advertising can brighten lives simply by being witty, tasteful and entertaining. Some advertisements are instances of popular art, with a vivacity and elan all their own.

D) Moral and Religious Benefits of Advertising

In many cases, too, benevolent social institutions, including those of a religious nature, use advertising to communicate their messages — messages of faith, of patriotism, of tolerance, compassion and neighborly service, of charity toward the needy, messages concerning health and education, constructive and helpful messages that educate and motivate people in a variety of beneficial ways.

For the Church, involvement in media-related activities, including advertising, is today a necessary part of a comprehensive pastoral strategy. This includes both the Church's own media — Catholic press and publishing, television and radio broadcasting, film and audiovisual production, and the rest — and also her participation in secular media. The media "can and should be instruments in the Church's program of re-evangelization and new evangelization in the contemporary world."¹¹ While much remains to be done, many positive efforts of this kind already are underway. With reference to advertising itself, Pope Paul VI once said that it is desirable that Catholic institutions "follow with constant attention the development of the modern techniques of advertising and... know how to make opportune use of them in order to spread the Gospel message in a manner which answers the expectations and needs of contemporary man."

The harm done by advertising

There is nothing intrinsically good or intrinsically evil about advertising. It is a tool, an instrument: it can be used well, and it can be used badly. If it can have, and sometimes does have, beneficial results such as those just described, it also can, and often does, have a negative, harmful impact on individuals and society.

Communio et Progressio contains this summary statement of the problem: "If harmful or utterly useless goods are touted to the public, if false assertions are made about goods for sale, if less than admirable human tendencies are exploited, those responsible for such advertising harm society and forfeit their good name and credibility. More than this, unremitting pressure to buy articles of luxury can arouse false wants that hurt both individuals and families by making them ignore what they really need. And those forms of advertising which, without shame, exploit the sexual instincts simply to make money or which seek to penetrate into the subconscious recesses of the mind in a way that threatens the freedom of the individual ... must be shunned."

A) Economic Harms of Advertising

Advertising can betray its role as a source of information by misrepresentation and by withholding relevant facts. Sometimes, too, the information function of media can be subverted by advertisers' pressure upon publications or programs not to treat of questions that might prove embarrassing or inconvenient. More often, though, advertising is used not simply to inform but to persuade and motivate — to convince people to act in certain ways: buy certain products or services, patronize certain institutions, and the like. This is where particular abuses can occur.

The practice of "brand"-related advertising can raise serious problems. Often there are only negligible differences among similar products of different brands, and advertising may attempt to move people to act on the basis of irrational motives ("brand loyalty," status, fashion, "sex appeal," etc.) instead of presenting differences in product quality and price as bases for rational choice.

Advertising also can be, and often is, a tool of the "phenomenon of consumerism," as Pope John Paul II delineated it when he said: "It is not wrong to want to live better; what is wrong is a style of life which is presumed to be better when it is directed toward 'having' rather than 'being', and which wants to have more, not in order to be more but in order to spend life in enjoyment as an end in itself. "Sometimes advertisers speak of it as part of their task to "create" needs for products and services — that is, to cause people to feel and act upon cravings for items and services they do not need. "If ... a direct appeal is made to his instincts — while ignoring in various ways the reality of the person as intelligent and free — then consumer attitudes and life-styles can be created which are objectively improper and often damaging to his physical and spiritual health."

This is a serious abuse, an affront to human dignity and the common good when it occurs in affluent societies. But the abuse is still more grave when consumerist attitudes and values are transmitted by communications media and advertising to developing countries, where they exacerbate socio-economic problems and harm the poor. "It is true that a judicious use of advertising can stimulate developing countries to improve their standard of living. But serious harm can be done them if advertising and commercial pressure become so irresponsible that communities seeking to rise from poverty to a reasonable standard of living are persuaded to seek this progress by satisfying wants that have been artificially created. The result of this is that they waste their resources and neglect their real needs, and genuine development falls behind."

Similarly, the task of countries attempting to develop types of market economies that serve human needs and interests after decades under centralized, state-controlled systems is made more difficult by advertising that promotes consumerist attitudes and values offensive to human dignity and the common good. The problem is particularly acute when, as often happens, the dignity and welfare of society's poorer and weaker members are at stake. It is necessary always to bear in mind that there are "goods which by their very nature cannot and must not be bought or sold" and to avoid "an? Idolatry' of the market" that, aided and abetted by advertising, ignores this crucial fact.

B) Harms of Political Advertising

Political advertising can support and assist the working of the democratic process, but it also can obstruct it. This happens when, for example, the costs of advertising limit political

competition to wealthy candidates or groups, or require that office-seekers compromise their integrity and independence by over-dependence on special interests for funds.

Such obstruction of the democratic process also happens when, instead of being a vehicle for honest expositions of candidates' views and records, political advertising seeks to distort the views and records of opponents and unjustly attacks their reputations. It happens when advertising appeals more to people's emotions and base instincts — to selfishness, bias and hostility toward others, to racial and ethnic prejudice and the like — rather than to a reasoned sense of justice and the good of all.

C) Cultural Harms of Advertising

Advertising also can have a corrupting influence upon culture and cultural values. We have spoken of the economic harm that can be done to developing nations by advertising that fosters consumerism and destructive patterns of consumption. Consider also the cultural injury done to these nations and their peoples by advertising whose content and methods, reflecting those prevalent in the first world, are at war with sound traditional values in indigenous cultures. Today this kind of "domination and manipulation" via media rightly is "a concern of developing nations in relation to developed ones," as well as a "concern of minorities within particular nations."

The indirect but powerful influence exerted by advertising upon the media of social communications that depend on revenues from this source points to another sort of cultural concern. In the competition to attract ever larger audiences and deliver them to advertisers, communicators can find themselves tempted — in fact pressured, subtly or not so subtly — to set aside high artistic and moral standards and lapse into superficiality, tawdriness and moral squalor.

Communicators also can find themselves tempted to ignore the educational and social needs of certain segments of the audience — the very young, the very old, the poor — who do not match the demographic patterns (age, education, income, habits of buying and consuming, etc.) of the kinds of audiences advertisers want to reach. In this way the tone and indeed the level of moral responsibility of the communications media in general are lowered.

All too often, advertising contributes to the invidious stereotyping of particular groups that places them at a disadvantage in relation to others. This often is true of the way advertising treats women; and the exploitation of women, both in and by advertising, is a frequent, deplorable abuse. "How often are they treated not as persons with an inviolable dignity but as objects whose purpose is to satisfy others' appetite for pleasure or for power? How often the role of woman as wife and mother is undervalued or even ridiculed? How often is the role of women in business or professional life depicted as a masculine caricature, a denial of the specific gifts of feminine insight, compassion, and understanding, which so greatly contribute to the 'civilization of love'?"

D) Moral and Religious Harms of Advertising

Advertising can be tasteful and in conformity with high moral standards, and occasionally even morally uplifting, but it also can be vulgar and morally degrading. Frequently it deliberately appeals to such motives as envy, status seeking and lust. Today, too, some advertisers consciously seek to shock and titillate by exploiting content of a morbid, perverse,

pornographic nature. What this Pontifical Council said several years ago about pornography and violence in the media is no less true of certain forms of advertising:

"As reflections of the dark side of human nature marred by sin, pornography and the exaltation of violence are age-old realities of the human condition. In the past quarter century, however, they have taken on new dimensions and have become serious social problems. At a time of widespread and unfortunate confusion about moral norms, the communications media have made pornography and violence accessible to a vastly expanded audience, including young people and even children, and a problem which at one time was confined mainly to wealthy countries has now begun, via the communications media, to corrupt moral values in developing nations." We note, too, certain special problems relating to advertising that treats of religion or pertains to specific issues with a moral dimension.

In cases of the first sort, commercial advertisers sometimes include religious themes or use religious images or personages to sell products. It is possible to do this in tasteful, acceptable ways, but the practice is obnoxious and offensive when it involves exploiting religion or treating it flippantly.

In cases of the second sort, advertising sometimes is used to promote products and inculcate attitudes and forms of behavior contrary to moral norms. That is the case, for instance, with the advertising of contraceptives, abortifacients and products harmful to health, and with government-sponsored advertising campaigns for artificial birth control, so-called "safe sex", and similar practices.

LESSON 39**ADVERTISING ETHICS****Deceptive Advertising**

The most common criticism of advertising concerns its effect on the consumer's beliefs. Because advertising is a form of communication, it can be as truthful or deceptive as any other form of communication. Most criticisms of advertising focus on the deceptive aspects of modern advertising.

Deceptive advertising can take several forms. An advertisement can misrepresent the nature of the product by using deceptive mock-ups, using untrue paid testimonials, inserting the word *guarantee* where nothing is guaranteed, and quoting misleading prices, failing to disclose defects in a product, misleadingly disparaging a competitor's goods, or simulating well-known brand names. Some fraudulent forms of advertising involve more complex schemes. For example, bait advertisements announce the sale of goods that later prove not to be available or to be deceptive. Once the consumer is lured into the store, he or she is pressured to purchase another more expensive item.

A long ethical tradition has consistently condemned deceptive in advertng on the grounds that it violates consumers' rights to choose for themselves (a Kantian argument) and on the grounds that it generates a public distrust of advertising that diminishes the utility of this form and even of this form and even of other forms of communication (a utilitarian argument). The central problem then is not understanding why deceptive advertising is wrong, but understanding how it becomes deceptive and, therefore, unethical.

The Federal Trade Commission (FTC) is the primary regulator of deceptive advertising in the U.S. It was created by the FTC Act in 1914.

Section 5 of the Act gave the Commission the authority to regulate "unfair methods of competition." The Act was later changed, by the Wheeler-Lea Amendment, to give the FTC authority over both "unfair methods of competition" and "unfair or deceptive acts or practices." It is through this latter power that the FTC regulates deceptive advertising.

Commissioners of the FTC act like judges, hearing cases when marketers are charged with violating the FTC Act. The Commission also publishes advertising guidelines for marketers, which are *not* law but merely advisory, and adopts trade regulation rules, which *are* law.

Basic Principles

According to its 1993 Policy Statement on Deception, the FTC considers a marketing effort to be deceptive if: (1) there is a representation, omission, act or practice, that (2) is likely to mislead consumers acting reasonably under the circumstances, and (3) that representation, omission, or practice is "material." The term "material" refers to the fact that some deceptive claims are trivial, and that the FTC will only regulate deceptions that are important to consumers, i.e., those that affect consumers' "choice of, or conduct regarding, a product."

Evidence

To prove that an ad claim is, in fact, deceptive, the FTC is not generally concerned with what the claim says, but what it conveys to consumers. If that conveyed message differs from the reality of the product attribute being advertised, the claim is considered deceptive. This requires the Commission to look at two types of evidence: (1) evidence concerning what message is conveyed to consumers, and (2) evidence concerning the product attribute's true qualities.

The former requires looking into the heads of consumers. The FTC considers surveys the best form of evidence to discover what message is conveyed by an ad, though sometimes the Commission relies on other evidence. The question of how best to unearth the inner thoughts of consumers has been an issue of significant research efforts and theoretical discussion. The second form of evidence can require a variety of different methods of assessing a product's attributes. If, for example, the claim refers to the fuel mileage of an automobile, laboratory testing of the vehicle's fuel efficiency would normally be required. However, the FTC requires that advertisers conduct such testing *prior* to making the ad claim. If a claim is made without evidence in hand that the product will perform as advertised, the claim will be considered deceptive. This is known as "substantiation," and the Commission's requirements are detailed in the [1984 FTC Substantiation Policy](#).

Remedies

Most cases started by the FTC never require the Commission to make a final decision about the deceptiveness of an advertiser's claim. Those cases end, instead, in a "consent order," whereby the advertiser simply agrees to do what the FTC staff asks. No hearing is required.

In those cases that do end in a final FTC decision, if the claim is found deceptive, the advertiser will face one of three possible remedies: (1) a Cease and Desist Order, which requires the advertiser to stop making the claim, (2) an Affirmative Disclosure Order, which forces the advertiser to provide consumers with more information, or (3) Corrective Advertising, which is a form of affirmative disclosure that is intended to correct lingering deception that results from a long history of deceiving the consumer.

Puffery

Historically, claims that were "mere exaggerations" or "hyperbole" were considered to be puffery, and therefore not deceptive. Terms like "the best" or "the greatest" were sales talk, and the FTC would not regulate them. After all, everyone knows that "Wonder Bread" is not really a wonder, and "The Greatest Show on Earth" is not what everyone considers the greatest. Puffery, therefore, was a form of opinion statement, and considered un-regulable.

Some observers have expressed concern that the "puffery defense" was a loophole through which many deceptive claims fell. The Commission has been criticized for allowing deceptive claims to slip through under the guise of puffery.

On the other hand, the FTC has defined puffery as claims that (1) reasonable people do not believe to be true product qualities, and (2) are incapable of being proved either true or false. Consequently, if deception is the creation of a "false belief" about the product in the mind of a

consumer, claims that fall into the FTC definition of puffery cannot be deceptive. By definition, such claims can be neither false nor can they create belief. This means that if deceptive claims have slipped through regulation as puffs, it is because the FTC has failed to follow its own definition. See our [bibliography on puffery](#) and [puffery quotes](#).

LESSON 40**ADVERTISING IN TODAY'S SOCIETY**

Advertising is a huge global business. No business can succeed without it, no name products appear on the market without being backed by advertising. Food, clothing, furniture, accessories, cosmetics, books, toys, everything displayed in the store is a result of intensive competition and expensive promotion on the part of each manufacturer to induce the stores to stock and stack his product. Each year billions of dollars are spent in attempts to influence our decisions and to persuade us to spend more.

On the high street, on public transport, in newspapers and magazines and on television we are bombarded with images and slogans (between four-hundred and three-thousand advertising messages per day!) designed to make us part with our cash. But for the most part we love it, secretly at least. We may resent the hideous sign that invades the beauty spot, loathe the commercial that interrupts a TV show, but we reach for our newspaper or favorite magazine not only for an update on the news but to scan the ads for bargains or to enjoy looking at them. Because of the enormous amount of advertising there is around, the advertising industry is constantly trying to come up with new ways of getting our attention ("Sex sells!",...).

Advertising agencies and the making of an ad

In very general terms, the function of an agency – this usually consists of executive, creative, research, media, technical, and administrative departments – is to present to its client a new, catchy, and practical idea for a campaign, furnish an outline with mockups and estimates, and after final approval see the project in the end. In the area of graphics, the art director, working in close cooperation with the copywriter and client, decides on the kind of illustration or spot best suited to the selling theme, the product, and kind of image the advertiser wishes to project. In the world of advertising, everyone's thinking is focused on now or on the future, never on the past.

The Influence of Advertisements on the Customers Shopping Behavior

All adverts need to use specific stimuli (for example: colorful pictures, erotic poses,...), so that the customer becomes aware of the advert and can store the given information over a longer period of time. For effective advertising, basic conditioning psychology has to be brought into effect, whereby the product is coupled with pleasant **feelings and emotions** (*Coca-Cola* in conjunction with fun and joy - *"Enjoy the taste...enjoy the fun ...always Coca-Cola"*)

Psychological tricks

Packaging: The design of the package decides whether the product will be accepted by the customer or not. An extravagant packaging and attractive colors are important factors, which influence his decision. **Positioning and arrangement of the shelves:** Luxury goods and goods the most profits are mainly to be found on the right hand shelves. This is due to an inborn tendency to look and reach to the right. In addition, these things are to be found at eye or arm level because at this height the products are easy to reach. Articles of everyday use are usually found at the back of the store, farthest away from the entrance. This is to force the customer to pass as many items as possible and to force him to make a purchase.

"Muzac", soft background music, is played, as it has a relaxing effect and produces a pleasant atmosphere. In order to give the customer the feeling that time is no problem, there are no clocks to be found. Sweets and toys are often to be found just before the cash desk, in a bid to give children a "reward" for waiting. Fully filled shelves are always an inducement to buy, so shelves are repeatedly filled. Stands are always well decorated because they bring an increase in sales.

LESSON 41

GALBRAITH vs. VON HAYEK

John Kenneth Galbraith (October 15, 1908–April 29, 2006) was an influential Canadian-American economist. He was a Keynesian and an institutionalist, a leading proponent of 20th-century American liberalism and progressivism. His books on economic topics were bestsellers in the 1950s and 1960s.

Galbraith was a prolific author who produced four dozen books and over a thousand articles on various subjects. Among his most famous works was a popular trilogy on economics, *American Capitalism* (1952), *The Affluent Society* (1958), and *The New Industrial State* (1967). He taught at Harvard University for many years. Galbraith was active in politics, serving in the administrations of Franklin D. Roosevelt, Harry S. Truman, John F. Kennedy and Lyndon B. Johnson; and among other roles served as U.S. ambassador to India under Kennedy.

He was one of a few two-time recipients of the [Presidential Medal of Freedom](#). He received one from President Truman in [1946](#) and another from President [Bill Clinton](#) in [2000](#)^[1]. He was also awarded the [Padma Vibhushan](#), India's second highest civilian award, for his contributions to strengthening ties between India and the United States. Some of Galbraith's Ideas

In *The Affluent Society* Galbraith asserts that classical economic theory was true for the eras before the present, which were times of "poverty"; now, however, we have moved from a state of poverty into an age of "affluence," and for such an age, a completely new economic theory is needed.

Galbraith's main argument is that as society becomes relatively more affluent, so private business must "create" consumer wants through advertising, and while it generates artificial affluence through the production of commercial goods and services, the "public sector" becomes neglected as a result. He pointed out that while many Americans were able to purchase luxury items, their parks were polluted and their children attended poorly maintained schools. He argues that markets alone will under provide (or fail to provide at all) for many public goods, whereas private goods are typically 'overprovided' due to the process of advertising creating artificial demand above individual's basic needs.

He proposed curbing the consumption of certain products through greater use of consumption taxes, arguing this could be more efficient than other forms of taxes such as labor or land taxes.

Galbraith's major proposal was a program he called "investment in men" - a large-scale publicly-funded education program aimed at empowering ordinary citizens. Galbraith wished to entrust citizens with the future of the American republic.

Advertising and the Creation of Consumer Desires

John K. Galbraith and other have long argued that advertising is manipulative: it is the creation of desires in consumers for the sole purpose of absorbing industrial output. Galbraith distinguished two kinds of desires: those that have a "physical" basis, such as desires for food and shelter; and those that are "psychological in origin," such as the individual's desires for goods that "give him a sense of personal achievement, accord him a feeling of equality with

this neighbors, direct his mind from thought, serve sexual aspiration, promise social acceptability, enhance his subjective feeling of health, contribute by conventional cannons to personal beauty, or are otherwise psychologically rewarding.

The physically based desires originate in the buyer and are relatively immune to being changed by persuasion. The psychic desires, however, are capable of being managed, controlled, and expanded by advertising. Because the demand created physical needs is finite, producers soon produce enough to meet these needs. If production is to expand, therefore, producers must create new demand by manipulating the pliable psychic desires through advertising. Advertising is therefore used to create psychic desires for the sole purpose of “ensuring that people buy what is produced”—that is, to absorb the output of an expanding industrial system.

The effect of this management of demand through advertising is to shift the focus of decision in the purchase of goods from the consumer where it is beyond control to the firm where it is subject to control. Production is not molded to serve human desires; rather, human desires are molded to serve the needs of production.

If this view of Galbraith’s is correct, then advertising violates the individual’s right to choose for him or herself: advertising manipulates the consumer. The consumer is used merely as a means for advancing the ends and purposes of producers, and this diminishes the consumer’s capacity to freely choose for him or herself.

It is not clear that Galbraith argument is correct. As we have already seen, the psychological effects of advertising are still unclear. Consequently, it is unclear whether psychic desires can be manipulated by advertising in the whole sale way that Galbraith’s argument assumes.

Moreover, as **F.A Hayek** and others have pointed out, the “creation” of psychic wants did not originate with modern advertising. New wants have always been “created” by the invention of novel and attractive products (such as the first bow and arrow, the first painting, the first perfume), and such a creation of wants seems harmless enough.

However, although it is unclear whether advertising as a whole has the massive manipulative effects that Galbraith attributes to it., it is clear that some particular advertisements are at least intended to manipulate. They are intended, to arouse in the consumer a psychological desire for the product without the consumer’s knowledge and without the consumer being able to rationally weigh whether the product is in his or her own best interests. Advertisements that intentionally rely on “subliminal suggestion,” or that attempt to make consumers associate unreal sexual or social fulfillment with a product, fall into this class, as do advertisements that are aimed at children.

Criticism of Galbraith's Work

Galbraith's work and *The Affluent Society* in particular drew sharp criticism from free-market supporters at the time of its publication.

Milton Friedman in "Friedman on Galbraith, and on curing the British disease" views Galbraith as a 20th-century version of the early 19th-century Tory radical of Great Britain. He asserts that Galbraith believes in the superiority of aristocracy and in its paternalistic authority, that consumers should not be allowed choice and that all should be determined by those with "higher minds":

"Many reformers -- Galbraith is not alone in this -- have as their basic objection to a free market that it frustrates them in achieving their reforms, because it enables people to have what they want, not what the reformers want. Hence every reformer has a strong tendency to be averse to a free market."

Galbraith versus Hayek

Two of the great economists of the 20th century were John Kenneth Galbraith and Friedrich Hayek. They held very different views about advertising, which to a large extent reflected their views about the capitalist system more broadly.

John Kenneth Galbraith's most famous book was *The Affluent Society*, which was published in 1958. In it, he argued that corporations use advertising to create demand for products that people otherwise do not want or need. The market system should not be applauded, he believed, for satisfying desires that it has itself created. Galbraith was skeptical that economic growth was leading to higher levels of well-being, because people's aspirations were being made to keep pace with their increased material prosperity. He worried that as advertising and salesmanship artificially enhanced the desire for private goods, public spending on such items as better schools and better parks suffered. The end result, according to Galbraith, was "private opulence and public squalor." Galbraith policy recommendation was clear: Increase the size of government.

Friedrich Hayek's most famous book was *The Road to Serfdom*, published in 1944. It argued that an extensive government role in the economy inevitably means a sacrifice of personal freedoms. Hayek also wrote a well-known critique of Galbraith in 1961, addressing in particular Galbraith's view of advertising. Hayek observed that advertising was merely one example of a broader phenomenon: Many preferences are created by the social environment. Literature, art, and music are all acquired tastes. A person's demand for hearing a Mozart concerto may have been created in a music appreciation class, but this fact does not make the desire less legitimate or the music professor a sinister influence. Hayek concluded, "It is because each individual producer thinks that the consumers can be persuaded to like his products that he endeavors to influence them. But though this effort is part of the influences which shape consumers' taste, no producer can in any real sense 'determine' them."

Although these two economists disagreed about the roles of advertising, markets, and government, they did have one thing in common: great acclaim. In 1974, Hayek won the Nobel prize in economics. In 2000, President Clinton awarded Galbraith the National Medal of Freedom. And even though their most famous works were written many decades ago, they are still well worth reading today.

LESSON 42

GALBRAITH vs. VON HAYEK

This is a pretty good measure of how far we have come in America in our understanding of freedom from that of the founders: Bill Clinton awarded the "Medal of Freedom" to John Kenneth Galbraith on August 9, 2000, despite the fact that Galbraith has been a stalwart champion of the very opposite idea of freedom from that laid out by those founders.

Galbraith, a professor emeritus at the department of economics at Harvard University, although a fine writer and charming human being-- so much so that William F. Buckley, Jr., has been his long time friend despite their political differences--has been a socialist for nearly all of his career. He has been a relentless critic of capitalism and the market system, based on his essentially elitist and paternalistic idea of what governments must do for the people they serve. This was to make them all abide by tenets of "fairness" or, at least, his socialist version of that ideal.

Galbraith, though an avowed statist--not of the Marxist-Leninist but more of the democratic socialist variety--has been one of the most fervent bashers of the "rich" in contemporary American culture. While not an explicit Marxist, he accepted the Marxian idea that capitalists create nothing and take a great deal that they should not be allowed to have. In his most popular book, *The Affluent Society*, he laid out a case for a powerful welfare state. He has written in some of the most prestigious publications of our society, including *The New York Review of Books*, *The New York Times*, *American Prospect*, *Dissent*, *The Nation* and so on.

One of his most well known and widely studied legacies was created from a section of his book dealing with advertising. Galbraith asserted that advertising is a device by which business creates desires in consumers which must be acted on and thus produce what he called "the dependency effect." In other words, consumers become dependent on corporations because the latter create desires in them for the goods and services they offer for sale. By this means, corporations become wealthy, make huge profits, while resources are taken away from far more important projects, you guessed it, those the government wants to provide for us. The public sector is diminished and the private sector unfairly benefits.

This famous section of *The Affluent Society* is reprinted in nearly all business ethics readers serving as text books for business school students across the world. Far fewer of these volumes offer the decisive rebuttal to Galbraith's position, penned by the great economists, the late F. A. Hayek. Hayek noted that Galbraith's claim is true but not just for business and advertisers but also of all human creative endeavors.

The difference is that unlike Galbraith, Hayek did not believe that the desires that people might cultivate for what is presented to them must be acted on. Instead, we have the freedom to choose whether to try to fulfill our desires, however they might be created. Advertising appeals to us but cannot make us do anything. It is a promotional project by which producers call out to us hoping we would consider what they have to offer and to purchase it. But there is no guarantee at all that we will act as the advertisers wishes we would.

In what sense does Galbraith deserve a medal of freedom? Only in the sense that a certain conception of freedom does underlie his thinking. This is what is called "positive" freedom. It means a condition whereby people are provided by government, and at the expense of other people, with what they could use to advance their lot. Such provisions would "free" them to move forward.

The freedom of the American founders is quite different, mainly backed by a different idea of human nature. It is that people in communities require first and foremost not to be thwarted in their efforts to make headway in life.

Others may not be conscripted into involuntary servitude to provide them with what they might need because if they are not thwarted by them, they will be able to do this on their own. Not equally rapidly, not to the same extent, perhaps, but if they only apply themselves, they will flourish without coercing others.

Galbraith has never championed this kind of "negative" freedom. So his views are alien to the American political tradition. It is not surprising, then, that he receives the medal of freedom from President Bill Clinton, someone who has done nothing at all to further freedom in this truly American sense.

To Galbraith's minor credit, however, he did, a few years ago, finally admit that capitalism is a far better economic system than socialism. He did this only in the wake of the collapse of the Soviet Empire. And even then with great reservations and regret.

He was asked, in an interview published in Alitalia's October 1996 "in flight" magazine: "You spoke of the failure of socialism. Do you see this as a total failure, a counterproductive alternative?" He replies this way: "I'd make a distinction here. What failed was the entrepreneurial state, but it had some beneficial effect. I do not believe that there are any radical alternatives, but there are correctives. The only alternative socialism, that is the alternative to the market economy, has failed. The market system is here to stay."

LESSON 43**ADVERTISING AND SELF-REGULATION**

The self-regulatory system comprises three bodies: the Advertising Standards Authority (ASA), the Advertising Standards Board of Finance (ASBOF) and the Committee of Advertising Practice (CAP). Their work is described below.

60.2 The strength of the system depends on the long-term commitment of all those involved in advertising, sales promotions and direct marketing (marketing).

Practitioners in every sphere share an interest in seeing that marketing communications are welcomed and trusted by their audience; unless they are accepted and believed they cannot succeed. If they are offensive or misleading they discredit everyone associated with them and the industry as a whole.

60.3 The Code and all ASA rulings together with ASA and CAP guidance on a wide range of topics are available on www.asa.org.uk and www.cap.org.uk. The ASA and CAP update their websites regularly.

In the UK, the British Code of Advertising, Sales Promotion and Direct Marketing (the Code) is the rule book for non-broadcast advertisements, sales promotions and direct marketing communications (marketing communications). The Code is primarily concerned with the content of marketing communications and not with terms of business or products themselves. Some rules, however, go beyond content, for example those that cover the administration of sales promotions, the suitability of promotional items, the delivery of products ordered through an advertisement and the use of personal information in direct marketing. Editorial content is specifically excluded from the Code, though it might be a factor in determining the context in which marketing communications are judged.

The Committee of Advertising Practice (CAP) is the self-regulatory body that creates, revises and enforces the Code. CAP's members include organizations that represent the advertising, sales promotion, direct marketing and media businesses. Through their membership of CAP member organizations, or through contractual agreements with media publishers and carriers, those businesses agree to comply with the Code so that marketing communications are legal, decent, honest and truthful and consumer confidence is maintained.

Some CAP member organizations, for example the Direct Marketing Association and the Proprietary Association of Great Britain, also require their members to observe their own codes of practice. Those codes may cover some practices that are not covered in this Code. The Code supplements the law, fills gaps where the law does not reach and often provides an easier way of resolving disputes than by civil litigation or criminal prosecution. In many cases, self-regulation ensures that legislation is not necessary. Although advertisers, promoters and direct marketers (marketers), agencies and media may still wish to consult lawyers, compliance with the Code should go a long way to ensuring compliance with the law in areas covered by both the Code and the law. By creating and following self-imposed rules, the marketing community produces marketing communications that are welcomed and trusted. By practicing self-regulation, it ensures the integrity of advertising, promotions and direct marketing.

The value of self-regulation as an alternative to statutory control is recognized in EC Directives, including those on misleading and comparative advertising (Directives 84/450 and 97/55 EC), and self-regulation is accepted by the Department of Trade and Industry and the Office of Fair Trading as a first line of control in protecting consumers.

The Advertising Standards Authority (ASA) is the independent body that endorses and administers the Code, ensuring that the self-regulatory system works in the public interest. The ASA's activities include investigating and adjudicating on complaints and conducting research. A leaflet describing the ASA's complaints procedure is available on request and full information is available on www.asa.org.uk.

The vast majority of advertisers, promoters and direct marketers comply with the Code. Those that do not may be subject to sanctions. Adverse publicity may result from the rulings published by the ASA weekly on its website. The media, contractors and service providers may withhold their services or deny access to space. Trading privileges (including direct mail discounts) and recognition may be revoked, withdrawn or temporarily withheld. Pre-vetting may be imposed and, in some cases, non-complying parties can be referred to the Office of Fair Trading for action, where appropriate, under the Control of Misleading Advertisements Regulations. The system is structured so that it does not operate in an unfair or anti-competitive manner or restrict free speech unjustifiably. ASA decisions are subject to independent review, including in exceptional cases by the Administrative Division of the High Court. The full text of the Code is available on www.cap.org.uk. Copyright The Committee of Advertising Practice 2005.

MEMBERS OF THE COMMITTEE OF ADVERTISING PRACTICE

- Advertising Association
- Broadcast Advertising Clearance Centre
- Cinema Advertising Association
- Direct Marketing Association
- Direct Selling Association
- Incorporated Society of British Advertisers
- Institute of Practitioners in Advertising
- Institute of Sales Promotion
- Interactive Advertising Bureau
- Mail Order Traders Association
- Newspaper Publishers Association
- Newspaper Society
- Outdoor Advertising Association
- Periodical Publishers Association
- Proprietary Association of Great Britain
- Radio Advertising Clearance Centre
- Royal Mail
- Scottish Daily Newspaper Society
- Scottish Newspaper Publishers Association

INTRODUCTION

This eleventh edition of the Code comes into force on 4 March 2003. It replaces all previous editions.

The Code applies to:

Advertisements in newspapers, magazines, brochures, leaflets, circulars, mailings, e-mails, text transmissions, fax transmissions, catalogues, follow-up literature and other electronic and printed material posters and other promotional media in public places, including moving images

- Cinema and video commercials
- Advertisements in non-broadcast electronic media, including online advertisements in paid-for space (e.g. banner and pop-up advertisements)
- View data services
- Marketing databases containing consumers' personal information
- Sales promotions
- Advertisement promotions

The Code does not apply to:

- a. Broadcast commercials. (The BCAP Advertising Standards Codes set out the rules that govern broadcast advertisements on any television channel and radio station licensed by Ofcom.)
- b. The contents of premium rate services, which are the responsibility of the Independent Committee for the Supervision of Standards of Telephone Information Services (ICSTIS); marketing communications that promote these services are subject to ICSTIS regulation and to the Code
- c. Marketing communications in foreign media. Direct marketing that originates outside the UK but is targeted at UK consumers will be subject to the jurisdiction of the relevant authority in the country where it originates so long as that authority operates a suitable cross-border complaint system. If it does not, the ASA will take what action it can. All members of the European Union, and many non-European countries, have self-regulatory organizations that are members of the European Advertising Standards Alliance (EASA). EASA co-ordinates the cross-border complaints system for its members (which include the ASA).
- d. Health-related claims in marketing communications addressed only to the medical, dental, veterinary and allied professions
- e. Classified private advertisements, including those appearing online
- f. Statutory, public, police and other official notices/information, as opposed to marketing communications, produced by public authorities and the like
- g. Works of art exhibited in public or private
- h. Private correspondence, including correspondence between companies and their customers about existing relationships or past purchases
- i. Live oral communications, including telephone calls
- j. Press releases and other public relations material, so long as they do not fall under 1.1 above
- k. Editorial content, for example of the media and of books
- l. Regular competitions such as crosswords
- m. Fly posting (most of which is illegal)
- n. Packages, wrappers, labels, tickets, timetables and price lists unless they advertise another product, a sales promotion or are visible in a marketing communication
- o. Point of sale displays, except those covered by the sales promotion rules and the rolling paper and filter rules
- p. Election advertisements as defined in clause 12.1
- q. Website content, except sales promotions and advertisements in paid-for space
- r. Sponsorship; marketing communications that refer to sponsorship are covered by the Code

s. Customer charters and codes of practice.

These definitions apply to the Code:

- a. A *product* encompasses goods, services, ideas, causes, opportunities, prizes or gifts
- b. A *consumer* is anyone who is likely to see a given marketing communication, whether in the course of business or not
- c. The *United Kingdom* rules cover the Isle of Man and the Channel Islands
- d. A *claim* can be implied or direct, written, spoken or visual
- e. The Code is divided into numbered *clauses*
- f. A *marketing communication* includes all forms of communication listed in 1.1
- g. A *marketer* includes an advertiser, promoter or direct marketer
- h. A *supplier* is anyone who supplies products that are sold by distance selling
- i. marketing communications (and may also be the marketer)
- j. A *child* is anyone under 16.
- k. A *corporate subscriber* includes corporate bodies such as limited companies in the UK, limited liability partnerships in England, Wales and N. Ireland or any partnerships in Scotland. It also includes schools, hospitals, Government departments or agencies and other public bodies. It does not include sole traders or non-limited liability partnerships in England, Wales and N. Ireland.

These criteria apply to the Code:

- a. The ASA Council's interpretation of the Code is final
- b. Conformity with the Code is assessed according to the marketing communication's probable impact when taken as a whole and in context. This will depend on the medium in which the marketing communication appeared, the audience and its likely response, the nature of the product and any additional material distributed to consumers
- c. The Code is indivisible; marketers must conform with all appropriate rules
- d. The Code does not have the force of law and its interpretation will reflect its flexibility. The Code operates alongside the law; the Courts may also make rulings on matters covered by the Code
- e. An indication of the statutory rules governing marketing is given on www.cap.org.uk; professional advice should be taken if there is any doubt about their application
- f. No spoken or written communications with the ASA or CAP should be understood as containing legal advice
- g. The Code is primarily concerned with the content of advertisements, promotions and direct marketing communications and not with terms of business or products themselves. Some rules, however, go beyond the content, for example those that cover the administration of sales promotions, the suitability of promotional items, the delivery of products ordered through an advertisement and the use of personal information in direct marketing. Editorial content is specifically excluded from the remit of the Code (see 1.2k), although it might be a factor in determining the context in which marketing communications are judged.
- h. The rules make due allowance for public sensitivities but will not be used by the ASA to diminish freedom of speech unjustifiably
- i. The ASA does not arbitrate between conflicting ideologies.

GENERAL RULES**Principles**

All marketing communications should be legal, decent, honest and truthful.

All marketing communications should be prepared with a sense of responsibility to consumers and to society.

2.3 All marketing communications should respect the principles of fair competition generally accepted in business.

2.4 No marketing communication should bring advertising into disrepute.

2.5 Marketing communications must conform with the Code. Primary responsibility for observing the Code falls on marketers. Others involved in preparing and publishing marketing communications such as agencies, publishers and other service suppliers also accept an obligation to abide by the Code.

2.6 Any unreasonable delay in responding to the ASA's enquiries may be considered a breach of the Code.

2.7 The ASA and CAP will on request treat in confidence any genuinely private or secret material supplied unless the Courts or officials acting within their statutory powers compel its disclosure.

2.8 The Code is applied in the spirit as well as in the letter.

Substantiation

Before distributing or submitting a marketing communication for publication, marketers must hold documentary evidence to prove all claims, whether direct or implied, that are capable of objective substantiation. Relevant evidence should be sent without delay if requested by the ASA or CAP. The adequacy of evidence will be judged on whether it supports both the detailed claims and the overall impression created by the marketing communication. The full name and geographical business address of marketers should be provided without delay if requested by the ASA or CAP.

- If there is a significant division of informed opinion about any claims made in a marketing communication they should not be portrayed as generally agreed.
- Claims for the content of non-fiction books, tapes, videos and the like that have not been independently substantiated should not exaggerate the value, accuracy, scientific validity or practical usefulness of the product.
- Obvious untruths or exaggerations that are unlikely to mislead and incidental minor errors and unorthodox spellings are all allowed provided they do not affect the accuracy or perception of the marketing communication in any material way.

Legality

Marketers have primary responsibility for ensuring that their marketing communications are legal. Marketing communications should comply with the law and should not incite anyone to break it.

Decency (i.e. avoiding serious or widespread offence)

Marketing communications should contain nothing that is likely to cause serious or widespread offence. Particular care should be taken to avoid causing offence on the grounds of race, religion, sex, sexual orientation or disability. Compliance with the Code will be judged on the context, medium, audience, product and prevailing standards of decency.

Marketing communications may be distasteful without necessarily conflicting with 5.1 above. Marketers are urged to consider public sensitivities before using potentially offensive material. The fact that a particular product is offensive to some people is not sufficient grounds for objecting to a marketing communication for it.

Honesty

Marketers should not exploit the credulity, lack of knowledge or inexperience of consumers.

Truthfulness

No marketing communication should mislead, or be likely to mislead, by inaccuracy, ambiguity, exaggeration, omission or otherwise.

Matters of opinion

Marketers may give a view about any matter, including the qualities or desirability of their products, provided it is clear that they are expressing their own opinion rather than stating a fact. Assertions that go beyond subjective opinions.

Fear and distress

- No marketing communication should cause fear or distress without good reason. Marketers should not use shocking claims or images merely to attract attention.
- Marketers may use an appeal to fear to encourage prudent behavior or to discourage dangerous or ill-advised actions; the fear likely to be aroused should not be disproportionate to the risk.

Safety

- Marketing communications should not condone or encourage unsafe practices. Particular care should be taken with marketing communications addressed to or depicting children.
- Consumers should not be encouraged to drink and drive. Marketing communications should, where appropriate, include a prominent warning on the dangers of drinking and driving and should not suggest that the effects of drinking alcohol can be masked.

Violence and anti-social behavior

Marketing communications should contain nothing that condones or is likely to provoke violence or anti-social behavior.

Political advertising

- Any advertisement or direct marketing communication, whenever published or distributed, whose principal function is to influence voters in local, regional, national or international elections or referendums is exempt from the Code.
- There is a formal distinction between Government policy and that of political parties. Marketing communications by central or local government, as distinct from those concerning party policy, are subject to the Code.

Protection of privacy

Marketers should not unfairly portray or refer to people in an adverse or offensive way. Marketers are urged to obtain written permission before:

- a. Referring to or portraying members of the public or their identifiable possessions; the use of crowd scenes or general public locations may be acceptable without permission
- b. Referring to people with a public profile; references that accurately reflect the contents of books, articles or films may be acceptable without permission
- c. Implying any personal approval of the advertised product; marketers should recognize that those who do not wish to be associated with the product may have a legal claim.
 - Prior permission may not be needed when the marketing communication contains nothing that is inconsistent with the position or views of the person featured.
 - References to anyone who is deceased should be handled with particular care to avoid causing offence or distress.
 - Members of the Royal Family should not normally be shown or mentioned in marketing communications without their prior permission. Incidental references unconnected with the advertised product, or references to material such as books, articles or films about members of the Royal Family, may be acceptable.
 - The Royal Arms and Emblems should be used only with the prior permission of the Lord Chamberlain's office. References to Royal Warrants should be checked with the Royal Warrant Holders' Association.

Testimonials and endorsements

- Marketers should hold signed and dated proof, including a contact address, for any testimonial they use. Unless they are genuine opinions taken from a published source, testimonials should be used only with the written permission of those giving them.
- Testimonials should relate to the product being advertised.
- Testimonials alone do not constitute substantiation and the opinions expressed in them must be supported, where necessary, with independent evidence of their accuracy. Any claims based on a testimonial must conform to the Code.
- Fictitious testimonials should not be presented as though they are genuine.
- Unless they are genuine statements taken from a published source, references to tests, trials, professional endorsements, research facilities and professional journals should be used only with the permission of those concerned.
- Marketers should not refer in marketing communications to advice received from CAP or imply any endorsement by the ASA or CAP.

Prices

(see CAP Help Notes on Lowest Price Claims and Price Promises and on Retailers' Price Comparisons)

- Any stated price should be clear and should relate to the product advertised.
- Marketers should ensure that prices match the products illustrated (see 48.7).
- Prices quoted in marketing communications addressed to the public should include VAT and other non-optional taxes and duties imposed on all buyers. In some circumstances, for example where marketing communications are likely to be read mainly by businesses able to recover VAT, prices may be quoted exclusive of VAT or other taxes and duties, provided prominence is given to the amount or rate of any additional costs.

- If the price of one product is dependent on the purchase of another, the extent of any commitment by consumers must be made clear.
- Price claims such as ‘up to’ and ‘from’ should not exaggerate the availability of benefits likely to be obtained by consumers.
- A recommended retail price (RRP), or similar, used as a basis of comparison should be genuine; it should not differ significantly from the price at which the product is generally sold.

Availability of products

- Marketers must make it clear if stocks are limited. Products must not be advertised unless marketers can demonstrate that they have reasonable grounds for believing that they can satisfy demand. If a product becomes unavailable, marketers will be required to show evidence of stock monitoring, communications with outlets and swift withdrawal of marketing communications whenever possible.
- Products which cannot be supplied should not normally be advertised as a way of assessing potential demand unless it is clear that this is the purpose of the marketing communication.
- Marketers must not use the technique of switch selling, where their sales staff criticizes the advertised product or suggest that it is not available and recommend the purchase of a more expensive alternative. They should not place obstacles in the way of purchasing the product or delivering it promptly.

LESSON 44**CONSUMER PRIVACY**

Going online and taking advantage of what the Internet has to offer may require that you disclose personal information. Whether you're new to the Net, or consider yourself savvy in the ways of the Web, you may have concerns about how personal information is collected, what choices you have about how it is used and shared, and under what circumstances you can access it.

Many of the creators of Consumer Privacy Guide believe that to assure the privacy of their personal information, consumers must have the protection provided by basic law. Law would provide Internet users with basic expectations about Web sites' responsibilities for protecting the privacy of the personal information they collect. We continue to work toward this goal. But whether information in the online world is protected by law or not, consumers need information and tools to take charge of their privacy.

Privacy Guide gives you useful tips for protecting your privacy and helps you take control of the way your information is used. It attempts to answer your questions, in consumer friendly, practical terms, about what you can do to assure that information that you choose to share with companies is used in ways you believe are appropriate. This site will explain terms used on the Internet that may be unfamiliar to you, provide "how-to" guides to understanding privacy resources and technologies, and point you toward other helpful resources.

Consumer Privacy

Advances in computer processing power, database software, and communication technologies have given us the power to collect, manipulate, and disseminate personal information about consumers on a scale unprecedented in the history of the human race. This new power over the collection, manipulation, and dissemination of personal information has enabled mass invasions of the privacy of consumers and has created the potential for significant harms arising from mistaken or false information. For example, a pair of British investigators reported that in England, where companies register with the government the kind of information they will collect, businesses were collecting highly detailed and very personal information about their customers.

Speaking broadly, the right to privacy is the right to be left alone. We do not discuss this broad characterization of the right to privacy, however, but concentrate on privacy as the right of a person not to have others spy on his or her private life. In this more narrow sense, the right to privacy can be defined as the right of persons to determine what, to whom, and how much information about themselves will be disclosed to other parties.

There are two basic types of privacy: **Psychological privacy** is privacy with respect to a person's inner life. This includes the person's thoughts and plans, personal beliefs and values, feelings, and wants. These inner aspects of a person are so intimately connected with the person that to invade them is almost an invasion of the very person. **Physical privacy** is privacy with respect to a person's physical activities. For example, a person in our culture normally feels degraded if forced to disrobe publicly or perform biological or sexual functions in public. Physical privacy, therefore, is also valued for its own sake.

Privacy is also important because it has several enabling functions. First, privacy enables a person to develop ties of friendship, love, and trust. Without intimacy, these relationships could not flourish. Intimacy, however, requires both sharing information about oneself that is not shared with everyone and engaging in special activities with others that are not publicly performed. Therefore, without privacy, intimacy would be impossible and relationships of friendship, love, and trust could not exist.

Second, privacy enables certain professional relationships to exist. Insofar as the relationships between doctor and patient, lawyer and client, and psychiatrist and patient all require trust and confidentiality, they could not exist without privacy.

Third, privacy also enables a person to sustain distinct social roles. The executive of a corporation, for example, may want, as a private citizen, to support a cause that is unpopular with his or her firm. Privacy enables the executive to do so without fear of reprisal.

Fourth, privacy enables people to determine who they are by giving them control of the way they present themselves to society in general and of the way that society in general looks on them. At the same time, privacy enables people to present themselves in special way to those whom they select. In both cases, this self-determination is secured by the right of the individual to determine the nature and extent of disclosure of information about oneself.

It must be balanced, however, with the rights and needs of others. Banks must know something about the credit history of those to whom they are lending money, for example. Since consumers benefit from the banking system, they also benefit from their right to privacy being balanced against the banks' right to know their personal information.

To balance these two factors, the following factors are crucial:

1. **Relevance** - Databases should contain only information directly relevant to the purpose for which it is collected.
2. **Informing** - Consumers should be informed that information is being collected and told what the purpose of its collection is.
3. **Consent** - Businesses should collect information only if consumers consent to provide it.
4. **Accuracy** - Agencies must ensure that the information is up to date and otherwise accurate, quickly correcting any errors.
5. **Purpose** - The purpose for which the information is collected must be legitimate, resulting in benefits generally enjoyed by those who are having the information gathered from them.
6. **Recipients and Security** - Agencies must ensure that the information is secure and not available to unintended users or sold to others without the individual's consent.

Privacy is the number one concern of Internet users; it is also the top reason why non-users still avoid the Internet. Survey after survey indicates mounting concern. While privacy faces threats from both private and government intrusions, the existing motley patchwork of privacy laws and practices fails to provide comprehensive protection. Instead, it causes confusion that fuels a sense of distrust and skepticism, limiting realization of the Internet's potential.

A unique combination of tools -- legal, technical, and self-regulatory -- is being designed to address the privacy concerns of Internet users. Top-priority objectives include setting limits on government access to personal information, ensuring that new information and communication technologies are designed in ways that protect rather than diminish privacy, and developing

appropriate federal legislation to set baseline standards for consumer privacy. This guide is intended to educate Internet users about online privacy, and offer practical suggestions and policy recommendations.

LESSON 45**THE ETHICS OF JOB DISCRIMINATION**

This lecture discusses one of the internal conflicts that arise in business, namely the issue of job discrimination. It begins by quoting two long passages illustrating the current state of the debate in the U.S.—one by former President Bill Clinton, one by former California Governor Pete Wilson.

Clinton calls for the U.S. to preserve its affirmative action programs. He outlines many inequities that still remain in American business, and argues that affirmative action is still necessary to "give our nation a way to finally address the systematic exclusion of individuals of talent on the basis of their gender or race." As long as there are no specific quotas, he maintains, then the affirmative action's critics are wrong.

Wilson, on the other hand, cites Thomas Jefferson in his criticism of affirmative action. He argues that it is unfair to award jobs based on any criteria other than merit. He sees affirmative action as preferential treatment, "special privileges" for a select minority—in effect, a type of reverse discrimination.

Because discrimination based on gender and race have been around for so long in business, its consequences in this area have been substantial and persistent. This chapter examines the nature of discrimination, discusses the ethical aspects of such behavior, and concludes by considering affirmative action programs in particular.

Job Discrimination: Its Nature

Though more women and minorities are entering formerly white male-dominated jobs, they still face discrimination. The experiment conducted by ABC shows that women and minorities were systematically given less consideration in hiring: they received fewer job offers and less desirable jobs than white males. Other research suggests that blacks and Hispanics were offered jobs 50% fewer times than white males.

Discrimination in its root meaning is not at all wrong. It simply refers to the act of distinguishing one object from another. However, in modern usage, the term refers to "wrongful discrimination," or distinguishing among people on the basis of prejudice instead of individual merit.

Discrimination in employment involves three basic elements:

1. It must be a decision not based on individual merit.
2. The decision must derive from racial or sexual prejudice.
3. The decision must have a harmful impact on the interest of employees.

Discriminatory acts themselves can be categorized according to the extent to which they are intentional and institutionalized. An act may be part of the isolated behavior of a single individual who:

1. Intentionally discriminates based on personal prejudice.
2. An act may be part of the routine, institutionalized behavior of a group.
3. The act must intentionally discriminate out of personal prejudice.

4. An act may be part of the isolated behavior of a single individual who unintentionally discriminates because he or she uncritically adopts the practices and stereotypes of his or her society.

An act may be part of the systematic routine of a group that unintentionally discriminates because group members uncritically incorporate the discriminatory practices of society.

Whereas in the early 1960s discrimination was generally seen as intentional and individual, by the 1970s a shift had occurred to emphasize the effects of unintentional forms of discrimination. A group would be guilty of discrimination if minority group representation were not proportionate to the minority group's local availability.

Subsequently, people came to criticize this view. They argued that discrimination was the act of individuals, that individual minority and women were its victims. The problem with this criticism is that it is often difficult to know whether a specific individual was discriminated against. The only way of telling whether a process is fair or discriminatory is to see what happens to minorities as a group. American society has gone back and forth on this issue ever since. Many even believe that though businesses in the U.S. used to be discriminatory, they are no longer so.

Discrimination: It's Extent

An indication of discrimination exists when a disproportionate number of a certain group's members hold less desirable positions despite their preferences and abilities. We can make three types of comparisons to provide evidence of this type: comparisons of average benefits given to various groups, comparisons of the proportion of a group found in the lowest levels of the institution, and comparisons of the proportion of a group found in the most advantageous positions in the institution. When we make these three comparisons, it seems clear that some form of discrimination is still present in the U.S., though for some groups it is not as intense as it used to be.

Income comparisons are the most suggestive indicators of discrimination. The income gap between whites and blacks, counter to what many think, has not decreased (black average family income remains about 65% that of whites). There are similar inequalities found based on gender as well. Though the ratio between male and female earnings is getting more equal, this is largely due not to a rise in female earnings but to a drop in male earnings. Disparities begin immediately after graduation; in fact, female college graduates earn about as much as male high school graduates. In every occupational group, women earn less than men. Blacks fare a bit better than females, but not much. For black male college graduates, the picture is better: they now earn about what white male college graduates do.

For most other blacks, however, the picture remains grim. Lowest income group comparisons and desirable occupation comparisons give similar results. Statistically, larger proportions of minorities and women are poor, and larger proportions of white males have the most desirable occupations. In fact, the more women who work in an occupation, the lower the average pay for that job. Though perhaps some of the disparities between white males and women or minorities can be accounted for by the preferences of the latter (who voluntarily choose to work in the lower paying jobs), the disparities are so large that it cannot entirely be accounted for in this way.

The difficulties for minorities seem to be getting worse. Though they will soon be a majority of the labor force, studies indicate that many of the new jobs that will be created will require education beyond high school, and most minorities are falling behind in their educational attainment. For women, another obstacle exists: unwanted sexual attention.

Finding that our economic institutions generally seem to embody discrimination, as this section proves it, does not in itself prove that any particular business is discriminatory, however.

Discrimination: Utility, Rights, and Justice

Given the inequalities found in U.S. businesses, we must address the issue of whether these inequalities are wrong and, if they are, how they should be changed. Arguments against discrimination fall into three groups: utilitarian arguments, rights arguments, and justice arguments. The utilitarian argument against discrimination maintains that society's productivity will be highest when jobs are awarded based on competence or merit. Discrimination based on anything else is inefficient and, therefore, counter to utility.

Utilitarian arguments have been attacked on two fronts. First, if jobs should be assigned on the basis of job-related qualifications only so long as such assignments will advance the public welfare, then if public welfare would be advanced to a greater degree by assigning jobs on the basis of some factor not related to job performance, then the utilitarian would have to hold that in those situations jobs should not be assigned on the basis of job related qualifications, but on the basis of that other factor. Second, it might be true that society as a whole would benefit by having some group discriminated against.

Other, non-utilitarian arguments against discrimination maintain that it is wrong because it violates people's basic human rights. Kant, for example, says that humans should be treated as ends in themselves and never as a means to an end. Therefore, discrimination is wrong because it violates people's rights to be treated as equals. In addition, some Kantian thinkers argue that discrimination is wrong because the person who discriminates would not want to see his or her behavior universalized (at least they would not want to change places with the victim of their own discrimination).

A third group of arguments against discrimination views it as unjust. Rawls argues that it is unjust arbitrarily to give some people more opportunity than others. Another related argument sees it as a form of injustice because individuals who are equal in all relevant respects cannot be treated differently just because they differ in other, non-relevant respects. The problem with this argument is that it is difficult to define precisely what counts as relevant and to explain why sex and race are not relevant, but intelligence is.

Despite the difficulties with these arguments against discrimination, there are five widely recognized categories of discriminatory practices:

1. Recruitment practices that rely on the word-of-mouth referrals of present employees will tend to recruit only from the groups already represented.
2. Screening practices that include qualifications not relevant to a job (such as requiring a certain level of education for very low-level jobs).
3. Promotion practices that place groups on separate tracks or that rely solely on seniority when past discrimination has kept women or minorities out of senior positions.
4. Conditions of employment that do not award equal wages and salaries to people doing essentially the same work.

5. Discharging an employee based on race or gender, or layoff policies that rely solely on seniority.

Women are victims of a different and troublesome type of discrimination: sexual harassment. Generally, the guidelines against sexual harassment are clearly morally justified. However, there are some aspects of the guidelines that must be examined. They prohibit more than just particular acts of harassment; they also prohibit creating an intimidating, hostile, or offensive working environment.

This raises some difficult questions. Are mechanics who hang pin-up calendars guilty of sexual harassment? Though most people now say yes, there are a number of critics who say that these kinds of environments were not intended to degrade women, and besides, women have the power to take care of themselves. In addition, the guidelines say that verbal or physical contact is harassment if it has the effect of unreasonably interfering with the victim's work performance. This means, claim some critics, that sexual harassment depends on the purely subjective judgments of the victim; what is unreasonable to one person may seem perfectly acceptable to another.

A more serious objection to such guidelines is that they violate people's right to free speech. However, though these objections may be valid on college campuses, they are not at all relevant to businesses, where free discussion and examination of ideas are not the focus.

A firm can be guilty of sexual harassment even if it did not know and could not have known that the harassment was going on—indeed, even if the firm had expressly forbidden the offensive act. Supporters of the guidelines point out that the harms caused by sexual harassment should be considered a cost of doing business, which it is proper to internalize.

Groups other than women and racial minorities can be the victims of discrimination. The disabled, victims of AIDS, homosexuals, and the overweight are all discriminated against. Currently, there are no federal laws prohibiting discrimination against many of these groups.

Affirmative Action

So far, the policies discussed in this chapter are all negative, aimed at preventing further discrimination. Affirmative action programs, in contrast, call for positive steps designed to eliminate the effects of past discrimination. Such programs are now legally required of all firms holding government contracts.

Affirmative action programs begin with a detailed study, a "utilization analysis" of the major job classifications in an organization. The analysis is designed to discover whether there are fewer minorities or women in a particular job classification than could reasonably be expected. If the analysis shows that women or minorities are underutilized, then the firm must establish practices to correct these deficiencies.

The U.S. Supreme Court has not been clear about the legality of affirmative action programs. Rulings suggest significant vacillation on the issue. The main grounds for attacking them is that, in attempting to correct the effects of past injustice, affirmative action may actually be racially or sexually discriminatory itself.

In the face of this objection, supporters of affirmative action make two main counterarguments. One of these is to interpret affirmative action as a form of compensation for past injuries. The

other interprets preferential treatment as an instrument for achieving social goals. The former arguments are backward looking, focusing on the wrongness of the past; the latter are forward looking, instrumentalist arguments focusing on what the future ought to be.

Those who see affirmative action as a form of compensation maintain that white males must pay reparations for unjustly injuring others by discrimination in the past. The difficulty with such arguments is that the principle of compensatory justice requires that compensation should come only from those specific individuals who intentionally inflicted a wrong, and should be paid only to those specific individuals who suffered that wrong. It does not require that compensation should come from all members of a group containing some wrongdoers, nor that compensation should go to all members of a group containing some injured parties. Many have attempted to counter this argument by claiming that every minority living today has been injured by discrimination and that every white male has benefited from those injuries. Whether these arguments are successful or not is unclear.

The second way of justifying affirmative action sees it as an instrument for social change. Based on the statistics such as those at the beginning of this chapter, such arguments maintain that race and gender provide an indicator of need. Since reducing this need is consistent with utilitarian principles (as it will increase total utility), affirmative action is justified.

Objections made to this argument question whether the social costs of affirmative action outweigh their benefits. However, even more elaborate and convincing arguments for affirmative action are made. They argue that the goal of affirmative action is social justice, and that affirmative action is a morally legitimate means for achieving this goal.

Presently, women and minorities do not have the equal opportunity that justice demands statistics prove this. The conscious and unconscious bias that brings this injustice about must be neutralized, along with the competitive disadvantages with which women and minorities are burdened. The basic end, therefore, is a more just society, and preferential treatment is a morally legitimate means to attain this end.

However, three reasons have been advanced to show that affirmative action is not, in fact, morally legitimate. First, it is claimed that affirmative action discriminates against white males. However, given the definition of discrimination, because the preferential treatment is not based on contempt of white males, it cannot be said to be the same thing as discrimination against minorities or women.

Second, some claim that preferential treatment violates the principle of equality because it takes into consideration race, which is an irrelevant characteristic. Defenders of affirmative action counter by saying that sexual and racial differences are actually relevant characteristics. Third, critics claim that affirmative action actually harms minorities by implying that they are so inferior to white males that they need special help to succeed. This claim is countered by saying that, though affirmative action undoubtedly has some costs, the benefits of such programs outweigh them. Moreover, they point out that affirmative action is not based on an assumption of white male superiority but on recognition of bias in favor of white males. Finally, they point out that though some minorities may feel inferior because of affirmative action, many more are made to feel inferior because of racism—and besides, showing preference towards them does not make them feel inferior. The arguments on both sides are powerful, and the debate continues.

Because of concerns raised by opponents of affirmative action, guidelines have been suggested to ensure that its more harmful effects will be lessened. Of course, the problems encountered by

minorities differ markedly from those encountered by women. Recently, some proposals that are more radical than affirmative action have been made to deal with sexual discrimination. Since the jobs women have historically taken pay low wages and salaries, proponents of *comparable worth programs* attempt not to place women into higher paying jobs, but to increase the salaries of those jobs where women currently are employed.

In a comparable worth program, each job in a firm is assigned a certain number of points for difficulty, skill requirements, experience, and other factors. Then, jobs are assumed to deserve equal pay if they score similarly. The fundamental argument in favor of comparative worth is the principle of justice. Opponents counter that the market is the most appropriate determining factor of wages. If the market pays a certain job a low salary, they claim, it is because there is a large supply of workers in that category.

In the near future, only a small proportion of new workers will be white males. Because of this demographic trend, firms' enlightened self-interest will prompt them to give women and minorities special consideration. If they do not accommodate themselves to these workers, they may not be able to find the workers they need to compete in the world market.

Composed By Innocent Emoo and cutedute raja

A Mega File for Final Term

With Reference

MGT 610

When there are many sellers and many buyers then it is called?

Select correct option:

Monopolistic competition

Perfect competition

Oligopolistic Competition

None of the above

Page 45

Suppose you purchased a product of ABC Company by inspiring an advertisement. After purchasing decision you realized that the real product functionalities are not matching with real one. Categories such type of advertisement.

Select correct option:

Deceptive advertisement

Under estimated advertisement

Wrongly communicated advertisement

Professional advertisement

Page 116

Deceptive advertising can take several forms. An advertisement can misrepresent the nature of the product by using deceptive mock-ups, using untrue paid testimonials, inserting the word guarantee where nothing is guaranteed, and quoting misleading prices, failing to disclose defects in a product, misleadingly disparaging a competitor's goods, or simulating well-known brand names

_____by which actions or policies are judged to accord with or be in violation of moral standards?

Select correct option:

Moral reasoning

Moral development

Moral Standards

Logical Validity

Page 10

Moral reasoning refers to the reasoning process by which human behaviors, institutions, or policies are judged to be in accordance with or in violation of moral standards

Which of the following is a related group of thinkers, sees the key form of hierarchy connected to the destruction of the environment as the domination of women by men?

Select correct option:

Ethicists

Eco feminists

Friends of earth

Friends of world watch

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Eco-feminists, a related group of thinkers, see the key form of hierarchy connected to the destruction of the environment as the domination of women by men

Which theory was proposed by David Ricardo in 1817?

Select correct option:

Natural advantage

comparative advantage

Acquired advantage

Resource efficiency advantage

Page36

Comparative Advantage:

In 1817 David Ricardo reasoned.

The Club of Rome, a forum of think-tanks consist of all except?

Select correct option:

Economists

Scientists

International civil servants

All of the above

Page 74

The Club of Rome, a think-tank of scientists, economists, businesspeople, international civil servants, and politicians from the five continents.

How much in over the past 150 years, deforestation has contributed to the atmospheric build-up of CO₂?

Select correct option:

One third

Two third

One fourth

None of the above

Page 59

Over the past 150 years, deforestation has contributed one third of the atmospheric build-up of CO₂

In a command economy, all decisions are taken by the:

Select correct option:

People

Government

Voters

Workers

a command system, in which a single authority decides what to produce, who will produce it, and who will get it.

A principle that describes that it would be acceptable to a group of rational, self interested persons who know they will live under it themselves is known as?

Select correct option:

Moral

Basic
Immoral
None of the above

Page25

a principle is moral if it would be acceptable to a group of rational, self-interested persons who know they will live under it themselves.

Which one of the following is an alternative to moral principles?

Select correct option:

Virtue Ethics

Logic Ethics
Real Ethics
None of the above

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An Alternative to Moral Principles: Virtue Ethics

In which market system firms are not encouraged to reduce its costs?

Select correct option:

Monopoly

Oligopoly
Perfect competition
None of the above

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A monopoly firm is not encouraged to reduce its costs and is therefore not motivated to find less costly methods of production.

Water pollution comes from all except?

Select correct option:

Agriculture
Oil Wells
Manufacturing
All of the above

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Pollution comes from agriculture, mines, oil wells, human wastes, manufacturing , detergents, and the food industry, among other sources

Which of the following is the only way of ensuring a supply for tomorrow's generations?

Select correct option:

Conservation

Reservation

Preservation

None of the given options

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The debate about the rights of future generations centers on the extent to which present generations should bear responsibility for the preservation of the environment for future generation.

Who should receive the benefits of pollution control?

Select correct option:

Who bear the external cost

Who bear the product cost

Who bear the internal cost

Firm

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the benefits of pollution control should flow to those who have had to bear the external costs of pollution

Relationship between a business firm and consumer essentially be?

Select correct option:

Forced relationship

Contractual relationship

Due care relationship

None of the above

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the relationship between a business and its customers is a contractual one; the moral duties to the customer are those created by this contract.

the relationship between a business firm and its customers is essentially a contractual relationship

Who summarized the procedure for cost and benefit analysis?

Select correct option:

Adam Smith

Thomas Klein

John Rawls

Samuel Johnson

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Thomas Klein summarized the procedures for cost-benefit analysis

Question No: 1 (Marks: 1) - Please choose one

The modern corporations consist of _____.

- None of the given
- Stock holders, Employees, Customers
- **Stock holders, Employees, Directors**
- Directors, Managers, Customers

the modern corporation consists of (a) stockholders who contribute capital and who own the corporation but whose liability for the acts of the corporation is limited to the money they contributed, (b) directors and officers who administer the corporation's assets and who run the corporation through various levels of "middle managers," and (c) employees who provide labor and who do the basic work related directly to the production of goods and services.

Question No: 2 (Marks: 1) - Please choose one

Which one of the following is NOT the criterion employed by different ethicists to evaluate moral reasoning?

- Moral reasoning must be logical
- Factual evidence must be accurate, relevant, and complete
- Moral standards must be consistent
- **Moral development must be ethical**

Question No: 3 (Marks: 1) - Please choose one
Mujeeb and Imran are defendants charged by the government for insider trading.

According to the prisoner's dilemma scenario what will result in the worst outcome for Mujeeb?

- Mujeeb confesses and Imran does not.
- Both Mujeeb and Imran confess.
- Both Mujeeb and Imran stay silent.
- **Mujeeb doesn't confess and Imran does.**

Question No: 4 (Marks: 1) - Please choose one
Who is the supporter of Categorical Imperative?

- **Kant**
- Sidgwick
- Bentham
- Mill

Question No: 5 (Marks: 1) - Please choose one
If Sameer destroy Sajjid s property or injure him bodily, Sameer will be held morally responsible for paying him damages. This is an example of:

- Redistributive justice
- **Compensatory justice**
- Distributive justice
- Socialist s justice

Question No: 6 (Marks: 1) - Please choose one
Suppose a female manager supervises 10 people and one of them is a friend of hers. One day she catches her friend stealing from the company. Should she turn in her friend as company policy requires or should she say nothing to protect her friend? This is an example of?

- Demands of caring
- Demand of justice
- **Conflict between caring and justice**

- None of the given options

Question No: 7 (Marks: 1) - Please choose one

Which one of the following moral judgment approaches will be used when someone actions and policies will substantially affect the welfare and freedom of specifiable individuals?

- Utility
- **Rights**
- Justice
- Caring

Question No: 8 (Marks: 1) - Please choose one

In which system slavery would be entirely legal?

- Free market system
- Command economy system
- Voluntary exchange system
- **Pure free market system**

Question No: 9 (Marks: 1) - Please choose one

Who has defended free markets on the basis of utilitarian argument?

- Friedrich A. Hayek
- Alasdair MacIntyre
- **Adam smith**
- John Locke

Question No: 10 (Marks: 1) - Please choose one

Which of the following is an economic system in which the means of production are privately owned and operated for a profit?

- Communism
- **Capitalism**

- Liberalism
- Socialism

Question No: 11 (Marks: 1) - Please choose one
Which of the following economist has the harshest and most influential critics of the inequalities that private property institutions and free markets accused of creating?

- John Maynard Keynes
- **Karl Marx (51p)**
- Adam Smith
- David Ricardo

Question No: 12 (Marks: 1) - Please choose one
Which of the following is NOT a moral outcome of perfectly competitive markets?

- Justice
- Utility
- Rights
- **Faith**

Question No: 13 (Marks: 1) - Please choose one
Chicken Delight is chain of food stores whose major product is chicken. Chicken Delight would sell a franchise license to a person only if the person also agreed to purchase a certain number of cookers, fryers, and other suppliers. This is an example of:

- **Tying arrangement (63p)**
- Exclusive dealing arrangement
- Retail price maintenance agreement
- Manipulation of supply

Tying Arrangements - when a company sells a buyer certain goods only on condition that the buyer also purchases other goods from the firm.

Question No: 14 (Marks: 1) - Please choose one

Which of the following refers to the undesirable and unintended contamination of the environment by the manufacture or use of commodities?

- Toxic substance
- **Pollution(66p)**
- Acid rain
- Airborne toxic

Question No: 15 (Marks: 1) - Please choose one

Which of the public policy view advocate breaking large firms up into smaller units?

- The Chicago school view
- The do-nothing view
- **The anti-trust view (65p)**
- The regulation view

Question No: 16 (Marks: 1) - Please choose one

Which of the following is the discipline that studies the moral relationship of human beings to, and also the value and moral status of, the environment and its non-human contents?

- **Environmental ethics(68p)**
- Business ethics
- Moral ethics
- Social ethics

Question No: 17 (Marks: 1) - Please choose one

Which of the following is a cost that manufacturers dont bear?

- Private cost
- **Social cost (95p)**
- Product cost

- None of the given options

Question No: 18 (Marks: 1) - Please choose one
Which of the following is not based on the idea that the environment should be protected for the sake of human beings?

- Environmental ethic
- **Ecological ethic(78p)**
- Blackstone s ethic
- Utilitarian ethic

ecological ethics or deep ecology, maintains that the environment deserves to be preserved for its own sake, regardless of whether or not this directly benefits humanity.

Question No: 19 (Marks: 1) - Please choose one
Which one of the following is the principal Utilitarian remedy for pollution?

- **To internalize the external costs of production (81p)**
- To externalize the internal costs of production
- To minimize the total social cost of production
- To maximize the total social cost of production

Question No: 20 (Marks: 1) - Please choose one
Which of the following seems to be consistent with the utilitarian way of dealing with pollution (i.e. by internalizing costs)?

- Rights
- **Justice(81p)**
- Both rights and justice
- None of the given options

Question No: 21 (Marks: 1) - Please choose one
Who summarized the procedure for cost and benefit analysis?

- Adam Smith

▪ **Thomas Klein(83p)**

- John Rawls
- Samuel Johnson

Question No: 22 (Marks: 1) - Please choose one
Which of the following discipline argued that to solve our ecological problems, we must first change the destructive modes of thinking?

- Ecological ethic
- Social ecology
- **Social audit(83p)**
- Eco-feminism

Question No: 23 (Marks: 1) - Please choose one
Which of the following describes provides a new model with some tools for navigating the deep and often confusing relationship between client and caregiver and for preventing the harmful consequences of ethical misconduct?

- Ecological ethic
- **Social ecology**
- Ethic of caring
- Eco-feminism

Question No: 24 (Marks: 1) - Please choose one
Which of the following is the only way of ensuring a supply for tomorrow s generations?

- **Conservation(87p)**
- Reservation
- Preservation
- None of the given options

conserve resources for future generations because

they have an equal right to the limited resources of this planet.

Question No: 25 (Marks: 1) - Please choose one

Which of the following statements could NOT be made by a believer in ecological ethics?

- **The world must be protected for the sake of human beings**
- The well-being of all the life on earth has value in itself
- Humans have no right to reduce the diversity of life except to satisfy vital needs
- Appreciate the quality of life rather than striving for a higher standard of living

Question No: 26 (Marks: 1) - Please choose one

Which of the following is based on the idea that nonhuman parts of the environment deserve to be preserved for their own sake?

- Environmental ethic
- **Deep ecology(78p)**
- Blackstone s ethic
- Utilitarian ethic

This idea, called ecological ethics or deep ecology, maintains that the environment deserves to be preserved for its own sake, regardless of whether or not this directly benefits humanity.

Question No: 27 (Marks: 1) - Please choose one

Which of the following theory assumes that the manufacturer can discover the entire risk associated with using a product before it is actually used?

- The liability theory
- **The due care theory(105p)**
- The contractual theory
- The social cost theory

Question No: 28 (Marks: 1) - Please choose one

Which of the following is NOT a valid criticism on the ethics of advertising?

- Advertising uses images that many find vulgar and offensive
- Advertising debases the tastes of consumers
- **Advertising is wasteful(108p)**
- Advertising promotes monopolies

Question No: 29 (Marks: 1) - Please choose one

All of the following are deceptive or manipulative marketing practices, EXCEPT:

- **Multiple pricing (not sure)**
- Bait and switch selling
- Markdowns from a suggested retail price that is never charged
- Everyone can freely enter and exit the market

Question No: 30 (Marks: 1) - Please choose one

How many people died each year in America by lighter explosions?

- 100
- 200
- 300
- **400 (not sure)**

Question No: 31 (Marks: 1) - Please choose one

Which of the following is the degree of risk associated with using a product?

- Reliability
- Service life
- Maintainability
- **Product safety(18p)**

Question No: 32 (Marks: 1) - Please choose one
Which of the following is one of the areas of producer responsibility according to due care theory?

▪ **Duty to produce healthy products(not sure)**

- Duty to disclosure
- Duty not to coerce
- Duty not to misrepresent

Question No: 33 (Marks: 1) - Please choose one
Which of the following is the only way of indicating whether a process is fair or discriminatory?

▪ **See what happens to minorities as a group(138p)**

- See what happens to minorities only
- See what happens to a group only
- See what happens to majority only

Question No: 34 (Marks: 1) - Please choose one
Which of the following is NOT a statement which presents the firm s view on ethics?

- Value statement
- **Morality(not sure)**
- Ethical philosophy
- Code of ethics

Question No: 35 (Marks: 1) - Please choose one
A bakery advertises that its latest product can lower cholesterol even though the bakery cannot prove this claim. This situation involves an ethical issue related to which element of the marketing mix?

▪ **Product**

- Price
- Promotion

- Distribution

Question No: 36 (Marks: 1) - Please choose one
Which of the following books was written by John Kenneth Galbraith?

▪ **The Affluent Society(122p)**

- The Road of Serfdom
- The Wealth of Nations
- The Prisoner s Dilemma

Question No: 37 (Marks: 1) - Please choose one
Who argued that advertising is manipulative: it is the creation of desires in consumers for the sole purpose of absorbing industrial output?

- Nicholas Kaldor
- Kotler

▪ **K. Galbraith(120p)**

- Hayek

John K. Galbraith and other have long argued that advertising is manipulation lative : it is the creation of desires in consumers for the sole purpose of absorbing industrial output.

Question No: 38 (Marks: 1) - Please choose one
Which of the following is a proposed program where a large scale publicly funded education program aimed at empowering ordinary citizens?

▪ **Investment in men(120p)**

- Investment in women
- Investment in children
- Investment in non-humans

Galbraith's major proposal was a program he called "investment in men" - a large-scale publicly-funded education program aimed at empowering ordinary citizens. Galbraith wished to entrust citizens with the future of the American republic.

Question No: 39 (Marks: 1) - Please choose one

Which of the following attributes translates the statement Marketers should not exploit the credulity, lack of knowledge or inexperience of consumers ?

- Safety
- Legality
- **Honesty(131p)**
- Truthfulness

Honesty

Marketers should not exploit the credulity, lack of knowledge or inexperience of consumers.

Question No: 40 (Marks: 1) - Please choose one

Which of the following is a wrongful act of distinguishing illicitly among people not on the basis of individual merit, but on the basis of prejudice or some other invidious or morally reprehensible attitude?

- **Discrimination(137p)**
- Job discrimination
- Affirmative action
- Discriminatory practice

the term refers to "wrongful discrimination," or distinguishing among people on the basis of prejudice instead of individual merit.

Question No: 41 (Marks: 1) - Please choose one

Which of the following is the primary function of commercial advertisements? P

- Provide unbiased information

▪ **Sell products to prospective buyers(108p)**

- Provide biased information
- None of the given options

Question No: 42 (Marks: 1) - Please choose one
Which of the following makes freedom of choice impossible?

- Information
- Probability
- **Misrepresentation(102p)**
- Ignorance

Misrepresentation, even more than the failure to disclose information, renders freedom of choice impossible.

Question No: 1 (Marks: 1) - Please choose one
The _____ refers to the potential conflict between management and shareholders due to management's control of financial rewards as well as the possibility of incompetent performance by managers.

- Agency problem
- Liquidity problem
- Regulatory problem
- Diversification problem

Question No: 2 (Marks: 1) - Please choose one
A shift to judgments based on rules or norms of a group to which the individual belongs is characteristic of which level of moral development?

- Post-formal
- Pre-conventional
- Conventional
- **Post-conventional (10p)**

Question No: 3 (Marks: 1) - Please choose one
Commodities that are considered valuable only because they good things are called:

- Instrumental goods
- Instrumental values
- **Intrinsic goods(21p)**
- Intrinsic values

(Intrinsic goods are things that are desired for their own sake, such as health and life)

Question No: 4 (Marks: 1) - Please choose one
The desire for a good or a service best represents:

- Need
- Want
- **Desire**
- None of the given

Question No: 5 (Marks: 1) - Please choose one
Which of the following choices does NOT describe a situation that is covered by the concept of rights?

- The absence of prohibitions against an activity
- The authorization to do something to secure one's interests
- **The necessity of doing something required by lead to other authority(23p)**
- The existence of prohibitions on others to enable individuals to pursue an activity

Question No: 6 (Marks: 1) - Please choose one
Which of the following holds that all public offices and employment should be made available to everyone?

- The principle of equal liberty
- The difference principle
- **The principle of equal opportunity(34p)**
- The principles of ethics

Question No: 7 (Marks: 1) - Please choose one
Which of the following is FALSE of Nozick s theory of justice?

- **Theory is redistributive(33p)**
- None of the above options
- Theory is historical
- Theory is no patterned

Question No: 8 (Marks: 1) - Please choose one
Which of the following does NOT describe virtue ?

- The traits that everyone needs for a good life
- An excellence that is admired in a person
- **A disposition to act in multidimensional way(39p)**
- A specific state of character

Question No: 9 (Marks: 1) - Please choose one
Who presented the theory of absolute advantage?

- **Adam Smith(46p)**
- Friedrich A. Hike
- Murray Roth bard
- Eric Mack

In 1776 Adam Smith asserted that the wealth of a nation consisted of the goods and services available to its citizens.

Question No: 10 (Marks: 1) - Please choose one
John Maynard Keynes argues that the aggregate demand for goods and services is the sum of the demand of which of the following factor(s)?

- Households
- Businesses
- Government
- **All of the given options(50p)**

John Maynard Keynes. Keynes argued that government intervention was necessary because there is a mismatch between aggregate supply and demand. Governments pending can close any gap between aggregate demand and aggregate supply by taking up the slack in demand from households and businesses.

Question No: 11 (Marks: 1) - Please choose one
Which of the following is the price that just covers the costs of producing the commodity including the going rate of profit obtainable in other markets?

- **Natural price(50p)**
- Selling price
- Price flexibility
- Market price

Smith called the **natural price** (i.e., the price that just covers the costs of producing the commodity, including the going rate of profit obtainable in other markets)

Question No: 12 (Marks: 1) - Please choose one
Which of the following rights is embodied by perfectly competitive free markets?

- **Negative right of freedom from coercion(59p)**
- Positive right of freedom from coercion
- Moral right of freedom from coercion
- Ethical right of freedom from coercion

Question No: 13 (Marks: 1) - Please choose one

Which of the following refers to the undesirable and unintended contamination of the environment by the manufacture or use of commodities?

- Toxic substance
- **Pollution**
- Acid rain
- Airborne toxic

Question No: 14 (Marks: 1) - Please choose one

Which of the following is a public policy view that holds that large firms should not be broken up into smaller units but subjected to substantial governmental restraint and controls?

- The Chicago school view
- The do-nothing view
- The anti-trust view
- **The regulation view(66p)**

Question No: 15 (Marks: 1) - Please choose one

Which of the following public policy view claims that the power of oligopolies is not as large as it appears?

- The Chicago school view
- **The do-nothing view(65p)**
- The anti-trust view
- The regulation view

Question No: 16 (Marks: 1) - Please choose one

How many people in the world dont have access to safe water?

- **1 billion(73p)**
- 1.5billion
- 2 billion

- 2.5 billion

Today, almost 1 billion people lack access to safe water and the world's per capita supplies of water are shrinking

Question No: 17 (Marks: 1) - Please choose one

If a firm makes basic goods (food product, clothing) for which the poor must allocate a larger proportion of their budgets than the affluent. In this case which of the following may place a heavier burden on the poor?

- Social costs
- **Internalizing costs(81p)**
- Product costs
- External costs

Question No: 18 (Marks: 1) - Please choose one

Which of the following requires that those who have been injured should be compensated by those who injure them?

- Rights
- Utilitarian
- Redistributive justice
- **Compensatory justice**

Question No: 19 (Marks: 1) - Please choose one

Which of the following explains the bearing of external costs of pollution largely by those who do not enjoy a net benefit from the activity that produces the pollution?

- Ecological ethic
- Social ecology
- **Environmental injustice(82p)**
- Eco-feminism

Question No: 20 (Marks: 1) - Please choose one

Who argued that there is a fundamental human right to a livable environment?

▪ **William Blackstone(79p)**

- Carol Gilligan
- Robert Nozzick
- John Locke

Question No: 21 (Marks: 1) - Please choose one

Which of the following describes the saving or rationing natural resources for future use?

▪ Consumption

▪ **Conservation(87p)**

- Reservation
- Destruction

Conservation refers to the saving or rationing of natural resources for later use. Conservation, therefore, looks primarily to the future: to the need to limit consumption now to have resources available for tomorrow.

Question No: 22 (Marks: 1) - Please choose one

Critics to the market approach respond that the benefits of free markets are obtained only when the markets have all of the following characteristics, EXCEPT:

▪ There are numerous buyers and sellers

▪ **There are external costs(97p)**

- Everyone can freely enter and exit the market
- Everyone has complete and accurate information

Question No: 23 (Marks: 1) - Please choose one

Which of the following is NOT a problem with the assumption of rational utility maximization?

▪ **Few people are good at estimating probabilities(97p)**

▪ People are generally irrational and inconsistent when weighing the choices

- Many consumer markets are monopolies or oligopolies
- Utility maximizer has a well-defined and consistent set of preferences

Question No: 24 (Marks: 1) - Please choose one
Our probability judgments go astray for a number of reasons, including all EXCEPT:

- People believe that they exert control over purely chance events
- Generalizations are made on the basis of small sample findings
- Emphasis on "causation" results in the under weighing of evidence that is relevant

▪ **We forget to take the "law of averages" into account(97p)**

Question No: 25 (Marks: 1) - Please choose one
Which of the following statements could NOT be made by a believer in ecological ethics?

▪ **The world must be protected for the sake of human beings(78p)**

- The well-being of all the life on earth has value in itself
- Humans have no right to reduce the diversity of life except to satisfy vital needs
- Appreciate the quality of life rather than striving for a higher standard of living

Question No: 26 (Marks: 1) - Please choose one
Which of the following statements is TRUE of the beliefs of deep ecology?

- It is our moral duty to protect the human beings
- **Non human parts of the environment deserve to be preserved for their own sake(78p)**
- Only human parts of the environment deserve to be respected
- The world must be protected for the sake of human beings

Question No: 27 (Marks: 1) - Please choose one
According to critics of market approach, how many characteristics market will have to obtain the benefits of free market?

▪ **7(97p)**

- 5
- 4
- 3

the markets have all of **the seven defining characteristics**: (a) There are numerous buyers and sellers, (b) everyone can freely enter and exit the market, (c) everyone has full and perfect information, (d) all goods in the market are exactly similar, (e) there are no external costs, (f) all buyers and sellers are rational utility maximizers, and (g) the market is unregulated. Critics of the market approach to consumer issues argue that these characteristics are absent in consumer markets.

Question No: 28 (Marks: 1) - Please choose one
Which of the following is the view that describes the relationship between a firm and its customers where the firm's moral duties to the customer are those created by this contract?

▪ **Contract view of business duties(101p)**

- The duty of disclosure
- The due care theory
- None of the given options

Question No: 29 (Marks: 1) - Please choose one
Which of the following is the main objection against the assumptions of contractual theory?

▪ **Unrealistic(103p)**

- Impractical
- Concentrated on sellers only
- Concentrated on buyers only

Question No: 30 (Marks: 1) - Please choose one

Which of the following is NOT a valid criticism on the ethics of advertising?

- Advertising uses images that many find vulgar and offensive
- Advertising debases the tastes of consumers
- **Advertising is wasteful**
- Advertising promotes monopolies

Question No: 31 (Marks: 1) - Please choose one
Deception involves all the following conditions necessary to be possessed by the author of an ad, EXCEPT:

- The author must know it to be false
- The author must knowingly do something to bring about this false belief
- **The author must know it to be true(109p)**
- The author must intend to have the audience believe something false

Question No: 32 (Marks: 1) - Please choose one
All of the following are deceptive or manipulative marketing practices, EXCEPT:

- **Multiple pricing**
- Bait and switch selling
- Markdowns from a suggested retail price that is never charged
- Everyone can freely enter and exit the market

Question No: 33 (Marks: 1) - Please choose one
Which of the following is a situation where demand always exceeds supply?

- None of the given options
- **Monopoly(98p)**
- Perfect competition
- Free market

Question No: 34 (Marks: 1) - Please choose one
Which of the following define that someone has a well defined and consistent set of preferences, and who knows how personal choices will affect those preferences?

- Utility maximization
- **Rational utility maximizer(97p)**
- Manufacturers utility
- None of the given options

Question No: 35 (Marks: 1) - Please choose one
Which of the following is the period of time during which the product will function as effectively as the consumer is to lead to expect it to function?

- **Reliability**
- Service life
- Maintainability
- Product safety

Question No: 36 (Marks: 1) - Please choose one
Which of the following describes the ease with which the product can be repaired and kept in operating condition?

- Reliability
- Service life
- **Maintainability**
- Product safety

Question No: 37 (Marks: 1) - Please choose one
Which of the following is NOT a benefit of having a code of ethics?

- **Supplier loyalty increases**
- Managers get more confident
- Competitive positions improve
- Employee loyalty increases

Question No: 38 (Marks: 1) - Please choose one
Which of the following is a legal doctrine that holds that manufacturers must bear the costs of injuries resulting from product defects regardless of fault?

- Manufacturers liability
- Consumers liability
- **Strict liability(106p)**
- Product liability

strict liability, is founded on utilitarian arguments. The utilitarian arguments for this third theory hold that the “external” costs of injuries resulting from unavoidable defects in the design of an artifact constitute part of the cost society must pay for producing and using an artifact.

Question No: 39 (Marks: 1) - Please choose one
Marketing ethic refers to which of the following?

- Improper behavior in marketing
- Acceptable conduct in society
- Improper behavior in business
- **Acceptable conduct in marketing**

Question No: 40 (Marks: 1) - Please choose one
Which of the following is the result of effective advertising campaigns on consumers, which gives large corporations control over a major portion of the market?

- **Brand loyalty**
- Consumer protection
- Reliability
- None of the given options

Question No: 41 (Marks: 1) - Please choose one
Which of the following is a proposed program where a large scale publicly funded education program aimed at empowering ordinary citizens?

▪ **Investment in men**

- Investment in women
- Investment in children
- Investment in non-humans

Question No: 42 (Marks: 1) - Please choose one

Which of the following is the primary function of commercial advertisements?

- Provide unbiased information
- **Sell products to prospective buyers**
- Provide biased information
- None of the given options

Question # 1 of 20 (Start time: 04:44:20 PM) Total Marks: 1

Suppose you purchased a product of ABC Company by inspiring an advertisement. After purchasing decision you realized that the real product functionalities are not matching with real one. Categories such type of advertisement.

Select correct option:

Deceptive advertisement

Under estimated advertisement

Wrongly communicated advertisement

Professional advertisement

Question # 2 of 20 (Start time: 04:45:45 PM) Total Marks: 1

Socialist view on distribution is best described as:

Select correct option:

From each according to his ability, to each according to his needs..... 32

The benefits a person receives should be proportional to his contribution

From each they choose, to each as they are chosen

Always treat humanity as an end in itself rather than as a means

the socialist view on distribution: "From

each according to his ability, to each according to his needs.”

Question # 3 of 20 (Start time: 04:46:59 PM) Total Marks: 1

Who proposed the concept of free market and utility?

Select correct option:

John Locke

Alasdair MacIntyre

John Rawls

Adam Smith.....50

Question # 4 of 20 (Start time: 04:47:15 PM) Total Marks: 1

Group of thinkers, sees the key form of hierarchy connected to the destruction of the environment as the domination of women by men is known as?

Select correct option:

Eco-feminists

Eco-masculinity

Both a & b

None of the above

Question # 5 of 20 (Start time: 04:47:37 PM) Total Marks: 1

EPA stands for?

Select correct option:

Environmental Protection Agreement

Energy Protection Agency

Energy Protection Agreement

Environmental Protection Agency.....75

The U.S. Environmental Protection Agency
(EPA)

Question # 6 of 20 (Start time: 04:48:39 PM) Total Marks: 1

Study which does not try to reach any conclusions is called_____.

Select correct option:

Pilot Study
Case Study
Normative Study

Descriptive Study5

A descriptive study is one that does not try to reach any conclusions about what things are truly good or bad or right or wrong.

Question # 7 of 20 (Start time: 04:49:16 PM) Total Marks: 1
Internalizing the external cost is NOT consistent with which of the following?

Select correct option:

Ethical justice

Retributive justice
Distributive justice
Compensatory justice

This way of dealing with pollution is consistent with the requirements of distributive justice **Internalizing external costs is also consistent with retributive and compensatory justice.**

Question # 8 of 20 (Start time: 04:50:40 PM) Total Marks: 1
Moral standards are absorbed from?
Select correct option:

Family & Friends

Experience
Intellectual capital
All of the above.....

moral standards are first absorbed as child from family, friends, and various societal influences such as church, school, television, magazines, music, and associations.

Question # 9 of 20 (Start time: 04:51:21 PM) Total Marks: 1
Caveat vendor represents to:
Select correct option:

Let the buyer beware

Let the seller beware

Let the buyer and seller beware

None of the given options

The theory is a strong version of the doctrine of **caveat vendor: let the seller take care.**

Question # 10 of 20 (Start time: 04:52:33 PM) Total Marks: 1

Which of the following refers to the saving or rationing of natural resources for later use?

Select correct option:

Preservation

Conservation87

Fossilization

Depletion

Conservation refers to the saving or rationing of natural resources for later use

Utilitarianism suggests that it is ethical to make decisions based on:

Select correct option:

Moral virtues

Common decency

What is best for most people. Page 13

None of the given

Utilitarianism is a general term for any view that holds that actions and policies should be evaluated on the basis of the benefits and costs they will impose on society. In any situation, the "right" action or policy is the one that will produce the greatest net benefits or the lowest net costs (when all alternatives have only net costs).

Who summarized the procedure for cost and benefit analysis?

Select correct option:

Adam Smith

Thomas Klein page 65

John Rawls

Samuel Johnson

Thomas Klein summarized the procedures for cost-benefit analysis as follows

Who is the world's largest retailer?

Select correct option:

Proctor and Gamble

Wal-Mart page 4

Liver Brothers

Dashang Group

Wal-Mart, the world's largest retailer, had sales of \$258.7 billion and 1,400,000 employees;

Internalizing the external cost is NOT consistent with which of the following?

Select correct option:

Ethical justice page 64

Retributive justice

Distributive justice

Compensatory justice

This way of dealing with pollution is consistent with the requirements of distributive justice
Internalizing external costs is also consistent with retributive and compensatory justice

Which of the following views argues that prices and profits in highly concentrated industries are higher than they should be?

Select correct option:

Anti-trust view page 53

Discrimination view

Unethical view

Unlawful view

The **antitrust view** argues that prices and profits in highly concentrated industries are higher than they should be

Which of the following is NOT an objective of social audit?

Select correct option:

Scrutiny of various policy decisions

Estimation of the opportunity cost

Creating awareness among beneficiaries

Encourages local democracy page 69

Objectives of social audit

1. Assessing the physical and financial gaps between needs and resources available for local development.
2. Creating awareness among beneficiaries and providers of local social and productive services.
3. Increasing efficacy and effectiveness of local development programs.
4. Scrutiny of various policy decisions, keeping in view stakeholder interests and priorities, particularly of rural poor.
5. Estimation of the opportunity cost for stakeholders of not getting timely access to public services.

A relationship that exhibits the virtues of compassion, love, friendship, and loyalty is the example of which theory?

Select correct option:

Socialism

The ethics of care page 27

Communitarian ethics

Rawls justice and fairness

This is central to the point of view known as the **ethics of care**, an approach to ethics that many feminist ethicists have recently advanced. According to this method, we have an obligation to exercise special care toward the people with whom we have valuable, close relationships. Compassion, concern, love, friendship, and kindness are all sentiments or virtues that normally manifest this dimension of morality

Which of the following issues are not satisfied by utilitarianism?

Select correct option:

Justice

Right

Justice & Right

None of the above

Which of the following is not a feature of perfect competition?

Select correct option:

Buyers and sellers can freely and immediately enter or leave the market

All buyers and sellers are utility maximizers

There are numerous buyers and sellers, none of whom has a substantial share of the market

External parties regulate the price, quantity, or quality of the goods being bought and sold in the market page 45

1. There are numerous buyers and sellers, none of whom has a substantial share of the market.
2. All buyers and sellers can freely and immediately enter or leave the market.

3. Every buyer and seller has full and perfect knowledge of what every other buyer and seller is doing, including knowledge of the prices, quantities, and quality of all goods being bought and sold.
4. The goods being sold in the market are so similar to each other that no one cares from whom each buys or sells.
5. The costs and benefits of producing or using the goods being exchanged are borne entirely by those buying or selling the goods and not by any other external parties.
6. All buyers and sellers are utility maximizers: Each tries to get as much as possible for as little as possible.
7. No external parties (such as the government) regulate the price, quantity, or quality of any of the goods being bought and sold in the market.

“The possession of a livable environment is something to which every human being has a right.” Who argued this statement?

Select correct option:

William T. Blackstone page 64

Lawrence Kohlberg

Carol Gilligan

Robert Nozick

William T. Blackstone has argued that the possession of a livable environment is something to which every human being has a right.

Which one of the following asserts that morality varies from one culture to another?

Select correct option:

Ethical relativism

Norm relativism

Cultural relativism page 6

None of the above

Cultural relativism asserts that morality varies from one culture to another

Who argues that though it is unjust to impose heavy burdens on present generations for the sake of the future?

Select correct option:

John Rawls page 72

John Locke

Adam Smith

None of the above

John Rawls, on the other hand, argues that though it is unjust to impose heavy burdens on present generations for the sake of the future

The person's reasons for acting must be reasons that he or she would be willing to have all others use, even as a basis of how they treat him or her is known as?

Select correct option:

Reversibility page 21

Universalizability

Rule utilitarianism

None of the above

Reversibility means the person's reasons for acting must be reasons that he or she would be willing to have all others use, even as a basis of how they treat him or her

Which of the following view can be seen as a middle ground between the other two? Those who advocate this view do not wish to lose the economies of scale offered by large corporations, but they also wish to ensure that large firms do not harm the consumers.

Select correct option:

Antitrust View

Regulation view page 54

Normative View

Business View

The **Regulation view**, which can be seen as a middle ground between the other two. Those who advocate regulation do not wish to lose the economies of scale offered by large corporations, but they also wish to ensure that large firms do not harm the consumers.

Shadow pricing is a technique which is used in?

Select correct option:

Accounting

Business Ethics

Management

None of the above

In a business application, a shadow price is the maximum price that management is willing to pay for an extra unit of a given limited resource. For example, if a production line is already operating at its maximum 40-hour limit, the shadow price would be the maximum price the manager would be willing to pay for operating it for an additional hour, based on the benefits he would get from this change.

Who argued that advertising merely manipulates consumers, creating desires solely to absorb industrial output?

Select correct option:

John Rawls

Adam Smith

John Kenneth Galbraith page 90

None of the above

John Kenneth Galbraith and other critics have long argued that advertising merely manipulates consumers, creating desires solely to absorb industrial output

Internalizing external costs consistent with all except?

Select correct option:

Retributive justice

Compensatory justice

Social justice page 64

None of the above

Internalizing external costs is also consistent with retributive and compensatory justice,

How many species of plant and animal inhabiting the planet?

Select correct option:

3 Million

2 Million page 59

1 Million

None of the above

The number of plant and animal species inhabiting the planet is not accurately known.
Nearly 2
million species have been identified,

Internalizing the costs of pollution is problematic due to which of the following reasons?

Select correct option:

When several pollutants are involved, it is impossible to discover who is being damaged by whom page 64

Pollution-control devices are expensive and can even put people out of work

External costs should be borne by the society as a whole

Market mechanisms cannot provide cost-cutting incentives to ensure that prices reflect the true costs of production

A problem with this way of internalizing the costs of pollution, however, is that when several polluters are involved,

Which one of the following is a source of absorbing moral standards?

Select correct option:

Family

Friends

School

All of the above not sure

Which of the following justify the theory of contractual view of business' duties?

Select correct option:

Kant

Rawls

Adam Smith

Both Kant and Rawls page 84

Both Kant's and Rawls' theories offer justification for this view, and traditional moralists also remind us that contracts are subject to three moral constraints

When a company charges different price to different buyers for the same goods or services then practice is known as?

Select correct option:

Retail Price Maintenance Agreements

Price Fixing

Price adjustment

Price Discrimination page 51

Price Discrimination - when a company charges different prices to different buyers for the same goods or services.

Which principle of John Rawls assumes that a productive society will incorporate inequalities?

Select correct option:

Principle 1

Principle 2 page 25

Part a of principle 2

Part b of principle 2

Part of Principle 2 is called the **difference principle**. It assumes that a productive society will incorporate inequalities,

Definition of greenness includes all of the following EXCEPT:

Select correct option:

Animal welfare and species preservation

Prohibition of smoking at work place

Conservation of energy

Flourishing of the nonhuman life on the earth not sure

Utilitarianism lies under which of the following ethical theories?

Select correct option:

Virtue

Intuitionism

Deontological

Teleological

It can be contrasted with deontological ethics

Privacy is an example of?

Select correct option:

Positive right

Basic need

Negative right page 19

None of the above

How many essential components of Moral reasoning are?

Select correct option:

3

4

2 page 10

None of the above

Moral reasoning itself has two essential components

Which one of the following is not a type of market?

Select correct option:

Free market

Monopolistic market

Oligopolistic market

Mixed market

Substances that can increase mortality rates are known as?

Select correct option:

Toxic substances page 59

Intoxic substances

Agri substances

None of the above

The pollution of the land by toxic substances also causes increased mortality and illness

When a person is entitled to act in a certain way or is entitled to have others act in a certain way toward him or her is known as?

Select correct option:

Right page 18

Justice

Basic needs

None of the above

In general, a right is a person's entitlement to something; one has a right to something when one is entitled to act a certain way or to have others act in a certain way towards oneself

Forced selling and forced buying are the main features of which economic system?

Select correct option:

Mixed economy

Free Economy

Controlled economy

None of the above

The costs of pollution control are borne by?

Select correct option:

Stockholders

Customers

Both a & b

None of the above

Which one is the justice concern of blaming or punishing persons for doing wrong?

Select correct option:

Distributive justice

Redistributive justice

Compensatory justice

None of the given page 26

Retributive justice concerns blaming or punishing those who do wrong

Who proposed that human beings have a "natural right" to liberty and a "natural right" to private property?

Select correct option:

John Locke page 31

Alasdair MacIntyre

John Rawls

None of the above

John Locke (1632-1704), an English political philosopher, is generally credited with developing the idea that human beings have a "natural right" to liberty and a "natural right" to private property.

The destruction of nature that has accompanied male domination must be replaced with caring and nurturing of relationships with nature is known as?

Select correct option:

Ethics of utility

Ethics of justice

Ethics of caring page 68

None of the above

According to the ethics of caring, the destruction of nature that has accompanied male domination must be replaced with caring for and nurturing our relationships with nature and other living things

Which of the following is included in due care theory?

Select correct option:

Marketing

Logistic

Design page 85

None of the above

Due care must enter into the product's design, choice of materials and construction methods

Group of thinkers, sees the key form of hierarchy connected to the destruction of the environment as the domination of women by men is known as?

Select correct option:

Eco-feminists page 68

Eco-masculinity

Both a & b

None of the above

Eco-feminists, a related group of thinkers, see the key form of hierarchy connected to the destruction of the environment as the domination of women by men

When companies agree to set prices artificially high the practice is known as?

Select correct option:

Retail Price Maintenance Agreements

Price Fixing page 51

Price adjustment

Price Discrimination

Price Fixing - when companies agree to set prices artificially high.

Who has used the theory of natural right by Locke to argue for free market?

Select correct option:

Adam smith

John Locke

Friedrich A. Hayek page 35

Alasdair MacIntyre

Water pollution comes from all except?

Select correct option:

Agriculture

Oil Wells

Manufacturing

All of the above page 59

Pollution comes from agriculture, mines, oil wells, human wastes, manufacturing, detergents, and the food industry, among other sources

Which one of the following is a component of free market systems?

Select correct option:

Private property system

Involuntary exchange system

Command system

None of the given

Free market systems have two main components: a private property system and a voluntary exchange system

Which of the following is an economic system in which the means of production are privately owned and operated for a profit?

Select correct option:

Communism

Capitalism

Liberalism

Socialism

Which of the following is the practice of “adopting resource-conserving and environmentally-friendly strategies in all stages of the value chain”?

Select correct option:

Green marketing page 67

Red marketing

Industrial marketing

FMCG marketing

Green marketing is the practice of “adopting resource-conserving and environmentally friendly strategies in all stages of the value chain

"Act in such a way that "you always treat humanity, whether in your own person or in the person of any other, never simply as a means, but always at the same time as an end."
said
by?

Select correct option:

John Rawls

Kant page 21

Carol Gilligan

None of the above

The second formulation Kant gives of the categorical imperative is this: "Act in such a way that you always treat humanity, whether in your own person or in the person of any other, never simply as a means, but always at the same time as an end."

In which Year Township and village enterprises (TVEs) legalized?

Select correct option:

1974

1984 page 44

1994

2004

Township and village enterprises (TVEs) obtained materials, labor, and capital on open market and used a private distribution system. Legalized in 1984,

Who has stated the principle of comparative advantage?

Select correct option:

Adam Smith

David Ricardo page 36

Eli Heckscher

Bertil Ohlin

Which of the following is not an objection of contractual theory?

Select correct option:

A contract is two-edged sword page 85

The assumption that buyer and seller meet each other as equals in the sale agreement

Manufacturers do not make direct agreements with consumers

None of the above

Which statement reflects the "punishment and obedience orientation" stage (stage one) of moral development?

Select correct option:

I don't steal because my friends don't steal

I don't steal because I don't want to be spanked

I don't steal because it would harm society as a whole

I don't steal because it wouldn't be fair to everyone else if I did

“When in Rome, do as the Romans do” is associated with:

Select correct option:

Cultural Relativism

Ethical Relativism page 6

Descriptive Relativism

Epistemological Relativism

Which theory states that consumers and sellers do not meet at equal levels?

Select correct option:

Due care theory page 85

Contractual theory

Justice theory

Utilitarian theory

The due care theory of the manufacturer's duties to consumers is based on the idea that consumers and sellers do not meet as equals

_____ is defined as Tendency to make ethical choices only on the basis of what looks right or reasonable according to one's own belief or value system.

Select correct option:

Ethical Relativism

Cultural Relativism

Descriptive Relativism

Epistemological Relativism

A tendency to make ethical choices only on the basis of what looks right or reasonable according to one's own belief or value system.

The main difference between Gilligan and Kohlberg was that Gilligan emphasized?

Select correct option:

Justice and fairness

Care and interpersonal relationships

Role-taking and empathy

The moral superiority of women page 9

Carol Gilligan, a feminist psychologist, has also criticized Kohlberg's theory on the grounds that it describes male and not female patterns of moral development. Gilligan claims that there is a "female" approach to moral issues that Kohlberg ignores.

How much in over the past 150 years, deforestation has contributed to the atmospheric build-up of CO₂?

Select correct option:

One third page 59

Two third

One fourth

None of the above

Over the past 150 years, deforestation has contributed one third of the atmospheric build-up of CO₂,

Which theory was proposed by David Ricardo in 1817?

Select correct option:

Natural advantage

Comparative advantage page 36

Acquired advantage

Resource efficiency advantage

Comparative Advantage:

In 1817 David Ricardo reasoned.

Suppose you purchased a product of ABC Company by inspiring an advertisement. After purchasing decision you realized that the real product functionalities are not matching with real one. Categories such type of advertisement.

Select correct option:

Deceptive advertisement page 116

Under estimated advertisement

Wrongly communicated advertisement

Professional advertisement

Deceptive advertising can take several forms. An advertisement can misrepresent the nature of the product by using deceptive mock-ups, using untrue paid testimonials, inserting the word *guarantee* where nothing is guaranteed, and quoting misleading prices, failing to disclose defects in a product, misleadingly disparaging a competitor's goods, or simulating well-known brand names

Socialist view on distribution is best described as:

Select correct option:

From each according to his ability, to each according to his needs page 33

The benefits a person receives should be proportional to his contribution

From each they choose, to each as they are chosen

Always treat humanity as an end in itself rather than as a means

The socialist view on distribution: "From each according to his ability, to each according to his needs."

Who proposed the concept of free market and utility?

Select correct option:

John Locke

Alasdair MacIntyre

John Rawls

Adam Smith page 49

Free Markets and Utility: Adam Smith

EPA stands for?

Select correct option:

Environmental Protection Agreement

Energy Protection Agency

Energy Protection Agreement

Environmental Protection Agency page 76

The U.S. Environmental Protection Agency (EPA), which conducted these studies, is evaluating the possible human health risks of PFOA

Study which does not try to reach any conclusions is called_____.

Select correct option:

Pilot Study

Case Study

Normative Study

Descriptive Study page 6

A **descriptive study** is one that does not try to reach any conclusions about what things are truly good or bad or right or wrong. Instead, a descriptive study attempts to describe or explain the world without reaching any conclusions about whether the world is as it should be

Moral standards are absorbed from?

Select correct option:

Family & Friends

Experience

Intellectual capital

All of the above.....

Caveat vendor represents to:

Select correct option:

Let the buyer beware

Let the seller beware

Let the buyer and seller beware

None of the given options page 107

The theory is a strong version of the doctrine of caveat vendor: let the seller take care.

Which of the following refers to the saving or rationing of natural resources for later use?

Select correct option:

Preservation

Conservation page 88

Fossilization

Depletion

Conservation refers to the saving or rationing of natural resources for later use

Commodities that are considered valuable only because they lead to other good things are called:

Select correct option:

Instrumental goods page 22

Instrumental values

Intrinsic goods

Intrinsic values

Intrinsic goods are things that are desired for their own sake, such as health and life. These goods always take precedence over instrumental goods, which are things that are good because they help to bring about an intrinsic good

Which one of the following quoted about advertising "promise, large promise, is the soul of advertising".

Select correct option:

David ogilvy

Kant

Samuel Johnson

None of the above

Jul 17, 2007 - Morris Hite, quoted in Adman: Morris Hite's Methods for Winning the Ad Game – 1988. "Promise, large promise, is the soul of Advertising".

The behavior respects the basic rights of the individuals involved and whether the behavior is consistent with one's agreements and special duties is referred as?

Select correct option:

Standards of justice

Standards of caring

Standards that specify how individuals must be treated page 38

None of the above

Standards that specify how individuals must be treated - must be employed when our actions and policies will substantially affect the welfare and freedom of specifiable individuals. Moral reasoning of this type forces consideration of whether the behavior respects the basic rights of the individuals involved and whether the behavior is consistent with one's agreements and special duties

How many types of chemical compounds are currently being used in the USA?

Select correct option:

50,000

55,000

58,000 page 75

60,000

Over 58,000 different chemical compounds are currently being used in the U.S., and the number is increasing each year

Literally the word ethics stand for :

Select correct option:

Understanding human nature

Study of morality page 3

Properties of chemical substances

Both 2 & 3

Ethics is "the study of morality." Ethicists use the term *ethics* to refer primarily to the study of morality.

Which one of the country has more individualistic culture?

Select correct option:

Pakistan

Japan

USA page 31

None of the above

Also interestingly, workers in countries such as Japan, which is characterized as having more collectivist culture, prefer the principles of equality more than workers in countries such as the United States, which is characterized as having a more individual culture

Fossil fuels include all except?

Select correct option:

Oil

Coal

Wind

Natural gas

Who argued that misrepresentation in the making of a contract cannot be universalized?

Select correct option:

Rawls

Kant page 101

Adam Smith

None of the given options

Kant, for example, easily shows that misrepresentation in the making of a contract cannot be universalized

Ozone is a protective layer in atmosphere is made of?

Select correct option:

Methane gas

Carbon Dioxide gas

Oxygen gas

None of the above

Which of the following are components of free market systems?

Select correct option:

Private property system

Voluntary exchange system

Both a & b page 43

None of the above

Free market systems have two main components: a private property system and a voluntary exchange system.

Which one of the following is a type of moral standards?

Select correct option:

Utilitarianism

Rights

Justice

All of the above

Which of the following is the most influential critic of Adam Smith?

Select correct option:

John Hicks

Maynard Keynes page 51

Herbert Spencer

Charles Darwin

One especially influential critic of Smith was John Maynard Keynes

When a company sells to a retailer only on condition that the retailer will not purchase products from other companies and will not sell outside a certain geographical area is known as?

Select correct option:

Tying Arrangements

Exclusive Dealing Arrangements page 64

Retail Price Maintenance Agreements

None of the above

Exclusive Dealing Arrangements - when a company sells to a retailer only on condition that the retailer will not purchase products from other companies and/or will not sell outside a certain geographical area.

A natural gas leak explosion happened in New London School of Texas in which year?

Select correct option:

1917

1927

1937 page 94

None of the above

In 1937, a natural gas leak was responsible for the New London School explosion in Texas

Costs of the resources consumed in producing a product are known as?

Select correct option:

Production cost page 109

Selling cost

Total cost

None of the above

Production costs are the costs of the resources consumed in producing a product

The aim of the moral life is to develop the dispositions that we call virtues, and to exercise them as well is referred to as?

Select correct option:

Ethics theory

Relationship theory

Virtue theory page 40

None of the above

Virtue theory says that the aim of the moral life is to develop the dispositions that we call virtues, and to exercise them as well

Which one of the following is the principal Utilitarian remedy for pollution?

Select correct option:

To internalize external costs of production page 82

To externalize internal costs of production

To minimize the total social cost of production

To maximize the total social cost of production

The remedy for external costs, according to utilitarian's, is to internalize them to ensure that the producer pays all of the real costs of production and uses these costs to determine the price of the commodity

Which of the following demands that manufacturer should pay the costs of all injuries caused by defect in a product even if exercised due care?

Select correct option:

Due care theory

Contractual theory

Social costs view page 106

Advertising ethics

On this basis, the theory argues that a manufacturer should bear the social costs for injuries caused by defects in a product even when no negligence was involved and no contractual relationship existed between the manufacturer and user.

Which one of the following lie at the core of the most serious ecological dislocations?

Select correct option:

Economic

Ethnic

Gender conflicts

All of the above page 86

Economic, ethnic, cultural, and gender conflicts, among many others, lie at the core of the most serious ecological dislocations we face today

Environmental ethics is the discipline that studies the moral relationship of?

Select correct option:

Human beings

Environment

Both a & b page 69

None of the above

Environmental ethics is the discipline that studies the moral relationship of human beings to, and also the value and moral status of, the environment and its nonhuman contents

Which one of the following is not considered as part of the three stages of moral development proposed by Carol Gilligan?

Select correct option:

Social Contract Orientation page 11

Principled morality

Conventional morality

Progressing from selfish

She outlines three stages of moral development progressing from selfish, to social or conventional morality, and finally to post conventional or principled morality

Relationship between a business firm and consumer essentially be?

Select correct option:

Forced relationship

Contractual relationship page 102

Due care relationship

None of the above

The relationship between a business firm and its customers is essentially a contractual relationship

How many moral duties, contractual theory has defined?

Select correct option:

1

2

3

4 page 103

Hence, the contractual theory of business' duties to consumers claims that a business has four main moral duties

Which of the following are called excusing conditions?

Select correct option:

Ignorance

Inability

Both a & b page 16

None of the above

Ignorance and inability to do otherwise are two conditions, called *excusing conditions*

Which of the following refers to the reasoning process by which human behaviors, institutions, or policies are judged to be in accordance or not with moral standards?

Select correct option:

Moral reasoning page 13

Moral duty

Moral justice

None of the above

Moral reasoning refers to the reasoning process by which human behaviors, institutions, or policies are judged to be in accordance with or in violation of moral standards.

In monopolistic markets?

Select correct option:

There are only few sellers

There is only one seller page 62

There are many sellers

None of the above

In a monopoly, two of the seven conditions are absent: there is only one seller, and other sellers cannot enter the market

Which of the following objection placed by Robert Nozick on Kant's theory?

Select correct option:

Libertarian objection page 29

Reversibility objection

Universalizability objection

None of the above

The Libertarian objection: Nozick

Saving of finite and depletable resources of the world is known as?

Select correct option:

Consumerism

Conversion

Conservation page 88

None of the above

Generally, conservation refers to the saving of finite, depletable resources

Which philosopher of utilitarianism presents the cost-benefit analysis?

Select correct option:

Aristotle

Mill

Kant

Bentham page 19

Cost-Benefit Analysis

Bentham's idea of a precise quantitative method for decision making is most fully realized in a cost-benefit analysis

When there are numerous buyers and sellers, none of whom has a substantial share of the market, and then such system is known as?

Select correct option:

Perfect competition page 58

Monopoly

Oligopoly

None of the above

Perfect Competition

In a perfectly free competitive market, no buyer or seller has the power to significantly affect the price of a good. Seven features characterize such markets:
1. There are numerous buyers and sellers, none of whom has a substantial share of the market.

For internalization of the cost of pollution, a firm has to pay?

Select correct option:

Do not pay all those harmed by pollution

Pay half of all those harmed by pollution

Pay all those harmed by pollution page 82

None of the above

To internalize the costs of pollution, a firm may be required to pay all those harmed by pollution.

All of the following are reasons to show that future generations have no rights on world's resources, EXCEPT:

Select correct option:

Future generations cannot intelligently be said to have rights

Someone only has a right if he/she has certain interest.....

It is absurd that we must sacrifice our entire civilization for their sake

It is unjust for present generations to leave nothing for future generations page 87, 88

Which one of the following pointed out by von Hayek?

Select correct option:

Advertising merely manipulates consumers

Advertising is responsible for the growing economy

Psychic wants have been around longer than advertising in any case page 110

None of the above

It is not clear, however, that this view is correct, and theorists such as F. A. von Hayek have pointed out that psychic wants have been around longer than advertising in any case.

The type with which one looks only at moral rules or actions of a particular type is known as?

Select correct option:

Rule utilitarianism page 22

Utilitarianism

Both a & b

None of the above

Largely in response to these concerns, utilitarian's have devised an alternative version, called **rule utilitarianism**. In this version, instead of looking at individual acts to see whether they produce more pleasure than the alternatives, one looks only at moral rules at actions of a particular type.

Through utilitarianism offers a clear-cut method of calculating morality. What are the numbers of problems identified in this method?

Select correct option:

5

4

3

2

In which of the following scenarios is an unethical payment clearly being made?

Select correct option:

A payment made to induce the payee to perform what is his or her official duty

A payment made to a payee who demands the payment by threatening injury to the payer's interests

A payment made to bribe an official, but this is a locally accepted public custom

No payment has been made unethically

Which of the following laws have no concern with morality?

Select correct option:

Parking laws

Dress codes law

Both a & b

None of the above

The idea that moral rightness or wrongness is culture-dependent is an example of

Select correct option:

Moral relativism

Moral absolutism

Categorical imperative

Universality

Which of the following views argues that prices and profits in highly concentrated industries are higher than they should be?

Select correct option:

Anti-trust view page 66

Discrimination view

Unethical view

Unlawful view

The antitrust view argues that prices and profits in highly concentrated industries are higher than they should be

Which of the following school of thought support the view point of ecological ethic that the welfare of at least some nonhumans is intrinsically valuable and deserving of respect and protection?

Select correct option:

Utilitarian

Rights

Both Utilitarian and rights page 79

None of the given options

An ecological ethic, therefore, claims that the welfare of at least some nonhumans is intrinsically valuable and deserving of respect and protection. Utilitarian and rights arguments both support such a view

The world population may reach to 9 billion by the year?

Select correct option:

2022

2035

2043 page 69

2050

World population may reach

- 7 billion in 2012 (13 years later)
- 8 billion in 2026 (14 years later)
- 9 billion in 2043 (17 years later)

Which of the following is the largest organization for the calculation of data on environment?

Select correct option:

Club of Rome

World Watch Institute page 69

GEF

UINDO

The kind of care that is owed to those with whom we have special concrete relationships is known as?

Select correct option:

Utilitarian standards

Standards of justice

Standards of caring page 38

None of the above

Standards of caring - indicate the kind of care that is owed to those with whom we have special concrete relationships.

Weighing Social Costs and Benefits is a technique used in?

Select correct option:

Justice concept

Right concept

Caring concept

Utilitarianism concept page 17

Utilitarianism: Weighing Social Costs and Benefits

Which of the following statement is CORRECT about social audit?

Select correct option:

A report of social costs of firm's activities

A report of social benefits of firm's activities

A report of social costs and social benefits of firm's activities page 84

None of these statements is correct

Social audit (a report of the social costs and social benefits of the firm's activities).

The benefits of pollution control should flow to those who have had to bear?

Select correct option:

Internal cost of pollution

External costs of pollution page 82

Both a & b

None of the above

The benefits of pollution control should flow to those who have had to bear the external costs of pollution.

Which one of the following a moral reason of contractual theory of business?

Select correct option:

Compliance duty

Misrepresentation duty

Coerce duty page 103

All of the above

The book “Limits to Growth” published in how many languages?

Select correct option:

30

32

35

37 page 91

One of the best known warning voices was contained in the book "Limits to Growth", published in 1972. It sold twelve million copies in 37 languages.

Question # 12 of 20 (Start time: 04:54:10 PM) Total Marks: 1

Which one of the following quoted about advertising "promise,large promise,is the soul of advertising".

Select correct option:

David oglivy

Kant
Samuel Johnson
None of the above

Jul 17, 2007 - Morris Hite, quoted in Adman: Morris Hite's Methods for Winning the Ad Game – 1988. "Promise, large promise, is the soul of Advertising".

Question # 16 of 20 (Start time: 04:58:06 PM) Total Marks: 1
Literally the word ethics stand for
Select correct option:

Understanding human nature
Study of morality2
properties of chemical
substances
Both 2 & 3

Ethics is
"the study of morality."
60,000

Question # 17 of 20 (Start time: 04:59:27 PM) Total Marks: 1
Which one of the country has more individualistic culture?
Select correct option:

Pakistan
Japan
USA30
None of the above

Also interestingly, workers in countries such as Japan, which is characterized as having more collectivist culture, prefer the principles of equality more than workers in countries such as the United States, which is characterized as having a more individual culture.

Question # 18 of 20 (Start time: 05:00:38 PM) Total Marks: 1

Fossil fuels include all except?

Select correct option:

Oil

Coal

Wind

Natural gas

Question # 19 of 20 (Start time: 05:01:24 PM) Total Marks: 1

Who argued that misrepresentation in the making of a contract cannot be universalized?

Select correct option:

Rawls

Kant.....101

Adam Smith

None of the given options

Question # 5 of 20 (Start time: 03:49:58 PM) Total Marks: 1

Which of the following are components of free market systems?

Select correct option:

Private property system

Voluntary exchange system

Both a & b..... 42

None of the above

Free market systems have two main components: a private property system and a voluntary exchange system.

Question # 7 of 20 (Start time: 03:51:40 PM) Total Marks: 1

**Which of the following is the most influential critic of Adam Smith?
Select correct option:**

John Hicks

Maynard Keynes.....50

Herbert Spencer

Charles Darwin

One especially influential critic of Smith was John Maynard Keynes.

Question # 8 of 20 (Start time: 03:52:14 PM) Total Marks: 1
When a company sells to a retailer only on condition that the retailer will not purchase products from other companies and will not sell outside a certain geographical area is known as?
Select correct option:

Tying Arrangements

Exclusive Dealing Arrangements63

Retail Price Maintenance Agreements

None of the above

Exclusive Dealing Arrangements - when a company sells to a retailer only on condition that the retailer will not purchase products from other companies and/or will not sell outside a certain geographical area.

Question # 9 of 20 (Start time: 03:53:08 PM) Total Marks: 1
A natural gas leak explosion happened in New London School of Texas in which year?
Select correct option:

1917

1927

193793

None of the above

In 1937, a natural gas leak was responsible for the New London School explosion in Texas.

Question # 10 of 20 (Start time: 03:54:29 PM) Total Marks: 1

Costs of the resources consumed in producing a product is known as?

Select correct option:

Production cost107

Selling cost

Total cost

None of the above

Production costs are the costs of the resources consumed in producing a product. Selling costs are the additional costs of resources that do not go into the product itself, but rather are incurred as a result of persuading consumers to purchase it.

Question # 11 of 20 (Start time: 03:55:20 PM) Total Marks: 1

The aim of the moral life is to develop the dispositions that we call virtues, and to exercise them as well is referred to as?

Select correct option:

Ethics theory

Relationship theory

Virtue theory39

None of the above

Virtue theory says that the aim of the moral life is to develop the dispositions that we call virtues, and to exercise them as well.

Question # 13 of 20 (Start time: 03:56:52 PM) Total Marks: 1

Which of the following demands that manufacturer should pay the costs of all injuries caused by defect in a product even if exercised due care?

Select correct option:

Due care theory
Contractual theory

Social costs view ...106

Advertising ethics

On this basis, the theory argues that a manufacturer should bear the social costs for injuries caused by defects in a product even when no negligence was involved and no contractual relationship existed between the manufacturer and user.

Question # 14 of 20 (Start time: 03:58:19 PM) Total Marks: 1

Which one of the following lie at the core of the most serious ecological dislocations?

Select correct option:

Economic

Ethnic

Gender conflicts

All of the above.....85

To make this point more concrete economic, ethnic, cultural, and gender conflicts, among many others, lie at the core of the most serious ecological dislocations

Question # 16 of 20 (Start time: 04:00:41 PM) Total Marks: 1

Which of the following is a related group of thinkers, sees the key form of hierarchy connected to the destruction of the environment as the domination of women by men?

Select correct option:

Ethicists

Eco feminists86

Friends of earth

Friends of world watch

Eco-feminists, a related group of thinkers, sees the

key form of hierarchy connected to the destruction of the environment as the domination of women by men.

Question # 17 of 20 (Start time: 04:01:24 PM) Total Marks: 1

Which theory states that consumers and sellers do not meet at equal levels?

Select correct option:

Due care theory ...103

Contractual theory

Justice theory

Utilitarian theory

The “due care” theory of the manufacturer’s duties to consumers is based on the idea that consumers and sellers do not meet as equals

Question # 18 of 20 (Start time: 04:02:48 PM) Total Marks: 1

All of the following are the critics of contractual theory, EXCEPT:

Select correct option:

Assumptions are unrealistic

Buyer and seller meet on equal ground is false

Buyer and seller meet on equal ground is false

Buyer and seller meet on equal ground103

Finally, critics of this theory point out that the assumption that buyer and seller meet on equal ground is false. Buyers and sellers are not equally skilled; the seller is in a much stronger position than the buyer. Sellers only have to know their own products, while buyers need to know about every sellers’ products for every commodity they purchase.

Question # 19 of 20 (Start time: 04:04:13 PM) Total Marks: 1

Environmental ethics is the discipline that studies the moral relationship of?

Select correct option:

Human beings

Environment

Both a & b68

None of the above

Environmental ethics is the discipline that studies the moral relationship of human beings to, and also the value and moral status of, the environment and its nonhuman contents.

Question # 20 of 20 (Start time: 04:05:03 PM) Total Marks: 1

Which one of the following is not considered as part of the three stages of moral development proposed by Carol Gilligan?

Select correct option:

Social Contract Orientation9

principled morality

conventional morality

progressing from selfish

She outlines three stages of moral development progressing from selfish, to social or conventional morality, and finally to post conventional or principled morality.

Question # 2 of 20 (Start time: 02:47:34 PM) Total Marks: 1

How many moral duties, contractual theory has defined?

Select correct option:

1

2

3

4.....102

Question # 3 of 20 (Start time: 02:48:02 PM) Total Marks: 1

Which of the following is included in due care theory?

Select correct option:

Marketing

Logistic

Design

None of the above105

Question # 4 of 20 (Start time: 02:49:05 PM) Total Marks: 1

Which of the following are called excusing conditions?

Select correct option:

Ignorance

Inability

Both a & b15

None of the above

Ignorance and inability to do otherwise are two conditions, called excusing conditions,

Question # 5 of 20 (Start time: 02:49:42 PM) Total Marks: 1

Which of the following refers to the reasoning process by which human behaviors, institutions, or policies are judged to be in accordance or notwith moral standards?

Select correct option:

Moral reasoning12

Moral duty

Moral justice

None of the above

Moral reasoning refers to the reasoning process by which human behaviors, institutions, or policies are judged to be in accordance with or in violation of moral standards

Question # 8 of 20 (Start time: 02:52:14 PM) Total Marks: 1

Saving of finite and depletable resources of the world is known as?

Select correct option:

consmerism

conversion

conservation87

None of the above

Generally, conservation refers to the saving of finite, depletable resources.

Question # 11 of 20 (Start time: 02:55:50 PM) Total Marks: 1

When there are numerous buyers and sellers, none of whom has a substantial share of the market, then such system is known as?

Select correct option:

Perfect competition57

Monopoly

Oligopoly

None of the above

Question # 13 of 20 (Start time: 02:57:44 PM) Total Marks: 1

All of the following are reasons to show that future generations have no rights on world's resources, EXCEPT:

Select correct option:

Future generations cannot intelligently be said to have rights

Someone only has a right if he/she has certain interest.....

It is absurd that we must sacrifice our entire civilization for their sake

It is unjust for present generations to leave nothing for future generations

Question # 14 of 20 (Start time: 02:58:55 PM) Total Marks: 1

Which one of the following pointed out by von Hayek?

Select correct option:

Advertising merely manipulates consumers

advertising is responsible for the growing

economy

Psychic wants have been around longer than advertising in any case

.....109

None of the above

F. A. von Hayek have pointed out that
psychicwants have beenaround longerthan advertisinginanycase.

The most common criticism of advertising concerns is its effect

Question # 15 of 20 (Start time: 02:59:51 PM) Total Marks: 1

The type with which one looks only at moral rules or actions of a particular type is known as?

Select correct option:

Rule utilitarianism

Utilitarianism

Both a & b

None of the above

Question # 16 of 20 (Start time: 03:01:11 PM) Total Marks: 1

Through utilitarianism offers a clear-cut method of calculating morality. What are the number of problems identified in this method?

Select correct option:

520

4

3

2

Question # 18 of 20 (Start time: 03:37:18 PM) Total Marks: 1

Which of the following is the most influential critic of Adam Smith?

Select correct option:

John Hicks

Maynard Keynes.....50

Herbert Spencer

Charles Darwin

One especially influential critic of Smith was John Maynard Keynes.

Question # 19 of 20 (Start time: 03:37:57 PM) Total Marks: 1

In which of the following scenarios is an unethical payment clearly being made?

Select correct option:

A payment made to induce the payee to perform what is his or her official duty

A payment made to a payee who demands the payment by threatening injury to the payer's interests

A payment made to bribe an official, but this is a locally accepted public custom

No payment has been made unethically

Question # 20 of 20 (Start time: 03:39:21 PM) Total Marks: 1

Which of the following laws have no concern with morality?

Select correct option:

Parking laws

Dress codes law

Both a & b14

None of the above

Question # 1 of 20 (Start time: 04:12:10 PM) Total Marks: 1

Which of the following view can be seen as a middle ground between the other two? Those who advocate this view do not wish to lose the economies of scale offered by large corporations, but they also wish to ensure that large firms do not harm the consumers.

Select correct option:

Antitrust View

Regulation view66

Normative View

Business View

The third view is the Regulation view, which can be seen as a middle ground between the other two. Those who advocate regulation do not wish to lose the economies of scale offered by large corporations, but they also wish to ensure that large firms do not harm the consumers.

Question # 2 of 20 (Start time: 04:13:16 PM) Total Marks: 1

The idea that moral rightness or wrongness is culture-dependent is an example of

Select correct option:

Moral relativism ????????? 12

Moral absolutism

Categorical imperative

Universality

Moral judgment on the rightness or wrongness of the policy institution, or behavior.

Question # 3 of 20 (Start time: 04:14:45 PM) Total Marks: 1

Which of the following views argues that prices and profits in highly concentrated industries are higher than they should be?

Select correct option:

Anti-trust view65

Discrimination view

Unethical view

Unlawful view

Second, the antitrust view argues that prices and profits in highly concentrated industries are higher than they should be

Question # 4 of 20 (Start time: 04:15:35 PM) Total Marks: 1

In which type of competition one can freely and immediately enter or leave the market?

Select correct option:

Perfect competition97

Monopoly

Oligopoly
None of the above

b) everyone can freely enter and exit the market,

Question # 5 of 20 (Start time: 04:16:31 PM) Total Marks: 1

How many types of chemical compounds are currently being used in the USA?

Select correct option:

50,000

55,000

58,00074

60,000

Over 58,000 different chemical compounds are currently being used in the U.S.,

Question # 6 of 20 (Start time: 04:17:40 PM) Total Marks: 1

Which of the following school of thought support the view point of ecological ethic that the welfare of at least some nonhumans is intrinsically valuable and deserving of respect and protection?

Select correct option:

Utilitarian

Rights

Both Utilitarian and rights78

None of the given options

An ecological ethic, therefore, claims that the welfare of at least some nonhumans is intrinsically valuable and deserving of respect and protection. Utilitarian and rights arguments both support such a view.

Question # 7 of 20 (Start time: 04:18:36 PM) Total Marks: 1
The world population may reach to 9 billion by the year?
Select correct option:

- 2022
- 2035
- 204368
- 2050

9 billion in 2043 (17 years later)

Question # 8 of 20 (Start time: 04:19:55 PM) Total Marks: 1
Which of the following is the largest organization for the calculation of data on environment?
Select correct option:

- Club of Rome
- World Watch Institute ???not sure
- GEF
- UINDO

Question # 9 of 20 (Start time: 04:21:23 PM) Total Marks: 1
The kind of care that is owed to those with whom we have special concrete relationships is known as?
Select correct option:

- Utilitarian standards
- Standards of justice
- Standards of caring37
- None of the above

Standards of caring - indicate the kind of care that is owed to those with whom we have special concrete relationships. Standards of caring are essential when moral questions arise that involve persons embedded in a web of relationships, particularly persons with whom one has closer relationships, especially those of dependency.

Question # 10 of 20 (Start time: 04:22:11 PM) Total Marks: 1

Which one of the following is a component of free market systems?

Select correct option:

Private property system.....42

Involuntary exchange system

Command system

None of the given

Free market systems have two main components: a private property system and a voluntary exchange system.

Question # 11 of 20 (Start time: 04:23:30 PM) Total Marks: 1

Weighing Social Costs and Benefits is a technique used in?

Select correct option:

Justice concept

Right concept

Caring concept

Utilitarianism concept16

Question # 12 of 20 (Start time: 04:24:53 PM) Total Marks: 1

Which of the following statement is CORRECT about social audit?

Select correct option:

A report of social costs of firm's activities

A report of social benefits of firm's activities

A report of social costs and social benefits of firm's activities82

None of these statements is correct

a social audit (a report of the social costs and social benefits of the firm's activities)

Question # 13 of 20 (Start time: 04:26:02 PM) Total Marks: 1

The benefits of pollution control should flow to those who have had to bear?

Select correct option:

Internal cost of pollution

External costs of pollution81

Both a & b

None of the above

The benefits of pollution control should flow to those who have had to bear the external costs of pollution

Question # 14 of 20 (Start time: 04:27:01 PM) Total Marks: 1

Which one of the following a moral reason of contractual theory of business?

Select correct option:

Compliance duty

Misrepresentation duty

Coerce duty

All of the above102

Question # 15 of 20 (Start time: 04:28:31 PM) Total Marks: 1

How much in over the past 150 years, deforestation has contributed to the atmospheric build-up of CO₂?

Select correct option:

One third71

Two third

One fourth
None of the above

Over the past 150 years, deforestation has contributed one third of the atmospheric build-up of CO₂,

Question # 16 of 20 (Start time: 04:29:27 PM) Total Marks: 1
Who proposed the concept of free market and utility?
Select correct option:

John Locke
Alasdair MacIntyre
John Rawls

Adam Smith.....50

Question # 17 of 20 (Start time: 04:30:42 PM) Total Marks: 1
The book “Limits to Growth” published in how many languages?
Select correct option:

30

32

35

3790

One of the best known warning voices was contained in the book "Limits to Growth", published in 1972. It sold twelve million copies in 37 languages

Question # 18 of 20 (Start time: 04:31:22 PM) Total Marks: 1
Which of the following is not a characteristics of free market?
Select correct option:

All goods in the market are exactly dissimilar96

Everyone has full and perfect information

The market is unregulated

There are no external costs

Question # 19 of 20 (Start time: 04:32:43 PM) Total Marks: 1

Which of the following includes the costs that the firm does not pay—the costs of pollution and medical care that result from the manufacture of the commodities?

Select correct option:

Social costs

Private costs

Public costs

Personal costs

Social costs include the costs that the firm does not pay the costs of pollution and medical care that result from the manufacture of the commodities

Question # 20 of 20 (Start time: 04:34:14 PM) Total Marks: 1

Which theory was proposed by David Ricardo in 1817?

Select correct option:

Natural advantage

comparative advantage47

Acquired advantage

Resource efficiency advantage

In 1817 David Ricardo Comparative Advantage

Question # 1 of 20 (Start time: 09:21:42 PM) Total Marks: 1

Modern corporations consist of?

Select correct option:

Stockholders

Directors and employees
Government agencies

Both a & b.....p6

Question # 2 of 20 (Start time: 09:22:38 PM) Total Marks: 1

How many essential components of Moral reasoning are?

Select correct option:

3

4

2

None of the above

Question # 3 of 20 (Start time: 09:24:02 PM) Total Marks: 1

Every person has a right to freedom from coercion that takes priority over all other rights and values is known as?

Select correct option:

Karl's principle

Nozick's principlep33

Blanc's principle

None of the above

Nozick's principle is based on the claim (which we have already discussed) that every person has a right to freedom from coercion that takes priority over all other rights and values.

Question # 4 of 20 (Start time: 09:25:27 PM) Total Marks: 1

Who wrote the book "The Wealth of Nations"?

Select correct option:

Adam Smith.....50

Karl Marx

John Locke

John Maynard Keynes

Question # 5 of 20 (Start time: 09:26:46 PM) Total Marks: 1

The person's reasons for acting must be reasons that everyone could act on at least in principles is known as?

Select correct option:

Reversibility

Universalizabilityp27

Rule utilitarianism

None of the above

Universalizability means the person's reasons for acting must be reasons that everyone could act on at least in principle.

Question # 6 of 20 (Start time: 09:27:54 PM) Total Marks: 1

_____ is defined as Tendency to make ethical choices only on the basis of what looks right or reasonable according to one's own belief or value system.

Select correct option:

Ethical Relativism

Cultural Relativism

Descriptive Relativism

Epistemological Relativism

Question # 7 of 20 (Start time: 09:29:05 PM) Total Marks: 1

Who proposed that human beings have a "natural right" to liberty and a "natural right" to private property?

Select correct option:

John Locke.....42

Alasdair MacIntyre

John Rawls

None of the above

John Locke (1632-1704), an English political philosopher, is generally credited with developing the idea that human beings have a "natural right" to liberty and a "natural right" to private property.

Question # 8 of 20 (Start time: 09:30:26 PM) Total Marks: 1
In which country Locke's property rights have been influential?
Select correct option:

England

Germany

America43

Greek

Locke's views on property rights have been very influential in America.

Question # 9 of 20 (Start time: 09:31:29 PM) Total Marks: 1
The aim of the moral life is to develop the dispositions that we call virtues, and to exercise them as well is referred to as?
Select correct option:

Ethics theory

Relationship theory

Virtue theory39

None of the above

Virtue theory says that the aim of the moral life is to develop the dispositions that we call virtues, and to exercise them as well.

Question # 11 of 20 (Start time: 09:33:49 PM) Total Marks: 1
Which of the following are the ideological camps characterize modern societies?
Select correct option:

Individualistic

Communitarian

Both a & b42

None of the above

In general, two important ideological camps, the individualistic and communitarian viewpoints, characterize modern societies.

Question # 12 of 20 (Start time: 09:34:56 PM) Total Marks: 1

Which of the following theory says that the aim of the moral life is to develop the dispositions and to exercise them as well?

Select correct option:

Justice theory

Right theory

Virtue theory39

None of the above

Virtue theory says that the aim of the moral life is to develop the dispositions that we call virtues, and to exercise them as well

Question # 13 of 20 (Start time: 09:35:44 PM) Total Marks: 1

Weighing Social Costs and Benefits is a technique used in?

Select correct option:

Justice concept

Right concept

Caring concept

Utilitarianism concept ???????????????

Question # 14 of 20 (Start time: 09:37:10 PM) Total Marks: 1

Which of the following economic principle is first posted by Adam Smith to describe that the greatest benefit to a society is brought about by individuals in the pursuit of their own self-interest?

Select correct option:

Free trade

Economic freedom

Positive sum game

Invisible hand.....

Question # 15 of 20 (Start time: 09:38:34 PM) Total Marks: 1

Which theory was proposed by David Ricardo in 1817?

Select correct option:

Natural advantage

comparative advantage47

Acquired advantage

Resource efficiency advantage

Comparative Advantage

In 1817 David Ricardo reasoned that there would still be gains from trade if a country specialized in the production of those things it can produce most efficiently, even if other countries can produce those same things even more efficiently.

Question # 16 of 20 (Start time: 09:39:19 PM) Total Marks: 1

Conceptualization of a construct involves:

Select correct option:

Thinking carefully

Reading what others have written about the idea

Trying all possible definitions

All of the given options ??????????

Question # 17 of 20 (Start time: 09:40:39 PM) Total Marks: 1

“The desire for a good or a service” best represents:

Select correct option:

Need

Want ??????????

Desire

None of the given

Every person should be given equal shares of a society's or a group's benefits and burdens referred as?

Question # 19 of 20 (Start time: 09:43:34 PM) Total Marks: 1
Principles of reversibility and Universalizability proposed by?
Select correct option:

John Rawls

Kantian34

Carl Max

None of the above

the Kantian principles of reversibility and universalizability, and treats people as ends and not as means.

Question # 20 of 20 (Start time: 09:44:28 PM) Total Marks: 1
Who founded traditional utilitarianism?
Select correct option:

Jeremy Bentham16

Carol Gilligan

Kohlberg

None of the given options

Jeremy Bentham founded traditional utilitarianism.

Question # 1 of 20 (Start time: 09:48:21 PM) Total Marks: 1
In which of the following someone looks at individual acts to see whether they produce more pleasure,one looks only at moral rules at actions of a particular type?
Select correct option:

Rule utilitarianism16

Conventional utilitarianism

Weighting cost and benefit

None of the above

Question # 2 of 20 (Start time: 09:49:21 PM) Total Marks: 1
Who has proposed the most "surprising" and "counterintuitive" concept in economics?
Select correct option:

Ricardo51

John Locke
Alasdair MacIntyre
Adam Smith

Ricardo's ingenious argument has been hailed as the single "most important" and "most meaningful" economic discovery ever made. Some have said it is the most "surprising" and "counterintuitive" concept in economics.

Question # 3 of 20 (Start time: 09:50:18 PM) Total Marks: 1
When a person is entitled to act in a certain way or is entitled to have others act in a certain way toward him or her is known as?
Select correct option:

Right23

Justice
Basic needs
None of the above

In general, a right is a person's entitlement to something; one has a right to something when one is entitled to act a certain way or to have others act in a certain way towards oneself

Question # 4 of 20 (Start time: 09:51:45 PM) Total Marks: 1
Privacy is an example of?
Select correct option:

Positive right
Basic need
Negative right23
None of the above

Privacy is an example of a negative right ;

Question # 5 of 20 (Start time: 09:52:54 PM) Total Marks: 1

Which of the following are the ideological camps characterize modern societies?

Select correct option:

Individualistic

Communitarian

Both a & b

None of the above

Question # 6 of 20 (Start time: 09:53:11 PM) Total Marks: 1

Who argued in response to the free market and utility by Adam Smith that government should intervene because there is a mismatch between the aggregate supply and demand?

Select correct option:

John Hicks

Maynard Keynes.....50

Herbert Spencer

Charles Darwin

One especially influential critic of Smith was John Maynard Keynes. Keynes argued that government intervention was necessary because there is a mismatch between aggregate supply and demand, which inevitably leads to a contraction of supply.

Question # 7 of 20 (Start time: 09:54:18 PM) Total Marks: 1

Which one of the following laws related to morality?

Select correct option:

Parking Laws ????????

Business Laws

Dress code Laws

None of the above

Question # 8 of 20 (Start time: 09:55:47 PM) Total Marks: 1

Which one of the following does not have any contribution towards moral development?

Select correct option:

Gilligan

Kohlberg

Henry Fayol ????????

None of the above

Question # 9 of 20 (Start time: 09:56:39 PM) Total Marks: 1

Which one is the example given by James Rachel while explaining ethical relativism?

Select correct option:

Flat earthp8

Slop earth

Uneven earth

Horizontal earth

Question # 10 of 20 (Start time: 09:57:24 PM) Total Marks: 1

Which one of the country has more collectivist culture?

Select correct option:

USA

Japan.....30

Pakistan

None of the above

Workers in countries that are characterized as having a more collectivist culture,such as Japan.

Question # 11 of 20 (Start time: 09:58:08 PM) Total Marks: 1

Which of the following is included in virtue?

Select correct option:

Benevolence

Moderation

Tolerance

All of the above ...39

Question # 12 of 20 (Start time: 09:59:33 PM) Total Marks: 1

Which one of these is a graphic demonstration that rational individual choices do not necessarily result in rational collective choices.

Select correct option:

Game theory

Prisoner's dilemma

Moral Reasoning

Moral responsibility

Question # 13 of 20 (Start time: 10:00:42 PM) Total Marks: 1

Which one of the following is NOT the role of government in individualistic society?

Select correct option:

Protect property

Enforce contracts

Keep market place open

A vision for community...42

Individualistic societies promote a limited government whose primary purpose is to protect property, contract rights, and open markets.

Question # 14 of 20 (Start time: 10:02:05 PM) Total Marks: 1

Which principle of John Rawls assumes that a productive society will incorporate inequalities?

Select correct option:

Principle 1

Principle 234

Part a of principle 2

Part b of principle 2

According to the dictionary, the term ethics has a variety of different meanings. One of its meanings is: "the principles of conduct governing an individual or a group". We sometimes use the term personal ethics,

Question # 16 of 20 (Start time: 10:04:54 PM) Total Marks: 1

Arthur Andersen was associated with?

Select correct option:

Enron..... p7

General Motors

Dell Computers

Wal-Mart

Arthur Andersen was caught shredding documents showing how they helped Enron hide its debt through the use of several accounting tricks.

Composed By Innocent Emoo and cutedute raja

A Mega File for Final Term

With Reference

MGT 610

When there are many sellers and many buyers then it is called?

Select correct option:

Monopolistic competition

Perfect competition

Oligopolistic Competition

None of the above

Page 45

Suppose you purchased a product of ABC Company by inspiring an advertisement. After purchasing decision you realized that the real product functionalities are not matching with real one. Categories such type of advertisement.

Select correct option:

Deceptive advertisement

Under estimated advertisement

Wrongly communicated advertisement

Professional advertisement

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Deceptive advertising can take several forms. An advertisement can misrepresent the nature of the product by using deceptive mock-ups, using untrue paid testimonials, inserting the word guarantee where nothing is guaranteed, and quoting misleading prices, failing to disclose defects in a product, misleadingly disparaging a competitor's goods, or simulating well-known brand names

_____by which actions or policies are judged to accord with or be in violation of moral standards?

Select correct option:

Moral reasoning

Moral development

Moral Standards

Logical Validity

Page 10

Moral reasoning refers to the reasoning process by which human behaviors, institutions, or policies are judged to be in accordance with or in violation of moral standards

Which of the following is a related group of thinkers, sees the key form of hierarchy connected to the destruction of the environment as the domination of women by men?

Select correct option:

Ethicists

Eco feminists

Friends of earth

Friends of world watch

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Eco-feminists, a related group of thinkers, see the key form of hierarchy connected to the destruction of the environment as the domination of women by men

Which theory was proposed by David Ricardo in 1817?

Select correct option:

Natural advantage

comparative advantage

Acquired advantage

Resource efficiency advantage

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Comparative Advantage:

In 1817 David Ricardo reasoned.

The Club of Rome, a forum of think-tanks consist of all except?

Select correct option:

Economists

Scientists

International civil servants

All of the above

Page 74

The Club of Rome, a think-tank of scientists, economists, businesspeople, international civil servants, and politicians from the five continents.

How much in over the past 150 years, deforestation has contributed to the atmospheric build-up of CO₂?

Select correct option:

One third

Two third

One fourth

None of the above

Page 59

Over the past 150 years, deforestation has contributed one third of the atmospheric build-up of CO₂

In a command economy, all decisions are taken by the:

Select correct option:

People

Government

Voters

Workers

a command system, in which a single authority decides what to produce, who will produce it, and who will get it.

A principle that describes that it would be acceptable to a group of rational, self interested persons who know they will live under it themselves is known as?

Select correct option:

Moral

Basic
Immoral
None of the above

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a principle is moral if it would be acceptable to a group of rational, self-interested persons who know they will live under it themselves.

Which one of the following is an alternative to moral principles?

Select correct option:

Virtue Ethics

Logic Ethics
Real Ethics
None of the above

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An Alternative to Moral Principles: Virtue Ethics

In which market system firms are not encouraged to reduce its costs?

Select correct option:

Monopoly

Oligopoly
Perfect competition
None of the above

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A monopoly firm is not encouraged to reduce its costs and is therefore not motivated to find less costly methods of production.

Water pollution comes from all except?

Select correct option:

Agriculture
Oil Wells
Manufacturing
All of the above

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Pollution comes from agriculture, mines, oil wells, human wastes, manufacturing , detergents, and the food industry, among other sources

Which of the following is the only way of ensuring a supply for tomorrow's generations?

Select correct option:

Conservation

Reservation

Preservation

None of the given options

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The debate about the rights of future generations centers on the extent to which present generations should bear responsibility for the preservation of the environment for future generation.

Who should receive the benefits of pollution control?

Select correct option:

Who bear the external cost

Who bear the product cost

Who bear the internal cost

Firm

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the benefits of pollution control should flow to those who have had to bear the external costs of pollution

Relationship between a business firm and consumer essentially be?

Select correct option:

Forced relationship

Contractual relationship

Due care relationship

None of the above

Page 86, 101

the relationship between a business and its customers is a contractual one; the moral duties to the customer are those created by this contract.

the relationship between a business firm and its customers is essentially a contractual relationship

Who summarized the procedure for cost and benefit analysis?

Select correct option:

Adam Smith

Thomas Klein

John Rawls

Samuel Johnson

Page 65

Thomas Klein summarized the procedures for cost-benefit analysis

Question No: 1 (Marks: 1) - Please choose one

The modern corporations consist of _____.

- None of the given
- Stock holders, Employees, Customers
- Stock holders, Employees, Directors**
- Directors, Managers, Customers

the modern corporation consists of (a) stockholders who contribute capital and who own the corporation but whose liability for the acts of the corporation is limited to the money they contributed, (b) directors and officers who administer the corporation's assets and who run the corporation through various levels of "middle managers," and (c) employees who provide labor and who do the basic work related directly to the production of goods and services.

Question No: 2 (Marks: 1) - Please choose one

Which one of the following is NOT the criterion employed by different ethicists to evaluate moral reasoning?

- Moral reasoning must be logical
- Factual evidence must be accurate, relevant, and complete
- Moral standards must be consistent
- Moral development must be ethical**

Question No: 3 (Marks: 1) - Please choose one
Mujeeb and Imran are defendants charged by the government for insider trading.

According to the prisoner's dilemma scenario what will result in the worst outcome for Mujeeb?

- Mujeeb confesses and Imran does not.
- Both Mujeeb and Imran confess.
- Both Mujeeb and Imran stay silent.
- **Mujeeb doesn't confess and Imran does.**

Question No: 4 (Marks: 1) - Please choose one
Who is the supporter of Categorical Imperative?

- **Kant**
- Sidgwick
- Bentham
- Mill

Question No: 5 (Marks: 1) - Please choose one
If Sameer destroy Sajjid s property or injure him bodily, Sameer will be held morally responsible for paying him damages. This is an example of:

- Redistributive justice
- **Compensatory justice**
- Distributive justice
- Socialist s justice

Question No: 6 (Marks: 1) - Please choose one
Suppose a female manager supervises 10 people and one of them is a friend of hers. One day she catches her friend stealing from the company. Should she turn in her friend as company policy requires or should she say nothing to protect her friend? This is an example of?

- Demands of caring
- Demand of justice
- **Conflict between caring and justice**

- None of the given options

Question No: 7 (Marks: 1) - Please choose one

Which one of the following moral judgment approaches will be used when someone actions and policies will substantially affect the welfare and freedom of specifiable individuals?

- Utility
- **Rights**
- Justice
- Caring

Question No: 8 (Marks: 1) - Please choose one

In which system slavery would be entirely legal?

- Free market system
- Command economy system
- Voluntary exchange system
- **Pure free market system**

Question No: 9 (Marks: 1) - Please choose one

Who has defended free markets on the basis of utilitarian argument?

- Friedrich A. Hayek
- Alasdair MacIntyre
- **Adam smith**
- John Locke

Question No: 10 (Marks: 1) - Please choose one

Which of the following is an economic system in which the means of production are privately owned and operated for a profit?

- Communism
- **Capitalism**

- Liberalism
- Socialism

Question No: 11 (Marks: 1) - Please choose one
Which of the following economist has the harshest and most influential critics of the inequalities that private property institutions and free markets accused of creating?

- John Maynard Keynes
- **Karl Marx (51p)**
- Adam Smith
- David Ricardo

Question No: 12 (Marks: 1) - Please choose one
Which of the following is NOT a moral outcome of perfectly competitive markets?

- Justice
- Utility
- Rights
- **Faith**

Question No: 13 (Marks: 1) - Please choose one
Chicken Delight is chain of food stores whose major product is chicken. Chicken Delight would sell a franchise license to a person only if the person also agreed to purchase a certain number of cookers, fryers, and other suppliers. This is an example of:

- **Tying arrangement (63p)**
- Exclusive dealing arrangement
- Retail price maintenance agreement
- Manipulation of supply

Tying Arrangements - when a company sells a buyer certain goods only on condition that the buyer also purchases other goods from the firm.

Question No: 14 (Marks: 1) - Please choose one

Which of the following refers to the undesirable and unintended contamination of the environment by the manufacture or use of commodities?

- Toxic substance
- **Pollution(66p)**
- Acid rain
- Airborne toxic

Question No: 15 (Marks: 1) - Please choose one

Which of the public policy view advocate breaking large firms up into smaller units?

- The Chicago school view
- The do-nothing view
- **The anti-trust view (65p)**
- The regulation view

Question No: 16 (Marks: 1) - Please choose one

Which of the following is the discipline that studies the moral relationship of human beings to, and also the value and moral status of, the environment and its non-human contents?

- **Environmental ethics(68p)**
- Business ethics
- Moral ethics
- Social ethics

Question No: 17 (Marks: 1) - Please choose one

Which of the following is a cost that manufacturers dont bear?

- Private cost
- **Social cost (95p)**
- Product cost

- None of the given options

Question No: 18 (Marks: 1) - Please choose one
Which of the following is not based on the idea that the environment should be protected for the sake of human beings?

- Environmental ethic
- **Ecological ethic(78p)**
- Blackstone s ethic
- Utilitarian ethic

ecological ethics or deep ecology, maintains that the environment deserves to be preserved for its own sake, regardless of whether or not this directly benefits humanity.

Question No: 19 (Marks: 1) - Please choose one
Which one of the following is the principal Utilitarian remedy for pollution?

- **To internalize the external costs of production (81p)**
- To externalize the internal costs of production
- To minimize the total social cost of production
- To maximize the total social cost of production

Question No: 20 (Marks: 1) - Please choose one
Which of the following seems to be consistent with the utilitarian way of dealing with pollution (i.e. by internalizing costs)?

- Rights
- **Justice(81p)**
- Both rights and justice
- None of the given options

Question No: 21 (Marks: 1) - Please choose one
Who summarized the procedure for cost and benefit analysis?

- Adam Smith

▪ **Thomas Klein(83p)**

- John Rawls
- Samuel Johnson

Question No: 22 (Marks: 1) - Please choose one
Which of the following discipline argued that to solve our ecological problems, we must first change the destructive modes of thinking?

- Ecological ethic
- Social ecology
- **Social audit(83p)**
- Eco-feminism

Question No: 23 (Marks: 1) - Please choose one
Which of the following describes provides a new model with some tools for navigating the deep and often confusing relationship between client and caregiver and for preventing the harmful consequences of ethical misconduct?

- Ecological ethic
- **Social ecology**
- Ethic of caring
- Eco-feminism

Question No: 24 (Marks: 1) - Please choose one
Which of the following is the only way of ensuring a supply for tomorrow s generations?

- **Conservation(87p)**
- Reservation
- Preservation
- None of the given options

conserve resources for future generations because

they have an equal right to the limited resources of this planet.

Question No: 25 (Marks: 1) - Please choose one

Which of the following statements could NOT be made by a believer in ecological ethics?

- **The world must be protected for the sake of human beings**
- The well-being of all the life on earth has value in itself
- Humans have no right to reduce the diversity of life except to satisfy vital needs
- Appreciate the quality of life rather than striving for a higher standard of living

Question No: 26 (Marks: 1) - Please choose one

Which of the following is based on the idea that nonhuman parts of the environment deserve to be preserved for their own sake?

- Environmental ethic
- **Deep ecology(78p)**
- Blackstone s ethic
- Utilitarian ethic

This idea, called ecological ethics or deep ecology, maintains that the environment deserves to be preserved for its own sake, regardless of whether or not this directly benefits humanity.

Question No: 27 (Marks: 1) - Please choose one

Which of the following theory assumes that the manufacturer can discover the entire risk associated with using a product before it is actually used?

- The liability theory
- **The due care theory(105p)**
- The contractual theory
- The social cost theory

Question No: 28 (Marks: 1) - Please choose one

Which of the following is NOT a valid criticism on the ethics of advertising?

- Advertising uses images that many find vulgar and offensive
- Advertising debases the tastes of consumers
- **Advertising is wasteful(108p)**
- Advertising promotes monopolies

Question No: 29 (Marks: 1) - Please choose one

All of the following are deceptive or manipulative marketing practices, EXCEPT:

- **Multiple pricing (not sure)**
- Bait and switch selling
- Markdowns from a suggested retail price that is never charged
- Everyone can freely enter and exit the market

Question No: 30 (Marks: 1) - Please choose one

How many people died each year in America by lighter explosions?

- 100
- 200
- 300
- **400 (not sure)**

Question No: 31 (Marks: 1) - Please choose one

Which of the following is the degree of risk associated with using a product?

- Reliability
- Service life
- Maintainability
- **Product safety(18p)**

Question No: 32 (Marks: 1) - Please choose one
Which of the following is one of the areas of producer responsibility according to due care theory?

▪ **Duty to produce healthy products(not sure)**

- Duty to disclosure
- Duty not to coerce
- Duty not to misrepresent

Question No: 33 (Marks: 1) - Please choose one
Which of the following is the only way of indicating whether a process is fair or discriminatory?

▪ **See what happens to minorities as a group(138p)**

- See what happens to minorities only
- See what happens to a group only
- See what happens to majority only

Question No: 34 (Marks: 1) - Please choose one
Which of the following is NOT a statement which presents the firm s view on ethics?

- Value statement
- **Morality(not sure)**
- Ethical philosophy
- Code of ethics

Question No: 35 (Marks: 1) - Please choose one
A bakery advertises that its latest product can lower cholesterol even though the bakery cannot prove this claim. This situation involves an ethical issue related to which element of the marketing mix?

▪ **Product**

- Price
- Promotion

- Distribution

Question No: 36 (Marks: 1) - Please choose one
Which of the following books was written by John Kenneth Galbraith?

▪ **The Affluent Society(122p)**

- The Road of Serfdom
- The Wealth of Nations
- The Prisoner s Dilemma

Question No: 37 (Marks: 1) - Please choose one
Who argued that advertising is manipulative: it is the creation of desires in consumers for the sole purpose of absorbing industrial output?

- Nicholas Kaldor
- Kotler

▪ **K. Galbraith(120p)**

- Hayek

John K. Galbraith and other have long argued that advertising is manipulation
lative : it is the creation of desires in consumers for the sole purpose of absorbing
industrial output.

Question No: 38 (Marks: 1) - Please choose one
Which of the following is a proposed program where a large scale publicly funded education program aimed at empowering ordinary citizens?

▪ **Investment in men(120p)**

- Investment in women
- Investment in children
- Investment in non-humans

Galbraith's major proposal was a program he called "investment in men" - a large-scale publicly-funded education program aimed at empowering ordinary citizens. Galbraith wished to entrust citizens with the future of the American republic.

Question No: 39 (Marks: 1) - Please choose one

Which of the following attributes translates the statement Marketers should not exploit the credulity, lack of knowledge or inexperience of consumers ?

- Safety
- Legality
- **Honesty(131p)**
- Truthfulness

Honesty

Marketers should not exploit the credulity, lack of knowledge or inexperience of consumers.

Question No: 40 (Marks: 1) - Please choose one

Which of the following is a wrongful act of distinguishing illicitly among people not on the basis of individual merit, but on the basis of prejudice or some other invidious or morally reprehensible attitude?

- **Discrimination(137p)**
- Job discrimination
- Affirmative action
- Discriminatory practice

the term refers to "wrongful discrimination," or distinguishing among people on the basis of prejudice instead of individual merit.

Question No: 41 (Marks: 1) - Please choose one

Which of the following is the primary function of commercial advertisements? P

- Provide unbiased information

▪ **Sell products to prospective buyers(108p)**

- Provide biased information
- None of the given options

Question No: 42 (Marks: 1) - Please choose one
Which of the following makes freedom of choice impossible?

- Information
- Probability
- **Misrepresentation(102p)**
- Ignorance

Misrepresentation, even more than the failure to disclose information, renders freedom of choice impossible.

Question No: 1 (Marks: 1) - Please choose one
The _____ refers to the potential conflict between management and shareholders due to management's control of financial rewards as well as the possibility of incompetent performance by managers.

- Agency problem
- Liquidity problem
- Regulatory problem
- Diversification problem

Question No: 2 (Marks: 1) - Please choose one
A shift to judgments based on rules or norms of a group to which the individual belongs is characteristic of which level of moral development?

- Post-formal
- Pre-conventional
- Conventional
- **Post-conventional (10p)**

Question No: 3 (Marks: 1) - Please choose one
Commodities that are considered valuable only because they good things are called:

- Instrumental goods
- Instrumental values
- **Intrinsic goods(21p)**
- Intrinsic values

(Intrinsic goods are things that are desired for their own sake, such as health and life)

Question No: 4 (Marks: 1) - Please choose one
The desire for a good or a service best represents:

- Need
- Want
- **Desire**
- None of the given

Question No: 5 (Marks: 1) - Please choose one
Which of the following choices does NOT describe a situation that is covered by the concept of rights?

- The absence of prohibitions against an activity
- The authorization to do something to secure one's interests
- **The necessity of doing something required by lead to other authority(23p)**
- The existence of prohibitions on others to enable individuals to pursue an activity

Question No: 6 (Marks: 1) - Please choose one
Which of the following holds that all public offices and employment should be made available to everyone?

- The principle of equal liberty
- The difference principle
- **The principle of equal opportunity(34p)**
- The principles of ethics

Question No: 7 (Marks: 1) - Please choose one
Which of the following is FALSE of Nozick s theory of justice?

- **Theory is redistributive(33p)**
- None of the above options
- Theory is historical
- Theory is no patterned

Question No: 8 (Marks: 1) - Please choose one
Which of the following does NOT describe virtue ?

- The traits that everyone needs for a good life
- An excellence that is admired in a person
- **A disposition to act in multidimensional way(39p)**
- A specific state of character

Question No: 9 (Marks: 1) - Please choose one
Who presented the theory of absolute advantage?

- **Adam Smith(46p)**
- Friedrich A. Hike
- Murray Roth bard
- Eric Mack

In 1776 Adam Smith asserted that the wealth of a nation consisted of the goods and services available to its citizens.

Question No: 10 (Marks: 1) - Please choose one
John Maynard Keynes argues that the aggregate demand for goods and services is the sum of the demand of which of the following factor(s)?

- Households
- Businesses
- Government
- **All of the given options(50p)**

John Maynard Keynes. Keynes argued that government intervention was necessary because there is a mismatch between aggregate supply and demand. Governments pending can close any gap between aggregate demand and aggregate supply by taking up the slack in demand from households and businesses.

Question No: 11 (Marks: 1) - Please choose one
Which of the following is the price that just covers the costs of producing the commodity including the going rate of profit obtainable in other markets?

- **Natural price(50p)**
- Selling price
- Price flexibility
- Market price

Smith called the **natural price** (i.e., the price that just covers the costs of producing the commodity, including the going rate of profit obtainable in other markets)

Question No: 12 (Marks: 1) - Please choose one
Which of the following rights is embodied by perfectly competitive free markets?

- **Negative right of freedom from coercion(59p)**
- Positive right of freedom from coercion
- Moral right of freedom from coercion
- Ethical right of freedom from coercion

Question No: 13 (Marks: 1) - Please choose one

Which of the following refers to the undesirable and unintended contamination of the environment by the manufacture or use of commodities?

- Toxic substance
- **Pollution**
- Acid rain
- Airborne toxic

Question No: 14 (Marks: 1) - Please choose one

Which of the following is a public policy view that holds that large firms should not be broken up into smaller units but subjected to substantial governmental restraint and controls?

- The Chicago school view
- The do-nothing view
- The anti-trust view
- **The regulation view(66p)**

Question No: 15 (Marks: 1) - Please choose one

Which of the following public policy view claims that the power of oligopolies is not as large as it appears?

- The Chicago school view
- **The do-nothing view(65p)**
- The anti-trust view
- The regulation view

Question No: 16 (Marks: 1) - Please choose one

How many people in the world dont have access to safe water?

- **1 billion(73p)**
- 1.5billion
- 2 billion

- 2.5 billion

Today, almost 1 billion people lack access to safe water and the world's per capita supplies of water are shrinking

Question No: 17 (Marks: 1) - Please choose one

If a firm makes basic goods (food product, clothing) for which the poor must allocate a larger proportion of their budgets than the affluent. In this case which of the following may place a heavier burden on the poor?

- Social costs
- **Internalizing costs(81p)**
- Product costs
- External costs

Question No: 18 (Marks: 1) - Please choose one

Which of the following requires that those who have been injured should be compensated by those who injure them?

- Rights
- Utilitarian
- Redistributive justice
- **Compensatory justice**

Question No: 19 (Marks: 1) - Please choose one

Which of the following explains the bearing of external costs of pollution largely by those who do not enjoy a net benefit from the activity that produces the pollution?

- Ecological ethic
- Social ecology
- **Environmental injustice(82p)**
- Eco-feminism

Question No: 20 (Marks: 1) - Please choose one

Who argued that there is a fundamental human right to a livable environment?

▪ **William Blackstone(79p)**

- Carol Gilligan
- Robert Nozzick
- John Locke

Question No: 21 (Marks: 1) - Please choose one

Which of the following describes the saving or rationing natural resources for future use?

▪ Consumption

▪ **Conservation(87p)**

- Reservation
- Destruction

Conservation refers to the saving or rationing of natural resources for later use. Conservation, therefore, looks primarily to the future: to the need to limit consumption now to have resources available for tomorrow.

Question No: 22 (Marks: 1) - Please choose one

Critics to the market approach respond that the benefits of free markets are obtained only when the markets have all of the following characteristics, EXCEPT:

▪ There are numerous buyers and sellers

▪ **There are external costs(97p)**

- Everyone can freely enter and exit the market
- Everyone has complete and accurate information

Question No: 23 (Marks: 1) - Please choose one

Which of the following is NOT a problem with the assumption of rational utility maximization?

▪ **Few people are good at estimating probabilities(97p)**

▪ People are generally irrational and inconsistent when weighing the choices

- Many consumer markets are monopolies or oligopolies
- Utility maximizer has a well-defined and consistent set of preferences

Question No: 24 (Marks: 1) - Please choose one
Our probability judgments go astray for a number of reasons, including all EXCEPT:

- People believe that they exert control over purely chance events
- Generalizations are made on the basis of small sample findings
- Emphasis on "causation" results in the under weighing of evidence that is relevant

▪ **We forget to take the "law of averages" into account(97p)**

Question No: 25 (Marks: 1) - Please choose one
Which of the following statements could NOT be made by a believer in ecological ethics?

▪ **The world must be protected for the sake of human beings(78p)**

- The well-being of all the life on earth has value in itself
- Humans have no right to reduce the diversity of life except to satisfy vital needs
- Appreciate the quality of life rather than striving for a higher standard of living

Question No: 26 (Marks: 1) - Please choose one
Which of the following statements is TRUE of the beliefs of deep ecology?

- It is our moral duty to protect the human beings
- **Non human parts of the environment deserve to be preserved for their own sake(78p)**
- Only human parts of the environment deserve to be respected
- The world must be protected for the sake of human beings

Question No: 27 (Marks: 1) - Please choose one
According to critics of market approach, how many characteristics market will have to obtain the benefits of free market?

▪ **7(97p)**

- 5
- 4
- 3

the markets have all of **the seven defining characteristics**: (a) There are numerous buyers and sellers, (b) everyone can freely enter and exit the market, (c) everyone has full and perfect information, (d) all goods in the market are exactly similar, (e) there are no external costs, (f) all buyers and sellers are rational utility maximizers, and (g) the market is unregulated. Critics of the market approach to consumer issues argue that these characteristics are absent in consumer markets.

Question No: 28 (Marks: 1) - Please choose one
Which of the following is the view that describes the relationship between a firm and its customers where the firm's moral duties to the customer are those created by this contract?

▪ **Contract view of business duties(101p)**

- The duty of disclosure
- The due care theory
- None of the given options

Question No: 29 (Marks: 1) - Please choose one
Which of the following is the main objection against the assumptions of contractual theory?

▪ **Unrealistic(103p)**

- Impractical
- Concentrated on sellers only
- Concentrated on buyers only

Question No: 30 (Marks: 1) - Please choose one

Which of the following is NOT a valid criticism on the ethics of advertising?

- Advertising uses images that many find vulgar and offensive
- Advertising debases the tastes of consumers
- **Advertising is wasteful**
- Advertising promotes monopolies

Question No: 31 (Marks: 1) - Please choose one
Deception involves all the following conditions necessary to be possessed by the author of an ad, EXCEPT:

- The author must know it to be false
- The author must knowingly do something to bring about this false belief
- **The author must know it to be true(109p)**
- The author must intend to have the audience believe something false

Question No: 32 (Marks: 1) - Please choose one
All of the following are deceptive or manipulative marketing practices, EXCEPT:

- **Multiple pricing**
- Bait and switch selling
- Markdowns from a suggested retail price that is never charged
- Everyone can freely enter and exit the market

Question No: 33 (Marks: 1) - Please choose one
Which of the following is a situation where demand always exceeds supply?

- None of the given options
- **Monopoly(98p)**
- Perfect competition
- Free market

Question No: 34 (Marks: 1) - Please choose one
Which of the following define that someone has a well defined and consistent set of preferences, and who knows how personal choices will affect those preferences?

- Utility maximization
- **Rational utility maximizer(97p)**
- Manufacturers utility
- None of the given options

Question No: 35 (Marks: 1) - Please choose one
Which of the following is the period of time during which the product will function as effectively as the consumer is to lead to expect it to function?

- **Reliability**
- Service life
- Maintainability
- Product safety

Question No: 36 (Marks: 1) - Please choose one
Which of the following describes the ease with which the product can be repaired and kept in operating condition?

- Reliability
- Service life
- **Maintainability**
- Product safety

Question No: 37 (Marks: 1) - Please choose one
Which of the following is NOT a benefit of having a code of ethics?

- **Supplier loyalty increases**
- Managers get more confident
- Competitive positions improve
- Employee loyalty increases

Question No: 38 (Marks: 1) - Please choose one
Which of the following is a legal doctrine that holds that manufacturers must bear the costs of injuries resulting from product defects regardless of fault?

- Manufacturers liability
- Consumers liability
- **Strict liability(106p)**
- Product liability

strict liability, is founded on utilitarian arguments. The utilitarian arguments for this third theory hold that the “external” costs of injuries resulting from unavoidable defects in the design of an artifact constitute part of the cost society must pay for producing and using an artifact.

Question No: 39 (Marks: 1) - Please choose one
Marketing ethic refers to which of the following?

- Improper behavior in marketing
- Acceptable conduct in society
- Improper behavior in business
- **Acceptable conduct in marketing**

Question No: 40 (Marks: 1) - Please choose one
Which of the following is the result of effective advertising campaigns on consumers, which gives large corporations control over a major portion of the market?

- **Brand loyalty**
- Consumer protection
- Reliability
- None of the given options

Question No: 41 (Marks: 1) - Please choose one
Which of the following is a proposed program where a large scale publicly funded education program aimed at empowering ordinary citizens?

▪ **Investment in men**

- Investment in women
- Investment in children
- Investment in non-humans

Question No: 42 (Marks: 1) - Please choose one

Which of the following is the primary function of commercial advertisements?

- Provide unbiased information
- **Sell products to prospective buyers**
- Provide biased information
- None of the given options

Question # 1 of 20 (Start time: 04:44:20 PM) Total Marks: 1

Suppose you purchased a product of ABC Company by inspiring an advertisement. After purchasing decision you realized that the real product functionalities are not matching with real one. Categories such type of advertisement.

Select correct option:

Deceptive advertisement

Under estimated advertisement

Wrongly communicated advertisement

Professional advertisement

Question # 2 of 20 (Start time: 04:45:45 PM) Total Marks: 1

Socialist view on distribution is best described as:

Select correct option:

From each according to his ability, to each according to his needs..... 32

The benefits a person receives should be proportional to his contribution

From each they choose, to each as they are chosen

Always treat humanity as an end in itself rather than as a means

the socialist view on distribution: “From

each according to his ability, to each according to his needs.”

Question # 3 of 20 (Start time: 04:46:59 PM) Total Marks: 1

Who proposed the concept of free market and utility?

Select correct option:

John Locke

Alasdair MacIntyre

John Rawls

Adam Smith.....50

Question # 4 of 20 (Start time: 04:47:15 PM) Total Marks: 1

Group of thinkers, sees the key form of hierarchy connected to the destruction of the environment as the domination of women by men is known as?

Select correct option:

Eco-feminists

Eco-masculinity

Both a & b

None of the above

Question # 5 of 20 (Start time: 04:47:37 PM) Total Marks: 1

EPA stands for?

Select correct option:

Environmental Protection Agreement

Energy Protection Agency

Energy Protection Agreement

Environmental Protection Agency.....75

The U.S. Environmental Protection Agency
(EPA)

Question # 6 of 20 (Start time: 04:48:39 PM) Total Marks: 1

Study which does not try to reach any conclusions is called_____.

Select correct option:

Pilot Study
Case Study
Normative Study

Descriptive Study5

A descriptive study is one that does not try to reach any conclusions about what things are truly good or bad or right or wrong.

Question # 7 of 20 (Start time: 04:49:16 PM) Total Marks: 1
Internalizing the external cost is NOT consistent with which of the following?

Select correct option:

Ethical justice

Retributive justice
Distributive justice
Compensatory justice

This way of dealing with pollution is consistent with the requirements of distributive justice **Internalizing external costs is also consistent with retributive and compensatory justice.**

Question # 8 of 20 (Start time: 04:50:40 PM) Total Marks: 1
Moral standards are absorbed from?
Select correct option:

Family & Friends

Experience
Intellectual capital
All of the above.....

moral standards are first absorbed as child from family, friends, and various societal influences such as church, school, television, magazines, music, and associations.

Question # 9 of 20 (Start time: 04:51:21 PM) Total Marks: 1
Caveat vendor represents to:
Select correct option:

Let the buyer beware

Let the seller beware

Let the buyer and seller beware

None of the given options

The theory is a strong version of the doctrine of **caveat vendor: let the seller take care.**

Question # 10 of 20 (Start time: 04:52:33 PM) Total Marks: 1

Which of the following refers to the saving or rationing of natural resources for later use?

Select correct option:

Preservation

Conservation87

Fossilization

Depletion

Conservation refers to the saving or rationing of natural resources for later use

Utilitarianism suggests that it is ethical to make decisions based on:

Select correct option:

Moral virtues

Common decency

What is best for most people. Page 13

None of the given

Utilitarianism is a general term for any view that holds that actions and policies should be evaluated on the basis of the benefits and costs they will impose on society. In any situation, the "right" action or policy is the one that will produce the greatest net benefits or the lowest net costs (when all alternatives have only net costs).

Who summarized the procedure for cost and benefit analysis?

Select correct option:

Adam Smith

Thomas Klein page 65

John Rawls

Samuel Johnson

Thomas Klein summarized the procedures for cost-benefit analysis as follows

Who is the world's largest retailer?

Select correct option:

Proctor and Gamble

Wal-Mart page 4

Liver Brothers

Dashang Group

Wal-Mart, the world's largest retailer, had sales of \$258.7 billion and 1,400,000 employees;

Internalizing the external cost is NOT consistent with which of the following?

Select correct option:

Ethical justice page 64

Retributive justice

Distributive justice

Compensatory justice

This way of dealing with pollution is consistent with the requirements of distributive justice
Internalizing external costs is also consistent with retributive and compensatory justice

Which of the following views argues that prices and profits in highly concentrated industries are higher than they should be?

Select correct option:

Anti-trust view page 53

Discrimination view

Unethical view

Unlawful view

The **antitrust view** argues that prices and profits in highly concentrated industries are higher than they should be

Which of the following is NOT an objective of social audit?

Select correct option:

Scrutiny of various policy decisions

Estimation of the opportunity cost

Creating awareness among beneficiaries

Encourages local democracy page 69

Objectives of social audit

1. Assessing the physical and financial gaps between needs and resources available for local development.
2. Creating awareness among beneficiaries and providers of local social and productive services.
3. Increasing efficacy and effectiveness of local development programs.
4. Scrutiny of various policy decisions, keeping in view stakeholder interests and priorities, particularly of rural poor.
5. Estimation of the opportunity cost for stakeholders of not getting timely access to public services.

A relationship that exhibits the virtues of compassion, love, friendship, and loyalty is the example of which theory?

Select correct option:

Socialism

The ethics of care page 27

Communitarian ethics

Rawls justice and fairness

This is central to the point of view known as the **ethics of care**, an approach to ethics that many feminist ethicists have recently advanced. According to this method, we have an obligation to exercise special care toward the people with whom we have valuable, close relationships. Compassion, concern, love, friendship, and kindness are all sentiments or virtues that normally manifest this dimension of morality

Which of the following issues are not satisfied by utilitarianism?

Select correct option:

Justice

Right

Justice & Right

None of the above

Which of the following is not a feature of perfect competition?

Select correct option:

Buyers and sellers can freely and immediately enter or leave the market

All buyers and sellers are utility maximizers

There are numerous buyers and sellers, none of whom has a substantial share of the market

External parties regulate the price, quantity, or quality of the goods being bought and sold in the market page 45

1. There are numerous buyers and sellers, none of whom has a substantial share of the market.
2. All buyers and sellers can freely and immediately enter or leave the market.

3. Every buyer and seller has full and perfect knowledge of what every other buyer and seller is doing, including knowledge of the prices, quantities, and quality of all goods being bought and sold.
4. The goods being sold in the market are so similar to each other that no one cares from whom each buys or sells.
5. The costs and benefits of producing or using the goods being exchanged are borne entirely by those buying or selling the goods and not by any other external parties.
6. All buyers and sellers are utility maximizers: Each tries to get as much as possible for as little as possible.
7. No external parties (such as the government) regulate the price, quantity, or quality of any of the goods being bought and sold in the market.

“The possession of a livable environment is something to which every human being has a right.” Who argued this statement?

Select correct option:

William T. Blackstone page 64

Lawrence Kohlberg

Carol Gilligan

Robert Nozick

William T. Blackstone has argued that the possession of a livable environment is something to which every human being has a right.

Which one of the following asserts that morality varies from one culture to another?

Select correct option:

Ethical relativism

Norm relativism

Cultural relativism page 6

None of the above

Cultural relativism asserts that morality varies from one culture to another

Who argues that though it is unjust to impose heavy burdens on present generations for the sake of the future?

Select correct option:

John Rawls page 72

John Locke

Adam Smith

None of the above

John Rawls, on the other hand, argues that though it is unjust to impose heavy burdens on present generations for the sake of the future

The person's reasons for acting must be reasons that he or she would be willing to have all others use, even as a basis of how they treat him or her is known as?

Select correct option:

Reversibility page 21

Universalizability

Rule utilitarianism

None of the above

Reversibility means the person's reasons for acting must be reasons that he or she would be willing to have all others use, even as a basis of how they treat him or her

Which of the following view can be seen as a middle ground between the other two? Those who advocate this view do not wish to lose the economies of scale offered by large corporations, but they also wish to ensure that large firms do not harm the consumers.

Select correct option:

Antitrust View

Regulation view page 54

Normative View

Business View

The **Regulation view**, which can be seen as a middle ground between the other two. Those who advocate regulation do not wish to lose the economies of scale offered by large corporations, but they also wish to ensure that large firms do not harm the consumers.

Shadow pricing is a technique which is used in?

Select correct option:

Accounting

Business Ethics

Management

None of the above

In a business application, a shadow price is the maximum price that management is willing to pay for an extra unit of a given limited resource. For example, if a production line is already operating at its maximum 40-hour limit, the shadow price would be the maximum price the manager would be willing to pay for operating it for an additional hour, based on the benefits he would get from this change.

Who argued that advertising merely manipulates consumers, creating desires solely to absorb industrial output?

Select correct option:

John Rawls

Adam Smith

John Kenneth Galbraith page 90

None of the above

John Kenneth Galbraith and other critics have long argued that advertising merely manipulates consumers, creating desires solely to absorb industrial output

Internalizing external costs consistent with all except?

Select correct option:

Retributive justice

Compensatory justice

Social justice page 64

None of the above

Internalizing external costs is also consistent with retributive and compensatory justice,

How many species of plant and animal inhabiting the planet?

Select correct option:

3 Million

2 Million page 59

1 Million

None of the above

The number of plant and animal species inhabiting the planet is not accurately known.
Nearly 2
million species have been identified,

Internalizing the costs of pollution is problematic due to which of the following reasons?

Select correct option:

When several pollutants are involved, it is impossible to discover who is being damaged by whom page 64

Pollution-control devices are expensive and can even put people out of work

External costs should be borne by the society as a whole

Market mechanisms cannot provide cost-cutting incentives to ensure that prices reflect the true costs of production

A problem with this way of internalizing the costs of pollution, however, is that when several polluters are involved,

Which one of the following is a source of absorbing moral standards?

Select correct option:

Family

Friends

School

All of the above not sure

Which of the following justify the theory of contractual view of business' duties?

Select correct option:

Kant

Rawls

Adam Smith

Both Kant and Rawls page 84

Both Kant's and Rawls' theories offer justification for this view, and traditional moralists also remind us that contracts are subject to three moral constraints

When a company charges different price to different buyers for the same goods or services then practice is known as?

Select correct option:

Retail Price Maintenance Agreements

Price Fixing

Price adjustment

Price Discrimination page 51

Price Discrimination - when a company charges different prices to different buyers for the same goods or services.

Which principle of John Rawls assumes that a productive society will incorporate inequalities?

Select correct option:

Principle 1

Principle 2 page 25

Part a of principle 2

Part b of principle 2

Part of Principle 2 is called the **difference principle**. It assumes that a productive society will incorporate inequalities,

Definition of greenness includes all of the following EXCEPT:

Select correct option:

Animal welfare and species preservation

Prohibition of smoking at work place

Conservation of energy

Flourishing of the nonhuman life on the earth not sure

Utilitarianism lies under which of the following ethical theories?

Select correct option:

Virtue

Intuitionism

Deontological

Teleological

It can be contrasted with deontological ethics

Privacy is an example of?

Select correct option:

Positive right

Basic need

Negative right page 19

None of the above

How many essential components of Moral reasoning are?

Select correct option:

3

4

2 page 10

None of the above

Moral reasoning itself has two essential components

Which one of the following is not a type of market?

Select correct option:

Free market

Monopolistic market

Oligopolistic market

Mixed market

Substances that can increase mortality rates are known as?

Select correct option:

Toxic substances page 59

Intoxic substances

Agri substances

None of the above

The pollution of the land by toxic substances also causes increased mortality and illness

When a person is entitled to act in a certain way or is entitled to have others act in a certain way toward him or her is known as?

Select correct option:

Right page 18

Justice

Basic needs

None of the above

In general, a right is a person's entitlement to something; one has a right to something when one is entitled to act a certain way or to have others act in a certain way towards oneself

Forced selling and forced buying are the main features of which economic system?

Select correct option:

Mixed economy

Free Economy

Controlled economy

None of the above

The costs of pollution control are borne by?

Select correct option:

Stockholders

Customers

Both a & b

None of the above

Which one is the justice concern of blaming or punishing persons for doing wrong?

Select correct option:

Distributive justice

Redistributive justice

Compensatory justice

None of the given page 26

Retributive justice concerns blaming or punishing those who do wrong

Who proposed that human beings have a "natural right" to liberty and a "natural right" to private property?

Select correct option:

John Locke page 31

Alasdair MacIntyre

John Rawls

None of the above

John Locke (1632-1704), an English political philosopher, is generally credited with developing the idea that human beings have a "natural right" to liberty and a "natural right" to private property.

The destruction of nature that has accompanied male domination must be replaced with caring and nurturing of relationships with nature is known as?

Select correct option:

Ethics of utility

Ethics of justice

Ethics of caring page 68

None of the above

According to the ethics of caring, the destruction of nature that has accompanied male domination must be replaced with caring for and nurturing our relationships with nature and other living things

Which of the following is included in due care theory?

Select correct option:

Marketing

Logistic

Design page 85

None of the above

Due care must enter into the product's design, choice of materials and construction methods

Group of thinkers, sees the key form of hierarchy connected to the destruction of the environment as the domination of women by men is known as?

Select correct option:

Eco-feminists page 68

Eco-masculinity

Both a & b

None of the above

Eco-feminists, a related group of thinkers, see the key form of hierarchy connected to the destruction of the environment as the domination of women by men

When companies agree to set prices artificially high the practice is known as?

Select correct option:

Retail Price Maintenance Agreements

Price Fixing page 51

Price adjustment

Price Discrimination

Price Fixing - when companies agree to set prices artificially high.

Who has used the theory of natural right by Locke to argue for free market?

Select correct option:

Adam smith

John Locke

Friedrich A. Hayek page 35

Alasdair MacIntyre

Water pollution comes from all except?

Select correct option:

Agriculture

Oil Wells

Manufacturing

All of the above page 59

Pollution comes from agriculture, mines, oil wells, human wastes, manufacturing, detergents, and the food industry, among other sources

Which one of the following is a component of free market systems?

Select correct option:

Private property system

Involuntary exchange system

Command system

None of the given

Free market systems have two main components: a private property system and a voluntary exchange system

Which of the following is an economic system in which the means of production are privately owned and operated for a profit?

Select correct option:

Communism

Capitalism

Liberalism

Socialism

Which of the following is the practice of “adopting resource-conserving and environmentally-friendly strategies in all stages of the value chain”?

Select correct option:

Green marketing page 67

Red marketing

Industrial marketing

FMCG marketing

Green marketing is the practice of “adopting resource-conserving and environmentally friendly strategies in all stages of the value chain

"Act in such a way that "you always treat humanity, whether in your own person or in the person of any other, never simply as a means, but always at the same time as an end."
said
by?

Select correct option:

John Rawls

Kant page 21

Carol Gilligan

None of the above

The second formulation Kant gives of the categorical imperative is this: "Act in such a way that you always treat humanity, whether in your own person or in the person of any other, never simply as a means, but always at the same time as an end."

In which Year Township and village enterprises (TVEs) legalized?

Select correct option:

1974

1984 page 44

1994

2004

Township and village enterprises (TVEs) obtained materials, labor, and capital on open market and used a private distribution system. Legalized in 1984,

Who has stated the principle of comparative advantage?

Select correct option:

Adam Smith

David Ricardo page 36

Eli Heckscher

Bertil Ohlin

Which of the following is not an objection of contractual theory?

Select correct option:

A contract is two-edged sword page 85

The assumption that buyer and seller meet each other as equals in the sale agreement

Manufacturers do not make direct agreements with consumers

None of the above

Which statement reflects the "punishment and obedience orientation" stage (stage one) of moral development?

Select correct option:

I don't steal because my friends don't steal

I don't steal because I don't want to be spanked

I don't steal because it would harm society as a whole

I don't steal because it wouldn't be fair to everyone else if I did

“When in Rome, do as the Romans do” is associated with:

Select correct option:

Cultural Relativism

Ethical Relativism page 6

Descriptive Relativism

Epistemological Relativism

Which theory states that consumers and sellers do not meet at equal levels?

Select correct option:

Due care theory page 85

Contractual theory

Justice theory

Utilitarian theory

The due care theory of the manufacturer's duties to consumers is based on the idea that consumers and sellers do not meet as equals

_____ is defined as Tendency to make ethical choices only on the basis of what looks right or reasonable according to one's own belief or value system.

Select correct option:

Ethical Relativism

Cultural Relativism

Descriptive Relativism

Epistemological Relativism

A tendency to make ethical choices only on the basis of what looks right or reasonable according to one's own belief or value system.

The main difference between Gilligan and Kohlberg was that Gilligan emphasized?

Select correct option:

Justice and fairness

Care and interpersonal relationships

Role-taking and empathy

The moral superiority of women page 9

Carol Gilligan, a feminist psychologist, has also criticized Kohlberg's theory on the grounds that it describes male and not female patterns of moral development. Gilligan claims that there is a "female" approach to moral issues that Kohlberg ignores.

How much in over the past 150 years, deforestation has contributed to the atmospheric build-up of CO₂?

Select correct option:

One third page 59

Two third

One fourth

None of the above

Over the past 150 years, deforestation has contributed one third of the atmospheric build-up of CO₂,

Which theory was proposed by David Ricardo in 1817?

Select correct option:

Natural advantage

Comparative advantage page 36

Acquired advantage

Resource efficiency advantage

Comparative Advantage:

In 1817 David Ricardo reasoned.

Suppose you purchased a product of ABC Company by inspiring an advertisement. After purchasing decision you realized that the real product functionalities are not matching with real one. Categories such type of advertisement.

Select correct option:

Deceptive advertisement page 116

Under estimated advertisement

Wrongly communicated advertisement

Professional advertisement

Deceptive advertising can take several forms. An advertisement can misrepresent the nature of the product by using deceptive mock-ups, using untrue paid testimonials, inserting the word *guarantee* where nothing is guaranteed, and quoting misleading prices, failing to disclose defects in a product, misleadingly disparaging a competitor's goods, or simulating well-known brand names

Socialist view on distribution is best described as:

Select correct option:

From each according to his ability, to each according to his needs page 33

The benefits a person receives should be proportional to his contribution

From each they choose, to each as they are chosen

Always treat humanity as an end in itself rather than as a means

The socialist view on distribution: "From each according to his ability, to each according to his needs."

Who proposed the concept of free market and utility?

Select correct option:

John Locke

Alasdair MacIntyre

John Rawls

Adam Smith page 49

Free Markets and Utility: Adam Smith

EPA stands for?

Select correct option:

Environmental Protection Agreement

Energy Protection Agency

Energy Protection Agreement

Environmental Protection Agency page 76

The U.S. Environmental Protection Agency (EPA), which conducted these studies, is evaluating the possible human health risks of PFOA

Study which does not try to reach any conclusions is called_____.

Select correct option:

Pilot Study

Case Study

Normative Study

Descriptive Study page 6

A **descriptive study** is one that does not try to reach any conclusions about what things are truly good or bad or right or wrong. Instead, a descriptive study attempts to describe or explain the world without reaching any conclusions about whether the world is as it should be

Moral standards are absorbed from?

Select correct option:

Family & Friends

Experience

Intellectual capital

All of the above.....

Caveat vendor represents to:

Select correct option:

Let the buyer beware

Let the seller beware

Let the buyer and seller beware

None of the given options page 107

The theory is a strong version of the doctrine of caveat vendor: let the seller take care.

Which of the following refers to the saving or rationing of natural resources for later use?

Select correct option:

Preservation

Conservation page 88

Fossilization

Depletion

Conservation refers to the saving or rationing of natural resources for later use

Commodities that are considered valuable only because they lead to other good things are called:

Select correct option:

Instrumental goods page 22

Instrumental values

Intrinsic goods

Intrinsic values

Intrinsic goods are things that are desired for their own sake, such as health and life. These goods always take precedence over instrumental goods, which are things that are good because they help to bring about an intrinsic good

Which one of the following quoted about advertising "promise, large promise, is the soul of advertising".

Select correct option:

David ogilvy

Kant

Samuel Johnson

None of the above

Jul 17, 2007 - Morris Hite, quoted in Adman: Morris Hite's Methods for Winning the Ad Game – 1988. "Promise, large promise, is the soul of Advertising".

The behavior respects the basic rights of the individuals involved and whether the behavior is consistent with one's agreements and special duties is referred as?

Select correct option:

Standards of justice

Standards of caring

Standards that specify how individuals must be treated page 38

None of the above

Standards that specify how individuals must be treated - must be employed when our actions and policies will substantially affect the welfare and freedom of specifiable individuals. Moral reasoning of this type forces consideration of whether the behavior respects the basic rights of the individuals involved and whether the behavior is consistent with one's agreements and special duties

How many types of chemical compounds are currently being used in the USA?

Select correct option:

50,000

55,000

58,000 page 75

60,000

Over 58,000 different chemical compounds are currently being used in the U.S., and the number is increasing each year

Literally the word ethics stand for :

Select correct option:

Understanding human nature

Study of morality page 3

Properties of chemical substances

Both 2 & 3

Ethics is "the study of morality." Ethicists use the term *ethics* to refer primarily to the study of morality.

Which one of the country has more individualistic culture?

Select correct option:

Pakistan

Japan

USA page 31

None of the above

Also interestingly, workers in countries such as Japan, which is characterized as having more collectivist culture, prefer the principles of equality more than workers in countries such as the United States, which is characterized as having a more individual culture

Fossil fuels include all except?

Select correct option:

Oil

Coal

Wind

Natural gas

Who argued that misrepresentation in the making of a contract cannot be universalized?

Select correct option:

Rawls

Kant page 101

Adam Smith

None of the given options

Kant, for example, easily shows that misrepresentation in the making of a contract cannot be universalized

Ozone is a protective layer in atmosphere is made of?

Select correct option:

Methane gas

Carbon Dioxide gas

Oxygen gas

None of the above

Which of the following are components of free market systems?

Select correct option:

Private property system

Voluntary exchange system

Both a & b page 43

None of the above

Free market systems have two main components: a private property system and a voluntary exchange system.

Which one of the following is a type of moral standards?

Select correct option:

Utilitarianism

Rights

Justice

All of the above

Which of the following is the most influential critic of Adam Smith?

Select correct option:

John Hicks

Maynard Keynes page 51

Herbert Spencer

Charles Darwin

One especially influential critic of Smith was John Maynard Keynes

When a company sells to a retailer only on condition that the retailer will not purchase products from other companies and will not sell outside a certain geographical area is known as?

Select correct option:

Tying Arrangements

Exclusive Dealing Arrangements page 64

Retail Price Maintenance Agreements

None of the above

Exclusive Dealing Arrangements - when a company sells to a retailer only on condition that the retailer will not purchase products from other companies and/or will not sell outside a certain geographical area.

A natural gas leak explosion happened in New London School of Texas in which year?

Select correct option:

1917

1927

1937 page 94

None of the above

In 1937, a natural gas leak was responsible for the New London School explosion in Texas

Costs of the resources consumed in producing a product are known as?

Select correct option:

Production cost page 109

Selling cost

Total cost

None of the above

Production costs are the costs of the resources consumed in producing a product

The aim of the moral life is to develop the dispositions that we call virtues, and to exercise them as well is referred to as?

Select correct option:

Ethics theory

Relationship theory

Virtue theory page 40

None of the above

Virtue theory says that the aim of the moral life is to develop the dispositions that we call virtues, and to exercise them as well

Which one of the following is the principal Utilitarian remedy for pollution?

Select correct option:

To internalize external costs of production page 82

To externalize internal costs of production

To minimize the total social cost of production

To maximize the total social cost of production

The remedy for external costs, according to utilitarian's, is to internalize them to ensure that the producer pays all of the real costs of production and uses these costs to determine the price of the commodity

Which of the following demands that manufacturer should pay the costs of all injuries caused by defect in a product even if exercised due care?

Select correct option:

Due care theory

Contractual theory

Social costs view page 106

Advertising ethics

On this basis, the theory argues that a manufacturer should bear the social costs for injuries caused by defects in a product even when no negligence was involved and no contractual relationship existed between the manufacturer and user.

Which one of the following lie at the core of the most serious ecological dislocations?

Select correct option:

Economic

Ethnic

Gender conflicts

All of the above page 86

Economic, ethnic, cultural, and gender conflicts, among many others, lie at the core of the most serious ecological dislocations we face today

Environmental ethics is the discipline that studies the moral relationship of?

Select correct option:

Human beings

Environment

Both a & b page 69

None of the above

Environmental ethics is the discipline that studies the moral relationship of human beings to, and also the value and moral status of, the environment and its nonhuman contents

Which one of the following is not considered as part of the three stages of moral development proposed by Carol Gilligan?

Select correct option:

Social Contract Orientation page 11

Principled morality

Conventional morality

Progressing from selfish

She outlines three stages of moral development progressing from selfish, to social or conventional morality, and finally to post conventional or principled morality

Relationship between a business firm and consumer essentially be?

Select correct option:

Forced relationship

Contractual relationship page 102

Due care relationship

None of the above

The relationship between a business firm and its customers is essentially a contractual relationship

How many moral duties, contractual theory has defined?

Select correct option:

1

2

3

4 page 103

Hence, the contractual theory of business' duties to consumers claims that a business has four main moral duties

Which of the following are called excusing conditions?

Select correct option:

Ignorance

Inability

Both a & b page 16

None of the above

Ignorance and inability to do otherwise are two conditions, called *excusing conditions*

Which of the following refers to the reasoning process by which human behaviors, institutions, or policies are judged to be in accordance or not with moral standards?

Select correct option:

Moral reasoning page 13

Moral duty

Moral justice

None of the above

Moral reasoning refers to the reasoning process by which human behaviors, institutions, or policies are judged to be in accordance with or in violation of moral standards.

In monopolistic markets?

Select correct option:

There are only few sellers

There is only one seller page 62

There are many sellers

None of the above

In a monopoly, two of the seven conditions are absent: there is only one seller, and other sellers cannot enter the market

Which of the following objection placed by Robert Nozick on Kant's theory?

Select correct option:

Libertarian objection page 29

Reversibility objection

Universalizability objection

None of the above

The Libertarian objection: Nozick

Saving of finite and depletable resources of the world is known as?

Select correct option:

Consumerism

Conversion

Conservation page 88

None of the above

Generally, conservation refers to the saving of finite, depletable resources

Which philosopher of utilitarianism presents the cost-benefit analysis?

Select correct option:

Aristotle

Mill

Kant

Bentham page 19

Cost-Benefit Analysis

Bentham's idea of a precise quantitative method for decision making is most fully realized in a cost-benefit analysis

When there are numerous buyers and sellers, none of whom has a substantial share of the market, and then such system is known as?

Select correct option:

Perfect competition page 58

Monopoly

Oligopoly

None of the above

Perfect Competition

In a perfectly free competitive market, no buyer or seller has the power to significantly affect the price of a good. Seven features characterize such markets:
1. There are numerous buyers and sellers, none of whom has a substantial share of the market.

For internalization of the cost of pollution, a firm has to pay?

Select correct option:

Do not pay all those harmed by pollution

Pay half of all those harmed by pollution

Pay all those harmed by pollution page 82

None of the above

To internalize the costs of pollution, a firm may be required to pay all those harmed by pollution.

All of the following are reasons to show that future generations have no rights on world's resources, EXCEPT:

Select correct option:

Future generations cannot intelligently be said to have rights

Someone only has a right if he/she has certain interest.....

It is absurd that we must sacrifice our entire civilization for their sake

It is unjust for present generations to leave nothing for future generations page 87, 88

Which one of the following pointed out by von Hayek?

Select correct option:

Advertising merely manipulates consumers

Advertising is responsible for the growing economy

Psychic wants have been around longer than advertising in any case page 110

None of the above

It is not clear, however, that this view is correct, and theorists such as F. A. von Hayek have pointed out that psychic wants have been around longer than advertising in any case.

The type with which one looks only at moral rules or actions of a particular type is known as?

Select correct option:

Rule utilitarianism page 22

Utilitarianism

Both a & b

None of the above

Largely in response to these concerns, utilitarian's have devised an alternative version, called **rule utilitarianism**. In this version, instead of looking at individual acts to see whether they produce more pleasure than the alternatives, one looks only at moral rules at actions of a particular type.

Through utilitarianism offers a clear-cut method of calculating morality. What are the numbers of problems identified in this method?

Select correct option:

5

4

3

2

In which of the following scenarios is an unethical payment clearly being made?

Select correct option:

A payment made to induce the payee to perform what is his or her official duty

A payment made to a payee who demands the payment by threatening injury to the payer's interests

A payment made to bribe an official, but this is a locally accepted public custom

No payment has been made unethically

Which of the following laws have no concern with morality?

Select correct option:

Parking laws

Dress codes law

Both a & b

None of the above

The idea that moral rightness or wrongness is culture-dependent is an example of

Select correct option:

Moral relativism

Moral absolutism

Categorical imperative

Universality

Which of the following views argues that prices and profits in highly concentrated industries are higher than they should be?

Select correct option:

Anti-trust view page 66

Discrimination view

Unethical view

Unlawful view

The antitrust view argues that prices and profits in highly concentrated industries are higher than they should be

Which of the following school of thought support the view point of ecological ethic that the welfare of at least some nonhumans is intrinsically valuable and deserving of respect and protection?

Select correct option:

Utilitarian

Rights

Both Utilitarian and rights page 79

None of the given options

An ecological ethic, therefore, claims that the welfare of at least some nonhumans is intrinsically valuable and deserving of respect and protection. Utilitarian and rights arguments both support such a view

The world population may reach to 9 billion by the year?

Select correct option:

2022

2035

2043 page 69

2050

World population may reach

- 7 billion in 2012 (13 years later)
- 8 billion in 2026 (14 years later)
- 9 billion in 2043 (17 years later)

Which of the following is the largest organization for the calculation of data on environment?

Select correct option:

Club of Rome

World Watch Institute page 69

GEF

UINDO

The kind of care that is owed to those with whom we have special concrete relationships is known as?

Select correct option:

Utilitarian standards

Standards of justice

Standards of caring page 38

None of the above

Standards of caring - indicate the kind of care that is owed to those with whom we have special concrete relationships.

Weighing Social Costs and Benefits is a technique used in?

Select correct option:

Justice concept

Right concept

Caring concept

Utilitarianism concept page 17

Utilitarianism: Weighing Social Costs and Benefits

Which of the following statement is CORRECT about social audit?

Select correct option:

A report of social costs of firm's activities

A report of social benefits of firm's activities

A report of social costs and social benefits of firm's activities page 84

None of these statements is correct

Social audit (a report of the social costs and social benefits of the firm's activities).

The benefits of pollution control should flow to those who have had to bear?

Select correct option:

Internal cost of pollution

External costs of pollution page 82

Both a & b

None of the above

The benefits of pollution control should flow to those who have had to bear the external costs of pollution.

Which one of the following a moral reason of contractual theory of business?

Select correct option:

Compliance duty

Misrepresentation duty

Coerce duty page 103

All of the above

The book “Limits to Growth” published in how many languages?

Select correct option:

30

32

35

37 page 91

One of the best known warning voices was contained in the book "Limits to Growth", published in 1972. It sold twelve million copies in 37 languages.

Question # 12 of 20 (Start time: 04:54:10 PM) Total Marks: 1

Which one of the following quoted about advertising "promise,large promise,is the soul of advertising".

Select correct option:

David oglivy

Kant
Samuel Johnson
None of the above

Jul 17, 2007 - Morris Hite, quoted in Adman: Morris Hite's Methods for Winning the Ad Game – 1988. "Promise, large promise, is the soul of Advertising".

Question # 16 of 20 (Start time: 04:58:06 PM) Total Marks: 1
Literally the word ethics stand for
Select correct option:

Understanding human nature
Study of morality2
properties of chemical
substances
Both 2 & 3

Ethics is
"the study of morality."
60,000

Question # 17 of 20 (Start time: 04:59:27 PM) Total Marks: 1
Which one of the country has more individualistic culture?
Select correct option:

Pakistan
Japan
USA30
None of the above

Also interestingly, workers in countries such as Japan, which is characterized as having more collectivist culture, prefer the principles of equality more than workers in countries such as the United States, which is characterized as having a more individual culture.

Question # 18 of 20 (Start time: 05:00:38 PM) Total Marks: 1

Fossil fuels include all except?

Select correct option:

Oil

Coal

Wind

Natural gas

Question # 19 of 20 (Start time: 05:01:24 PM) Total Marks: 1

Who argued that misrepresentation in the making of a contract cannot be universalized?

Select correct option:

Rawls

Kant.....101

Adam Smith

None of the given options

Question # 5 of 20 (Start time: 03:49:58 PM) Total Marks: 1

Which of the following are components of free market systems?

Select correct option:

Private property system

Voluntary exchange system

Both a & b..... 42

None of the above

Free market systems have two main components: a private property system and a voluntary exchange system.

Question # 7 of 20 (Start time: 03:51:40 PM) Total Marks: 1

**Which of the following is the most influential critic of Adam Smith?
Select correct option:**

John Hicks

Maynard Keynes.....50

Herbert Spencer

Charles Darwin

One especially influential critic of Smith was John Maynard Keynes.

Question # 8 of 20 (Start time: 03:52:14 PM) Total Marks: 1
When a company sells to a retailer only on condition that the retailer will not purchase products from other companies and will not sell outside a certain geographical area is known as?
Select correct option:

Tying Arrangements

Exclusive Dealing Arrangements63

Retail Price Maintenance Agreements

None of the above

Exclusive Dealing Arrangements - when a company sells to a retailer only on condition that the retailer will not purchase products from other companies and/or will not sell outside a certain geographical area.

Question # 9 of 20 (Start time: 03:53:08 PM) Total Marks: 1
A natural gas leak explosion happened in New London School of Texas in which year?
Select correct option:

1917

1927

193793

None of the above

In 1937, a natural gas leak was responsible for the New London School explosion in Texas.

Question # 10 of 20 (Start time: 03:54:29 PM) Total Marks: 1

Costs of the resources consumed in producing a product is known as?

Select correct option:

Production cost107

Selling cost

Total cost

None of the above

Production costs are the costs of the resources consumed in producing a product. Selling costs are the additional costs of resources that do not go into the product itself, but rather are incurred as a result of persuading consumers to purchase it.

Question # 11 of 20 (Start time: 03:55:20 PM) Total Marks: 1

The aim of the moral life is to develop the dispositions that we call virtues, and to exercise them as well is referred to as?

Select correct option:

Ethics theory

Relationship theory

Virtue theory39

None of the above

Virtue theory says that the aim of the moral life is to develop the dispositions that we call virtues, and to exercise them as well.

Question # 13 of 20 (Start time: 03:56:52 PM) Total Marks: 1

Which of the following demands that manufacturer should pay the costs of all injuries caused by defect in a product even if exercised due care?

Select correct option:

Due care theory
Contractual theory

Social costs view ...106

Advertising ethics

On this basis, the theory argues that a manufacturer should bear the social costs for injuries caused by defects in a product even when no negligence was involved and no contractual relationship existed between the manufacturer and user.

Question # 14 of 20 (Start time: 03:58:19 PM) Total Marks: 1

Which one of the following lie at the core of the most serious ecological dislocations?

Select correct option:

Economic

Ethnic

Gender conflicts

All of the above.....85

To make this point more concrete economic, ethnic, cultural, and gender conflicts, among many others, lie at the core of the most serious ecological dislocations

Question # 16 of 20 (Start time: 04:00:41 PM) Total Marks: 1

Which of the following is a related group of thinkers, sees the key form of hierarchy connected to the destruction of the environment as the domination of women by men?

Select correct option:

Ethicists

Eco feminists86

Friends of earth

Friends of world watch

Eco-feminists, a related group of thinkers, sees the

key form of hierarchy connected to the destruction of the environment as the domination of women by men.

Question # 17 of 20 (Start time: 04:01:24 PM) Total Marks: 1

Which theory states that consumers and sellers do not meet at equal levels?

Select correct option:

Due care theory ...103

Contractual theory

Justice theory

Utilitarian theory

The “due care” theory of the manufacturer’s duties to consumers is based on the idea that consumers and sellers do not meet as equals

Question # 18 of 20 (Start time: 04:02:48 PM) Total Marks: 1

All of the following are the critics of contractual theory, EXCEPT:

Select correct option:

Assumptions are unrealistic

Buyer and seller meet on equal ground is false

Buyer and seller meet on equal ground is false

Buyer and seller meet on equal ground103

Finally, critics of this theory point out that the assumption that buyer and seller meet on equal ground is false. Buyers and sellers are not equally skilled; the seller is in a much stronger position than the buyer. Sellers only have to know their own products, while buyers need to know about every sellers’ products for every commodity they purchase.

Question # 19 of 20 (Start time: 04:04:13 PM) Total Marks: 1

Environmental ethics is the discipline that studies the moral relationship of?

Select correct option:

Human beings

Environment

Both a & b68

None of the above

Environmental ethics is the discipline that studies the moral relationship of human beings to, and also the value and moral status of, the environment and its nonhuman contents.

Question # 20 of 20 (Start time: 04:05:03 PM) Total Marks: 1

Which one of the following is not considered as part of the three stages of moral development proposed by Carol Gilligan?

Select correct option:

Social Contract Orientation9

principled morality

conventional morality

progressing from selfish

She outlines three stages of moral development progressing from selfish, to social or conventional morality, and finally to post conventional or principled morality.

Question # 2 of 20 (Start time: 02:47:34 PM) Total Marks: 1

How many moral duties, contractual theory has defined?

Select correct option:

1

2

3

4.....102

Question # 3 of 20 (Start time: 02:48:02 PM) Total Marks: 1

Which of the following is included in due care theory?

Select correct option:

Marketing

Logistic

Design

None of the above105

Question # 4 of 20 (Start time: 02:49:05 PM) Total Marks: 1

Which of the following are called excusing conditions?

Select correct option:

Ignorance

Inability

Both a & b15

None of the above

Ignorance and inability to do otherwise are two conditions, called excusing conditions,

Question # 5 of 20 (Start time: 02:49:42 PM) Total Marks: 1

Which of the following refers to the reasoning process by which human behaviors, institutions, or policies are judged to be in accordance or notwith moral standards?

Select correct option:

Moral reasoning12

Moral duty

Moral justice

None of the above

Moral reasoning refers to the reasoning process by which human behaviors, institutions, or policies are judged to be in accordance with or in violation of moral standards

Question # 8 of 20 (Start time: 02:52:14 PM) Total Marks: 1

Saving of finite and depletable resources of the world is known as?

Select correct option:

consmerism

conversion

conservation87

None of the above

Generally, conservation refers to the saving of finite, depletable resources.

Question # 11 of 20 (Start time: 02:55:50 PM) Total Marks: 1

When there are numerous buyers and sellers, none of whom has a substantial share of the market, then such system is known as?

Select correct option:

Perfect competition57

Monopoly

Oligopoly

None of the above

Question # 13 of 20 (Start time: 02:57:44 PM) Total Marks: 1

All of the following are reasons to show that future generations have no rights on world's resources, EXCEPT:

Select correct option:

Future generations cannot intelligently be said to have rights

Someone only has a right if he/she has certain interest.....

It is absurd that we must sacrifice our entire civilization for their sake

It is unjust for present generations to leave nothing for future generations

Question # 14 of 20 (Start time: 02:58:55 PM) Total Marks: 1

Which one of the following pointed out by von Hayek?

Select correct option:

Advertising merely manipulates consumers

advertising is responsible for the growing

economy

Psychic wants have been around longer than advertising in any case

.....109

None of the above

F. A. von Hayek have pointed out that
psychicwants have beenaround longerthan advertisinginanycase.

The most common criticism of advertising concerns is its effect

Question # 15 of 20 (Start time: 02:59:51 PM) Total Marks: 1

The type with which one looks only at moral rules or actions of a particular type is known as?

Select correct option:

Rule utilitarianism

Utilitarianism

Both a & b

None of the above

Question # 16 of 20 (Start time: 03:01:11 PM) Total Marks: 1

Through utilitarianism offers a clear-cut method of calculating morality. What are the number of problems identified in this method?

Select correct option:

520

4

3

2

Question # 18 of 20 (Start time: 03:37:18 PM) Total Marks: 1

Which of the following is the most influential critic of Adam Smith?

Select correct option:

John Hicks

Maynard Keynes.....50

Herbert Spencer

Charles Darwin

One especially influential critic of Smith was John Maynard Keynes.

Question # 19 of 20 (Start time: 03:37:57 PM) Total Marks: 1

In which of the following scenarios is an unethical payment clearly being made?

Select correct option:

A payment made to induce the payee to perform what is his or her official duty

A payment made to a payee who demands the payment by threatening injury to the payer's interests

A payment made to bribe an official, but this is a locally accepted public custom

No payment has been made unethically

Question # 20 of 20 (Start time: 03:39:21 PM) Total Marks: 1

Which of the following laws have no concern with morality?

Select correct option:

Parking laws

Dress codes law

Both a & b14

None of the above

Question # 1 of 20 (Start time: 04:12:10 PM) Total Marks: 1

Which of the following view can be seen as a middle ground between the other two? Those who advocate this view do not wish to lose the economies of scale offered by large corporations, but they also wish to ensure that large firms do not harm the consumers.

Select correct option:

Antitrust View

Regulation view66

Normative View

Business View

The third view is the Regulation view, which can be seen as a middle ground between the other two. Those who advocate regulation do not wish to lose the economies of scale offered by large corporations, but they also wish to ensure that large firms do not harm the consumers.

Question # 2 of 20 (Start time: 04:13:16 PM) Total Marks: 1

The idea that moral rightness or wrongness is culture-dependent is an example of

Select correct option:

Moral relativism ????????? 12

Moral absolutism

Categorical imperative

Universality

Moral judgment on the rightness or wrongness of the policy institution, or behavior.

Question # 3 of 20 (Start time: 04:14:45 PM) Total Marks: 1

Which of the following views argues that prices and profits in highly concentrated industries are higher than they should be?

Select correct option:

Anti-trust view65

Discrimination view

Unethical view

Unlawful view

Second, the antitrust view argues that prices and profits in highly concentrated industries are higher than they should be

Question # 4 of 20 (Start time: 04:15:35 PM) Total Marks: 1

In which type of competition one can freely and immediately enter or leave the market?

Select correct option:

Perfect competition97

Monopoly

Oligopoly
None of the above

b) everyone can freely enter and exit the market,

Question # 5 of 20 (Start time: 04:16:31 PM) Total Marks: 1

How many types of chemical compounds are currently being used in the USA?

Select correct option:

50,000

55,000

58,00074

60,000

Over 58,000 different chemical compounds are currently being used in the U.S.,

Question # 6 of 20 (Start time: 04:17:40 PM) Total Marks: 1

Which of the following school of thought support the view point of ecological ethic that the welfare of at least some nonhumans is intrinsically valuable and deserving of respect and protection?

Select correct option:

Utilitarian

Rights

Both Utilitarian and rights78

None of the given options

An ecological ethic, therefore, claims that the welfare of at least some nonhumans is intrinsically valuable and deserving of respect and protection. Utilitarian and rights arguments both support such a view.

Question # 7 of 20 (Start time: 04:18:36 PM) Total Marks: 1
The world population may reach to 9 billion by the year?
Select correct option:

- 2022
- 2035
- 204368
- 2050

9 billion in 2043 (17 years later)

Question # 8 of 20 (Start time: 04:19:55 PM) Total Marks: 1
Which of the following is the largest organization for the calculation of data on environment?
Select correct option:

- Club of Rome
- World Watch Institute ???not sure
- GEF
- UINDO

Question # 9 of 20 (Start time: 04:21:23 PM) Total Marks: 1
The kind of care that is owed to those with whom we have special concrete relationships is known as?
Select correct option:

- Utilitarian standards
- Standards of justice
- Standards of caring37
- None of the above

Standards of caring - indicate the kind of care that is owed to those with whom we have special concrete relationships. Standards of caring are essential when moral questions arise that involve persons embedded in a web of relationships, particularly persons with whom one has closer relationships, especially those of dependency.

Question # 10 of 20 (Start time: 04:22:11 PM) Total Marks: 1

Which one of the following is a component of free market systems?

Select correct option:

Private property system.....42

Involuntary exchange system

Command system

None of the given

Free market systems have two main components: a private property system and a voluntary exchange system.

Question # 11 of 20 (Start time: 04:23:30 PM) Total Marks: 1

Weighing Social Costs and Benefits is a technique used in?

Select correct option:

Justice concept

Right concept

Caring concept

Utilitarianism concept16

Question # 12 of 20 (Start time: 04:24:53 PM) Total Marks: 1

Which of the following statement is CORRECT about social audit?

Select correct option:

A report of social costs of firm's activities

A report of social benefits of firm's activities

A report of social costs and social benefits of firm's activities82

None of these statements is correct

a social audit (a report of the social costs and social benefits of the firm's activities)

Question # 13 of 20 (Start time: 04:26:02 PM) Total Marks: 1

The benefits of pollution control should flow to those who have had to bear?

Select correct option:

Internal cost of pollution

External costs of pollution81

Both a & b

None of the above

The benefits of pollution control should flow to those who have had to bear the external costs of pollution

Question # 14 of 20 (Start time: 04:27:01 PM) Total Marks: 1

Which one of the following a moral reason of contractual theory of business?

Select correct option:

Compliance duty

Misrepresentation duty

Coerce duty

All of the above102

Question # 15 of 20 (Start time: 04:28:31 PM) Total Marks: 1

How much in over the past 150 years, deforestation has contributed to the atmospheric build-up of CO₂?

Select correct option:

One third71

Two third

One fourth
None of the above

Over the past 150 years, deforestation has contributed one third of the atmospheric build-up of CO₂,

Question # 16 of 20 (Start time: 04:29:27 PM) Total Marks: 1
Who proposed the concept of free market and utility?
Select correct option:

John Locke
Alasdair MacIntyre
John Rawls

Adam Smith.....50

Question # 17 of 20 (Start time: 04:30:42 PM) Total Marks: 1
The book “Limits to Growth” published in how many languages?
Select correct option:

30

32

35

3790

One of the best known warning voices was contained in the book "Limits to Growth", published in 1972. It sold twelve million copies in 37 languages

Question # 18 of 20 (Start time: 04:31:22 PM) Total Marks: 1
Which of the following is not a characteristics of free market?
Select correct option:

All goods in the market are exactly dissimilar96

Everyone has full and perfect information

The market is unregulated

There are no external costs

Question # 19 of 20 (Start time: 04:32:43 PM) Total Marks: 1

Which of the following includes the costs that the firm does not pay—the costs of pollution and medical care that result from the manufacture of the commodities?

Select correct option:

Social costs

Private costs

Public costs

Personal costs

Social costs include the costs that the firm does not pay the costs of pollution and medical care that result from the manufacture of the commodities

Question # 20 of 20 (Start time: 04:34:14 PM) Total Marks: 1

Which theory was proposed by David Ricardo in 1817?

Select correct option:

Natural advantage

comparative advantage47

Acquired advantage

Resource efficiency advantage

In 1817 David Ricardo Comparative Advantage

Question # 1 of 20 (Start time: 09:21:42 PM) Total Marks: 1

Modern corporations consist of?

Select correct option:

Stockholders

Directors and employees
Government agencies

Both a & b.....p6

Question # 2 of 20 (Start time: 09:22:38 PM) Total Marks: 1

How many essential components of Moral reasoning are?

Select correct option:

3

4

2

None of the above

Question # 3 of 20 (Start time: 09:24:02 PM) Total Marks: 1

Every person has a right to freedom from coercion that takes priority over all other rights and values is known as?

Select correct option:

Karl's principle

Nozick's principlep33

Blanc's principle

None of the above

Nozick's principle is based on the claim (which we have already discussed) that every person has a right to freedom from coercion that takes priority over all other rights and values.

Question # 4 of 20 (Start time: 09:25:27 PM) Total Marks: 1

Who wrote the book "The Wealth of Nations"?

Select correct option:

Adam Smith.....50

Karl Marx

John Locke

John Maynard Keynes

Question # 5 of 20 (Start time: 09:26:46 PM) Total Marks: 1

The person's reasons for acting must be reasons that everyone could act on at least in principles is known as?

Select correct option:

Reversibility

Universalizabilityp27

Rule utilitarianism

None of the above

Universalizability means the person's reasons for acting must be reasons that everyone could act on at least in principle.

Question # 6 of 20 (Start time: 09:27:54 PM) Total Marks: 1

_____ is defined as Tendency to make ethical choices only on the basis of what looks right or reasonable according to one's own belief or value system.

Select correct option:

Ethical Relativism

Cultural Relativism

Descriptive Relativism

Epistemological Relativism

Question # 7 of 20 (Start time: 09:29:05 PM) Total Marks: 1

Who proposed that human beings have a "natural right" to liberty and a "natural right" to private property?

Select correct option:

John Locke.....42

Alasdair MacIntyre

John Rawls

None of the above

John Locke (1632-1704), an English political philosopher, is generally credited with developing the idea that human beings have a "natural right" to liberty and a "natural right" to private property.

Question # 8 of 20 (Start time: 09:30:26 PM) Total Marks: 1
In which country Locke's property rights have been influential?
Select correct option:

England

Germany

America43

Greek

Locke's views on property rights have been very influential in America.

Question # 9 of 20 (Start time: 09:31:29 PM) Total Marks: 1
The aim of the moral life is to develop the dispositions that we call virtues, and to exercise them as well is referred to as?
Select correct option:

Ethics theory

Relationship theory

Virtue theory39

None of the above

Virtue theory says that the aim of the moral life is to develop the dispositions that we call virtues, and to exercise them as well.

Question # 11 of 20 (Start time: 09:33:49 PM) Total Marks: 1
Which of the following are the ideological camps characterize modern societies?
Select correct option:

Individualistic

Communitarian

Both a & b42

None of the above

In general, two important ideological camps, the individualistic and communitarian viewpoints, characterize modern societies.

Question # 12 of 20 (Start time: 09:34:56 PM) Total Marks: 1

Which of the following theory says that the aim of the moral life is to develop the dispositions and to exercise them as well?

Select correct option:

Justice theory

Right theory

Virtue theory39

None of the above

Virtue theory says that the aim of the moral life is to develop the dispositions that we call virtues, and to exercise them as well

Question # 13 of 20 (Start time: 09:35:44 PM) Total Marks: 1

Weighing Social Costs and Benefits is a technique used in?

Select correct option:

Justice concept

Right concept

Caring concept

Utilitarianism concept ???????????????

Question # 14 of 20 (Start time: 09:37:10 PM) Total Marks: 1

Which of the following economic principle is first posted by Adam Smith to describe that the greatest benefit to a society is brought about by individuals in the pursuit of their own self-interest?

Select correct option:

Free trade

Economic freedom

Positive sum game

Invisible hand.....

Question # 15 of 20 (Start time: 09:38:34 PM) Total Marks: 1

Which theory was proposed by David Ricardo in 1817?

Select correct option:

Natural advantage

comparative advantage47

Acquired advantage

Resource efficiency advantage

Comparative Advantage

In 1817 David Ricardo reasoned that there would still be gains from trade if a country specialized in the production of those things it can produce most efficiently, even if other countries can produce those same things even more efficiently.

Question # 16 of 20 (Start time: 09:39:19 PM) Total Marks: 1

Conceptualization of a construct involves:

Select correct option:

Thinking carefully

Reading what others have written about the idea

Trying all possible definitions

All of the given options ??????????

Question # 17 of 20 (Start time: 09:40:39 PM) Total Marks: 1

“The desire for a good or a service” best represents:

Select correct option:

Need

Want ??????????

Desire

None of the given

Every person should be given equal shares of a society's or a group's benefits and burdens referred as?

Question # 19 of 20 (Start time: 09:43:34 PM) Total Marks: 1
Principles of reversibility and Universalizability proposed by?
Select correct option:

John Rawls

Kantian34

Carl Max

None of the above

the Kantian principles of reversibility and universalizability, and treats people as ends and not as means.

Question # 20 of 20 (Start time: 09:44:28 PM) Total Marks: 1
Who founded traditional utilitarianism?
Select correct option:

Jeremy Bentham16

Carol Gilligan

Kohlberg

None of the given options

Jeremy Bentham founded traditional utilitarianism.

Question # 1 of 20 (Start time: 09:48:21 PM) Total Marks: 1
In which of the following someone looks at individual acts to see whether they produce more pleasure,one looks only at moral rules at actions of a particular type?
Select correct option:

Rule utilitarianism16

Conventional utilitarianism

Weighting cost and benefit

None of the above

Question # 2 of 20 (Start time: 09:49:21 PM) Total Marks: 1
Who has proposed the most "surprising" and "counterintuitive" concept in economics?
Select correct option:

Ricardo51

John Locke
Alasdair MacIntyre
Adam Smith

Ricardo's ingenious argument has been hailed as the single "most important" and "most meaningful" economic discovery ever made. Some have said it is the most "surprising" and "counterintuitive" concept in economics.

Question # 3 of 20 (Start time: 09:50:18 PM) Total Marks: 1
When a person is entitled to act in a certain way or is entitled to have others act in a certain way toward him or her is known as?
Select correct option:

Right23

Justice
Basic needs
None of the above

In general, a right is a person's entitlement to something; one has a right to something when one is entitled to act a certain way or to have others act in a certain way towards oneself

Question # 4 of 20 (Start time: 09:51:45 PM) Total Marks: 1
Privacy is an example of?
Select correct option:

Positive right
Basic need
Negative right23
None of the above

Privacy is an example of a negative right ;

Question # 5 of 20 (Start time: 09:52:54 PM) Total Marks: 1

Which of the following are the ideological camps characterize modern societies?

Select correct option:

Individualistic

Communitarian

Both a & b

None of the above

Question # 6 of 20 (Start time: 09:53:11 PM) Total Marks: 1

Who argued in response to the free market and utility by Adam Smith that government should intervene because there is a mismatch between the aggregate supply and demand?

Select correct option:

John Hicks

Maynard Keynes.....50

Herbert Spencer

Charles Darwin

One especially influential critic of Smith was John Maynard Keynes. Keynes argued that government intervention was necessary because there is a mismatch between aggregate supply and demand, which inevitably leads to a contraction of supply.

Question # 7 of 20 (Start time: 09:54:18 PM) Total Marks: 1

Which one of the following laws related to morality?

Select correct option:

Parking Laws ????????

Business Laws

Dress code Laws

None of the above

Question # 8 of 20 (Start time: 09:55:47 PM) Total Marks: 1

Which one of the following does not have any contribution towards moral development?

Select correct option:

Gilligan

Kohlberg

Henry Fayol ????????

None of the above

Question # 9 of 20 (Start time: 09:56:39 PM) Total Marks: 1

Which one is the example given by James Rachel while explaining ethical relativism?

Select correct option:

Flat earthp8

Slop earth

Uneven earth

Horizontal earth

Question # 10 of 20 (Start time: 09:57:24 PM) Total Marks: 1

Which one of the country has more collectivist culture?

Select correct option:

USA

Japan.....30

Pakistan

None of the above

Workers in countries that are characterized as having a more collectivist culture,such as Japan.

Question # 11 of 20 (Start time: 09:58:08 PM) Total Marks: 1

Which of the following is included in virtue?

Select correct option:

Benevolence

Moderation

Tolerance

All of the above ...39

Question # 12 of 20 (Start time: 09:59:33 PM) Total Marks: 1

Which one of these is a graphic demonstration that rational individual choices do not necessarily result in rational collective choices.

Select correct option:

Game theory

Prisoner's dilemma

Moral Reasoning

Moral responsibility

Question # 13 of 20 (Start time: 10:00:42 PM) Total Marks: 1

Which one of the following is NOT the role of government in individualistic society?

Select correct option:

Protect property

Enforce contracts

Keep market place open

A vision for community...42

Individualistic societies promote a limited government whose primary purpose is to protect property, contract rights, and open markets.

Question # 14 of 20 (Start time: 10:02:05 PM) Total Marks: 1

Which principle of John Rawls assumes that a productive society will incorporate inequalities?

Select correct option:

Principle 1

Principle 234

Part a of principle 2

Part b of principle 2

According to the dictionary, the term ethics has a variety of different meanings. One of its meanings is: "the principles of conduct governing an individual or a group". We sometimes use the term personal ethics,

Question # 16 of 20 (Start time: 10:04:54 PM) Total Marks: 1

Arthur Andersen was associated with?

Select correct option:

Enron..... p7

General Motors

Dell Computers

Wal-Mart

Arthur Andersen was caught shredding documents showing how they helped Enron hide its debt through the use of several accounting tricks.

MGT610

3rd quiz after midterm by masookhan

Question # 1 of 10 (Start time: 10:42:25 PM) Total Marks: 1

Idea of a precise quantitative method for decision making is most fully realized in

Select correct option:

Bentham

James

Rachel'sv

Henry Fayol

Question # 3 of 10 (Start time: 10:46:40 PM) Total Marks: 1

According to Karl Marx, every society can be analyzed in terms of its two main components:

Select correct option:

Economic substructure and social superstructure

Economic structure and social superstructure

Economic structure and social structure

None of the given options

Question # 4 of 10 (Start time: 10:48:02 PM) Total Marks: 1

Which one of the following is not the basis of an important critical method in ethics?

Select correct option:

Counter examples

Hypothetical examples

Literature examples

Both a & b

Question # 5 of 10 (Start time: 10:48:50 PM) Total Marks: 1

Which of the following claims that the welfare of at least some nonhumans is intrinsically valuable and deserves respect and

protection?

Select correct option:

Ecological ethics

Environmental ethics

Financial ethics

Organizational ethics

Question # 6 of 10 (Start time: 10:50:11 PM) Total Marks: 1

The contributive principle of distributive justice measured the contributions in terms of:

Select correct option:

Economic quality

Minimum standard of living

Work effort

Opportunity

Question # 7 of 10 (Start time: 10:51:23 PM) Total Marks: 1

In which country Locke's property rights have been influential?

Select correct option:

England

Germany

America

Greek

Question # 8 of 10 (Start time: 10:52:17 PM) Total Marks: 1

Which of the following is TRUE in free market economy?

Select correct option:

Prices are controlled by law

There will be no advertising

There will be no monopolies

The government allocates resources

Question # 9 of 10 (Start time: 10:53:44 PM) Total Marks: 1

In which market system firms are not encouraged to reduce its

costs?

Select correct option:

Monopoly

Oligopoly

Perfect competition

None of the above

Question # 10 of 10 (Start time: 10:54:26 PM) Total Marks: 1

Who should receive the benefits of pollution control?

Select correct option:

Who bear the external cost

Who bear the product cost

Who bear the internal cost

Firm

Question # 1 of 10 (Start time: 10:59:56 PM) Total Marks: 1

In which type of competition one can freely and immediately enter or leave the market?

Select correct option:

Perfect competition

Monopoly

Oligopoly

None of the above

Question # 2 of 10 (Start time: 11:00:34 PM) Total Marks: 1

Who developed the idea that human beings have a "natural right" to liberty and a "natural right" to private property?

Select correct option:

John Locke

Pincoffs

John Rawls

Alasdair MacIntyre

Question # 4 of 10 (Start time: 11:02:11 PM) Total Marks: 1

Which philosopher defended the idea that we should always treat humanity as an end in itself rather than a means?

Select correct option:

Kant

Mill

Bentham

Rawls

Question # 5 of 10 (Start time: 11:03:38 PM) Total Marks: 1

Which of the following view claims that the power of oligopolies is not as large as it appears?

Select correct option:

Regulation view

Antitrust view

Do nothing view

None of the above

Question # 6 of 10 (Start time: 11:04:29 PM) Total Marks: 1

When several pollutants are involved, it is not always clear just who is being harmed and by whom.

Select correct option:

True

False

Question # 7 of 10 (Start time: 11:05:07 PM) Total Marks: 1

Which of the following is NOT true for monopoly?

Select correct option:

Differentiated products

Freedom of entry and exit

Firm is a price taker

One main seller

Question # 8 of 10 (Start time: 11:06:07 PM) Total Marks: 1

Which of the following is the largest organization for the calculation of data on environment?

Select correct option:

Club of Rome

World Watch Institute

GEF

UINDO

Question # 9 of 10 (Start time: 11:07:32 PM) Total Marks: 1

In a command economy, all decisions are taken by the:

Select correct option:

People

Government

Voters

Workers

Question # 10 of 10 (Start time: 11:08:29 PM) Total Marks: 1

Moral standards are absorbed from?

Select correct option:

Family & Friends

Experience

Intellectual capital

All of the above

Question # 1 of 10 (Start time: 02:40:26 PM) Total Marks: 1

Which one of the following is not the basis of an important critical method in ethics?

Select correct option:

Counter examples

Hypothetical examples

Literature examples

Both a & b

Question # 2 of 10 (Start time: 02:40:57 PM) Total Marks: 1

New ethical dilemmas has been raised in 20th and 21st centaury

because of

Select correct option:

People

Culture

Technology pg8

Organizations

Question # 3 of 10 (Start time: 02:42:20 PM) Total Marks: 1

Greater economic freedom ranking countries enjoy the following except?

Select correct option:

Highest standards of living

Greatest degree of political freedom

Both a & b

None of the above

Question # 4 of 10 (Start time: 02:43:06 PM) Total Marks: 1

The use of fossil fuels has led to substantial growth in global emissions of _____ and greenhouse effect, contributing to global warming.

Select correct option:

Sulphur dioxide

Nitrogen

Hydrogen

Carbon dioxide pg 68

Question # 5 of 10 (Start time: 02:44:00 PM) Total Marks: 1

Which of the following is where the same product is sold in different markets for different prices?

Select correct option:

Price discrimination

Price fluctuation

Price fixing

None of the given options

Question # 6 of 10 (Start time: 02:44:29 PM) Total Marks: 1

In a command economy, all decisions are taken by the:

Select correct option:

People

Government

Voters

Workers

Question # 7 of 10 (Start time: 02:45:05 PM) Total Marks: 1

Which theory was proposed by David Ricardo in 1817?

Select correct option:

Natural advantage

comparative advantage

Acquired advantage

Resource efficiency advantage

Question # 8 of 10 (Start time: 02:45:42 PM) Total Marks: 1

Ozone is a protective layer in atmosphere is made of?

Select correct option:

Methane gas

Carbon Dioxide gas

Oxygen gas not sure

None of the above

Question # 9 of 10 (Start time: 02:47:14 PM) Total Marks: 1

Which type of resource depletion is marked by increasing rates of usage and sudden, complete depletion within a short period of time?

Select correct option:

Depletion of fossil fuels

Exponential depletion

Peaked depletion

Species depletion

Question # 10 of 10 (Start time: 02:48:20 PM) Total Marks: 1

Which one is considered as primary economic institution?

Select correct option:

Business Enterprises pg 5

Banks

Insurance companies

None of the above

Question # 1 of 10 (Start time: 02:50:52 PM) Total Marks: 1

Which of the following claims that the welfare of at least some nonhumans is intrinsically valuable and deserves respect and protection?

Select correct option:

Ecological ethics pg 78

Environmental ethics

Financial ethics

Organizational ethics

Question # 2 of 10 (Start time: 02:51:45 PM) Total Marks: 1

When does the ignorance not excuse the wrongful injury?

Select correct option:

Ignorance of fact

If a person is ignorant

The person did not act knowingly

One deliberately keeps oneself ignorant pg 15

Question # 3 of 10 (Start time: 02:53:09 PM) Total Marks: 1

The world population may reach to 9 billion by the year?

Select correct option:

2022

2035

2043 pg 68

2050

Question # 4 of 10 (Start time: 02:53:44 PM) Total Marks: 1

Which of the following refers to the saving or rationing of natural resources for later use?

Select correct option:

Fossilization

Preservation

Conservation pg 87

Depletion

Question # 5 of 10 (Start time: 02:54:22 PM) Total Marks: 1

Do – nothing view claims that power of oligopolies is as large as it appears.

Select correct option:

True

False pg 65

Question # 6 of 10 (Start time: 02:55:21 PM) Total Marks: 1

Arthur Andersen was associated with?

Select correct option:

Enron pg7

General Motors

Dell Computers

Wal-Mart

Question # 7 of 10 (Start time: 02:56:30 PM) Total Marks: 1

Which of the following economic principle is first posted by Adam

Smith to describe that the greatest benefit to a society is brought about by individuals in the pursuit of their own self-interest?

Select correct option:

Free trade

Economic freedom

Positive sum game

Invisible hand

Question # 8 of 10 (Start time: 02:57:24 PM) Total Marks: 1

On what grounds Carol Gilligan criticized Kohlberg's research?

Select correct option:

It describes female characteristics

Stages of growth in moral development

It describes both male and female characteristics

It ignores female approach to moral development

Question # 9 of 10 (Start time: 02:58:10 PM) Total Marks: 1

Individual actions are directed through

Select correct option:

Policies

Culture

Associations

Both a & b

Question # 10 of 10 (Start time: 02:58:32 PM) Total Marks: 1

Which of the following issues are not satisfied by utilitarianism?

Select correct option:

Justice

Right

Justice & Right

None of the above

Masoodkhan78601@gmail.com

Question # 1 of 20 (Start time: 08:47:35 PM) Total Marks: 1

Which type of resource depletion is marked by increasing rates of usage and sudden, complete depletion within a short period of time?

Select correct option:

Depletion of fossil fuels

Exponential depletion

Peaked depletion

Species depletion

Question # 2 of 20 (Start time: 08:49:21 PM) Total Marks: 1

Which of the following is unethical business practice?

Select correct option:

Price Fixing

Tying Arrangements

Manipulation of Supply

All of the above

Question # 3 of 20 (Start time: 08:51:10 PM) Total Marks: 1

“The desire for a good or a service” best represents:

Select correct option:

Need

Want

Desire

None of the given

Question # 4 of 20 (Start time: 08:52:51 PM) Total Marks: 1

"Big is better" belongs to which school of thought?

Select correct option:

Chicago school of thought

Anti trust school of thought

regulation school of thought

None of the above

Question # 5 of 20 (Start time: 08:53:35 PM) Total Marks: 1

How many views do exist in society in the face of the high degree of market concentration in oligopolistic industries?

Select correct option:

Two

Three

Four

None of the above

Question # 6 of 20 (Start time: 08:55:02 PM) Total Marks: 1

Which one of the following is a type of moral standards?

Select correct option:

Utilitarianism

Rights

Justice

All of the above not sure

Question # 7 of 20 (Start time: 08:56:27 PM) Total Marks: 1

Which of the following does NOT describe “virtue”?

Select correct option:

The traits that everyone needs for a good life

An excellence that is admired in a person

A disposition to act in multidimensional way not sure

A specific state of character

Question # 8 of 20 (Start time: 08:57:52 PM) Total Marks: 1

“Each should leave enough and as good for others” Principle is known as?

Select correct option:

Rawal’s principle

Lockean principle

Smith principle

None of the above

Question # 9 of 20 (Start time: 08:59:10 PM) Total Marks: 1

Which one of the following retailer has the greatest number of employees?

Select correct option:

TESCO

Carrefour

Wal-Mart

Metro

Question # 10 of 20 (Start time: 09:00:52 PM) Total Marks: 1

The medicine which can be purchased without prescription is known as?

Select correct option:

Over the shelf medicine

Below the shelf medicine

Both a & b

None of the above

Question # 11 of 20 (Start time: 09:02:11 PM) Total Marks: 1

Each year 34 million people are injured or killed as a result of?
Select correct option:

Product related accidents

- Dut to Diseases
- Natural climate
- Due to earthquakes

Question # 12 of 20 (Start time: 09:02:56 PM) Total Marks: 1
Which of the following is not a characteristic of free market?

Select correct option:

- All goods in the market are exactly dissimilar
- Everyone has full and perfect information
- The market is unregulated
- There are no external costs**

Question # 13 of 20 (Start time: 09:04:43 PM) Total Marks: 1
How many people get injured every year due to product related accidents?

Select correct option:

- 14 Million
- 24 Million
- 34 Million**
- 44 Million

Question # 14 of 20 (Start time: 09:06:04 PM) Total Marks: 1
The contributive principle of distributive justice measured the contributions in terms of:

Select correct option:

- Economic quality
- Minimum standard of living not sure**
- Work effort
- Opportunity

Question # 15 of 20 (Start time: 09:07:51 PM) Total Marks: 1
Which of the following is a criticism on social cost view?

Select correct option:

- It misrepresent
- It coerce
- Unfair not sure**
- Fake

Question # 16 of 20 (Start time: 09:09:37 PM) Total Marks: 1
Which one of the following does not have any contribution towards moral development?

Select correct option:

- Gilligan
- Kohlberg
- Henry Fayol
- None of the above**

Question # 17 of 20 (Start time: 09:11:21 PM) Total Marks: 1

Which of the following are the ideological camps characterize modern societies?

Select correct option:

- Individualistic
- Communitarian
- Both a & b**
- None of the above

Question # 18 of 20 (Start time: 09:12:15 PM) Total Marks: 1

Which of the following statements is INCORRECT?

Select correct option:

- Utilitarianism can answer some of the difficulties with Black Stone's theory
- Utilitarianism can see environmental problems as market defect
- Possession of livable environment is something to which every human being has a right not sure**
- Black Stone's theory is very successful to provide any nuanced guidance on several processing environmental choices

Question # 19 of 20 (Start time: 09:13:46 PM) Total Marks: 1

Which one of the following is a component of free market systems?

Select correct option:

- Private property system**
- Involuntary exchange system
- Command system
- None of the given

Which markets embody sense of justice?

Select correct option:

- Mixed markets
- Liberal markets
- Free markets**
- None of the above

Question # 3 of 15 (Start time: 08:58:22 PM) Total Marks: 1

Which theory claims that people would be lazy without private property?

Select correct option:

Capitalism

Socialism

Utilitarianism

None of the above

Question # 4 of 15 (Start time: 08:59:27 PM) Total Marks: 1

The most influential economic institutions are designed to achieve?

Select correct option:

Production of the goods

Distribution of the goods

Both a & b

None of the above

Question # 6 of 15 (Start time: 09:01:07 PM) Total Marks: 1

Which philosopher defended the idea that we should always treat humanity as an end in itself rather than a means?

Select correct option:

Kant

Mill

Bentham

Rawls

Question # 7 of 15 (Start time: 09:02:22 PM) Total Marks: 1

The concept that there are no relevant differences among people that can justify unequal treatment is known as?

Select correct option:

Egalitarianism

Utilitarianism

Socialism

None of the above

Question # 8 of 15 (Start time: 09:03:44 PM) Total Marks: 1

Commodities that are considered valuable only because they lead to other good things are called:

Select correct option:

Instrumental goods

Instrumental values

Intrinsic goods

Intrinsic values

Question # 9 of 15 (Start time: 09:05:10 PM) Total Marks: 1

Socialist view on distribution is best described as:

Select correct option:

From each according to his ability, to each according to his needs

The benefits a person receives should be proportional to his contribution

From each they choose, to each as they are chosen

Always treat humanity as an end in itself rather than as a means

Question # 10 of 15 (Start time: 09:06:06 PM) Total Marks: 1

Factual evidence has the following properties except?

Select correct option:

Time bound

Accurate

Relevant

Complete

Question # 11 of 15 (Start time: 09:06:55 PM) Total Marks: 1

In which country Locke's property rights have been influential?

Select correct option:

England

Germany

America

Greek

Question # 12 of 15 (Start time: 09:07:27 PM) Total Marks: 1

Which of the following are the criteria for determining moral right and wrong?

Select correct option:

Universalizability

Reversibility

Both a & b

None of the above

Utilitarianism is unable to deal with following kind of moral issues?

Select correct option:

Rights

Justice

Both a & b

None of the above

Question # 14 of 15 (Start time: 09:08:50 PM) Total Marks: 1

What are the levels on which ethical decision making occurs?

Select correct option:

Individual

Organizational

Business system

All of the given

Question # 15 of 15 (Start time: 09:09:28 PM) Total Marks: 1

Privacy is an example of?

Select correct option:

Positive right

Basic need

Negative right

None of the above

Question # 1 of 15 (Start time: 09:16:17 PM) Total Marks: 1

Which theory includes means of production and selling one's labor?

Select correct option:

Capitalist systems

Free economy system

Socialist system
None of the above

Capitalist systems offer only two sources of income—owning the means of production and
Selling one's labor—workers

Question # 2 of 15 (Start time: 09:17:26 PM) Total Marks: 1

Equality of income and equality of opportunity is refers to:

Select correct option:

Equality
Political equality
Economic equality
Human equality

Question # 3 of 15 (Start time: 09:17:59 PM) Total Marks: 1

Through utilitarianism offers a clear-cut method of calculating morality. What is the
number of problems identified with this method?

Select correct option:

5
4
3
2

Question # 4 of 15 (Start time: 09:19:21 PM) Total Marks: 1

Who presented the theory of absolute advantage?

Select correct option:

Adam Smith
Friedrich A. Hike
Murray Roth bard
Eric Mack

Question # 5 of 15 (Start time: 09:20:14 PM) Total Marks: 1

Which of the following are components of free market systems?

Select correct option:

Private property system
Voluntary exchange system

Both a & b

None of the above

Free market systems have two main components: a private property system and a voluntary exchange system. Pure free market systems would have absolutely no constraints on what one can own and what one can do with it

Question # 6 of 15 (Start time: 09:21:08 PM) Total Marks: 1

What are the levels on which ethical decision making occurs?

Select correct option:

Individual
Organizational
Business system
All of the given

Question # 7 of 15 (Start time: 09:21:55 PM) Total Marks: 1

Which one of the following is not an essential component of moral reasoning?

Select correct option:

Understanding of reasonable requirement of moral standard
Evidence or information regarding these moral standards
Both a & b
None of the given options

Question # 8 of 15 (Start time: 09:22:44 PM) Total Marks: 1

How many sources of income Capitalist systems offer?

Select correct option:

4
3
2
5

Question # 9 of 15 (Start time: 09:23:40 PM) Total Marks: 1

Which of the following refers to the ability of a person or a country to produce a particular good at a lower opportunity cost than another country?

Select correct option:

Absolute advantage

Comparative advantage

Resource efficiency

Natural advantage

Question # 10 of 15 (Start time: 09:25:03 PM) Total Marks: 1

Which one of the following is not a basic type of moral standards?

Select correct option:

Utilitarianism

Rights

Justice

Relevant

Question # 11 of 15 (Start time: 09:25:54 PM) Total Marks: 1

Which philosopher defended the idea that we should always treat humanity as an end in itself rather than a means?

Select correct option:

Kant

Mill

Bentham

Rawls

Question # 12 of 15 (Start time: 09:26:14 PM) Total Marks: 1

Which one of the following is NOT a trait of character that makes an individual a morally good human being?

Select correct option:

Courage

Temperance

Hope

Justice

Question # 13 of 15 (Start time: 09:27:39 PM) Total Marks: 1

The limited rights and correlative duties that arise when one person enters an agreement with another person is the definition of:

Select correct option:

Contract

Justice

Special obligations

Legal rights

Question # 14 of 15 (Start time: 09:28:37 PM) Total Marks: 1

Which one is the justice concern of blaming or punishing persons for doing wrong?

Select correct option:

Distributive justice

Redistributive justice

Compensatory justice

None of the given

Question # 15 of 15 (Start time: 09:29:34 PM) Total Marks: 1

Which of the following is the combining of two or more independent bodies into a single body?

Select correct option:

Joint venture

Merger

Management contract

Licensing

Question # 1 of 15 (Start time: 09:39:55 PM) Total Marks: 1

Which one of the following does not come under Interpersonal Concordance Orientation?

Select correct option:

Trust

Opinion

Affection

Loyalty

Question # 2 of 15 (Start time: 09:41:02 PM) Total Marks: 1

Which one is considered as primary economic institution?

Select correct option:

Business Enterprises

Banks

Insurance companies

None of the above

Question # 3 of 15 (Start time: 09:41:52 PM) Total Marks: 1

The idea that moral rightness or wrongness is culture-dependent is an example of

Select correct option:

Moral relativism

Moral absolutism

Categorical imperative

Universality

Question # 4 of 15 (Start time: 09:43:02 PM) Total Marks: 1

What was the number of the patients suffering from river blindness in Africa and Latin America?

Select correct option:

16 million

17 million

17.5 million

18 million

Question # 5 of 15 (Start time: 09:43:55 PM) Total Marks: 1

How many considerations are there when to determine what the moral thing to do on any particular occasion?

Select correct option:

2

4

3

None of the above

Question # 6 of 15 (Start time: 09:44:50 PM) Total Marks: 1

The type with which one looks only at moral rules or actions of a particular type is known as?

Select correct option:

Rule utilitarianism

Utilitarianism

Both a & b

None of the above

Quiz Start Time: 09:39 PM

Time Left 88

sec(s)

Question # 7 of 15 (Start time: 09:46:02 PM) Total Marks: 1

Which market approximates the model of the perfectly competitive free market?

Select correct option:

Agricultural market

Commodity market

Securities market

None of the above

Question # 8 of 15 (Start time: 09:47:33 PM) Total Marks: 1

Which one of the following is not considered [d](#) as part of the three stages of moral development proposed by Carol Gilligan?

Select correct option:

Social Contract Orientation

principled morality

conventional morality

progressing from selfish

Question # 9 of 15 (Start time: 09:48:59 PM) Total Marks: 1

What is the number of characteristics that differentiate between moral and non-moral standards?

Select correct option:

5

4

2

1

Question # 10 of 15 (Start time: 09:50:01 PM) Total Marks: 1

First principle of John Rawls theory is [called](#):

Select correct option:

Difference principle

Principle of equal liberty

Principle of fair equality of opportunity

Original position

Question # 11 of 15 (Start time: 09:51:16 PM) Total Marks: 1

In a command economy, all decisions are taken by the:

Select correct option:

People

Government

Voters

Workers

Question # 12 of 15 (Start time: 09:52:10 PM) Total Marks: 1

The behavior respects the basic rights of the individuals involved and whether the behavior is consistent with one's agreements and special duties is referred as?

Select correct option:

Standards of justice

Standards of caring

Standards that specify how individuals must be treated

None of the above

Question # 13 of 15 (Start time: 09:53:20 PM) Total Marks: 1

Greater economic freedom ranking countries enjoy the following except?

Select correct option:

Highest standards of living

Greatest degree of political freedom

Both a & b

None of the above

Over time, more and more countries have moved toward greater economic freedom.

Countries ranking highest on this index tend to enjoy both the highest standards of living

Question # 14 of 15 (Start time: 09:54:51 PM) Total Marks: 1

Which one of the following is not an essential component of moral reasoning?

Select correct option:

Understanding of reasonable requirement of moral standard

Evidence or information regarding these moral standards

Both a & b

None of the given options

Question # 15 of 15 (Start time: 09:55:24 PM) Total Marks: 1

Which one of the following study aims to discover “what should be”?

Select correct option:

Moral Study

Descriptive Study

Normative Study

Study of Ethics

MGT610 Business Ethics - Solved MCQs from Quiz

Circumstances that leave a person uncertain but not altogether unsure about what he or she is doing is a feature of

- (a) Excusing Conditions
- (b) Moral reasoning
- [\(c\) Mitigating factors](#)
- (d) Ignorance

What type of resource depletion is marked by increasing rates of usage and sudden, complete depletion within a short period of time?

- (a) Depletion of fossil fuels
- [\(b\) Exponential Depletion](#)
- (c) Peaked depletion
- (d) Species depletion

Which of the following is not considered as part of the three stages of moral development proposed by Carol Gilligan?

- [\(a\) Social Contract Orientation](#)
- (b) Principled morality
- (c) conventional morality
- (d) progressing from selfish

[She outlines three stages of moral development progressing from selfish, to social or conventional morality, and finally to post conventional or principled morality. Women must learn to tend to their own interests and to the interests of others. She thinks that women hesitate to judge because they see the complexities of relationships.](#)

Which of the following is the type of moral standards?

- Utilitarianism
- Rights
- Justice
- [All of the above](#)

The point of this example is to show how a real moral debate in business works. The arguments on both sides appealed to moral considerations and four basic types of moral standards: utilitarianism, rights, justice, and caring.

Question # 1 of 15 (Start time: 09:39:55 PM) Total Marks: 1

Which one of the following does not come under Interpersonal Concordance Orientation?

Select correct option:

Trust

Opinion

Affection

Loyalty

Question # 2 of 15 (Start time: 09:41:02 PM) Total Marks: 1

Which one is considered as primary economic institution?

Select correct option:

Business Enterprises

Banks

Insurance companies

None of the above

Question # 3 of 15 (Start time: 09:41:52 PM) Total Marks: 1

The idea that moral rightness or wrongness is culture-dependent is an example of

Select correct option:

Moral relativism

Moral absolutism

Categorical imperative

Universality

Question # 4 of 15 (Start time: 09:43:02 PM) Total Marks: 1

What was the number of the patients suffering from river blindness in Africa and Latin America?

Select correct option:

16 million

17 million

17.5 million

18 million

Question # 5 of 15 (Start time: 09:43:55 PM) Total Marks: 1

How many considerations are there when to determine what the moral thing to do on any particular occasion?

Select correct option:

2

4

3

None of the above

Question # 6 of 15 (Start time: 09:44:50 PM) Total Marks: 1

The type with which one looks only at moral rules or actions of a particular type is known as?

Select correct option:

Rule utilitarianism

Utilitarianism

Both a & b

None of the above

Quiz Start Time: 09:39 PM

Time Left 88

sec(s)

Question # 7 of 15 (Start time: 09:46:02 PM) Total Marks: 1

Which market approximates the model of the perfectly competitive free market?

Select correct option:

Agricultural market

Commodity market

Securities market

None of the above

Question # 8 of 15 (Start time: 09:47:33 PM) Total Marks: 1

Which one of the following is not considered [d](#) as part of the three stages of moral development proposed by Carol Gilligan?

Select correct option:

Social Contract Orientation

principled morality

conventional morality

progressing from selfish

Question # 9 of 15 (Start time: 09:48:59 PM) Total Marks: 1

What is the number of characteristics that differentiate between moral and non-moral standards?

Select correct option:

5

4

2

1

Question # 10 of 15 (Start time: 09:50:01 PM) Total Marks: 1

First principle of John Rawls theory is [called](#):

Select correct option:

Difference principle

Principle of equal liberty

Principle of fair equality of opportunity

Original position

Question # 11 of 15 (Start time: 09:51:16 PM) Total Marks: 1

In a command economy, all decisions are taken by the:

Select correct option:

People

Government

Voters

Workers

Question # 12 of 15 (Start time: 09:52:10 PM) Total Marks: 1

The behavior respects the basic rights of the individuals involved and whether the behavior is consistent with one's agreements and special duties is referred as?

Select correct option:

Standards of justice

Standards of caring

Standards that specify how individuals must be treated

None of the above

Question # 13 of 15 (Start time: 09:53:20 PM) Total Marks: 1

Greater economic freedom ranking countries enjoy the following except?

Select correct option:

Highest standards of living

Greatest degree of political freedom

Both a & b

None of the above

Over time, more and more countries have moved toward greater economic freedom.

Countries ranking highest on this index tend to enjoy both the highest standards of living

Question # 14 of 15 (Start time: 09:54:51 PM) Total Marks: 1

Which one of the following is not an essential component of moral reasoning?

Select correct option:

Understanding of reasonable requirement of moral standard

Evidence or information regarding these moral standards

Both a & b

None of the given options

Question # 15 of 15 (Start time: 09:55:24 PM) Total Marks: 1

Which one of the following study aims to discover “what should be”?

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Moral Study

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Study of Ethics

Question # 1 of 15 (Start time: 09:16:17 PM) Total Marks: 1

Which theory includes means of production and selling one's labor?

Select correct option:

Capitalist systems

Free economy system

Socialist system

None of the above

capitalist systems offer only two sources of income—owning the means of production and selling one's labor—workers

Question # 2 of 15 (Start time: 09:17:26 PM) Total Marks: 1

Equality of income and equality of opportunity is refers to:

Select correct option:

Equality

Political equality

Economic equality

Human equality

Question # 3 of 15 (Start time: 09:17:59 PM) Total Marks: 1

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Question # 4 of 15 (Start time: 09:19:21 PM) Total Marks: 1

Who presented the theory of absolute advantage?

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What are the levels on which ethical decision making occurs?

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All of the given

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How many sources of income Capitalist systems offer?

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Which of the following refers to the ability of a person or a country to produce a particular good at a lower opportunity cost than another country?

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Comparative advantage

Resource efficiency

Natural advantage

Question # 10 of 15 (Start time: 09:25:03 PM) Total Marks: 1

Which one of the following is not a basic type of moral standards?

Select correct option:

Utilitarianism

Rights

Justice

Relevant

Question # 11 of 15 (Start time: 09:25:54 PM) Total Marks: 1

Which philosopher defended the idea that we should always treat humanity as an end in itself rather than a means?

Select correct option:

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Mill

Bentham

Rawls

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Which one of the following is NOT a trait of character that makes an individual a morally good human being?

Select correct option:

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Temperance

Hope

Justice

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The limited rights and correlative duties that arise when one person enters an agreement with another person is the definition of:

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Contract

Justice

Special obligations

Legal rights

Question # 14 of 15 (Start time: 09:28:37 PM) Total Marks: 1

Which one is the justice concern of blaming or punishing persons for doing wrong?

Select correct option:

Distributive justice

Redistributive justice

Compensatory justice

None of the given

Question # 15 of 15 (Start time: 09:29:34 PM) Total Marks: 1

Which of the following is the combining of two or more independent bodies into a single body?

Select correct option:

Joint venture

Merger

Management contract

Licensing

Question No: 49 (Marks: 10)

Internet privacy forms a subset of computer privacy. Experts in the field of Internet privacy have a consensus that Internet privacy does not really exist. Privacy advocates believe that it should exist. Do you agree with this statement or not ? Explain your arguments with the help of example.

Question # 1 of 15 (Start time: 08:56:08 PM) Total Marks: 1

Which markets embody sense of justice?

Select correct option:

Mixed markets

Liberal markets

Free markets

None of the above

Which theory claims that people would be lazy without private property?

Select correct option:

Capitalism

Socialism

Utilitarianism

None of the above

Question # 4 of 15 (Start time: 08:59:27 PM) Total Marks: 1

The most influential economic institutions are designed to achieve?

Select correct option:

Production of the goods

Distribution of the goods

Both a & b

None of the above

Question # 5 of 15 (Start time: 09:00:22 PM) Total Marks: 1

According to Aristotle's view, how do we learn virtue?

Select correct option:

By habit

By dialectical argument

By rational instruction

By learning from our mistakes

Question # 6 of 15 (Start time: 09:01:07 PM) Total Marks: 1

Which philosopher defended the idea that we should always treat humanity as an end in itself rather than a means?

Select correct option:

Kant

Mill

Bentham

Rawls

Question # 7 of 15 (Start time: 09:02:22 PM) Total Marks: 1

The concept that there are no relevant differences among people that can justify unequal treatment is known as?

Select correct option:

Egalitarianism

Utilitarianism

Socialism

None of the above

Question # 8 of 15 (Start time: 09:03:44 PM) Total Marks: 1

Commodities that are considered valuable only because they lead to other good things are called:

Select correct option:

Instrumental goods

Instrumental values

Intrinsic goods

Intrinsic values

Question # 9 of 15 (Start time: 09:05:10 PM) Total Marks: 1

Socialist view on distribution is best described as:

Select correct option:

From each according to his ability, to each according to his needs

The benefits a person receives should be proportional to his contribution

From each they choose, to each as they are chosen

Always treat humanity as an end in itself rather than as a means

Question # 10 of 15 (Start time: 09:06:06 PM) Total Marks: 1

Factual evidence has the following properties except?

Select correct option:

Time bound

Accurate

Relevant

Complete

Question # 11 of 15 (Start time: 09:06:55 PM) Total Marks: 1

In which country Locke's property rights have been influential?

Select correct option:

England

Germany

America

Greek

Question # 12 of 15 (Start time: 09:07:27 PM) Total Marks: 1

Which of the following are the criteria for determining moral right and wrong?

Select correct option:

Universalizability

Reversibility

Both a & b

None of the above

Question # 13 of 15 (Start time: 09:08:06 PM) Total Marks: 1

Utilitarianism is unable to deal with following kind of moral issues?

Select correct option:

Rights

Justice

Both a & b

None of the above

Question # 14 of 15 (Start time: 09:08:50 PM) Total Marks: 1

What are the levels on which ethical decision making occurs?

Select correct option:

Individual

Organizational

Business system

All of the given

Question # 15 of 15 (Start time: 09:09:28 PM) Total Marks: 1

Privacy is an example of?

Select correct option:

Positive right

Basic need

Negative right

None of the above

Question # 1 of 15 (Start time: 08:56:08 PM) Total Marks: 1

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Which of the following is the combining of two or more independent bodies into a single body?

Select correct option:

Joint venture

Merger

Management contract

Licensing

Question # 1 of 15 (Start time: 09:39:55 PM) Total Marks: 1

Which one of the following does not come under Interpersonal Concordance Orientation?

Select correct option:

Trust

Opinion

Affection

Loyalty

Question # 2 of 15 (Start time: 09:41:02 PM) Total Marks: 1

Which one is considered as primary economic institution?

Select correct option:

Business Enterprises

Banks

Insurance companies

None of the above

Question # 3 of 15 (Start time: 09:41:52 PM) Total Marks: 1

The idea that moral rightness or wrongness is culture-dependent is an example of

Select correct option:

Moral relativism

Moral absolutism

Categorical imperative

Universality

Question # 4 of 15 (Start time: 09:43:02 PM) Total Marks: 1

What was the number of the patients suffering from river blindness in Africa and Latin America?

Select correct option:

16 million

17 million

17.5 million

18 million

Question # 5 of 15 (Start time: 09:43:55 PM) Total Marks: 1

How many considerations are there when to determine what the moral thing to do on any particular occasion?

Select correct option:

2

4

3

None of the above

Question # 6 of 15 (Start time: 09:44:50 PM) Total Marks: 1

The type with which one looks only at moral rules or actions of a particular type is known as?

Select correct option:

Rule utilitarianism

Utilitarianism

Both a & b

None of the above

Quiz Start Time: 09:39 PM

Time Left 88

sec(s)

Question # 7 of 15 (Start time: 09:46:02 PM) Total Marks: 1

Which market approximates the model of the perfectly competitive free market?

Select correct option:

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Commodity market

Securities market

None of the above

Question # 8 of 15 (Start time: 09:47:33 PM) Total Marks: 1

Which one of the following is not considered [d](#) as part of the three stages of moral development proposed by Carol Gilligan?

Select correct option:

Social Contract Orientation

principled morality

conventional morality

progressing from selfish

Question # 9 of 15 (Start time: 09:48:59 PM) Total Marks: 1

What is the number of characteristics that differentiate between moral and non-moral standards?

Select correct option:

5

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First principle of John Rawls theory is called:

Select correct option:

Difference principle

Principle of equal liberty

Principle of fair equality of opportunity

Original position

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Standards of caring

Standards that specify how individuals must be treated

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Greater economic freedom ranking countries enjoy the following except?

Select correct option:

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Greatest degree of political freedom

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Over time, more and more countries have moved toward greater economic freedom.

Countries ranking highest on this index tend to enjoy both the highest standards of living

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Question # 15 of 15 (Start time: 09:55:24 PM) Total Marks: 1

Which one of the following study aims to discover “what should be”?

Select correct option:

Moral Study

Descriptive Study

Normative Study

Study of Ethics

To start a business anything like cash or asset that you have arranged by personal pool fund is called

[equity](#)

Loan

liability

expense

Which of the following features cannot be evaluated by cash flow statement?

(a) Company's ability to generate positive cash flows

(b) Company's ability to pay dividends

(c) Company's amount required for depreciation

[\(d\) Company's need for external financing](#)

Circumstances that leave a person uncertain but not altogether unsure about what he or she is doing is a feature of

(a) Excusing Conditions

(b) Moral reasoning

[\(c\) Mitigating factors](#)

(d) Ignorance

What type of resource depletion is marked by increasing rates of usage and sudden, complete depletion within a short period of time?

(a) Depletion of fossil fuels

[\(b\) Exponential Depletion](#)

(c) Peaked depletion

(d) Species depletion

Which of the following is not considered as part of the three stages of moral development proposed by Carol Gilligan?

[\(a\) Social Contract Orientation](#)

(b) Principled morality

(c) conventional morality

(d) progressing from selfish

[She outlines three stages of moral development progressing from selfish, to social or conventional morality, and finally to post conventional or principled morality. Women must learn to tend to their own interests and to the interests of others. She thinks that women hesitate to judge because they see the complexities of relationships.](#)

Which of the following is the type of moral standards?

Utilitarianism

Rights

Justice

[All of the above](#)

The point of this example is to show how a real moral debate in business works. The arguments on both sides appealed to moral considerations and four basic types of moral standards:

utilitarianism, rights, justice, and caring.

Question # 1 of 15 (Start time: 09:39:55 PM) Total Marks: 1

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Select correct option:

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None of the above

Question # 2 of 15 (Start time: 08:56:53 PM) Total Marks: 1

Which of the following choices does NOT describe a situation that is covered by the concept of rights?

Select correct option:

The absence of prohibitions against an activity
The authorization to do something to secure one's interests
The necessity of doing something required by authority
The existence of prohibitions on others to enable individuals to pursue an activity

Question # 3 of 15 (Start time: 08:58:22 PM) Total Marks: 1

Which theory claims that people would be lazy without private property?

Select correct option:

Capitalism

Socialism

Utilitarianism

None of the above

Question # 4 of 15 (Start time: 08:59:27 PM) Total Marks: 1

The most influential economic institutions are designed to achieve?

Select correct option:

Production of the goods

Distribution of the goods

Both a & b

None of the above

Question # 5 of 15 (Start time: 09:00:22 PM) Total Marks: 1

According to Aristotle's view, how do we learn virtue?

Select correct option:

By habit

By dialectical argument

By rational instruction

By learning from our mistakes

Question # 6 of 15 (Start time: 09:01:07 PM) Total Marks: 1

Which philosopher defended the idea that we should always treat humanity as an end in itself rather than a means?

Select correct option:

Kant

Mill

Bentham

Rawls

Question # 7 of 15 (Start time: 09:02:22 PM) Total Marks: 1

The concept that there are no relevant differences among people that can justify unequal treatment is known as?

Select correct option:

Egalitarianism

Utilitarianism

Socialism

None of the above

Question # 8 of 15 (Start time: 09:03:44 PM) Total Marks: 1

Commodities that are considered valuable only because they lead to other good things are called:

Select correct option:

- Instrumental goods
- Instrumental values
- Intrinsic goods
- Intrinsic values**

Question # 9 of 15 (Start time: 09:05:10 PM) Total Marks: 1

Socialist view on distribution is best described as:

Select correct option:

From each according to his ability, to each according to his needs

The benefits a person receives should be proportional to his contribution

From each they choose, to each as they are chosen

Always treat humanity as an end in itself rather than as a means

Question # 10 of 15 (Start time: 09:06:06 PM) Total Marks: 1

Factual evidence has the following properties except?

Select correct option:

Time bound

Accurate

Relevant

Complete

Question # 11 of 15 (Start time: 09:06:55 PM) Total Marks: 1

In which country Locke's property rights have been influential?

Select correct option:

England

Germany

America

Greek

Question # 12 of 15 (Start time: 09:07:27 PM) Total Marks: 1

Which of the following are the criteria for determining moral right and wrong?

Select correct option:

Universalizability

Reversibility

Both a & b

None of the above

Question # 13 of 15 (Start time: 09:08:06 PM) Total Marks: 1
Utilitarianism is unable to deal with following kind of moral issues?
Select correct option:
Rights
Justice
Both a & b
None of the above

Question # 14 of 15 (Start time: 09:08:50 PM) Total Marks: 1
What are the levels on which ethical decision making occurs?
Select correct option:

Individual
Organizational
Business system
All of the given

Question # 15 of 15 (Start time: 09:09:28 PM) Total Marks: 1
Privacy is an example of?
Select correct option:

Positive right
Basic need
Negative right
None of the above

Question # 1 of 15 (Start time: 08:56:08 PM) Total Marks: 1
Which markets embody sense of justice?
Select correct option:

Mixed markets
Liberal markets
Free markets
None of the above

Question # 3 of 15 (Start time: 08:58:22 PM) Total Marks: 1
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Select correct option:

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Socialism
Utilitarianism
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Privacy is an example of?

Select correct option:

Positive right

Basic need

Negative right

None of the above

Question # 1 of 15 (Start time: 09:16:17 PM) Total Marks: 1

Which theory includes means of production and selling one's labor?

Select correct option:

Capitalist systems

Free economy system

Socialist system

None of the above

capitalist systems offer only two sources of income—owning the means of production and selling one's labor—workers

Question # 2 of 15 (Start time: 09:17:26 PM) Total Marks: 1

Equality of income and equality of opportunity is refers to:

Select correct option:

Equality

Political equality

Economic equality

Human equality

Question # 3 of 15 (Start time: 09:17:59 PM) Total Marks: 1

Through utilitarianism offers a clear-cut method of calculating morality. What is the number of problems identified with this method?

Select correct option:

5
4
3
2

Question # 4 of 15 (Start time: 09:19:21 PM) Total Marks: 1

Who presented the theory of absolute advantage?

Select correct option:

Adam Smith

Friedrich A. Hike

Murray Roth bard

Eric Mack

Question # 5 of 15 (Start time: 09:20:14 PM) Total Marks: 1

Which of the following are components of free market systems?

Select correct option:

Private property system

Voluntary exchange system

Both a & b

None of the above

Free market systems have two main components: a private property system and a voluntary exchange system. Pure free market systems would have absolutely no constraints on what one can own and what one can do with it

Question # 6 of 15 (Start time: 09:21:08 PM) Total Marks: 1

What are the levels on which ethical decision making occurs?

Select correct option:

Individual

Organizational

Business system

All of the given

Question # 7 of 15 (Start time: 09:21:55 PM) Total Marks: 1

Which one of the following is not an essential component of moral reasoning?

Select correct option:

Understanding of reasonable requirement of moral standard

Evidence or information regarding these moral standards

Both a & b

None of the given options

Question # 8 of 15 (Start time: 09:22:44 PM) Total Marks: 1

How many sources of income Capitalist systems offer?

Select correct option:

4
3
2
5

Question # 9 of 15 (Start time: 09:23:40 PM) Total Marks: 1

Which of the following refers to the ability of a person or a country to produce a particular good at a lower opportunity cost than another country?

Select correct option:

Absolute advantage

Comparative advantage

Resource efficiency

Natural advantage

Question # 10 of 15 (Start time: 09:25:03 PM) Total Marks: 1

Which one of the following is not a basic type of moral standards?

Select correct option:

Utilitarianism

Rights

Justice

Relevant

Question # 11 of 15 (Start time: 09:25:54 PM) Total Marks: 1

Which philosopher defended the idea that we should always treat humanity as an end in itself rather than a means?

Select correct option:

Kant

Mill

Bentham

Rawls

Question # 12 of 15 (Start time: 09:26:14 PM) Total Marks: 1

Which one of the following is NOT a trait of character that makes an individual a morally good human being?

Select correct option:

Courage

Temperance

Hope

Justice

Question # 13 of 15 (Start time: 09:27:39 PM) Total Marks: 1

The limited rights and correlative duties that arise when one person enters an agreement with another person is the definition of:

Select correct option:

Contract

Justice

Special obligations

Legal rights

Question # 14 of 15 (Start time: 09:28:37 PM) Total Marks: 1

Which one is the justice concern of blaming or punishing persons for doing wrong?

Select correct option:

Distributive justice

Redistributive justice

Compensatory justice

None of the given

Question # 15 of 15 (Start time: 09:29:34 PM) Total Marks: 1

Which of the following is the combining of two or more independent bodies into a single body?

Select correct option:

Joint venture

Merger

Management contract

Licensing

Question # 1 of 15 (Start time: 09:39:55 PM) Total Marks: 1

Which one of the following does not come under Interpersonal Concordance Orientation?

Select correct option:

Trust

Opinion

Affection

Loyalty

Question # 2 of 15 (Start time: 09:41:02 PM) Total Marks: 1

Which one is considered as primary economic institution?

Select correct option:

Business Enterprises

Banks

Insurance companies

None of the above

Question # 3 of 15 (Start time: 09:41:52 PM) Total Marks: 1

The idea that moral rightness or wrongness is culture-dependent is an example of

Select correct option:

Moral relativism

Moral absolutism

Categorical imperative

Universality

Question # 4 of 15 (Start time: 09:43:02 PM) Total Marks: 1

What was the number of the patients suffering from river blindness in Africa and Latin America?

Select correct option:

16 million

17 million

17.5 million

18 million

Question # 5 of 15 (Start time: 09:43:55 PM) Total Marks: 1

How many considerations are there when to determine what the moral thing to do on any particular occasion?

Select correct option:

2

4

3

None of the above

Question # 6 of 15 (Start time: 09:44:50 PM) Total Marks: 1

The type with which one looks only at moral rules or actions of a particular type is known as?

Select correct option:

Rule utilitarianism

Utilitarianism

Both a & b

None of the above

Quiz Start Time: 09:39 PM

Time Left 88

sec(s)

Question # 7 of 15 (Start time: 09:46:02 PM) Total Marks: 1

Which market approximates the model of the perfectly competitive free market?

Select correct option:

Agricultural market

Commodity market

Securities market

None of the above

Question # 8 of 15 (Start time: 09:47:33 PM) Total Marks: 1

Which one of the following is not considered [d](#) as part of the three stages of moral development proposed by Carol Gilligan?

Select correct option:

Social Contract Orientation

principled morality

conventional morality

progressing from selfish

Question # 9 of 15 (Start time: 09:48:59 PM) Total Marks: 1

What is the number of characteristics that differentiate between moral and non-moral standards?

Select correct option:

5

4

2

1

Question # 10 of 15 (Start time: 09:50:01 PM) Total Marks: 1

First principle of John Rawls theory is [c](#)alled:

Select correct option:

Difference principle

Principle of equal liberty

Principle of fair equality of opportunity

Original position

Question # 11 of 15 (Start time: 09:51:16 PM) Total Marks: 1

In a command economy, all decisions are taken by the:

Select correct option:

People

Government

Voters

Workers

Question # 12 of 15 (Start time: 09:52:10 PM) Total Marks: 1

The behavior respects the basic rights of the individuals involved and whether the behavior is consistent with one's agreements and special duties is referred as?

Select correct option:

Standards of justice

Standards of caring

Standards that specify how individuals must be treated

None of the above

Question # 13 of 15 (Start time: 09:53:20 PM) Total Marks: 1

Greater economic freedom ranking countries enjoy the following except?

Select correct option:

Highest standards of living

Greatest degree of political freedom

Both a & b

None of the above

Over time, more and more countries have moved toward greater economic freedom.

Countries ranking highest on this index tend to enjoy both the highest standards of living

Question # 14 of 15 (Start time: 09:54:51 PM) Total Marks: 1

Which one of the following is not an essential component of moral reasoning?

Select correct option:

Understanding of reasonable requirement of moral standard

Evidence or information regarding these moral standards

Both a & b

None of the given options

Question # 15 of 15 (Start time: 09:55:24 PM) Total Marks: 1

Which one of the following study aims to discover “what should be”?

Select correct option:

Moral Study

Descriptive Study

Normative Study

Study of Ethics

Which one of the country has more collectiv^livist culture?

USA

Japan

Pakistan

None of the above

Socialist view on distribution is best described as:

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Always treat humanity as an end in itself rather than as a means

What is the number of characteristics that differentiate between moral and non-moral standards?

5

4

2
1

Which one of the following is not considered as category of issues involving justice?

- Distributive justice
- Retributive justice
- Compulsory justice**
- Compensatory justice

Which one is the justice concern of blaming or punishing persons for doing wrong?

- Distributive justice
- Redistributive justice**
- Compensatory justice
- None of the given

Equality of income and equality of opportunity is refers to:

- Equality
- Political equality
- Economic equality**
- Human equality

Which one of the following is not a basic type of moral standards?

- Utilitarianism
- Rights
- Justice
- Relevant**

Which one of the following is a component of free market systems?

- Private property system**
- Involuntary exchange system
- Command system
- None of the given

Which philosopher of utilitarianism presents the cost-benefit analysis?

- Aristotle
- Mill
- Kant
- Bentham**

Which principle of John Rawls assumes that a productive society will incorporate inequalities?

- Principle 1
- Principle 2**
- Part a of principle 2
- Part b of principle 2

MGT610 business ethics

Right action comes to be defined in terms of moral principles chosen because of their logical comprehensiveness, universality, and consistency is known as?

Select correct option:

Interpersonal Concordance Orientation

Universal Ethical Principles Orientation

Social Contract Orientation

Law and Order Orientation

Which one is considered as primary economic institution?

Select correct option:

Business Enterprises

Banks

Insurance companies

None of the above

Kohlberg's research indicates that pre-conventional reasoning is dominant in:

Select correct option:

Elementary school

Adulthood (not sure)

Adolescence

Old age

In how many ways efficiency comes about in perfectly competitive free markets?

Select correct option:

Two ways

Three ways

Four ways

None of the above

Which of the following deals with the distribution of benefits and burdens, mostly in the evaluation of social, political, and economic institutions?

Select correct option:

Retributive justice

Compensatory justice

Distributive justice

Ethical justice

Which one of the following is not a basic type of moral standards?

Select correct option:

Utilitarianism

Rights

Justice

Relevant

Which statement reflects the "punishment and obedience orientation" stage (stage one) of

moral development?

Select correct option:

I don't steal because my friends don't steal

I don't steal because I don't want to be spank

I don't steal because it would harm society as a whole

I don't steal because it wouldn't be fair to everyone else if I did

Who presented the theory of absolute advantage?

Select correct option:

Adam Smith

Friedrich A. Hike

Murray Roth bard

Eric Mack

Q.1 Why have consumers/customers been so hyper-aware and so nervous?

a. Much more information is collected and seemingly available to more people at much faster rate.

b. Much more information is collected and seemingly not available to more people at much faster rate.

c. Much more information is not collected and seemingly available to more people at much faster rate.

d. Much more information is not collected and seemingly not available to more people at much faster rate.

Q.2 _____ organization try to segment their customers based on what product the customer purchased.

a. Production-centered

b. Product-centered

c. Customer-centered

d. Consumer-centered

Q.3 The organizations make their special offer to the customers who will provide the highest profit margins, greatest response rate and _____.

a. Lowest revenue

b. Greatest cost

c. Lowest cost

d. None of the given options

Q.4 If Mr. A buys 1,000 items from a super store with a profit margin of only Rs. 1 for each item and Mr. B buys only 500 items from the same super store but the profit was Rs. 5 for each item, which customer is the most valuable?

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b. Mr. B

c. Both Mr. A & Mr. B

d. None of the above

Q.5 If two customers choose exactly the same package of certain service, but customer A calls for help weekly and customer B calls only twice a year, which is most valuable customer?

- a. Both A & B customer
- b. Customer A
- c. Customer B**
- d. None of the above

Q.6 The customers who are not so-well-educated are called _____.

- a. Loyal customer
- b. Soft customer
- c. None educated customer
- d. Difficult customer**

Q.7 All sensory impressions (Learning, seeing, smelling, feeling and tasting) are telegraphed to our mind at the rate of approximately _____ per day.

- a. 100, 0000 impressions
- b. 10,000 impressions
- c. 100,000 impressions**
- d. 110,000 impressions

Q.8 _____ is a tangible company asset that can (and should) be inventoried and managed.

- a. Geographical information
- b. Customer information**
- c. Product information
- d. All of the given options

Q.9 Both _____ depend on electronic information that has been collected about customers, in place of human knowledge, to build and manage relationships.

- a. CRM and e-CRM**
- b. Customer and consumer
- c. Product and service
- d. Service and idea

Q.10 _____ is the symptom of poor listening.

- a. Listening Germinates Receptivity
- b. Use correct level of language
- c. Resist distractions
- d. Eradicating details**

Q.1 Which **ONE** of the following is not the requirement for managing customer?

- a. Need and want of customers
- b. Measurement of most or least profitability of customer or product
- c. Measurement of least growth potential of product or customer**

d. Knowing which customers will be advocates and supporters

Q.2 CRM as a discipline that depends on people, process, information and

a. Technology

b. Innovation

c. Discovery

d. All of the given options

Q.3 According to AOL Cyber study conducted in early in 2000, the increase from _____ per cent of the internet community purchasing something online in 1998 to _____ per cent of the same group purchasing semi-regularly online in 1999.

a. 7, 32

b. 13, 42

c. 3, 42

d. 3, 32

Q.4 A _____ is a software application that enables a user to display and interact with text, images, and other information for customers/consumers located on a web page at a website on the World Wide Web or a local area network.

a. Web browser

b. HTML

c. HTTP

d. None of the given options

Q.5 Which one of the following is **NOT** a part of sales applications?

a. Compensation

b. Opportunity and Pipeline Management

c. Proposal Generation and Management

d. Budgeting and forecasting

Q.6 MRP is stand for _____

a. Materials resource pricing

b. Material resource planning

c. Material resource placing

d. None of the given options

Q.7 Acquiring the Right Customers, based on known characteristics, which drives growth and increased profit margin, is a benefit of _____

a. CRM Process

b. eCRM

c. CRM

d. eCRM process

Q.8 Correlate, combine, cognize and _____ are the four C's of CRM Process

a. Connect

- b. Customer
- c. Consumer
- d. None of the given options

Q.9 Quicker attention and resolution of complaints lead to _____

- a. High profits
- b. Low cost
- c. Favorable word of mouth
- d. Stronger customer relationship**

Q.10 Organization's win-back programs should be _____.

- a. Policy base
- b. Reward base**
- c. Profit base
- d. Sales base

Q. 1 Customer relationship management does not move around which of the following?

- (a) Customer retention
- (b) Policies development**
- (c) Retain customers
- (d) Customer satisfaction

Q.2 Which of the following is NOT the general purpose of CRM?

- (a) Purpose of CRM is better managing customers through the introduction of reliable systems and methods.
- (b) Purpose of CRM is to enable organizations to service their existing customers more emphatically and more forcefully.
- (c) Purpose of CRM is not developing processes and procedures for interacting new customers.**
- (d) All of above given options

Q.3 Service Deficiency is known as:

- (a) Product defects
- (b) Inefficient service standards
- (c) Incorrect service provision
- (d) Identified in-sufficiency of service**

Q.4 The process of performing activities that increase the value of goods or services to consumers is known as:

- (a) Value development
- (b) Value creation**
- (c) Value chain
- (d) Value addition

Q.5 Incentive schemes, additional services and sentiments based scheme are called:

- (a) Concentration on the paying ability of customers
- (b) Building switching barriers**
- (c) Relationship based pricing schemes
- (d) Differentiation in price and quality standards

Q.6 Life style is an important variables of which of the following market segmentation?

- (a) Time segmentation
- (b) Geographic segmentation
- (c) Psychographics segmentation**
- (d) Demographic segmentation

Q.7 Customer service facilitation includes EXCEPT:

- (a) Divert attention of customer**
- (b) Resolve problem
- (c) Improve efficiency
- (d) Provide full information

Q.8 Traditionally, stores have carried inventory to:

- (a) Terminate production economies
- (b) Eliminate forecasting uncertainty
- (c) Provide better service for customers**
- (d) Prevent strikes or product shortages

Q.9 Supporting customers through the process of selecting, purchasing, and maintaining a product or service is known as:

- (a) Customer loyalty
- (b) Customer satisfaction
- (c) Customer services**
- (d) Customer retention

Q.10 Geographical Concentration Means:

- (a) Group of customers
- (b) Specific geographical area**
- (c) Thick city markets
- (d) Terrain of the so

Question # 1 of 10

Which of the following is an element of an organization's internal-environment?

Select correct option:

Wholesalers

Retailers

Employees

Competitors

Question # 2 of 10

Which of the following refers to Companies often failure to predict changes, either slow or long range to at least calculate their impact on their product and customers?

Select correct option:

Failure to obtain Senior Management Commitment

Poor Communications

Failure to Coordinate

Inability to Predict Environmental Reaction

A _____ is an organized collection of comprehensive information about individual customers or prospects. Select correct option:

Business database

Customer mailing list

Customer database

Marketing database

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Customer services

All of the following statements are principles of communication, EXCEPT: Select correct option:

Communication is a system

Communication is static

Communication can be intentional or unintentional

Communication is a process

Operational customer relationship management supports which of the following function? Select correct option:

Front Office

Customer campaigns

Effective interaction

Data mining

Question # 10 of 10

which of the following is NOT a dimension of service quality? Select correct option:

Empathy

Assurance

Reliability

Competence

Question # 1 of 10

Customer Service Culture includes all EXCEPT: Select correct option:

Traits

Value
Norms
Behavior

Question # 2 of 10

Promoters are those customers who? Select correct option:

Use product occasionally
Use product when required

Recommend a company to others

Use product continuously

Question # 3 of 10

Companies can gain a strong competitive advantage through having better-trained people. This is known as: Select correct option:

Personnel differentiation
Product differentiation

Personnel training

Human resources parity

Question # 4 of 10

Which of the following is Not part of marketing mix? Select correct option:

Competitors

Pricing
Promotion
Product

Question # 5 of 10

how can complaints provide the firm with great value? Select correct option:

They provide a chance to prove the company is right

They can be a source of information for a company

Resolving those ties up important resources
They offer an opportunity to shed bad customers

Question # 6 of 10

Marketing relationships are: Select correct option:

Intensely personal, like human relationships
Intended to deliver short-term customer satisfaction

Intended to deliver long-term customer satisfaction

The most important element of the marketing mix

Question # 7 of 10

Which of the following is a special human trait that we need to sharpen and use very often in CRM? Select correct option:

None of the given options
Foresee

Forecast

Forecast and foresee

Question # 8 of 10

Horizon cat food mailed a packet of catnip seed to every person who visited its website. Along with the catnip seed was a note that advised consumers to visit <http://www.horizon.com> if they wanted to create a cat-friendly garden. This illustration is the best use of which concept for approaching prospect customer?

Select correct option:

Print advertising

Direct marketing

Personal selling

Public relations

Question # 10 of 10

Which one of these is NOT the major area on which customer relationship management focuses? Select correct option:

Expansion of customer base

Reduction of advertising costs

Gaining new customers, no focus on existing ones

Personal information gathering and processing

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- a. Need and want of customers
- b. Measurement of most or least profitability of customer or product
- c. Measurement of least growth potential of product or customer**
- d. Knowing which customers will be advocates and supporters

Q.2 CRM as a discipline that depends on people, process, information and

a. Technology

- b. Innovation
- c. Discovery
- d. All of the given options

Q.3 According to AOL Cyber study conducted in early in 2000, the increase from _____ per cent of the internet community purchasing something online in 1998 to _____ per cent of the same group purchasing semi-regularly online in 1999.

- a. 7, 32
- b. 13, 42
- c. 3, 42**
- d. 3, 32

Q.4 A _____ is a software application that enables a user to display and interact with text, images, and other information for customers/consumers located on a web page at a website on the World Wide Web or a local area network.

a. Web browser

- b. HTML
- c. HTTP
- d. None of the given options

Q.5 Which one of the following is **NOT** a part of sales applications?

- a. Compensation
- b. Opportunity and Pipeline Management
- c. Proposal Generation and Management
- d. Budgeting and forecasting**

Q.6 MRP is stand for _____

- a. Materials resource pricing
- b. Material resource planning**
- c. Material resource placing
- d. None of the given options

Q.7 Acquiring the Right Customers, based on known characteristics, which drives growth and increased profit margin, is a benefit of _____

a. CRM Process

b. eCRM

c. CRM

d. eCRM process

Q.8 Correlate, combine, cognize and _____ are the four C's of CRM Process

a. Connect

b. Customer

c. Consumer

d. None of the given options

Q.9 Quicker attention and resolution of complaints lead to _____

a. High profits

b. Low cost

c. Favorable word of mouth

d. Stronger customer relationship

Q.10 Organization's win-back programs should be _____.

a. Policy base

b. Reward base

c. Profit base

d. Sales base

Q. 1 Customer relationship management does not move around which of the following?

(a) Customer retention

(b) Policies development

(c) Retain customers

(d) Customer satisfaction

Q.2 Which of the following is NOT the general purpose of CRM?

(a) Purpose of CRM is better managing customers through the introduction of reliable systems and methods.

(b) Purpose of CRM is to enable organizations to service their existing customers more emphatically and more forcefully.

(c) Purpose of CRM is not developing processes and procedures for interacting new customers.

(d) All of above given options

Q.3 Service Deficiency is known as:

(a) Product defects

(b) Inefficient service standards

(c) Incorrect service provision

(d) Identified in-sufficiency of service

Q.4 The process of performing activities that increase the value of goods or services to consumers is known as:

- (a) Value development
- (b) Value creation**
- (c) Value chain
- (d) Value addition

Q.5 Incentive schemes, additional services and sentiments based scheme are called:

- (a) Concentration on the paying ability of customers
- (b) Building switching barriers**
- (c) Relationship based pricing schemes
- (d) Differentiation in price and quality standards

Q.6 Life style is an important variables of which of the following market segmentation?

- (a) Time segmentation
- (b) Geographic segmentation
- (c) Psychographics segmentation**
- (d) Demographic segmentation

Q.7 Customer service facilitation includes EXCEPT:

- (a) Divert attention of customer**
- (b) Resolve problem
- (c) Improve efficiency
- (d) Provide full information

Q.8 Traditionally, stores have carried inventory to:

- (a) Terminate production economies
- (b) Eliminate forecasting uncertainty
- (c) Provide better service for customers**
- (d) Prevent strikes or product shortages

Q.9 Supporting customers through the process of selecting, purchasing, and maintaining a product or service is known as:

- (a) Customer loyalty
- (b) Customer satisfaction
- (c) Customer services**
- (d) Customer retention

Q.10 Geographical Concentration Means:

- (a) Group of customers
- (b) Specific geographical area**
- (c) Thick city markets
- (d) Terrain of the so

Question # 1 of 10

Which of the following is an element of an organization's internal-environment?

Select correct option:

Wholesalers

Retailers

Employees

Competitors

Question # 2 of 10

Which of the following refers to Companies often failure to predict changes, either slow or long range to at least calculate their impact on their product and customers?

Select correct option:

Failure to obtain Senior Management Commitment

Poor Communications

Failure to Coordinate

Inability to Predict Environmental Reaction

A _____ is an organized collection of comprehensive information about individual customers or prospects. Select correct option:

Business database

Customer mailing list

Customer database

Marketing database

Supporting customers through the process of selecting, purchasing, and maintaining a product or service is known as: Select correct option:

Customer loyalty

Customer satisfaction

Customer retention

Customer services

All of the following statements are principles of communication, EXCEPT: Select correct option:

Communication is a system

Communication is static

Communication can be intentional or unintentional

Communication is a process

Operational customer relationship management supports which of the following function? Select correct option:

Front Office

Customer campaigns

Effective interaction

Data mining

Question # 10 of 10

which of the following is NOT a dimension of service quality? Select correct option:

Empathy

Assurance

Reliability

Competence

Question # 1 of 10

Customer Service Culture includes all EXCEPT: Select correct option:

Traits

Value

Norms

Behavior

Question # 2 of 10

Promoters are those customers who? Select correct option:

Use product occasionally

Use product when required

Recommend a company to others

Use product continuously

Question # 3 of 10

Companies can gain a strong competitive advantage through having better-trained people. This is known as: Select correct option:

Personnel differentiation

Product differentiation

Personnel training

Human resources parity

Question # 4 of 10

Which of the following is Not part of marketing mix? Select correct option:

Competitors

Pricing

Promotion

Product

Question # 5 of 10

how can complaints provide the firm with great value? Select correct option:

They provide a chance to prove the company is right

They can be a source of information for a company

Resolving those ties up important resources

They offer an opportunity to shed bad customers

Question # 6 of 10

Marketing relationships are: Select correct option:

Intensely personal, like human relationships

Intended to deliver short-term customer satisfaction

Intended to deliver long-term customer satisfaction

The most important element of the marketing mix

Question # 7 of 10

Which of the following is a special human trait that we need to sharpen and use very often in CRM? Select correct option:

None of the given options

Foresee

Forecast

Forecast and foresee

Question # 8 of 10

Horizon cat food mailed a packet of catnip seed to every person who visited its website. Along with the catnip seed was a note that advised consumers to visit <http://www.horizon.com> if they wanted to create a cat-friendly garden. This illustration is the best use of which concept for approaching prospect customer?

Select correct option:

Print advertising

Direct marketing

Personal selling

Public relations

Question # 10 of 10

Which one of these is NOT the major area on which customer relationship management focuses? Select correct option:

Expansion of customer base

Reduction of advertising costs

Gaining new customers, no focus on existing ones

Personal information gathering and processing

Which one is the world's largest automobile company?

Select correct option:

General Motors page6

Toyota Motors

Honda Motors

None of the above

How many species of plant and animal inhabiting the planet?

Select correct option:

3 Million

2 Million page71

1 Million

None of the above

Which of the following refers to the saving or rationing of natural resources for later use?

Select correct option:

Preservation

Conservation page87

Fossilization

Depletion

Which one of the following justices refers to the just imposition of penalties and punishments?

Select correct option:

Distributive

Retributive page29

Compensatory

Kantian

Which of the following refers to the consumption of finite or scarce resources?

Select correct option:

Resource depletion page66

Ozone depletion

Economic depletion

None of the above

Who presented the theory of absolute advantage?

Select correct option:

Adam Smith page46

Friedrich A. Hike

Murray Roth bard

Eric Mack

Which of the following are components of free market systems?

Select correct option:

Private property system

Voluntary exchange system

Both a & b

None of the above

Question # 1 of 10 (Start time: 10:08:41 PM)

Total Marks: 1

The idea that moral rightness or wrongness is culture-dependent is an example of

Select correct option:

- ☐ Moral relativism
- ☐ Moral absolutism
- ☐ Categorical imperative
- ☐ Universality



Question # 2 of 10 (Start time: 10:10:01 PM) Total Marks: 1

What is the percentage of US companies that had been involved in antitrust suits during the previous five years?

Select correct option:

- ☐ 9%
- ☐ 10%
- ☐ 11%
- ☐ 12%

Question # 3 of 10 (Start time: 10:11:50 PM) Total Marks: 1

Which of the following is TRUE in free market economy?

Select correct option:

- ☐ Prices are controlled by law

- ☐ There will be no advertising
- ☐ There will be no monopolies
- ☐ The government allocates resources
- c

Question # 5 of 10 (Start time: 10:14:18 PM)

Total Marks: 1

A combination of water and air that is poisoned is known as?

Select correct option:

- ☐ Chemical rain
- ☐ Poisonous rain
- ☐ Acid rain
- ☐ None of the above
- c

Question # 6 of 10 (Start time: 10:16:18 PM)

Total Marks: 1

Which theory was proposed by David Ricardo in 1817?

Select correct option:

- ☐ Natural advantage

- ☐ comparative advantage
- ☐ Acquired advantage
- ☐ Resource efficiency advantage

Which theory was propsoed by David Ricardo in 1817?

Question # 7 of 10 (Start time: 10:17:56 PM)

Total Marks: 1

Which statement reflects the "punishment and obedience orientation" stage (stage one) of moral development?

Select correct option:

- ☐ I don't steal because my friends don't steal
- ☐ I don't steal because I don't want to be spanked
- ☐ I don't steal because it would harm society as a whole
- ☐ I don't steal because it wouldn't be fair to everyone

Question # 8 of 10 (Start time: 10:18:50 PM)

Total Marks: 1

Which one of the following is not a feature of market Economy?

Select correct option:

- ☐ Free choice
- ☐ Free enterprise
- ☐ Price inflexibility
- ☐ Focus on China

C

Question # 9 of 10 (Start time: 10:20:29 PM)

Total Marks: 1

Kohlberg's research indicates that pre-conventional reasoning is dominant in:

Select correct option:

- ☐ Elementary school
- ☐ Adulthood
- ☐ Adolescence
- ☐ Old age

C

Question # 10 of 10 (Start time: 10:21:38 PM)

Total Marks: 1

Which one of the following retailer has the greatest number of employees?

Select correct option:

☐ TESCO

☐ Carrefour

☐ Wal-Mart

☐ Metro

C



Which of the following is NOT a feature of free market?

Select correct option:

Free choice

Free enterprise

Price flexibility

Price fixing

Individual actions are directed through

Select correct option:

Policies

Culture

Associations

Both a & b

In which Year Township and village enterprises (TVEs) legalized?

Select correct option:

1974

1984

1994

2004

A principle that describes that it would be acceptable to a group of rational, self interested persons who know they will live under it themselves is known as?

Select correct option:

Moral

Basic

Immoral

None of the above

Which one of the following is not the basis of an important critical method in ethics?

Select correct option:

Counter examples

Hypothetical examples

Literature examples

Both a & b

Moral standards are absorbed from?

Select correct option:

Family & Friends

Experience

Intellectual capital

All of the above

Which one of the following ethic sees concrete communities and communal relationships as having a fundamental value?

Select correct option:

The care of ethic

Demands of caring

Communitarian ethic

Socialism

Individual actions are directed through

Policies

Culture

Associations

Both a & b

Which of the following does NOT describe “virtue”?

The traits that everyone needs for a good life

An excellence that is admired in a person

A disposition to act in multidimensional way

A specific state of character

Which of the following choices does NOT describe a situation that is covered by the concept of rights?

Select correct option:

The absence of prohibitions against an activity

The authorization to do something to secure one's interests

The necessity of doing something required by authority

The existence of prohibitions on others to enable individuals to pursue an activity

Which of the following countries are located below sea level?

Select correct option:

Maldives

Netherland

Both a & b

None of the above

The main difference between Gilligan and Kohlberg was that Gilligan emphasized?

Select correct option:

Justice and fairness

Care and interpersonal relationships

Role-taking and empathy

The moral superiority of women

Who proposed about advertising "would you persuade,speak of interest,not of reason"?

Select correct option:

David oglivy

Samuel Johnson

John Rawal

Ben franklin

The most controversial forms of compensation undoubtedly are?

Select correct option:

Programs that attempt to Suggest past injustices against groups

Programs that attempt to purpose past injustices against groups

The preferential treatment Programs that attempt to remedy past injustices against groups 34

None of the above

Which one of the following is an alternative to moral principles?

Select correct option:

Virtue Ethics

Logic Ethics

Real Ethics

None of the above

Who argued in response to the free market and utility by Adam Smith that government should intervene because there is a mismatch between the aggregate supply and demand?

Select correct option:

John Hicks

Maynard Keynes 50

Herbert Spencer

Charles Darwin

Morality stands for?

Select correct option:

Nature of human being

Individual standards to decide about right or wrong 2 dbt

principles of conduct governing an individual

None of the above

Retributive justice concerns with?

Select correct option:

Restoring to a harmed person what he lost when someone else wronged him

Blaming or punishing those who do wrong

Both a & b

None of the above

John Maynard Keynes arguments were the most influential in economics, when they become less convincing?

Select correct option:

1970 50

1980

1960

1990

Which one of the following is the principal Utilitarian remedy for pollution?

Select correct option:

To internalize external costs of production

To externalize internal costs of production

To minimize the total social cost of production

To maximize the total social cost of production

Pollution produces a net flow of benefits away from the rich and towards the poor.

Select correct option:

True 81

False

The kind of care that is owed to those with whom we have special concrete relationships is known as?

Select correct option:

Utilitarian standards

Standards of justice

Standards of caring 37

None of the above

Kant's moral philosophy is based on which of the following?

Select correct option:

Consequences of action

Consequences of reasons

False pretenses

Human reason

How many species of plant and animal inhabiting the planet?

Select correct option:

3 Million

2 Million 71

1 Million

None of the above

The land pollution caused by toxic substances results in increased morality and illness.

Select correct option:

True 74

False

Which of the following economic system accurately describe most modern economies?

Select correct option:

Free market economies

Command economies

Pure free market economies

Mixed Economies

A relationship that exhibits the virtues of compassion, love, friendship, and loyalty is the example of which theory?

Select correct option:

Socialism

The ethics of care

Communitarian ethics

Rawls justice and fairness

The products that the worker produces by his or her labor are taken away by the employer and used for purposes that are antagonistic to the worker's own interests is an argument of?

Select correct option:

Capitalist society

Socialist society

Liberal society

None of the above

Which of the following statements is TRUE of the beliefs of deep ecology?

Select correct option:

Non human parts of the environment deserves to be preserved for their own sake

Only human parts of the environment deserve to be respected

The flourishing of human life and cultures is incompatible with a substantial decrease of the human population

Humans have the right to reduce the diversity of non human life for the sake of human life

What amount of airborne toxic substances (pounds) released annually into atmosphere of USA?

Select correct option:

2.4 Billion pound 67

1.4 Billion Pound

3.4 Billion Pound

None of the above

Which of the following choices does NOT describe a situation that is covered by the concept of rights?

Select correct option:

The absence of prohibitions against an activity

The authorization to do something to secure one's interests

The necessity of doing something required by authority

The existence of prohibitions on others to enable individuals to pursue an activity

According to Aristotle's view, how do we learn virtue?

Select correct option:

- By habit
- By dialectical argument
- By rational instruction
- By learning from our mistakes**

Which one of the country has more collectiv^livist culture?

- USA**
- Japan
- Pakistan
- None of the above

Socialist view on distribution is best described as:

From each according to his ability, to each according to his needs

The benefits a person receives should be proportional to his contribution

From each they choose, to each as they are chosen

Always treat humanity as an end in itself rather than as a means

What is the number of characteristics that differentiate between moral and non-moral standards?

- 5**
- 4
- 2
- 1

Which of the following does NOT describe “virtue”?

The traits that everyone needs for a good life

An excellence that is admired in a person

A disposition to act in multidimensional way

A specific state of character

Which one of the following is not considered as category of issues involving justice?

- Distributive justice
- Retributive justice
- Compulsory justice**
- Compensatory justice

Which one is the justice concern of blaming or punishing persons for doing wrong?

- Distributive justice
- Redistributive justice**

Compensatory justice
None of the given

Moral standards are absorbed from?
Family & Friends
Experience
Intellectual capital
All of the above

Individual actions are directed through
Policies
Culture
Associations
Both a & b

Equality of income and equality of opportunity is refers to:
Equality
Political equality
Economic equality
Human equality

Which one of the following is not a basic type of moral standards?
Utilitarianism
Rights
Justice
Relevant

Which one of the following is a component of free market systems?
Private property system
Involuntary exchange system
Command system
None of the given

Which philosopher of utilitarianism presents the cost-benefit analysis?
Aristotle
Mill
Kant
Bentham

Which principle of John Rawls assumes that a productive society will incorporate inequalities?
Principle 1
Principle 2
Part a of principle 2
Part b of principle 2

MGT610 business ethics

Right action comes to be defined in terms of moral principles chosen because of their logical comprehensiveness, universality, and consistency is known as?

Select correct option:

Interpersonal Concordance Orientation

Universal Ethical Principles Orientation

Social Contract Orientation

Law and Order Orientation

Which one is considered as primary economic institution?

Select correct option:

Business Enterprises

Banks

Insurance companies

None of the above

Kohlberg's research indicates that pre-conventional reasoning is dominant in:

Select correct option:

Elementary school

Adulthood (not sure)

Adolescence

Old age

In how many ways efficiency comes about in perfectly competitive free markets?

Select correct option:

Two ways

Three ways

Four ways

None of the above

Which of the following is NOT a feature of free market?

Select correct option:

Free choice

Free enterprise

Price flexibility

Price fixing

Individual actions are directed through

Select correct option:

Policies

Culture

Associations

Both a & b

In which Year Township and village enterprises (TVEs) legalized?

Select correct option:

1974

1984

1994

2004

Which of the following deals with the distribution of benefits and burdens, mostly in the evaluation of social, political, and economic institutions?

Select correct option:

Retributive justice

Compensatory justice

Distributive justice

Ethical justice

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Counter examples

Hypothetical examples

Literature examples

Both a & b

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Demands of caring

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Voluntary exchange system

Both a & b

None of the above

MGT610 QUIZ solved file

Q.1 Why have consumers/customers been so hyper-aware and so nervous?

- a. Much more information is collected and seemingly available to more people at much faster rate.**
- b. Much more information is collected and seemingly not available to more people at much faster rate.
- c. Much more information is not collected and seemingly available to more people at much faster rate.
- d. Much more information is not collected and seemingly not available to more people at much faster rate.

Q.2 _____ organization try to segment their customers based on what product the customer purchased.

- a. Production-centered
- b. Product-centered**
- c. Customer-centered
- d. Consumer-centered

Q.3 The organizations make their special offer to the customers who will provide the highest profit margins, greatest response rate and _____.

- a. Lowest revenue
- b. Greatest cost
- c. Lowest cost**
- d. None of the given options

Q.4 If Mr. A buys 1,000 items from a super store with a profit margin of only Rs. 1 for each item and Mr. B buys only 500 items from the same super store but the profit was Rs. 5 for each item, which customer is the most valuable?

- a. Mr. A
- b. Mr. B**
- c. Both Mr. A & Mr. B
- d. None of the above

Q.5 If two customers choose exactly the same package of certain service, but customer A calls for help weekly and customer B calls only twice a year, which is most valuable customer?

- a. Both A & B customer

- b. Customer A
- c. Customer B**
- d. None of the above

Q.6 The customers who are not so-well-educated are called _____.

- a. Loyal customer
- b. Soft customer
- c. None educated customer
- d. Difficult customer**

Q.7 All sensory impressions (Learning, seeing, smelling, feeling and tasting) are telegraphed to our mind at the rate of approximately _____ per day.

- a. 100, 0000 impressions
- b. 10,000 impressions
- c. 100,000 impressions**
- d. 110,000 impressions

Q.8 _____ is a tangible company asset that can (and should) be inventoried and managed.

- a. Geographical information
- b. Customer information**
- c. Product information
- d. All of the given options

Q.9 Both _____ depend on electronic information that has been collected about customers, in place of human knowledge, to build and manage relationships.

- a. CRM and e-CRM**
- b. Customer and consumer
- c. Product and service
- d. Service and idea

Q.10 _____ is the symptom of poor listening.

- a. Listening Germinates Receptivity
- b. Use correct level of language
- c. Resist distractions
- d. Eradicating details**

Q.1 Which **ONE** of the following is not the requirement for managing customer?

- a. Need and want of customers
- b. Measurement of most or least profitability of customer or product
- c. Measurement of least growth potential of product or customer**
- d. Knowing which customers will be advocates and supporters

Q.2 CRM as a discipline that depends on people, process, information and

a. Technology

- b. Innovation
- c. Discovery
- d. All of the given options

Q.3 According to AOL Cyber study conducted in early in 2000, the increase form

_____ per cent of the internet community purchasing something online in 1998 to _____ per cent of the same group purchasing semi-regularly online in 1999.

- a. 7, 32
- b. 13, 42
- c. 3, 42**
- d. 3, 32

Q.4 A _____ is a software application that enables a user to display and interact with text, images, and other information for customers/consumers located on a web page at a website on the World Wide Web or a local area network.

a. Web browser

- b. HTML
- c. HTTP
- d. None of the given options

Q.5 Which one of the following is **NOT** a part of sales applications?

- a. Compensation
- b. Opportunity and Pipeline Management
- c. Proposal Generation and Management
- d. Budgeting and forecasting**

Q.6 MRP is stand for _____

- a. Materials resource pricing
- b. Material resource planning**
- c. Material resource placing
- d. None of the given options

Q.7 Acquiring the Right Customers, based on known characteristics, which drives growth and increased profit margin, is a benefit of _____

a. CRM Process

- b. eCRM
- c. CRM
- d. eCRM process

Q.8 Correlate, combine, cognize and _____ are the four C's of CRM Process

- a. Connect**
- b. Customer
- c. Consumer
- d. None of the given options

Q.9 Quicker attention and resolution of complaints lead to _____

- a. High profits
- b. Low cost
- c. Favorable word of mouth
- d. Stronger customer relationship**

Q.10 Organization's win-back programs should be _____.

- a. Policy base
- b. Reward base**
- c. Profit base
- d. Sales base

Q. 1 Customer relationship management does not move around which of the following?

- (a) Customer retention
- (b) Policies development**
- (c) Retain customers
- (d) Customer satisfaction

Q.2 Which of the following is NOT the general purpose of CRM?

- (a) Purpose of CRM is better managing customers through the introduction of reliable systems and methods.
- (b) Purpose of CRM is to enable organizations to service their existing customers more emphatically and more forcefully.
- (c) Purpose of CRM is not developing processes and procedures for interacting new customers.**
- (d) All of above given options

Q.3 Service Deficiency is known as:

- (a) Product defects
- (b) Inefficient service standards
- (c) Incorrect service provision
- (d) Identified in-sufficiency of service**

Q.4 The process of performing activities that increase the value of goods or services to

consumers is known as:

(a) Value development

(b) Value creation

(c) Value chain

(d) Value addition

Q.5 Incentive schemes, additional services and sentiments based scheme are called:

(a) Concentration on the paying ability of customers

(b) Building switching barriers

(c) Relationship based pricing schemes

(d) Differentiation in price and quality standards

Q.6 Life style is an important variables of which of the following market segmentation?

(a) Time segmentation

(b) Geographic segmentation

(c) Psychographics segmentation

(d) Demographic segmentation

Q.7 Customer service facilitation includes EXCEPT:

(a) Divert attention of customer

(b) Resolve problem

(c) Improve efficiency

(d) Provide full information

Q.8 Traditionally, stores have carried inventory to:

(a) Terminate production economies

(b) Eliminate forecasting uncertainty

(c) Provide better service for customers

(d) Prevent strikes or product shortages

Q.9 Supporting customers through the process of selecting, purchasing, and maintaining a

product or service is known as:

(a) Customer loyalty

(b) Customer satisfaction

(c) Customer services

(d) Customer retention

Q.10 Geographical Concentration Means:

(a) Group of customers

(b) Specific geographical area

(c) Thick city markets

(d) Terrain of the so

Question # 1 of 10

Which of the following is an element of an organization's internal-environment? Select correct option:

Wholesalers

Retailers

Employees

Competitors

Question # 2 of 10

Which of the following refers to Companies often failure to predict changes, either slow or long range to at least calculate their impact on their product and customers? Select correct option:

Failure to obtain Senior Management Commitment

Poor Communications

Failure to Coordinate

Inability to Predict Environmental Reaction

A _____ is an organized collection of comprehensive information about individual customers or prospects. Select correct option:

Business database

Customer mailing list

Customer database

Marketing database

Supporting customers through the process of selecting, purchasing, and maintaining a product or service is known as: Select correct option:

Customer loyalty

Customer satisfaction

Customer retention

Customer services

All of the following statements are principles of communication, EXCEPT: Select correct option:

Communication is a system

Communication is static

Communication can be intentional or unintentional

Communication is a process

Operational customer relationship management supports which of the following function? Select correct option:

Front Office

Customer campaigns

Effective interaction

Data mining

Question # 10 of 10

which of the following is NOT a dimension of service quality? Select correct option:

Empathy

Assurance

Reliability

Competence

Question # 1 of 10

Customer Service Culture includes all EXCEPT: Select correct option:

Traits

Value

Norms

Behavior

Question # 2 of 10

Promoters are those customers who? Select correct option:

Use product occasionally

Use product when required

Recommend a company to others

Use product continuously

Question # 3 of 10

Companies can gain a strong competitive advantage through having better-trained people. This is known as: Select correct option:

Personnel differentiation

Product differentiation

Personnel training

Human resources parity

Question # 4 of 10

Which of the following is Not part of marketing mix? Select correct option:

Competitors

Pricing

Promotion

Product

Question # 5 of 10

how can complaints provide the firm with great value? Select correct option:

They provide a chance to prove the company is right

They can be a source of information for a company

Resolving those ties up important resources

They offer an opportunity to shed bad customers

Question # 6 of 10

Marketing relationships are: Select correct option:

Intensely personal, like human relationships

Intended to deliver short-term customer satisfaction

Intended to deliver long-term customer satisfaction

The most important element of the marketing mix

Question # 7 of 10

Which of the following is a special human trait that we need to sharpen and use very often in CRM? Select correct option:

None of the given options

Foresee

Forecast

Forecast and foresee

Question # 8 of 10

Horizon cat food mailed a packet of catnip seed to every person who visited its website. Along with the catnip seed was a note that advised consumers to visit <http://www.horizon.com> if they wanted to create a cat-friendly garden. This illustration is the best use of which concept for approaching prospect customer? Select correct option:

Print advertising

Direct marketing

Personal selling

Public relations

Question # 10 of 10

Which one of these is NOT the major area on which customer relationship management focuses? Select correct option:

Expansion of customer base

Reduction of advertising costs

Gaining new customers, no focus on existing ones

Personal information gathering and processing

FINALTERM EXAMINATION
Fall 2008
MGT610- Business Ethics (Session - 1)

Marks: 81

Question No: 1 (Marks: 1) - Please choose one

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- ▶ Agency problem
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- ▶ Regulatory problem
- ▶ Diversification problem

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A shift to judgments based on rules or norms of a group to which the individual belongs is characteristic of which level of moral development?

- ▶ Post-formal
- ▶ Pre-conventional
- ▶ Conventional
- ▶ Post-conventional

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Commodities that are considered valuable only because they lead to other good things are called:

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“The desire for a good or a service” best represents:

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- ▶ Want
- ▶ Desire
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Which of the following choices does **NOT** describe a situation that is covered by the concept of rights?

- ▶ The absence of prohibitions against an activity
- ▶ The authorization to do something to secure one's interests
- ▶ The necessity of doing something required by authority
- ▶ The existence of prohibitions on others to enable individuals to pursue an activity

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Which of the following holds that all public offices and employment should be made available to everyone?

- ▶ The principle of equal liberty

- ▶ The difference principle
- ▶ The principle of equal opportunity
- ▶ The principles of ethics

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Which of the following is **FALSE** of Nozick's theory of justice?

- ▶ Theory is redistributive
- ▶ None of the above options
- ▶ Theory is historical
- ▶ Theory is no patterned

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Which of the following does **NOT** describe "virtue"?

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Which of the following is the price that just covers the costs of producing the commodity including the going rate of profit obtainable in other markets?

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Which of the following rights is embodied by perfectly competitive free markets?

- Negative right of freedom from coercion
- Positive right of freedom from coercion
- Moral right of freedom from coercion

- ▶ Ethical right of freedom from coercion

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Which of the following refers to the undesirable and unintended contamination of the environment by the manufacture or use of commodities?

- ▶ Toxic substance
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- ▶ Acid rain
- ▶ Airborne toxic

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Which of the following is a public policy view that holds that large firms should not be broken up into smaller units but subjected to substantial governmental restraint and controls?

- ▶ The Chicago school view
- ▶ The do-nothing view
- ▶ The anti-trust view
- ▶ The regulation view

Question No: 15 (Marks: 1) - Please choose one

Which of the following public policy view claims that the power of oligopolies is not as large as it appears?

- ▶ The Chicago school view
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Question No: 16 (Marks: 1) - Please choose one

How many people in the world don't have access to safe water?

- ▶ 1 billion
- ▶ 1.5billion
- ▶ 2 billion
- ▶ 2.5 billion

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If a firm makes basic goods (food product, clothing) for which the poor must allocate a larger proportion of their budgets than the affluent. In this case which of the following may place a heavier burden on the poor?

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- ▶ Internalizing costs
- ▶ Product costs
- ▶ External costs

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Which of the following requires that those who have been injured should be compensated by those who injure them?

- ▶ Rights
- ▶ Utilitarian

- ▶ Redistributive justice
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Which of the following explains the bearing of external costs of pollution largely by those who do not enjoy a net benefit from the activity that produces the pollution?

- ▶ Ecological ethic
- ▶ Social ecology
- ▶ Environmental injustice
- ▶ Eco-feminism

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Who argued that there is a fundamental human right to a livable environment?

- ▶ William Blackstone
- ▶ Carol Gilligan
- ▶ Robert Nozzick
- ▶ John Locke

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Which of the following describes the saving or rationing natural resources for future use?

- ▶ Consumption
- ▶ Conservation
- ▶ Reservation

- ▶ Destruction

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Critics to the market approach respond that the benefits of free markets are obtained only when the markets have all of the following characteristics, **EXCEPT**:

- ▶ There are numerous buyers and sellers
- ▶ There are external costs
- ▶ Everyone can freely enter and exit the market
- ▶ Everyone has complete and accurate information

Question No: 23 (Marks: 1) - Please choose one

Which of the following is **NOT** a problem with the assumption of rational utility maximization?

- ▶ Few people are good at estimating probabilities
- ▶ People are generally irrational and inconsistent when weighing the choices
- ▶ Many consumer markets are monopolies or oligopolies
- ▶ Utility maximizer has a well-defined and consistent set of preferences

Question No: 24 (Marks: 1) - Please choose one

Our probability judgments go astray for a number of reasons, including all **EXCEPT**:

- ▶ People believe that they exert control over purely chance events
- ▶ Generalizations are made on the basis of small sample findings
- ▶ Emphasis on "causation" results in the under weighing of evidence that is relevant
- ▶ We forget to take the "law of averages" into account

Question No: 25 (Marks: 1) - Please choose one

Which of the following statements could **NOT** be made by a believer in ecological ethics?

- ▶ The world must be protected for the sake of human beings
- ▶ The well-being of all the life on earth has value in itself
- ▶ Humans have no right to reduce the diversity of life except to satisfy vital needs
- ▶ Appreciate the quality of life rather than striving for a higher standard of living

Question No: 26 (Marks: 1) - Please choose one

Which of the following statements is **TRUE** of the beliefs of deep ecology?

- ▶ It is our moral duty to protect the human beings
- ▶ Non human parts of the environment deserve to be preserved for their own sake
- ▶ Only human parts of the environment deserve to be respected
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According to critics of market approach, how many characteristics market will have to obtain the benefits of free market?

- ▶ 7
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Which of the following is the view that describes the relationship between a firm and its customers where the firm's moral duties to the customer are those created by this contract?

- ▶ Contract view of business duties
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Which of the following is the main objection against the assumptions of contractual theory?

- ▶ Unrealistic
- ▶ Impractical
- ▶ Concentrated on sellers only
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Question No: 30 (Marks: 1) - Please choose one

Which of the following is NOT a valid criticism on the ethics of advertising?

- ▶ Advertising uses images that many find vulgar and offensive
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- ▶ Advertising is wasteful
- ▶ Advertising promotes monopolies

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- ▶ The author must know it to be true
- ▶ The author must intend to have the audience believe something false

Question No: 32 (Marks: 1) - Please choose one

All of the following are deceptive or manipulative marketing practices, **EXCEPT**:

- ▶ Multiple pricing
- ▶ Bait and switch selling
- ▶ Markdowns from a suggested retail price that is never charged
- ▶ Everyone can freely enter and exit the market

Question No: 33 (Marks: 1) - Please choose one

Which of the following is a situation where demand always exceeds supply?

- ▶ None of the given options
- ▶ Monopoly
- ▶ Perfect competition
- ▶ Free market

Question No: 34 (Marks: 1) - Please choose one

Which of the following define that someone has a well defined and consistent set of preferences, and who knows how personal choices will affect those preferences?

- ▶ Utility maximization
- ▶ Rational utility maximizer
- ▶ Manufacturers' utility
- ▶ None of the given options

Question No: 35 (Marks: 1) - Please choose one

Which of the following is the period of time during which the product will function as effectively as the consumer is to lead to expect it to function?

- ▶ Reliability
- ▶ Service life
- ▶ Maintainability
- ▶ Product safety

Question No: 36 (Marks: 1) - Please choose one

Which of the following describes the ease with which the product can be repaired and kept in operating condition?

- ▶ Reliability
- ▶ Service life
- ▶ Maintainability
- ▶ Product safety

Question No: 37 (Marks: 1) - Please choose one

Which of the following is **NOT** a benefit of having a code of ethics?

- ▶ Supplier loyalty increases
- ▶ Managers get more confident
- ▶ Competitive positions improve
- ▶ Employee loyalty increases

Question No: 38 (Marks: 1) - Please choose one

Which of the following is a legal doctrine that holds that manufacturers must bear the costs of injuries resulting from product defects regardless of fault?

- ▶ Manufacturer's liability
- ▶ Consumer's liability
- ▶ Strict liability
- ▶ Product liability

Question No: 39 (Marks: 1) - Please choose one

Marketing ethic refers to which of the following?

- ▶ Improper behavior in marketing
- ▶ Acceptable conduct in society
- ▶ Improper behavior in business
- ▶ Acceptable conduct in marketing

Question No: 40 (Marks: 1) - Please choose one

Which of the following is the result of effective advertising campaigns on consumers, which gives large corporations control over a major portion of the market?

- ▶ Brand loyalty
- ▶ Consumer protection
- ▶ Reliability
- ▶ None of the given options

Question No: 41 (Marks: 1) - Please choose one

Which of the following is a proposed program where a large scale publicly funded education program aimed at empowering ordinary citizens?

- ▶ Investment in men

- ▶ Investment in women
- ▶ Investment in children
- ▶ Investment in non-humans

Question No: 42 (Marks: 1) - Please choose one

Which of the following is the primary function of commercial advertisements?

- ▶ Provide unbiased information
- ▶ Sell products to prospective buyers
- ▶ Provide biased information
- ▶ None of the given options

Question No: 43 (Marks: 3)

What is the theme of the book "Limits to Growth"? What is its inference?

Question No: 44 (Marks: 3)

What is meant by green revolution?

Question No: 45 (Marks: 3)

What are the various bases to determine the ethical nature of an advertisement?

Question No: 46 (Marks: 5)

Pollution always imposes external costs—that is, costs for which the person who produces the pollution does not have to pay. Pollution is fundamentally a problem of this divergence between private and social costs. Explain why should this divergence be a problem?

Question No: 47 (Marks: 5)

WWW.VUMONSTER.COM

Use of puffery currently is an ethical and legal issue in advertising. Thinking in this perspective; if puffery is declared legal, why it is problematic as part of a competitive comparison? Briefly discuss.

Question No: 48 (Marks: 10)

Give arguments for and against the critics of market to consumer issues.

Question No: 49 (Marks: 10)

Where did Ford Pinto go wrong? In other words, what contractual principles did they violate?

FINALTERM EXAMINATION
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- ▶ The author must know it to be false
- ▶ The author must knowingly do something to bring about this false belief
- ▶ The author must know it to be true
- ▶ The author must intend to have the audience believe something false

Question No: 32 (Marks: 1) - Please choose one

All of the following are deceptive or manipulative marketing practices, **EXCEPT:**

- ▶ Multiple pricing
- ▶ Bait and switch selling
- ▶ Markdowns from a suggested retail price that is never charged
- ▶ Everyone can freely enter and exit the market

Question No: 33 (Marks: 1) - Please choose one

Which of the following is a situation where demand always exceeds supply?

- ▶ None of the given options
- ▶ Monopoly
- ▶ Perfect competition
- ▶ Free market

Question No: 34 (Marks: 1) - Please choose one

Which of the following define that someone has a well defined and consistent set of preferences, and who knows how personal choices will affect those preferences?

- ▶ Utility maximization
- ▶ Rational utility maximizer
- ▶ Manufacturers' utility
- ▶ None of the given options

Question No: 35 (Marks: 1) - Please choose one

Which of the following is the period of time during which the product will function as effectively as the consumer is to lead to expect it to function?

- ▶ Reliability
- ▶ Service life
- ▶ Maintainability
- ▶ Product safety

Question No: 36 (Marks: 1) - Please choose one

Which of the following describes the ease with which the product can be repaired and kept in operating condition?

- ▶ Reliability
- ▶ Service life
- ▶ Maintainability
- ▶ Product safety

Question No: 37 (Marks: 1) - Please choose one

Which of the following is **NOT** a benefit of having a code of ethics?

- ▶ Supplier loyalty increases
- ▶ Managers get more confident
- ▶ Competitive positions improve
- ▶ Employee loyalty increases

Question No: 38 (Marks: 1) - Please choose one

Which of the following is a legal doctrine that holds that manufacturers must bear the costs of injuries resulting from product defects regardless of fault?

- ▶ Manufacturer's liability
- ▶ Consumer's liability
- ▶ Strict liability
- ▶ Product liability

Question No: 39 (Marks: 1) - Please choose one

Marketing ethic refers to which of the following?

- ▶ Improper behavior in marketing
- ▶ Acceptable conduct in society
- ▶ Improper behavior in business
- ▶ Acceptable conduct in marketing

Question No: 40 (Marks: 1) - Please choose one

Which of the following is the result of effective advertising campaigns on consumers, which gives large corporations control over a major portion of the market?

- ▶ Brand loyalty
- ▶ Consumer protection
- ▶ Reliability
- ▶ None of the given options

Question No: 41 (Marks: 1) - Please choose one

Which of the following is a proposed program where a large scale publicly funded education program aimed at empowering ordinary citizens?

- ▶ Investment in men

- ▶ Investment in women
- ▶ Investment in children
- ▶ Investment in non-humans

Question No: 42 (Marks: 1) - Please choose one

Which of the following is the primary function of commercial advertisements?

- ▶ Provide unbiased information
- ▶ Sell products to prospective buyers
- ▶ Provide biased information
- ▶ None of the given options

Question No: 43 (Marks: 3)

What is the theme of the book "Limits to Growth"? What is its inference?

Question No: 44 (Marks: 3)

What is meant by green revolution?

Question No: 45 (Marks: 3)

What are the various bases to determine the ethical nature of an advertisement?

Question No: 46 (Marks: 5)

Pollution always imposes external costs—that is, costs for which the person who produces the pollution does not have to pay. Pollution is fundamentally a problem of this divergence between private and social costs. Explain why should this divergence be a problem?

Question No: 47 (Marks: 5)

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Use of puffery currently is an ethical and legal issue in advertising. Thinking in this perspective; if puffery is declared legal, why it is problematic as part of a competitive comparison? Briefly discuss.

Question No: 48 (Marks: 10)

Give arguments for and against the critics of market to consumer issues.

Question No: 49 (Marks: 10)

Where did Ford Pinto go wrong? In other words, what contractual principles did they violate?